



UNFORGETTABLE

PEOPLE. CONNECTIONS. MEMORIES.



UNFORGETTABLE

PEOPLE. CONNECTIONS. MEMORIES.

At Aitken Spence Hotels, every memory we create is designed to last.

Over the years, we have fostered an atmosphere that evokes a sense of nostalgia, simply by curating memorable experiences that are etched in the hearts and minds of every guest that walks through our doors.

We believe that every connection created here at Aitken Spence Hotels is invaluable. That's why we have always invested considerable time and resources towards building relationships that last a lifetime, while directing our every effort towards delivering unmatched stakeholder value in all we do.

Armed with an indelible legacy, we're creating a powerful, all-encompassing narrative that stands the test of time.

Aitken Spence Hotels. We are truly unforgettable.

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The image is a vertical composition. The top half shows a surfer in a crouched position riding a white surfboard on a blue wave. The bottom half shows a diver in a horizontal position swimming underwater, wearing a blue bikini and blue fins, holding a camera. The water is clear and blue, with sunlight filtering through.

OVERVIEW

A THRILLING ADVENTURE

At Aitken Spence Hotels, we empower our stakeholders with the freedom to explore their true potential, and the opportunity to experience all that life has to offer.

ABOUT OUR 13TH INTEGRATED ANNUAL REPORT



Welcome to the 13th Integrated Annual Report of Aitken Spence Hotel Holdings PLC (ASHH) for the financial year ended 31st March 2024. The report seeks to provide a concise and balanced view of how the Group strategically leveraged its resources to deliver value to its stakeholders. The Report also provides relevant information on the operating environment, corporate governance practices and risk management, while reflecting on the future.

GRI 2-3

REPORTING PERIOD

The Report follows an annual reporting cycle and covers the financial period from 01st April 2023 to 31st March 2024. It builds on the Group's most recent report for the year ended 31 March 2023, for which comparatives are presented where applicable. Material events subsequent to the reporting period and up to the Board approval date of 15th July 2024 have also been included.

GRI 2-2

GRI 2-4



<https://www.aitkenspencehotels.com/about-us/investor-relations.html>



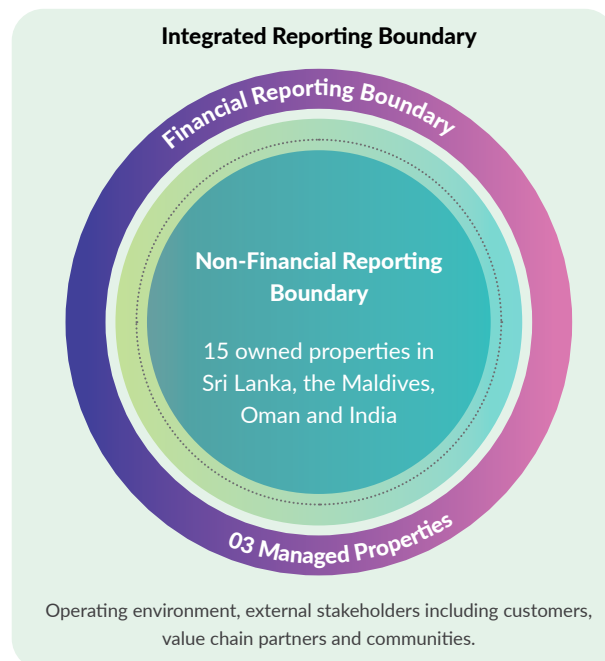
Our Annual Report is also available online. Please visit our website at <https://www.aitkenspencehotels.com> to access the report

SCOPE AND BOUNDARY

The Report covers the operations of Aitken Spence Hotel Holdings PLC ("Aitken Spence Hotels" or the "Company"), its subsidiaries and interests in equity accounted investees (collectively referred to as the "Group"). Reporting boundaries for both financial and non-financial information are aligned and extends to include developments in the external environment and along the Group's value chain.

The Financial information presented on pages 164 to 271, and the discussion of financial aspects in the narrative report present a consolidated view of the Group, unless otherwise stated. The non-financial information is limited to the 15 properties owned by Aitken Spence Hotels in Sri Lanka, the Maldives, India, and Oman. It excludes the managed properties.

There were no significant changes to the structure, supply chain or material restatements of information nor changes to our reporting boundary during the year.



REPORTING FRAMEWORKS

The following frameworks have been applied in preparing this Report, moving beyond regulatory compliance to incorporate international best practice into the reporting process.



Financial Reporting

- Sri Lanka Accounting Standards (SLFRS/ LKAS) issued by CA Sri Lanka
- Sri Lanka Accounting & Auditing Standard Act No. 15 of 1995.
- Companies Act No 7 of 2007



Narrative Reporting

- Integrated Reporting Framework of the International Integrated Reporting Council (IIRC)



Sustainability

- In accordance with GRI standards issued by the Global Reporting Initiative
- ESG Reporting Guidelines issued by the Colombo Stock Exchange
- Sustainable Development Goals (SDG) of the United Nations
- Gender Parity Reporting Framework issued by CA Sri Lanka
- SASB® Standards, IFRS Sustainability Disclosure Standards



Corporate Governance

- Continued Listing Requirements of the Colombo Stock Exchange
- Code of Best Practice on Corporate Governance 2017, as amended in 2023, issued by CA Sri Lanka.
- Securities and Exchange Commission of Sri Lanka Act No. 19 of 2021 and the amendments thereto.

MATERIALITY

The Report provides information on material themes that can significantly impact the Group's ability to create value over the short, medium and long term. (Refer Determining Material Issues on page 48 for more on the process for determining materiality)



COMBINED ASSURANCE

The integrity of this Report is ensured through a combined assurance model which includes both internal and external assurance on the financial and non-financial reporting. Internal assurance on financial reporting includes consistent monitoring by the Audit Committee and internal audit function while dedicated sustainability units at both Aitken Spence Hotels level and parent entity level (Aitken Spence PLC) ensure the accuracy of the non-financial information.

Independent Third-Party external assurance obtained from the following:

- External assurance on the financial statements have been provided by Messrs. KPMG and is available on pages 164 to 167 of this Report.
- External assurance on the Group's sustainability reporting information has been provided by Ernst & Young under Sri Lanka Standard on Assurance Engagements (SLSAE) 3000 (Revised). The opinion of the above is given on pages 290 to 293.

FORWARD-LOOKING STATEMENTS

The Report includes forward-looking statements regarding the Group's future performance and prospects which involve an element of uncertainty, given the exposure to external conditions. We do not undertake to update or revise these statements publicly in the event of a change of circumstances.

Board Responsibility Statement

Aitken Spence Hotel Holdings PLC Board acknowledges its responsibility for ensuring the integrity of this Report. We hereby confirm that the 2023/24 Annual Report fairly represents the Group's integrated performance and addresses all relevant material that have a bearing on our ability to create value over the short, medium and long term. We also confirm that the Report has been prepared in accordance with the Integrated Reporting Framework of the International Integrated Reporting Council.

FEEDBACK

We continuously strive to improve the quality and readability of the Annual Report and value your comments and suggestions. Kindly direct your feedback through the investor feedback form on pages 309 to 310. Our contact details are:

✉ info@aitkenspence.lk

Group Business Development Unit- Aitken Spence PLC



This Annual Report
is also available online.

ABOUT OUR 13TH INTEGRATED ANNUAL REPORT

APPROACH TO INTEGRATED REPORTING

The Group's integrated approach to corporate reporting reflects the holistic thinking that has been embedded across the organisation in formulating strategies and engaging with stakeholders. This entails clearly identifying capital inputs, assessing resource allocations and tradeoffs when implementing strategy and driving stakeholder value creation.



NAVIGATION ICONS

We have used the following navigation icons across the Report to showcase the connectivity of information.

CAPITALS



Financial Capital



Manufactured Capital



Human Capital



Social and Relationship Capital



Intellectual Capital



Natural Capital

STAKEHOLDERS



Investors



Business Partners



Customers



Employees



Government & Regulators



Communities

ABOUT US

Our Vision

To achieve excellence in all our activities, establish high growth businesses in Sri Lanka and across new frontiers, and become a globally competitive market leader in the region.

Our Core Values

- Reliable
- Honest & Transparent
- Warm & Friendly
- Genuine
- Inspiring Confidence

OUR PRIORITISED SUSTAINABLE DEVELOPMENT GOALS (SDGs)

We contribute to several of the United Nations Sustainable Development Goals (SDG's) through our operations and strategic CSR initiatives.



ABOUT US

AT A GLANCE

Aitken Spence Hotel Holdings PLC is one of Sri Lanka's largest hotel operators, operating a chain of 18 hotels and resorts in Sri Lanka, the Maldives, Oman and India.

The Group's competitive edge stems from its best-in-class service standards, distinctive collection of hotels – some of which are architectural masterpieces – and excellence in cuisine. Each of the Group's unique properties caters to a diverse client base, having hotels and resorts suited to every need and budget, while maintaining inimitable hospitality.

The Group is a subsidiary of Aitken Spence PLC, - one of Sri Lanka's most respected and diversified conglomerates with widespread business interests in Maritime and Logistics, Strategic Investments and Services, and Tourism.

Situated in key tourist locations, the Aitken Spence Hotels chain boasts exotic properties from the award-winning eco-friendly Heritance Kandalama which is situated in close proximity to two UNESCO world heritage sites...



...to the Desert Nights Resort in Oman, rated as one of the top ten desert retreats in the world.



EARNING OUR LICENSE TO OPERATE

Our hotels in Sri Lanka, the Maldives, Oman and India strive to be at the forefront of driving sustainability, adopting a holistic ESG agenda in line with the Integrated Sustainability Framework of our parent entity. We offer immersive experiences to our guests while leaving a positive footprint through environment and community development initiatives. This has earned us the trust and respect of our stakeholders.

Embracing the Local Culture

Our hotels embody a multidimensional nature, embracing the culture of each location by connecting with people, celebrating diversity and fostering a sense of belonging.

Environmental Responsibility

Environmental responsibility is key as we strive to minimise our environmental impact and preserve the natural beauty of our surroundings.

Socio-economic Empowerment

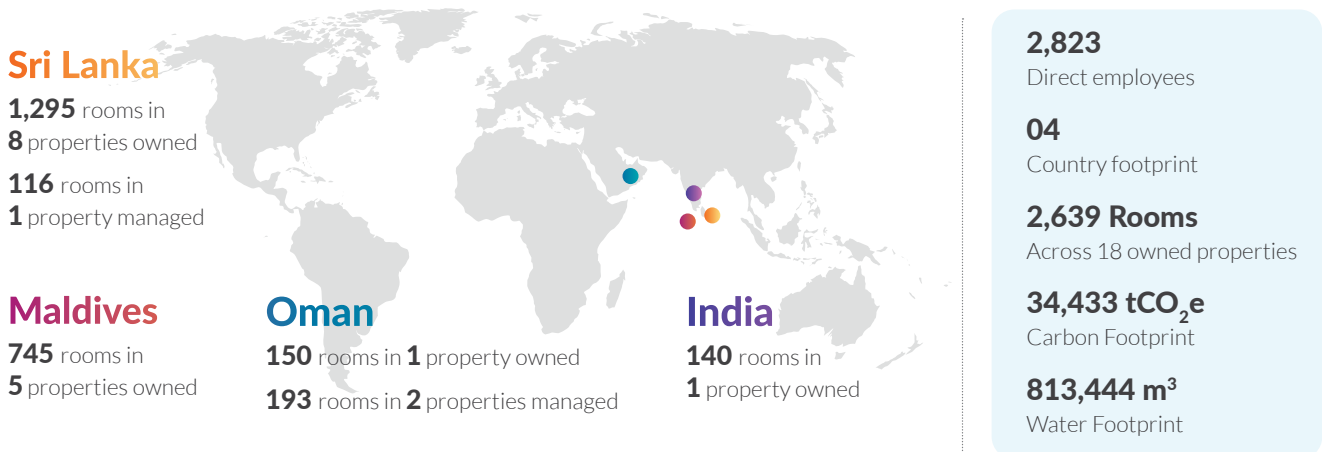
We nurture relationships with a range of stakeholders including suppliers and the community, making a strong contribution to their socio economic empowerment.

OUR PRESENCE

With fifteen owned properties and three managed properties spanning four countries, our brand offers guests unparalleled experiences.

While having a strong presence in Asia through its leisure hotels in Sri Lanka and the Maldives, the Group was one of the earliest hoteliers to move into Oman, which is an emerging tourist destination.

The Group also owns a hotel in India targeting business travel, which is a rapidly growing market segment.



Sri Lanka

Heritage Kandalama
Heritage Ahungalla
Heritage Tea Factory
Heritage Ayurveda
Sentido Heritage Negombo

Maldives

Heritage Aarah



Maldives

Adaaran Prestige Vadoo
Adaaran Select Meedhupparu
Adaaran Select Hudhuran Fushi
Adaaran Club Rannalhi



Sri Lanka

Turyaa Kalutara

India

Turyaa Chennai



Sri Lanka

Amethyst Resort
Earl's Regency*



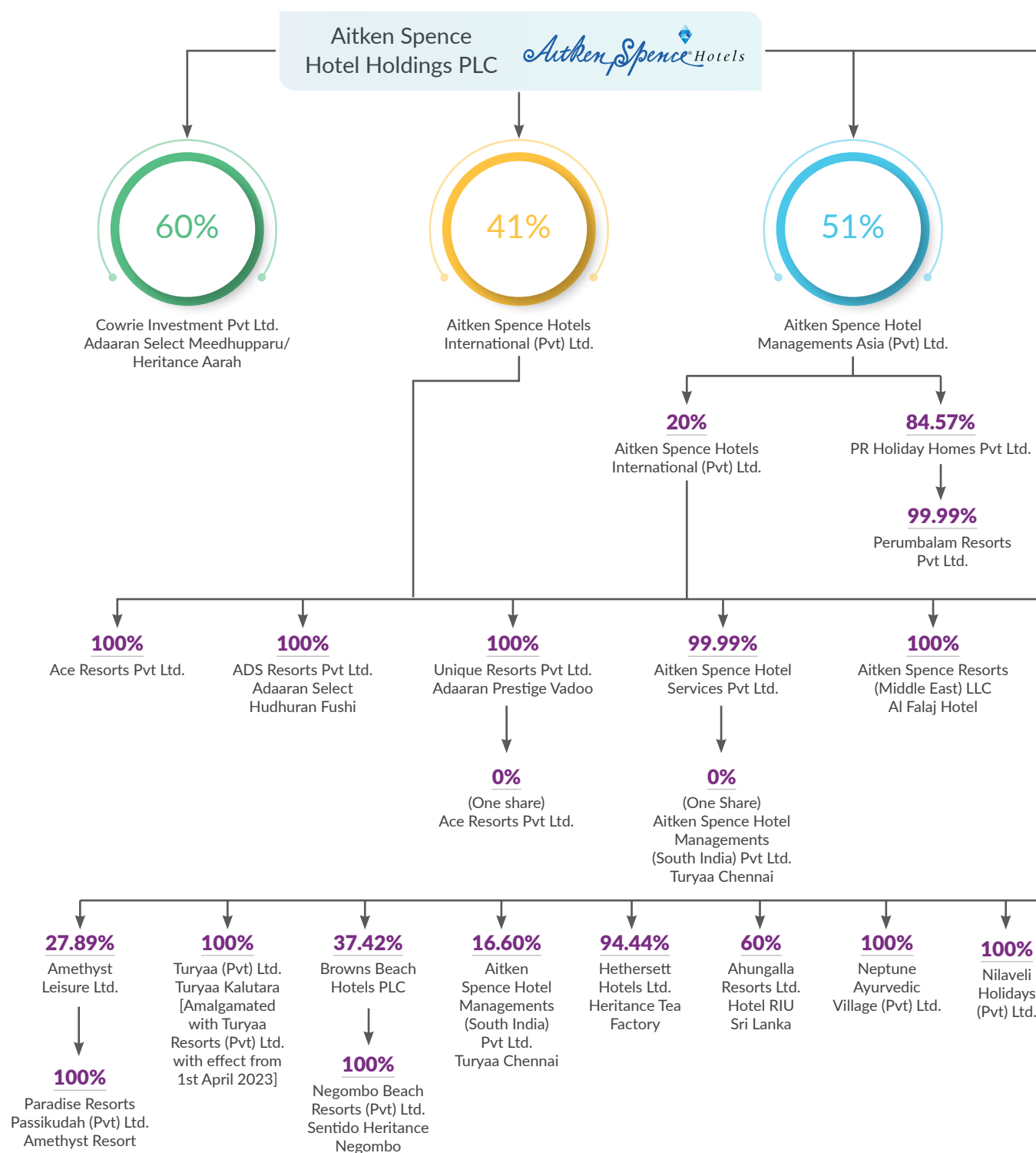
Hotel RIU Sri Lanka

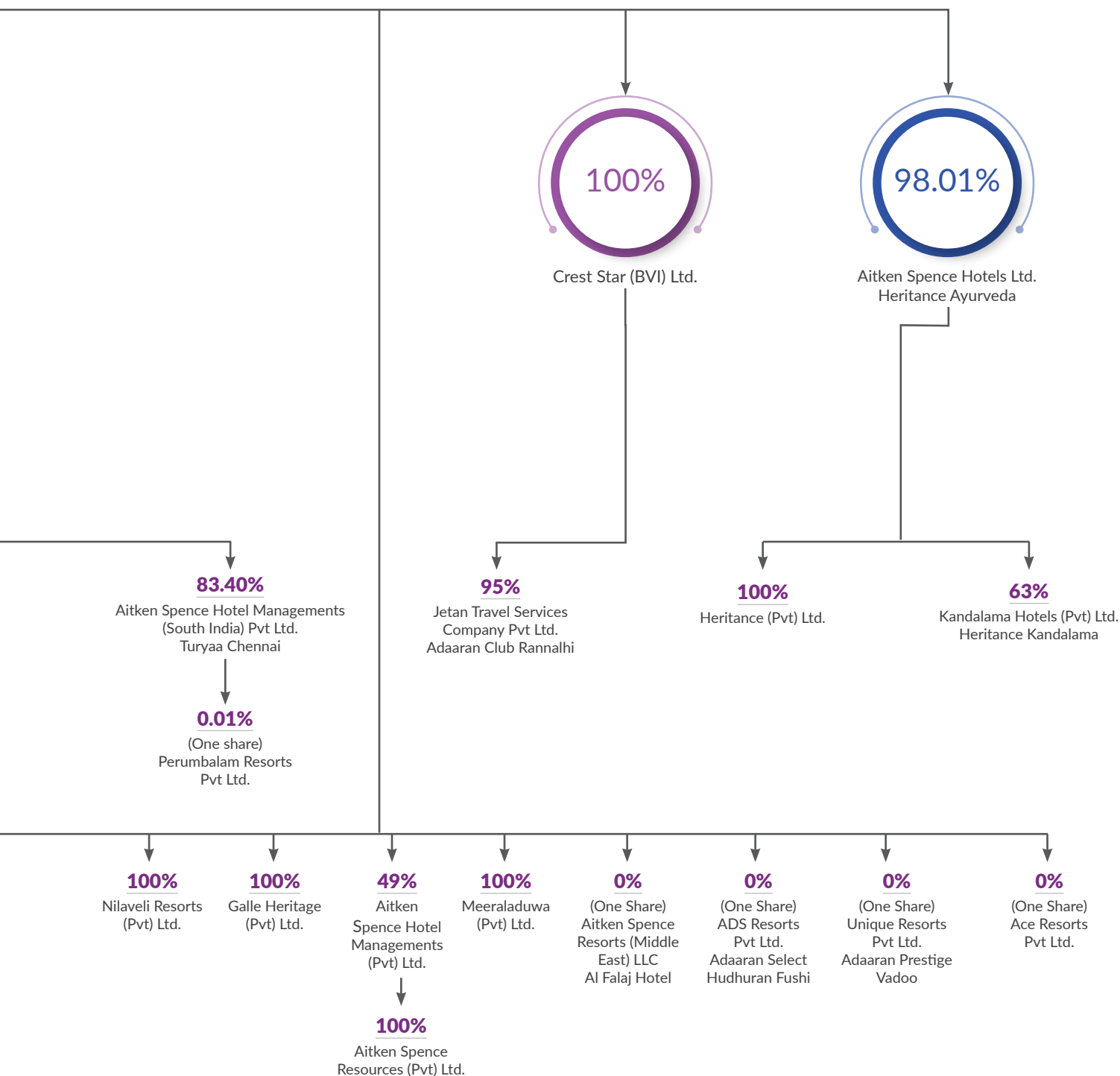
Oman

Al Falaj Hotel
Desert Nights Resort
Sur Plaza Hotel

* Managed Properties

GROUP STRUCTURE





KEY MILESTONES

1973
INCORPORATES
AITKEN SPENCE
HOTELS LTD.

1978
INCORPORATES
AHUNGALLA
HOTELS LTD, AS A
PUBLIC QUOTED
COMPANY.

1981
COMMENCES
COMMERCIAL
OPERATIONS OF
TRITON HOTEL
WITH 126 ROOMS.

1986
TRITON HOTEL IS
AWARDED 5-STAR
STATUS, THE FIRST
FOR A BEACH
HOTEL IN SRI
LANKA.

1994

- The Company acquires approximately 97% of the share capital of Aitken Spence Hotels Ltd; thereby gaining a controlling interest in Neptune Hotel, Kandalama Hotel and Pearl Beach Hotel.
- Investment in Browns Beach Hotel and Hotel Hilltop.
- Kandalama Hotel commences operations.
- The Company acquires its first island in the Maldives, Bathala Island Resort, becoming the first Sri Lankan hospitality company to invest overseas.

1995

- The Company acquires a majority holding in Hethersett Hotels Ltd., the owning company of The Tea Factory Hotel.

1996

- The Tea Factory in Nuwara Eliya commences operations.
- The Company acquired its second Hotel Rannalhi Island Resort in the Maldives.



1997

- The Company changes its name to Aitken Spence Hotel Holdings Ltd

2000

- The third hotel in the Maldives, the 215 room Meedhupparu Island Resort is launched in June 2000.

2004

- The Group acquires Earl's Regency hotel in Kandy for the management.

2005

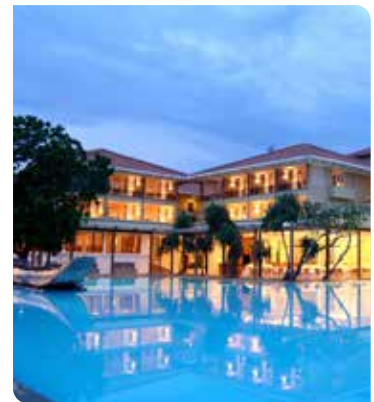
- 20 Luxury Water Villas are constructed and launched at Meedhupparu, Maldives.

2006

- The Company's new 'Heritage Hotels and Resorts' brand is launched.

2007

- The Company ventures into India and is successful in securing management contracts for four resorts.
- Completes renovations and unveils Heritage Ahungalla.
- The Company acquires its fourth resort in Maldives, 'Adaaran Select Hudhuran Fushi'.



2008

- The Company made further investments in the Maldives through the acquisition of Vadoo Island Resort.
- The Group divested its investment in Bathala Island Resort.
- The Company ventures into Oman by securing management contracts for four hotels.

2009

- Adaaran Prestige Vadoo, the latest addition to the Adaaran Resorts commences operations.
- Secured a management contract for luxury desert camp in Oman.

2010

- The Company acquires ownership of Golden Sun Resorts, Kalutara.

2012

- Neptune undergoes a complete renovation and opens as a specialised ayurvedic resort – Heritance Ayurveda
- The Company acquires total ownership of Hotel Hilltop, Kandy.

2013

- Golden Sun Resorts Kalutara is refurbished and rebranded as The Sands by Aitken Spence Hotels.

2014

- Entered into a joint venture agreement with Spanish Company RIU to construct a 501 room, 5-star resort adjoining Heritance Ahungalla.

2015

- Acquisition of a strategic stake in Amethyst Resort Passikudah.
- The Company made further investments in the Maldives through the acquisition of Aarah Island in Raa Atoll.
- The Group acquires a 143 roomed hotel in Chennai, India



2016

- The Group acquires its sixth island in the Maldives, Raafushi in the Noonu Atoll.
- Launch of Turyaa Chennai, the first property in India under the Group's ownership.
- Turyaa Kalutara commences operations with an increased inventory of 199 rooms.
- The Group acquires 'Al Falaj Hotel' in Oman, making it the Group's first acquisition in the Sultanate.

2017

- Aitken Spence Hotels unveils Heritance Negombo located in proximity to the City and the International Airport, making it a popular hotel for travellers keen to be near the City and explore its attractions.
- Hotel RIU, Sri Lanka commenced operations, under the Group's collaboration with RIU Hotels Spain



2018

- The Group divested its investment in Hotel Hilltop in September 2017.
- The Group acquires Earl's Regent hotel in Kandy for the management.

2019

- The Group launched its first 'Heritance' property overseas, with the introduction of Heritance Aarah.

2023

- The Group divested its leasehold rights of Raafushi Island.

GROUP PERFORMANCE HIGHLIGHTS

FINANCIAL HIGHLIGHTS

	Unit	2023/24	2022/23	Change %
Financial Performance for the year ended 31st March				
Gross Revenue	Rs.'000	47,258,528	46,059,884	3
Earnings before Interest, Tax, Depreciation & Amortisation (EBITDA)	Rs.'000	13,436,133	12,696,685	6
Group Profit Before Tax	Rs.'000	3,006,151	1,644,950	83
Group Profit/ (Loss) After Tax	Rs.'000	1,864,687	46,809	3884
Group Profit/ (Loss) Attributable to Equity Holders of Parent	Rs.'000	1,140,112	(287,893)	496
Earnings/ (Deficit) per Share (EPS)	Rs	3.35	(0.94)	456
Depreciation, Amortisation & Impairment	Rs.'000	5,125,872	5,385,799	(5)
Cost of Finance - On financial liabilities	Rs.'000	4,875,191	4,834,909	1
- On Lease liabilities	Rs.'000	791,477	975,064	(19)
Interest Cover	No. of times	1.54	1.35	14
Return on Equity	%	5.42	(1.57)	445
Financial Position & Stability as at 31st March				
Total Assets	Rs.'000	97,089,577	107,951,564	(10)
Long-term interest-bearing borrowings*	Rs.'000	39,831,679	50,341,589	(21)
Total Equity*	Rs.'000	30,864,692	30,015,271	3
Number of shares in issue	Number	336,290,010	336,290,010	0
Net Assets per Share	Rs.	63.03	62.08	2
Gearing- Debt/(Debt + Equity)*	%	56.47	62.65	10
Debt/ Total Assets	%	41.03	46.63	12
Current Ratio	Times	0.63: 1	0.66: 1	(5)
Quick Assets Ratio	Times	0.57: 1	0.59: 1	(3)
Investor Information as at the year ended 31st March				
Market price per share	Rs.	66.20	59.90	11
Market capitalisation	Rs.'000	22,262,399	20,143,772	11
Price/Earnings ratio	Times	19.76	(63.72)	131
Value Added for the year				
To Government	Rs.'000	8,315,217	6,506,273	28
To Employees	Rs.'000	7,467,911	7,957,453	(6)
To Providers of Capital	Rs.'000	6,391,243	6,144,675	4
To Shareholders	Rs.'000	-	-	-
Retained for Reinvestment and Future Growth	Rs.'000	6,285,984	5,097,906	23
Total Value Added	Rs.'000	28,440,355	25,706,307	11

*Preference Share value is excluded from Total Equity and included in Long Term Interest Bearing Borrowings.

NON-FINANCIAL HIGHLIGHTS

		Unit	2023/24	2022/23	Change %
 Human Capital	Number of Employees	No	2,823	2,989	(6)
	- Sri Lanka		1,355	1,544	(12)
	- Maldives		1,197	1,250	(4)
	- India		149	107	39
	- Oman		122	88	39
	Value added per employee	LKR Mn	2.64	2.66	(1)
	Training hours	Hours	86,104	88,662	(3)
	Retention rate	%	48	58	(17)
	Voluntary turnover rate for lodging facility employees		877	838	5
	Involuntary turnover rate for lodging facility employees		93	56	66
 Intellectual Capital	Certifications	No	29	27	7
	Average length of service of an employee	Years	5.20	5.51	(6)
	Awards received	No	62	87	(29)
 Natural Capital	Carbon footprint- scope 1 & 2	tCO ₂ e	34,433	37,437	(8)
	Carbon footprint per guest night	kgCO ₂ e	31	45	(33)
	Energy consumption	GJ	423,550	388,599	9
	Energy consumption per guest night	MJ	377	471	(20)
	Water consumption	m ³	813,444	717,252	13
	Water consumption per guest night	litres	724	870	(17)
 Manufactured Capital	Room inventory	No			
	- Owned		2,330	2,320	0.43
	- Managed		309	307	1
	Capital expenditure	LKR Mn			
	- Capacity enhancement		407	205	99
	- Product enhancement		375	640	(41)
	- Operational CAPEX		1,056	1,175	(10)
 Social and Relationship Capital	Average occupancy rate	%	66%	47%	40
	Restaurants inspected by a food safety oversight body	%	NIL	NIL	
	Restaurants receiving critical violations	%	NIL	NIL	
	Business Partners				
	Tour operators	No	963	842	14
	Registered travel agents		1,214	1,623	(25)
	Registered corporate clients		476	1,130	(58)
	Country representations		21	17	24
	Suppliers				
	No. of suppliers	No.	1,334	1,010	32
	Payments to local suppliers	LKR Mn	22,415	21,639	4
	Communities				
	Employees from the local community	%	36	41	(12)
	Guest satisfaction rate at owned properties	%	92.22	91.66	1

CHAIRMAN'S REVIEW



Our Spensonians are the heartbeat and the driving force behind our achievements.

I am pleased to present to you the Integrated Annual Report and the financial statements of Aitken Spence Hotel Holdings PLC (ASHH) for the financial year ended 31st March 2024. Aitken Spence Hotel Holdings PLC recorded a significant rise in profits, driven by the strong revival of tourism in Sri Lanka, complemented by the steady performance from the South Asia and Middle East sector. Operational and service excellence supported by a strategic sales and marketing thrust enabled the Group to report a profit before tax of Rs. 3.0 Bn for the year ended 31st March 2024, up from Rs. 1.64 Bn the previous year, showcasing the remarkable success and resilience of our operations.

GLOBAL MACRO-ECONOMIC OVERVIEW

In the 2023/24 financial year, the global economic environment faced significant challenges with declining growth rates, high inflation, geopolitical tension, and fiscal instability.

However, the global tourism industry rebounded strongly, recording a 34% increase over 2022 to reach 1.28 Bn international tourists in 2023, achieving approximately 90% of pre-pandemic levels. The Asia Pacific region lagged, recovering only 65% of pre-pandemic levels, while the Middle East experienced a remarkable 22% growth above pre-pandemic levels. This contrast underscores both the potential and hurdles that the global tourism industry faces on its path to full recovery.

In South Asia, economic growth has been robust. India's economy remained resilient, contributing significantly to the region's economic strength with South Asia recording a GDP growth of 5.6% in 2023. This growth trend, despite global challenges, indicates a positive outlook for the region's economic prospects.

A PORTFOLIO OVERVIEW

A diverse portfolio of properties across four countries provided stability and cash flows during the pandemic, providing an effective buffer against volatility. In 2023, the Sri Lanka sector experienced a remarkable 106% increase in tourist arrivals compared to 2022. Notably, Sri Lanka has been ranked as the fourth most popular destination in the world for 2024 by Forbes and among the top five fastest-growing tourist destinations by Travel Off Path, highlighting its significant potential.

In the South Asia & Middle East sectors, the Maldives remained a relatively stable market, providing crucial support during the pandemic and the Sri Lankan economic crisis. The Maldives saw an increase in tourism, with 1.87 Mn arrivals in 2023, a 12% rise from 2022, strongly supported by the growth in arrivals from Russia and India.

India also recorded strong growth, with the hospitality sector seeing a 60% increase in revenue per available room (RevPAR) in 2023, benefiting from a surge in domestic travel and a rebound in business travel.

In Oman, the market dynamics proved challenging as the country pursued its ambitious plan for expanding the tourism industry, resulting in increased competition. The Israel-Palestine conflict has negatively affected leisure traffic since winter 2023.

Our extensive geographical presence across Sri Lanka, the Maldives, India, and Oman enables us to effectively mitigate risks and navigate diverse global market conditions. This diversified portfolio ensures resilience and stability across our operating properties. During the year under review, the portfolio encountered significant external influences primarily from fluctuations in exchange and interest rates. During the year under review, the Sri Lankan Rupee appreciated 8.16%, leading to subdued growth in the top line of the South Asia & Middle East sectors in the reporting currency. Despite this, steady

growth persisted in the Maldivian and Indian regions, where strong occupancy levels were already established from the previous year. Although interest rates were high at the start of the year, they have since stabilized to a moderate level.

GROWTH THROUGH PARTNERSHIPS

ASHH ensures value-driven market growth through sustainable partnerships with our partner network across the value chain. These synergistic relationships encompass tour operators, travel agents, and online channel partners, bolstering our footprint in target markets and revitalizing established ones.

Group synergies play a pivotal role in this regard, such as our ties with Aitken Spence Travels, the leading destination management company in the country, which accounted for over 200,000 tourist arrivals in 2023, with a notable market share of approximately 20% after discounting the visiting friends and relatives (VFR) traffic.

During the year, Heritance Negombo entered into a strategic franchise partnership with Sentido, a highly reputed brand of DER Touristik Hotels & Resorts GMBH. This collaboration leverages Sentido's extensive marketing network and global brand reputation. Through this alliance, we anticipate a significant boost in visibility and guest engagement, drawing more visitors from around the globe to experience Sri Lanka's rich heritage and renowned hospitality.

The Group also extended its representation network in key source markets in a move to strengthen the sales and marketing capabilities across the globe, ensuring robust market penetration and support sustained growth.

Our collaboration with the globally acclaimed RIU Hotels at RIU Ahungalla has introduced an innovative service offering to the market. We anticipate significant performance growth in the coming years.

These synergies not only fortify our market position but also enhance our ability to navigate global complexities while delivering exceptional guest satisfaction.

SUSTAINED PROGRESS

ASHH delivered strong growth in the Sri Lankan sector and maintained a steady performance of the South Asia & Middle East sectors to deliver top line growth of 3%, despite the impact of the currency translation. It is noteworthy that the Sri Lanka sector recorded an operating profit of Rs. 1.0 Bn for the period under review, reflecting the improved occupancy levels. The Sri Lanka sector was unable to contribute to the bottom line due to high finance costs but reduced the loss before tax from Rs. 2.4 Bn to Rs. 657.8 Mn supporting profit growth. The South Asia & Middle East sector maintained their steady contribution to the bottom line with a profit before tax of Rs. 3.66 Bn despite the impact of foreign exchange rate volatility.

The Group funding structure remains skewed to interest bearing liabilities which were necessary to weather the darkest times for tourism. Financial discipline and oversight continue to be priorities for the Board as we seek to reinvigorate operations in Sri Lanka and Oman.

CORPORATE GOVERNANCE

ASHH commenced the year with the appointment of Mr. M.A.N.S. Perera, the Managing Director of Melstacorp PLC in April 2023, who was duly re-elected at the Annual General Meeting last year as a Non-Executive Non-Independent Director. Ms. D.S.T. Jayawardena was appointed as Joint Deputy Chairperson/Joint Managing Director in September 2023 and is a signatory to this message in this capacity. Mr. J.M.S. Brito was re-designated as an Independent Director in September 2023 and Dr. R.A. Fernando was appointed as an Independent Non-Executive Director in January 2024. We were saddened by the demise of Mr. Gemunu Gunawardena

CHAIRMAN'S REVIEW

during the year and place on record our appreciation of his invaluable contributions to the ASHH Group for over four decades.

The year saw significant developments in corporate governance with the issue of the listing rule on Corporate Governance by the CSE, the issue of the new Code on Corporate Governance and the SLFRS Sustainability Standards by the Institute of Chartered Accountants of Sri Lanka. These will drive meaningful changes in the year ahead as we move toward compliance by their effective dates.

RECOGNITION / ACCOLADES

This year has been outstanding for Aitken Spence Hotels, marked by significant achievements and accolades that reflect our commitment to service excellence and sustainability.

Our properties in Sri Lanka were recognized by esteemed awarding bodies in the financial year, with Heritance Kandalama being named among the Top 20 Sustainability Champions by the Sri Lanka Tourism Alliance. The South Asian Travel Awards recognized Heritance Kandalama, Heritance Tea Factory, Heritance Ayurveda, and Sentido Heritance Negombo, for eco-friendly practices, design, wellness, and luxury respectively. We also achieved Travelife certification, reflecting our commitment to sustainability. Additionally, Heritance Kandalama was ranked No.1 in the LMD Customer Excellence Survey.

Our properties in the Maldives earned recognition from esteemed entities such as Forbes, which honoured Heritance Aarah as one of the world's top 20 Family-friendly resorts and the Best Beach-Front All-Inclusive Resort for Families, being the only Maldives resort to earn this recognition. Adaaran Select Meedhupparu was recognized with Conde Nast Traveller's Reader's Choice Award 2023, and by Der Touristik for its high quality of service delivery. Heritance Aarah received Gold

certification from the SHe Travel Club, acknowledging our dedication to providing experiences tailored to female travellers.

Our properties in Oman were recognized for their exceptional standards by the Luxury Lifestyle Awards as the Best Luxury Desert Resort, and by Studiosus Reisen for Quality Standards of the Desert Nights Resort. In India, we received accolades from the South Asian Travel Awards as the leading meeting and conference hotel, highlighting our dedication to excellence across diverse regions.

Aitken Spence Hotel Holdings won the TAGS 2023 Gold Award, recognizing our excellence in transparency, accountability, governance, and sustainability in the hospitality sector. We were also the runner-up in the Sustainability Reporting Awards in the Leisure and Connected Services category 2023 by the ACCA (Association of Chartered Certified Accountants).

With these accolades under our belt, Aitken Spence Hotels was recognized as the Most Awarded entity in hospitality in Sri Lanka, securing a spot in the top 5 of LMD's Most Awarded Hall of Fame, the culmination of our relentless efforts.

These acknowledgements are a testament to our commitment to provide outstanding experiences to our guests.

THE FUTURE OUTLOOK

Global

In 2024, a full recovery of tourist travel to pre-pandemic levels is projected by UNWTO. Increased air capacity and a rebound in Asian markets, specially China is expected to propel global tourism growth.

However, the economic slowdown in Europe, geopolitical conflicts between Russia-Ukraine and Israel-Palastine, high interest rates, volatile oil prices, high air travel cost, extreme weather conditions and dearth of talent in the tourism industry are expected

to impact tourism recovery and the growth momentum in the future.

Sri Lanka

While Sri Lanka has made significant progress post-economic crisis to stabilize the economy and achieve normalcy, the recent progress in external debt restructure will undoubtedly help the country's balance of payments. However, sustaining the balance of payments in the years ahead remains a challenge. While we acknowledge the need to increase Government revenue, it is important to be conscious of the impact on more vulnerable segments of society. Hence it is critical to increase tax revenue by widening the base and improving transparency, whilst making a conscious effort to minimize the public sector expenditure. It is also critical to revive the economy with consumer and business confidence, underpinned by consistent long-term policy frameworks.

The current economic hardships faced by the society at large is resulting in a brain drain, and one of the biggest challenges for the tourism industry's growth in Sri Lanka is the lack of skilled talent.

Additionally, connectivity within the island is a significant inhibitor for tourism development, necessitating greater attention from the Government. Enhancing transportation infrastructure will not only improve tourist access to attractions but also significantly enhance their overall experience.

As tourist arrivals continue to rise, accommodation capacity constraints pose a significant risk to growth, potentially undermining service delivery and guest satisfaction. To ensure sustainable tourism development, it is essential to expand capacity to meet demand. Failure to do so could compromise service quality and damage the reputation of the brand 'Sri Lanka'.

Despite these challenges, we are optimistic on what tourism holds for Sri Lanka and expect tourist arrivals to exceed 2.2 Mn by the end of 2024. A strong global marketing campaign focusing on the key source markets and a free visa policy will provide the much-needed boost to the industry which is yet to recover fully from the challenges it faced over the last few years.

We expect the Sri Lanka hotels to continue its growth trajectory and perform well in the future.

Maldives

The Maldives experienced steady growth in tourist numbers. In 2023, tourist arrivals reached 1.87 Mn, representing a 12% increase from the previous year. This upward trend is expected to continue, driven by several key developments and market dynamics. The country's arrivals are expected to reach 2.0 Mn in the year 2024.

The planned opening of the new terminal at Velana International Airport by late 2024 would be a significant milestone. This expansion is anticipated to clear the bottleneck that challenged the country's capacity to accommodate increased tourist arrivals. The new terminal will enhance the airport's annual passenger handling capacity.

The resurgence of the Chinese market, historically one of the largest sources of tourists for the Maldives, and the anticipated growth in Russian arrivals due to the stabilization of the Rubel is expected to significantly boost tourism inflow.

The notable shift in the market mix due to the expansion of guesthouses and the growing segment of budget-conscious travellers, is a concern for destination Maldives. As of 2023, guesthouses accounted for 24% of the total bed capacity in the Maldives, compared to less than 19% five years ago. While this shift offers opportunities for broader segments of

tourists, it is essential to manage this carefully to maintain the Maldives' brand as a premium luxury holiday destination.

India

Chennai continues to develop as a major economic and cultural hub, with the city experiencing significant investments in information technology, automobile, and medical facilities making it an attractive destination for business, healthcare, and leisure travellers. In 2023, Chennai saw a 12% increase in foreign tourist arrivals, with domestic travel rising by 15% year-on-year.

The national strategy under the 'Heal in India, Heal by India' brand emphasizes wellness tourism, aligning with Chennai's efforts to promote holistic travel experiences. The proximity of Turyaa Chennai to new medical infrastructure will uniquely benefit the hotel, offering convenience and accessibility to healthcare services for guests seeking both medical treatment and leisure opportunities. Its strategic location within the IT Corridor also gives it an added advantage to strengthen its corporate and MICE segments.

Oman

Oman's economy has shown robust growth in recent years. The government's strategic focus on expanding tourism, as outlined in Vision 2040, aims to diversify the economy away from oil dependence and enhance Oman's position as a global tourism destination. Vision 2040 includes plans to develop new tourist attractions, while efforts are also underway to streamline visa processes and potentially grant visa-free access to tourists from selected countries. The planned developments at Port Sultan Qaboos, are expected to attract more tourists to Muscat and boost the local economy.

However, Oman faces competition from other GCC markets, which are also diversifying their tourism offerings. This competitive landscape adds pressure on

Oman to innovate and differentiate its tourism product. The impact of geopolitical tensions, particularly the ongoing Israel-Palestine conflict affecting leisure travel to Oman, and heightened competition leading to excess capacity in Muscat, are currently exerting pressure on room rates.

With anticipated increases in tourist arrivals, we foresee improved profitability for our hotel in the medium term.

POTENTIAL RISKS

In an increasingly interconnected world, geopolitical factors must be closely monitored, as they have the power to shift dynamics in source markets and connectivity. Approximately half the world will face elections this year which could change dynamics in source markets as well as destinations. Agility will be key to navigating the year ahead and to seize the short-term opportunities while staying focused on developing the medium- and long-term strategies.

Whilst looking ahead with optimism, it is important to recognise potential downside risks that need to be managed during the year ahead. The exchange rate movements had a significant impact this year as the Sri Lankan Rupee appreciated after a sharp decline in the previous year. Consequently, exchange rates need to be watched carefully to understand medium- and long-term trends and their impacts on financial performance. There is significant uncertainty surrounding interest rates, highlighting the need to both reduce exposure and leverage, as well as to make strategic investments. These tradeoffs are being considered and will be calibrated in the year ahead.

Economic stability and policy consistency combined with strong stakeholder engagement are essential to maximizing the opportunities the current environment offers. Although Sri Lanka is gradually emerging from the economic crisis, it still faces the challenge of catching up,

CHAIRMAN'S REVIEW

particularly since the Asia Pacific region has lagged behind other regions. Exploring lucrative markets will, therefore, be crucial for progress.

The Maldives faces risks related to environmental sustainability, including the impact of climate change on its island resorts and marine ecosystems.

India contends with challenges such as domestic economic reforms and geopolitical tensions affecting regional stability, potentially influencing tourism dynamics.

Oman faces economic diversification challenges with an influx of new investment resulting in short term excess capacity amid fluctuating oil prices and geopolitical tensions in the Gulf region, which could impact existing tourism developments in the country.

PRIORITIES FOR ASHH

Sustainability and ESG Reporting

ASHH has a proud legacy of sustainable stewardship. Heritance Kandalama expanded its ecological conservation efforts across 211 acres of land, nurturing 128 species of native flora, 64 butterfly species, and 183 endemic and migratory bird species. In our operations, we prioritize environmentally friendly practices. Notably, in the Maldives, we have eliminated single-use plastic water bottles, and we are charting a similar path in Sri Lanka. There is immense potential to create specialized segments and experiences that promote responsible tourism, thereby spreading the tourism impact more evenly.

We are committed to responsible sourcing, as well as investing in technologies for tracking and reducing emissions, energy consumption, water usage, and waste management. By implementing these technologies, we aim to further minimize our environmental footprint and promote

sustainability across all our operations. This comprehensive approach ensures that our efforts not only benefit the environment but also align with our overarching goal of conserving resources for future generations.

Our commitment to Environmental, Social, and Governance (ESG) principles is integral to our operations and growth strategy. This dedication to ESG not only strengthens our position in sustainability but also enhances our reputation as a responsible and forward-thinking hospitality company.

I am pleased to note that our early advocacy and implementation of sustainability reporting have provided us with a strong foundation to achieve full compliance by the specified dates.

Talent Management

At Aitken Spence Hotel Holdings, talent management remains a key priority, recognizing that retaining top talent is crucial for our continued success and growth. We are committed to creating a supportive and engaging work environment where employees feel valued and motivated. By offering competitive compensation packages, comprehensive benefits, and opportunities for career advancement, we aim to foster a sense of loyalty and commitment among our staff.

As an equal opportunity employer, we are dedicated to promoting diversity and inclusion within our workforce. We actively seek out new talent from a wide range of backgrounds, ensuring that our hiring practices are fair and unbiased. This approach not only enriches our company culture but also enhances our ability to innovate and adapt in a competitive market.

To be future-ready, we are placing a strong emphasis on attracting and retaining Gen Z – the first generation of true digital natives. By understanding their unique

preferences and expectations, we can create a work environment that appeals to this new generation of workers. This includes leveraging technology, fostering innovation, and offering flexible work arrangements that align with their values and lifestyles.

By focusing on these key areas, Aitken Spence Hotel Holdings aims to build a strong, dedicated, and diverse workforce that drives our success and supports our strategic goals.

Digitalization

Digitalization will be the cornerstone of our growth strategy, playing a critical role in elevating guest experiences, optimizing processes, and driving revenue growth.

The focus on Customer Experience (CX) will take centre stage, influencing every phase of the customer journey, from pre-stay to post-stay interactions. By integrating digital solutions at each touchpoint, we aim to enhance the overall experience for our guests, making their stay more personalized and memorable. This digital shift not only improves the immediate guest experience but also helps in nurturing our future customers.

Prioritizing analytics is essential to ensure our readiness for the future. Through advanced data analytics, we gain valuable insights into guest preferences and behaviours, enabling us to tailor our services more precisely. This comprehensive approach allows us to remain agile and adaptable in the dynamic landscape of our industry, ensuring that we consistently deliver exceptional experiences to our existing guests while attracting and engaging the audience of tomorrow.

By focusing on these strategic investments, we ensure that our properties remain at the forefront of the industry.

APPRECIATION

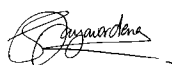
We wish to extend our sincere appreciation to the ASHH leadership, and teams across all our locations for their dedication and commitment. Our heartfelt thanks go to our employees for their unwavering commitment to delivering exceptional, unforgettable guest experiences and upholding the highest standards of hospitality.

We are also immensely grateful to our Board members for their valuable insights and guidance. To our business partners, your collaboration has been vital in supporting the revival of the industry.

Lastly, we express our sincere gratitude to our shareholders for their continued confidence in the ASHH Group. Together, we have achieved excellence and look forward to a promising future.



Deshamanya D.H.S. Jayawardena
Chairman



Ms. D.S.T. Jayawardena
*Joint Deputy Chairperson and
Joint Managing Director*

15th July 2024

MANAGING DIRECTOR'S REVIEW



When you are in leadership, you are no longer responsible for doing the job. You are now responsible for inspiring, coaching and mentoring your team to become the very best version of themselves.

- Simon Sinek

As an organisation, Aitken Spence Hotel Holdings is committed to the ideal of delivering multiple customer experiences through the focus on our internal clients, our team.

I am pleased to announce that Aitken Spence Hotel Holdings PLC achieved strong bottom-line growth for the year under review. This success was driven by a resurgence in Sri Lankan tourism, a steady performance from our overseas operations, and a strong focus on operational excellence and cost management by our dedicated teams.

Despite facing challenges in both domestic and international markets, we have successfully steered the Company to fulfil our commitments to internal and external stakeholders. This has reinforced our dedication to excellence and sustainable growth, aligning with the country's economic recovery.

A GLOBAL REVIVAL

The global tourism resurgence is promising, with recovery approaching pre-pandemic levels. Global tourism recovery stands at 88%, while the Asia Pacific region is experiencing a slower recovery at 65%. The Middle East, however, has surpassed pre-pandemic volumes by 22%, and Europe has shown robust rebounds achieving 94% of its pre-pandemic levels. Surveys suggest optimistic growth prospects for 2024 and 2025, with recovery projected to surpass pre-pandemic levels by 2024 globally. While our outlook is optimistic, we are wary of geopolitical factors such as the Ukraine-Russian war, and the conflict in the Middle East which have the possibility to disrupt source markets and dampen demand for leisure travel. The conflict of the Middle East also has the potential to disrupt supply chains as it is a key hub for connectivity to Africa and Asia.

The affordability of air travel is crucial for the revival of tourism in Asia, as long-haul flights represent a significant portion of travel

costs. High inflation in 2023 heightened this issue, diverting interest to other markets. In the Maldives, the growth of the informal sector intensified competition, while an increase in room inventory and the presence of global hospitality brands further heightened competitive pressures across our operating environment.

The shortage of trained staff emerged as a key challenge worldwide. At the point when the industry experienced a downturn, many employees migrated to other sectors, exacerbating the scarcity of skilled personnel. Addressing this issue becomes imperative as we navigate the rapid expansion in demand, requiring the development of fresh talent pools to support our growth trajectory.

Pent-up demand led to popular tourist spots experiencing immense overcrowding, occasionally eliciting resistance from local communities. In this context, it becomes imperative to implement sustainable practices to ensure the long-term viability of these destinations while balancing the needs of tourists and locals alike.

As we navigate a progressive landscape the integration of digitalisation and Artificial Intelligence (AI) emerge as enablers to enhance customer engagement. Moreover, digitalisation and AI offer opportunities to optimise room rates, capacity utilisation and customer experience through tools that facilitate value creation. ASHH is embracing these technologies to enhance our service offering and will look to extend the same to other aspects as well.

DRIVING GROWTH

ASHH adopted distinct strategies for the four regions, aligning with their specific characteristics. Sri Lanka and Maldives were focused on leisure and MICE travel, India on business/MICE, and Oman on a blend of all.

ASHH collaborated closely with tour operators, travel agents, and online

aggregators to effectively market its leisure destinations. Online aggregators, contributing to approximately 20% of guest nights, played a key role in the Company's online marketing efforts. The addition of new tour operators from the USA for both the Maldives and Sri Lanka, targeting affluent and brand-conscious travellers, alongside the acceptance of ASHH hotels by luxury consortium operators, further enhanced the Company's market presence.

In Sri Lanka, ASHH leveraged its connections with the parent company's destination management business to boost occupancy. The ongoing partnership with TUI continues to drive volume from European source markets and provides access to new markets.

ASHH also catered to emerging tourism trends through specialised properties. Heritance Ayurveda focused on wellness tourism, attracting guests for extended stays with its Ayurveda therapeutic programmes. Heritance Kandalama enhanced its ecological footprint, transforming into a sanctuary for ecological preservation. Heritance Tea Factory continued to create unique experiences that highlight its history, character, and the essence of its destination.

Excellence in hospitality and cuisine has long been a hallmark of ASHH's identity, and the Company remains steadfast in its commitment to maintaining the highest standards. At Heritance properties, menus have been thoughtfully revised to feature more local favourites and fusion dishes, predominantly utilising local produce. Dining experiences have been curated to offer guests an authentic local experience, capturing the essence of the destination.

Through all these initiatives, one thing remained constant: an unwavering focus on our team members to bring our ideas and strategies to life, to create multiple customer experiences to our guests. They are the key to delivering outstanding

service and ensuring our brand maintains its luster. Comprehensive training is provided throughout their careers to help employees realise their potential. Dedicated hotel schools and the Aitken Spence School of Management provide extensive training through face-to-face programmes, hybrid and online learning. It is this level of engagement that motivates and equips our staff with the knowledge, skills, ethics, and courtesy to deliver passionate service that differentiates our offering from the competition.

SECTOR REVIEW

Sri Lanka Sector

Sri Lanka experienced a resurgence in tourist arrivals which increased by 106% in 2023 to record 1.48 Mn tourist arrivals. Destination management companies brought in over 50% of the tourists while local tourists accounted for another 25% of guest nights. Online travel agents, the hotel website and casual walk-ins accounted for the balance. ASHH tied up with the respected German brand of the DER group Sentido for Heritance Negombo who will be responsible for promoting the hotel in the source markets they promote which is now branded Sentido Heritance Negombo. The partnership with TUI continues to contribute to high levels of occupancy throughout the year. We also tied up with Framissima Club who operate tours from France utilising our hotels. Heritance Ayurveda continues to gain interest in most European markets for its authentic Ayurveda offering. Most hotels in the ASHH portfolio in Sri Lanka doubled occupancy rates which were above 60% except for two properties.

Top line growth in the Sri Lanka sector was 91% amounting to Rs. 10.5 Bn for 2023/24 supported by a return to stability in the country. Turnover was affected by the continuing appreciation of the rupee during the year. Operating costs increased by 60% to Rs. 9.5 Bn reflecting increased energy and other costs due to inflation. Despite these

MANAGING DIRECTOR'S REVIEW

challenges, the Sri Lanka sector recorded an operating profit of Rs. 1.0 Bn. However, Net Financing expenses amounted to Rs. 1.62 Bn which resulted in a Loss before tax of Rs. 658 Mn. Losses from equity accounted investees reduced by 91% from Rs. 398 Mn to Rs. 36 Mn and Taxation of Rs. 626 Mn resulted in a loss after tax of Rs. 1.28 Bn, well below the loss of Rs. 3.7 Bn recorded in 2022/23.

OVERSEAS SECTOR

Maldives

Tourist arrivals in the Maldives increased by 12% to 1.87 Mn in 2023, continuing its recovery. Competition increased in the country as bed capacity increased by 5%, with resorts accounting for most of the increase. Occupancy reflected a significant change in the market with occupancy in resorts decreasing from 71.4% to 66.3% while occupancy of guesthouses increased from 30.8% to 42.7%. Increasing airline capacity is a challenge until the new airport is opened. These factors combined to exert pressure on room rates with three properties experiencing a marginal drop in occupancy while Heritance Aarah and Adaaran Select Meedhupparu managed to increase occupancy despite the challenges. ASHH is the 4th largest operator in the Maldives with a portfolio of 5 properties. The steady contribution of the Maldives continued in the year under review.

Oman

The Middle East was the only region to record growth above pre-pandemic levels in 2023. Oman experienced a 23.5% increase in tourist arrivals, reaching 3.9 Mn in 2023. The country continues to pursue its Vision 2040 plan to grow the tourism industry from USD 3 Bn in 2019 to USD 22.5 Bn by 2040, representing 5-10% of the country's GDP. International brands have entered the market with new infrastructure, intensifying competition. Despite this, ASHH was able to increase occupancy during the year and has ramped up marketing efforts to maintain this momentum. Renowned for its excellent

cuisine, the food and beverage offerings have been a key strength in this sector. The main source markets for Oman were domestic corporate traffic, followed by the GCC and Europe. The Sector however, was not able to positively contribute towards the overall performance of the Group.

India

India continues to gain prominence on the world stage as it surpassed UK to become the 5th largest economy. Its forecast growth rate is the highest among large economies and its leadership on a number of global forums continues to increase interest in the market and attract travellers and a large diaspora as tourist arrivals continue to gain momentum.

India recorded over 9.2 Mn international tourist arrivals, an increase of 43.5% over 2022 although it remains 15.5% below pre-pandemic levels. A vibrant domestic tourism industry also supports growth of the sector. Its pro growth policies saw an influx of business visitors supporting high levels of occupancy at Turyaa Chennai. The hotel recorded above 80% average occupancy and contributed positively to the bottom line of the sector.

OVERSEAS SECTOR PERFORMANCE

The South Asia and Middle East Sector delivered a Profit After Tax of Rs. 3.1 Bn which is largely attributable to the steady performance of properties in the Maldives and the hotel in India. Despite heavy competition the top line grew in the operating currency except in Oman. However, appreciation of the Sri Lankan Rupee resulted in a decrease of revenues by 9.4% to Rs. 36.73 Bn. Operating profit too recorded a growth except Oman in the operating currency however recorded Rs. 7.3 Bn, 6% below the previous year due to the rupee appreciation. Finance costs were managed in line with the previous year as interest rates stabilised. This enabled the sector to record pre-tax earnings of Rs. 3.66 Bn, which was 9.8% below the previous year.

Post tax earnings of Rs. 3.1 Bn continued to cushion the impact of losses from the Sri Lankan sector.

BUILDING TALENTED TEAMS

The sector's reputation for offering global career opportunities remains a significant draw for talent. Sri Lanka, in particular, has been experiencing a brain drain to other markets, prompting renewed efforts in training initiatives.

ASHH operates two hotel schools supported by Heritance Ahungalla and Heritance Kandalama, with 76 students graduating during the year. Many of these students were successfully employed by the two hotels. However, the demand for skilled personnel outstrips the supply, leading to challenges in employee expenses and retention. To address this, the Company has intensified its Learning & Development activities to ensure a steady stream of talent for its hotels.

The Aitken Spence School of Management (ASSM) played a pivotal role in assessing the training needs of managers and higher-level staff, organising tailored training programs. ASHH remains committed to investing in training initiatives to uphold high service and culinary standards across the Group.

OUTLOOK

The outlook for 2024 is positive with a forecast growth of 24% in international tourist arrivals. Sri Lanka is expected to drive top line and bottom-line growth as it restores the former vibrancy of the market. Sri Lanka continues to climb the charts in popular travel sites as its rich and varied offering continues to delight tourists. In the Maldives, the opening of the airport will support expansion but structural changes in the market with the growth of guest houses continues to be a challenge. India is expected to maintain its steady performance, contributing positively to both the top and bottom lines. In Oman, the strengthening of marketing functions to recapture market share has augured well to drive top-line.

Social and political stability, along with diplomatic relations, are pivotal factors in the development of destinations and source markets. The first quarter of 2024 witnessed political issues affecting the Maldives, leading to a decrease in Indian tourists, a significant source market for the country, ranking among the top three. With it being an election year in Sri Lanka, ensuring smooth and credible elections is crucial to consolidating the recovery achieved in 2023. The geopolitical situation in the Middle East will be closely monitored, as its repercussions could impact all markets.

It is essential to acknowledge the significant role played by Sri Lankan Airlines in sustaining connectivity to the country by offering direct flights from long-haul source markets, eliminating the need for travellers to transit through other hubs. Given that most international airlines utilise their home country as a hub, it is imperative to maintain this advantage to further develop the tourism sector in the country.

Prioritising the sustainability of tourism and mitigating overcrowding is paramount as the industry bears a responsibility to safeguard the environment. Numerous instances illustrate how quickly the natural wilderness, which attracts tourists, can deteriorate, posing risks to both wildlife and the tourism sector. Striking a balance is imperative for the industry's long-term viability, and all stakeholders must heed this crucial call to action.

The tourism industry in Sri Lanka requires favourable and consistent policies to foster meaningful development, particularly as a key foreign exchange earner for the country. It is crucial for the sector, having recently emerged from a prolonged period of stress spanning from 2019 to 2022, to consolidate the progress achieved in 2023. Nurturing supply chains and enhancing connectivity are essential to support market development activities, enabling us to capitalise on the ongoing opportunities.

ACKNOWLEDGEMENTS

I commend the ingenuity and commitment of Aitken Spence Hotel Managements (Pvt) Limited, the Management company, led by the Chairperson and the Managing Director who steered the team to deliver strong growth amidst challenges. I thank the Board for their advice during challenging times and the Chairman, Deshamanya D H S Jayawardena for his astute leadership, visionary guidance, policy direction and strategic inputs, afforded. Our business partners have worked with us in different ways to enhance our product and we value their perspectives in opening up new markets and revitalising old markets. In closing, I thank our investors for their constant support and hope for their continued trust in our capacity to deliver results.



Dr. M. P. Dissanayake
Managing Director

15th July 2024

BOARD OF DIRECTORS



DESHAMANYA D.H.S. JAYAWARDENA
Chairman



MS. D.S.T. JAYAWARDENA
*Joint Deputy Chairperson and
Joint Managing Director*



DR. M.P. DISSANAYAKE
Managing Director



MR. C.M.S. JAYAWICKRAMA
Executive Director



MR. J.M.S. BRITO
Independent, Non-Executive Director



MR. R.N. ASIRWATHAM

Independent, Non-Executive Director



MR. N.J. DE SILVA DEVA ADITYA

Independent, Non-Executive Director



MR. C.H. GOMEZ

Independent, Non-Executive Director



MR. M.A.N.S. PERERA

Non-Independent, Non-Executive Director



DR. R. A. FERNANDO

Independent, Non-Executive Director

BOARD OF DIRECTORS



DESHAMANYA D.H.S. JAYAWARDENA

Chairman

● Appointed in May 2003

Deshamanya D.H.S. Jayawardena, recognised as an outstanding citizen for the service to the motherland, was appointed to the Board of Aitken Spence Hotel Holdings PLC, on 02nd May 2003 and has been the Chairman of the Company since. He was appointed to the Board of the Aitken Spence PLC and has been the Chairman of the Company since 25th April 2003.

As a visionary entrepreneur, he leads many enterprises in diverse fields to achieve great success. He is the Founder Director and current Chairman/Managing Director of the Stassen Group of Companies and is the Chairman of Lanka Milk Foods (CWE) PLC, Browns Beach Hotels PLC, Balangoda Plantations PLC, Madulsima Plantations PLC, Melstacorp PLC, Ambewela Livestock Company Ltd, Lanka Bell Ltd and the Chairman of the Distilleries Company of Sri Lanka PLC. He is also a Director of several other listed and privately held companies in Sri Lanka and is a former Director of Hatton National Bank PLC, the largest listed bank in Sri Lanka.

Mr. Jayawardena has been appointed to lead large public sector institutions and is a former Chairman of Ceylon Petroleum Corporation and Sri Lankan Airlines (two stints).

In 2005 Mr. Jayawardena was awarded the prestigious title, "Deshamanya" in recognition of his services to the Motherland.

He is presently the Honorary Consul for Denmark and on 9th February 2010, was knighted by Her Majesty the Queen of Denmark with the prestigious honour of "Knight Cross of Dannebrog".

MS. D.S.T. JAYAWARDENA

Joint Deputy Chairperson and Joint Managing Director

● Appointed in July 2014

Ms. Stasshani Jayawardena marks several milestones for Aitken Spence PLC and Aitken Spence Hotel Holdings PLC as the youngest Board Member, and the first female member on the Board. Ms. Jayawardena was appointed as Joint Deputy Chairperson and Joint Managing Director, Aitken Spence PLC and Aitken Spence Hotel Holdings in September 2023 and she also heads the Tourism sector of Aitken Spence PLC inclusive of hotels, destination management and overseas travel.

With a career spanning over 10 years at Aitken Spence, she wields a fresh perspective in management and leads strategic business units across the Group. She leads several key strategic teams as the Chairperson of Aitken Spence Hotel Managements (Pvt) Ltd., as a member on the Board of Directors of, Stassen Group, Lanka Milk Foods (CWE) PLC, Aitken Spence Aviation (Pvt) Ltd, Western Power Company (Pvt) Ltd., She was appointed to the Board of Directors of Melstacorp PLC and Distilleries Company of Sri Lanka in September 2022.

She is graduate of St. James' & Lucie Clayton College and Keele University in the United Kingdom, Emeritus Institute of Management, Singapore – and an Associate Alumni of University of Cambridge (Judge Business School), United Kingdom. Ms. Jayawardena was the youngest intern to work under US Senator Hilary Rodham Clinton and the Former US President Bill Clinton in 2003; and was appointed as the Sri Lankan Ambassador for EY NextGen Club from 2017 to 2019.

Ms. Stasshani Jayawardena was appointed to the Executive Board of The Hotel Association of Sri Lanka (THASL) and represents THASL at the Ceylon Chamber

of Commerce Committee since 2019. She is an Executive Committee Member at the International Chamber of Commerce in Sri Lanka since 2020 and a Steering Committee Member of the Ceylon Chamber of Commerce Tourism. She was appointed as Chairperson of the Employers' Federation of Ceylon (EFC) Hotels and Tourism Employers Group for the financial year 2020/21. Ms. Jayawardena is also a member of the PWC NextGen Advisory Board.

Ms. Jayawardena represents the Company as the Ambassador from Aitken Spence PLC at the Target Gender Equality initiative of the UN Global Compact since 2020. She is also a member of the Austrian Business Circle in Sri Lanka.

In recognition of her work and commitment to inspire, she was recognised at Top 50 Professional & Career Women Awards in Sri Lanka with a Gold award in the Hotel & Hospitality Sector in 2017, and in 2020 by Sri Lankan business magazine, Echelon, listing her among the most innovative and influential young leaders who have succeeded in business and shaping the future of Sri Lanka.

Ms. Jayawardena became the award recipient of the Expatriate Contribution Award – Gold category by Women in Management Maldives. The Professional and Career Women Awards Maldives 2022 presented this award to Ms. Jayawardena for her exceptional contributions and achievements in the field of Hotel & Hospitality.

Her passion remains in designing the next generation of business with the core values of integrity, sustainability, empowerment, and equal opportunities. She believes in driving her business decisions by using data and technology.

DR. M.P. DISSANAYAKE

Managing Director

● Appointed in March 2019

Dr. Parakrama Dissanayake is the Managing Director of Aitken Spence Hotel Holdings PLC with effect from 15th March 2019. He is also the Deputy Chairman and Managing Director of Aitken Spence PLC.

Prior to this appointment, he was Secretary to the Cabinet Ministry of Ports, Shipping and Southern Development.

He was appointed as the first non-British International President of the Institute of Chartered Shipbrokers U.K. founded in 1911, and Royal Charter conferred in 1920.

Dr. Dissanayake has also held positions in the past that include, Chairman – Sri Lanka Ports Authority (two stints), Chairman – Chartered Institute of Logistics and Transport (Sri Lanka), Board Director Urban Development Authority and Board Director of Ceylon Shipping Corporation.

During the period June 2004 to May 2017, he served as a Director of Aitken Spence PLC and the Chairman & CEO of its Maritime & Freight Logistics sector.

Dr. Dissanayake is an Alumni of the University of Sri Jayewardenepura, NORAD, JICA, Business Alumni of the University of Oxford (UK) and a Fellow of Harvard Business School USA (EEP) and University of Cambridge UK (EEP).

He was inducted as a “Legend of Logistics” by the Prime Minister of Sri Lanka at the National Logistics Awards Ceremony.

He is also the Chairman of Elpitiya Plantations PLC, Aitken Spence Plantation Managements PLC, Co-Chairman/Professor CINEC Campus, Hon. Consul of Fiji Islands and serves as a Professor in Maritime Studies (visiting) at Shanghai Maritime University, Dalian Maritime University.

MR. C.M.S. JAYAWICKRAMA

Executive Director

● Appointed in April 2005

Mr. Susith Jayawickrama has had a career spanning over three decades with Aitken Spence and is the Joint Managing Director of Aitken Spence Hotel Managements (Private) Limited, which manages all hotels of the Group.

Mr. Jayawickrama serves on the Aitken Spence Group Management Council and on the Boards of most hotel companies in the Group including that of Aitken Spence Hotel Holdings PLC. He is a Fellow of the Chartered Institute of Management Accountants UK. He has more than three decades of experience in senior management positions in the Group's hotel sector and the tourism industry in Sri Lanka and overseas.

Mr. Jayawickrama is a past Vice President of the Tourist Hotels Association of Sri Lanka (THASL).

MR. J.M.S. BRITO

Independent, Non-Executive Director

● Appointed in July 2001

Mr. Rajan Brito joined the Board of Aitken Spence PLC in April 2000, with a multi-discipline academic background and a wealth of experience from a career counting over 40 years that includes experience working with several international organisations. He was then appointed as the Managing Director of Aitken Spence PLC, in December 2001 and Deputy Chairman in April 2003 which position he held until his retirement on 15th March 2019. After retirement, Mr. Brito continues to be a Non-Executive Director of Aitken Spence Hotel Holdings PLC.

Mr. Brito is an acclaimed senior professional in both the private and the public sector industries in Sri Lanka. He is a former Chairman of DFCC Bank, Employers'

Federation of Ceylon, Sri Lankan Airlines and has also served on the Board of Sri Lanka Insurance Corporation. He holds a L.L.B. degree from University of London, MBA degree from London City Business School and is a Fellow of the Institute of Chartered Accountants of both Sri Lanka and England and Wales.

MR. R.N. ASIRWATHAM

Independent, Non-Executive Director

● Appointed in September 2009

Mr. Asirwatham was appointed to the Board of Aitken Spence Hotel Holdings PLC, in September 2009. At present, he is the Chairman of the Audit Committee, Related Party Transactions Review Committee, Remuneration Committee and the Nomination and Governance Committee.

He was the Senior Partner and Country Head of KPMG from 2001 to 2008. Further, he was the Chairman of the Steering Committee for the Sustainable Tourism Project funded by the World Bank for the Ministry of Tourism and was also a member of the Presidential Commission on Taxation, appointed by His Excellency the President of Sri Lanka. He is a member of the Board of Trustees of the Lakshman Kadirgamar Institute of Strategic Studies.

Mr. Asirwatham is a Fellow of the Institute of Chartered Accountants of Sri Lanka. He also serves on the Boards of Dilmah Ceylon Tea Company PLC, Royal Ceramics Lanka PLC, Browns Beach Hotels PLC, Vallibel One PLC, Ceylon Grain Elevators PLC and several other companies.

On the 3rd of October 2023, he was conferred the Lifetime Achievement Award 2023 by the Council of The Institute of Chartered Accountants of Sri Lanka in recognition and honour of his outstanding contribution to the accounting profession and society.

BOARD OF DIRECTORS

MR. N.J. DE SILVA DEVA ADITYA

Independent, Non-Executive Director

● Appointed in July 2010

The Honourable N. J. de Silva Deva Aditya (Nirj Deva) DL FRSA, Presidential Envoy of Sri Lanka to the EU and the Commonwealth of 56 Nations and Senior Advisor to the President of Sri Lanka, former Member of Parliament in the British House of Commons and Member of the European Parliament, joined the Board of Directors of Aitken Spence in September 2006.

He was the first Post War Asian born Conservative Member of the British House of Commons and served in Government as the Parliamentary Private Secretary to the Scottish Office after which he was elected as the first Asian born British Member of the European Parliament representing over 8 Mn, British people in Berkshire, Hampshire, Buckinghamshire, Oxfordshire, Surrey, Sussex and Kent for 20 years.

He was the Vice President of the International Development Committee for 15 years, overseeing the Euro 25 Bn European Budget. He was the Chairman of the EU Korean Peninsula Delegation working towards a lasting peace with North Korea, Chairman of the EU China, EU Bangladesh, EU Indonesia, EU Myanmar and EU India Friendship Groups in the EU Parliament and was nominated by his political group ECR to be the president of the European Parliament and was the Chairman of the EU Delegation to the UN General Assembly.

For his Tsunami Relief work, he was made a Chevalier of the Catholic Church and Vishwa Keerthi Sri Lanka Abhimani by the Buddhist Clergy of Sri Lanka. He is the Publisher of the <http://www.commonwealthunion.com> the global media platform, the first Commonwealth wide news and TV media reaching out to 2.4 Bn people and seen regularly by 12 Mn. He was appointed Presidential Envoy and Senior Advisor in August 2022.

MR. C.H. GOMEZ

Independent, Non-Executive Director

● Appointed in July 2010

Mr. Charles Gomez is a former Banker with over 40 years of experience in the finance industry. He has worked for major financial institutions including Barclays Bank PLC, Lloyds TSB Bank PLC and SG Hambros. He brings to the Company a wealth of experience in regard to international financial markets, financial services regulations, compliance and controls and it was through his intervention that major investors were brought into Aitken Spence PLC and to other business sectors in Sri Lanka. Mr. Gomez is a Director as well as a part owner of regulated financial services companies based in Gibraltar. He also serves on the Boards of foreign companies which have investments worldwide.

Mr. Gomez was appointed to the Board of Aitken Spence PLC, in 2002 and to the Board of Aitken Spence Hotel Holdings PLC, in 2010. His role in these companies is that of an Independent Non-Executive Director. He also serves in the Audit Committee, Related Party Transactions Review Committee, and the Remuneration Committee.

MR. M.A.N.S. PERERA

Non-Independent, Non-Executive Director

● Appointed in April 2023

Mr. Perera is an experienced professional with a diverse background in finance, investment, and strategic leadership. He joined the Board of Aitken Spence Hotel Holdings PLC in April 2023 and holds the position of Managing Director at Melstacorp PLC. He also serves as a Board member for Aitken Spence PLC, Distilleries Company of Sri Lanka PLC and Browns Beach Hotels PLC.

Mr. Perera holds an MBA from the University of Cambridge and is a Fellow of the Institute of Chartered Accountants, Sri

Lanka. He is also a Certified Management Accountant and has other qualifications and exposure to investment and financial strategy, risk management and international tax planning.

Having started his UK career with PWC-London, he spent close to two decades in London's financial and technology hub. During this time, he led and contributed to strategic projects with global top tier banks such as JP Morgan, ING, Bank of Montreal, National Australia Bank, and BNP Paribas. Notably, he played a crucial role in establishing two international investment banks and a FinTech banking institution in London. During his tenure, he assumed various leadership positions including Finance Director, Chief Financial Officer, Head of Strategy, and part-time Chief Risk Officer.

Mr. Perera possesses extensive experience in financial and investment strategy, specialising in restructuring, turnaround, mergers and acquisitions, and leading strategic and economic research initiatives. His professional endeavours have taken him across Europe, Asia, the Americas, the Middle East, and Southern Africa, accumulating over 25 years of international expertise.

DR. R. A. FERNANDO

Independent, Non-Executive Director

● Appointed in January 2024

Dr. Fernando was appointed to the Board of Aitken Spence Hotel Holdings PLC, in January 2024.

He is an Alumni of the University of Cambridge having completed both a Post Graduate Certificate and Master of Studies in Sustainability Leadership in 2014. He holds a Doctor of Business Administration Degree from the European Business School in 2016. He completed the Advanced Management Program at the INSEAD

Business School (France) and is an Executive in Residence since 2010. He also has an MBA from the University of Colombo.

In April 2020, he created the '21st Century Board Leadership Model-MasterClass'© for the Institute of Directors of Luxembourg which ran between 2020-2023. In February 2023, he published '21st Century Leadership to Fight the Code Red for Business' Archway Publishing.

He is the Chairman/CEO of Global Strategic Corporate Sustainability Pvt. Ltd. His career with Multinationals spanned 1981-2007 with Unilever, Reckitt Benckiser, Smithkline Beecham International covering Africa, Middle East and Asia. He was the first CEO of the Sri Lanka Institute of Nanotechnology 2008-2011 and Operations Director of the Malaysia Blue Ocean Strategy Institute 2011- 2016. He was the first UN Global Compact Focal point 2007 and set up the UNGC Sri Lanka Network.

He also serves on the Board of Study at the PIM (Post Graduate Institute of Management) and is a visiting faculty member.

He serves on the Boards of LOLC Holdings PLC, Ceylon Graphene Technologies Ltd, Melstacorp PLC, Aitken Spence Plantation Managements PLC, Distilleries Company of Sri Lanka PLC, Dilmah Ceylon Tea Company PLC, UN Global Compact and Ceylon Asset Management Ltd.

In 2007, he won the "Global Strategy Leadership award", presented to him by Professor Renee Mauborgne of INSEAD at the World Strategy summit.

CORPORATE MANAGEMENT TEAM



MS. D.S.T. JAYAWARDENA



MR. C. M. S. JAYAWICKRAMA



MR. S. N. DE SILVA



MR. M. D. B. J. GUNATILAKE



MR. D. J. DE CRUZ



MS. D. R. ALEXANDER



MR. P. G. S. PEREIRA



MR. R. KOHLER



MR. M. MAHDY



MR. S. DISSANAYAKE



MR. D. KUMARASINGHE



MRS. N. M. PELPOLA



MR. C. ATHAPATTU



MRS. L DIAZ



MR. P. L. WIJERATHNE



MS. N. MOHAMED

CORPORATE MANAGEMENT TEAM



MR. R. J. HASSIM



MR. S. M. A. L. GUNASEKARE



MR. K. A. KODIPPILIGE

MS. D.S.T. JAYAWARDENA

See Board of Directors profile

MR. C.M.S. JAYAWICKRAMA

See Board of Directors profile

MR. S. N. DE SILVA

Mr. Srinith De Silva is the Chief Executive Officer / Vice President of Aitken Spence Hotels Oman Sector. He is a Graduate of the Victoria University, Melbourne, and counts many years of experience in international hotel chains such as Raffles Singapore, Sheraton and Stamford Hotels and Resorts. He has over 28 years of experience in the hospitality industry in senior managerial positions handling operations and marketing in Singapore, Saudi Arabia, Australia, India and Sri Lanka.

MR. M. D. B. J. GUNATILAKE

Mr. Badhiya Gunatilake is the Chief Operating Officer / Vice President of Aitken Spence Hotels Maldives Sector, operating Heritage Aarah, and the Adaaran Resorts. He also serves as a Director of Unique Resorts Private Ltd.

He is a Graduate of the Ceylon Hotel School and a professional hotelier counting over two decades of experience in the hospitality industry, including senior managerial positions, handling hotel operations in Sri Lanka, the Sultanate of Oman, and the Republic of Maldives.

MR. D. J. DE CRUSZ

Mr. Darell De Cruz has had a career spanning over three decades with Aitken Spence, joining Aitken Spence Travels Limited initially in 1989, thereafter transferring to set up Ace Travels & Conventions in 1993. He continued his career at Aitken Spence Travels Limited till 2018 and re-joined the Company in 2019 as the Vice President – Sales & Marketing for Aitken Spence Hotel Managements (Private) Limited. With over 34 years of experience in the tourism sector, he possesses a wide knowledge of the travel and hotel industry.

Mr. De Cruz holds an MBA from the Open University of Sri Lanka, MA in International Relations from the University of Colombo, Sri Lanka and a Bachelor's Degree in Management from the Open University of Sri Lanka.

MS. D. R. ALEXANDER

Ms. Dinali Alexander is the Vice President of Supply Chain for operations in Sri Lanka, the Republic of Maldives, India and the Sultanate of Oman, corporate merchandising and exports operations. She serves as a Director of Aitken Spence Hotels Ltd and Hethersett Hotels Limited. Ms. Alexander counts over 20 years of management experience covering procurement, administration, human resources and sustainability, across multiple industries.

MR. P. G. S. PEREIRA

Mr. Patrick Pereira serves as the Vice President of Learning & Development and Rooms Division at Aitken Spence Hotels. In this role, he is responsible for overseeing all organisational development initiatives and providing strategic leadership for the Rooms Division function across all hotels and management offices in Sri Lanka, India, Oman, and Maldives. Mr. Pereira holds an MBA from Anglia Ruskin University in the UK and is a graduate of the Sri Lanka Institute of Tourism and Hotel Management. With over 20 years of senior leadership experience in hotel operations, talent development, organisational development, strategic management, and brand deployment, he brings a wealth of expertise to his current position. Mr. Pereira is the President of Sri Lanka Hospitality Graduates Association and a Management Board member of Sri Lanka Institute of Tourism and Hotel Management.

MR. R. KOHLER

Mr. Ralf Kohler joined Aitken Spence Hotels in July 2023 as the Corporate Food and Beverage Director, bringing with him over two decades of international food and

beverage and hospitality experience from across Europe, Middle East, South-East Asia, and South Asia. Mr. Kohler has previously held high profile roles in F&B Management in global chains such as the Shangri-La Group, Starwood Hotels and Steigenberger Hotels and in privately managed luxury hotels.

He has read for a degree in Hospitality Management from the Hospitality Management School, Munich, Germany and has a Master's Degree in Business Administration from the Edinburgh Napier University, UK.

MR. M. MAHDY

Mr. Mohamed Mahdy serves as the Assistant Vice President Administration in the Maldives Sector of Aitken Spence Hotels. Mr. Mahdy began his career with Aitken Spence in 1993 at Bathala Island Resort, Maldives and has since held various senior positions in the resorts in the Maldives and at the corporate office in Male'. He holds a Bachelor of Philosophy and a Master of Arts in Hospitality Management from Birmingham University, UK, and an MBA from the Open University of Malaysia.

MR. S. DISSANAYAKE

Mr. Suresh Dissanayake brings 19 years of experience in the hospitality industry, having worked in Sri Lanka, the Maldives, and India. As the Assistant Vice President of Sales and Marketing for the Maldives sector, he has been instrumental in driving the sales and marketing strategies for numerous pre-opening projects, including Heritage Aarah. His career includes a significant tenure heading sales and marketing efforts in India from 2009 to 2013. After a brief period in Sri Lanka, he assumed leadership of the sales initiatives for Aitken Spence Hotels in the Maldives. Mr. Dissanayake holds an MBA from Buckinghamshire New University, UK and a Bachelor's degree in Business Administration from the Open University of Sri Lanka. He is also a postgraduate of The Chartered Institute of Marketing and the Institute of Certified

CORPORATE MANAGEMENT TEAM

Management Accountants, Australia. His professional excellence has been recognised with several prestigious awards. In 2018, he was honoured as the Most Influential Sales and Marketing Professional in the Maldives. Most recently, he was awarded the title of Sales Personality of the Year at the Hotelier Maldives Awards 2024.

MR. D. KUMARASINGHE

Mr. Dimuthu Kumarasinghe has been with the Company for over 23 years and is the Assistant Vice President for Food & Beverage of Aitken Spence Hotels in Sri Lanka, India, the Republic of Maldives and the Sultanate of Oman. He is a world record holder at the Culinary World Olympic Championship held in 2004 and the Culinary World Cup held in 2006. He secured 29 Gold, 5 Silver and 12 Bronze medals for Sri Lanka through International Culinary Competitions. Mr. Kumarasinghe holds the title of President - Chefs Guild of Sri Lanka since 2012 to 2023 and has lead more than 77 participants to secure 68 Gold medals along with many Silver and Bronze medals at the Culinary Olympics and World Cup. Mr. Kumarasinghe is a jury member for the World Culinary Competitions and a recipient of the Presidential Award in 2007, 2017 and 2018 for outstanding culinary contribution. He holds honorary distinctions including, Honorary Life Member and Head Coach of the Golden Horseshoe Culinary Team Canada, Vatel Club Luxembourg, South Indian Culinary Association, Saudi Arabian Chefs Association, Turkey Chefs Association, Emirates Culinary Guild and Ukraine Culinary Union.

MRS. N. M. PELPOLA

Mrs. Namalee Pelpola is the Assistant Vice President Corporate Affairs & Compliance of Aitken Spence Hotels. She joined the Company Secretarial division of Aitken Spence Corporate Finance (Private) Limited in 2003 and has handled the Company's secretarial function and corporate compliance for the companies in the Hotels,

Travels and Shipping sectors within the Aitken Spence Group. Thereafter in 2008, she transferred to Aitken Spence Hotel Managements (Private) Limited overseeing the HR and Legal functions for all the hotels in the Group. Mrs. Pelpola is an Attorney-at-Law by profession and a Graduate of the Institute of Chartered Secretaries and Administrators (UK), with experience in Property Acquisitions and Sales, Joint Ventures and Shareholder Agreements, Human Resource Functions and Company Secretarial Practice.

MR. C. ATHAPATTU

Mr. Chula Athapattu is the Assistant Vice President of Engineering for Aitken Spence Hotel Managements with responsibilities in local and overseas properties of the Group. He has over two decades of experience in the hotels engineering sector. Mr. Athapattu is a Chartered Engineer and a Member of the Institution of Engineers, Sri Lanka. He holds a B.Sc. Engineering Degree from the University of Peradeniya and an MBA in Infrastructure from the University of Moratuwa.

MRS. L DIAZ

Mrs. Lucille Diaz is the Assistant Vice President for Branding and PR at Aitken Spence Hotels, where she draws upon her extensive experience of over two decades in travel & hospitality, financial services, advertising, and publishing. She holds an MBA in Marketing with a specialisation in Project Management from the Cardiff Metropolitan University, a Postgraduate Diploma in Marketing from the Sri Lanka Institute of Marketing and has achieved the Passed Finalist status with the Chartered Institute of Management Accountants. Additionally, Mrs. Diaz holds a Certificate in Design Thinking from the Massachusetts Institute of Technology (MIT) and is a Certified Practitioner of Design Thinking, which she employs as a framework for creative problem-solving.

MR. P. L. WIJERATHNE

Mr. Priyan Wijerathne is the Assistant Vice President Operations of the Sri Lanka Sector of Aitken Spence Hotels. He serves as a Director of Aitken Spence Hotels Ltd/Amethyst Leisure Limited / Hethersett Hotels Limited and Paradise Resort Passikudah (Private) Limited. He is a Graduate of the Ceylon Hotel School, holds a Master of Business Administration offered by the Cardiff Metropolitan University and is a professional hotelier counting over two decades of experience in the hospitality industry, including senior managerial positions.

MS. N. MOHAMED

Ms. Nashitha Mohamed is the Assistant Vice President Finance for Overseas Hotels of Aitken Spence and is responsible for the Finance of the Maldives, Oman and India sector. She joined the organisation in 2008. She holds a Masters in Applied Finance from the University of Sri Jayawardenapura, is a Fellow of the Chartered Institute of Management Accountants (FCMA), a Chartered Global Management Accountant (CGMA), a Member of CPA Canada, a Certified Management Accountants (CMA) Sri Lanka and a Fellow of the Association of Accounting Technicians (AAT) of Sri Lanka.

MR. R. J. HASSIM

Mr. Ramish Hassim serves as Assistant Vice President – Culinary Operations for the Sri Lankan Sector of Aitken Spence Hotels Managements Pvt Ltd and overlooks the Sri Lanka sector culinary operations. He has been with Aitken Spence for nearly 25 years and contributed towards the culinary sector of Aitken Spence Hotels.

Mr. Hassim graduated from the Ceylon Hotel School in 1996 specialising in Professional Cookery and completed his industrial training at the Colombo Hilton. His experience thereafter included a stint at the Dubai Intercontinental, following which

he joined Heritance Kandalama in 1999 as a Junior Sous Chef and progressed within the Group.

He has travelled to many countries for skills training as well as to participate in Sri Lankan food festivals; he has also won awards and accolades for Aitken Spence Hotels at Culinary World Cup competitions.

MR. S. M. A. L. GUNASEKARE

Mr. Lalith Gunasekera, a graduate of the Ceylon Hotel School Graduate Association is the Assistant Vice President for Culinary Operations of Aitken Spence Hotels in the Maldives. He has been with the Company for over 30 years and led the Heritance Aarah team in 2019 to win Best Hotel Culinary Team awards in Sri Lanka & Maldives, held by the Chef's Guild of Sri Lanka. In 2020 he was a Gold Medal winner at the Culinary Olympics which was held in Stuttgart Germany & in 2022, he gave leadership to the Adaaran Prestige Vadoo team to win the Best Hotel Culinary Team award in Maldives by FHAM.

MR. K. A. KODIPPILIGE

Mr. Krishan Kodippilige a graduate of the Sri Lanka Institute of Tourism & Hotel Management and joined Aitken Spence Hotels in January 2024 in the capacity of the General Manager/Director of Turyaa Chennai.

He has a high level of exposure to both the Sri Lankan and Bangladesh leisure markets and was honoured with the Best Emerging General Manager's Award by the International GM Awards, Bangladesh in 2023. He currently serves as the Director of International Affairs and is an Executive Committee Member at the World Association of Master Chefs - Sri Lankan Chapter. He has also been recognised as an International Culinary Judge by both the World Association of Master Chefs and the Royal Bengal Master Chef Association.

MANAGEMENT DISCUSSION & ANALYSIS

AN EXPERIENTIAL JOURNEY

Armed with countless decades of knowledge and expertise,
we are guiding our people to discover their own path of
prosperity and seek out a future of abundance.



THE STRATEGIC REPORT

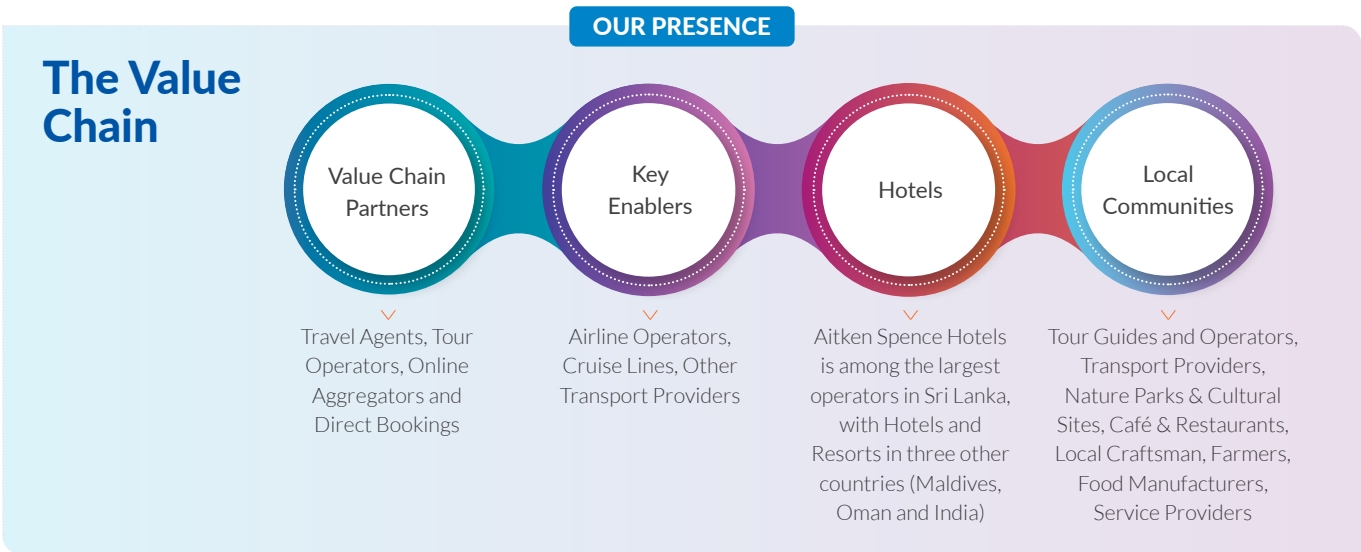
GRI 2-6

HOW WE CREATE VALUE

While using our financial capital to purchase goods and services required to make the guest experience a pleasant one, the Group relies on several other inputs to create value. These include the physical infrastructure comprising of our collection of distinctive properties, strategic relationships with business partners who promote our properties among tourists, intellectual capital which represent the Group's ratings and certifications, our human capital as well as natural resources such as energy and water as well as biodiversity and natural habitats.

Value is generated by transforming these capital inputs through a holistic strategy underpinned by sound corporate governance practices and a robust risk management framework, coupled with a commitment towards impacting the communities in which we operate in, in a positive manner.

The capital inputs are nurtured and eroded through the value transformation process through our actions, which in turn creates positive and negative outputs and outcomes. Our value creation model demonstrates how these long-term outcomes are linked to stakeholder value creation, including shareholders, customers, employees, business partners, the government, and the communities we operate in.



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how these long-term outcomes are linked to stakeholder value creation, including shareholders, customers, employees, business partners, the government, and the communities we operate in.

OUR BUSINESS MODEL

CAPITAL INPUTS



FINANCIAL CAPITAL

Our financial resources which are key to carrying out business activities and reaching strategic goals.

RS. 30.86 Bn
Shareholders' Funds

RS. 39.83 Bn
Long Term Interest Bearing Borrowings



SOCIAL AND RELATIONSHIP CAPITAL

The mutually beneficial relationships we have nurtured with our stakeholders

1,214
Travel agents

963
Tour operators

21
Country representatives

1,334
Suppliers

The surrounding community



INTELLECTUAL CAPITAL

Robust **systems and processes**, tacit **knowledge** and the Aitken Spence **Brand** which underpins our performance.



HUMAN CAPITAL

Attitude and experience of our workforce who supports the delivery of our strategic objectives.

2,823
Employees in 4 countries



MANUFACTURED CAPITAL

The physical infrastructure in place which enables the delivery of our services at high levels of standards.

Property Plant and Equipment:
Rs. 66.2 Bn Over **2,330** rooms across **15** owned properties



NATURAL CAPITAL

The natural resources we consume in the value creation process.

423,550 GJ
Energy consumption

813,444 m³
Water consumption

Ecological system

VALUE TRANSFORMATION



OUTPUTS

Rs. 47.2 Bn

Revenue Generated

1,064,058

Guest Nights

92.22 %

Average Guest Satisfaction Score (owned)

Rs. 7.47 Bn

Payments to Employees

86,104 Hours

Employee Training

Rs. 1.1 Mn

Investment in CSR initiatives

Rs. 26.2 Bn

Payments to Suppliers

OUTCOMES

SHAREHOLDERS

Generating sustainable shareholder value.

Rs. 1.86 Bn

Profit After Tax

Rs. 3.35

Earnings per Share

5.42%

Return on Equity

Page 168 for more details



CUSTOMERS

- Offering unique guest experiences
- Promoting sustainable tourism



GOVERNMENT

Generating foreign exchange inflows into the country while contributing towards Government's tax revenue.



EMPLOYEES

Provided competitive rewards and opportunities in a conducive and dynamic work environment.

Page 82 for more details



IMPACTS

2,381 tons

Solid waste generated

683,586 m³

Effluents generated

34,433 tCO₂e

Carbon footprint

BUSINESS PARTNERS

Nurtured sustainable business growth through mutually beneficial relationships.

Page 103 for more details



COMMUNITIES

Driving meaningful change and socioeconomic empowerment while reducing the adverse environmental effects of our operations.

Page 104 for more details



RESPONDING TO OUR STAKEHOLDERS

GRI 2-29

GRI 207-3

We consider what is meaningful and valuable to our stakeholders in every aspect of our value creation process. The uncertain operating conditions during the year necessitated a proactive and deeper understanding of the concerns of our stakeholders. As such, ASHH identified and prioritised stakeholders who have the most significant impact on the value creation process and those who are affected most by our activities through a robust stakeholder engagement process. A summary of our stakeholder engagement for 2023/24 is presented below:



Customers

1,064,058
guest nights

Regular engagement with customers helps us meet their evolving needs while ensuring business growth.

High influence/ High interest

Stakeholder Concerns & Expectations

- Political uncertainty
- Rising prices and costs
- Value for money
- Environmental footprint
- Service delivery
- Employee awareness on health and safety

Method of Engagement

- Feedback form (upon departure)
- Through channel partners
- Through front line staff (ongoing)
- Customer satisfaction surveys (periodic)
- Online reviews (ongoing)
- Website and social media (ongoing)

Our Response

Ensured customer needs were met while providing best in class service through ongoing engagement.

Refer Page 99 **Social & Relationship Capital**



Business Partners

963 tour operators
1,214 travel agents
1,334 suppliers
21 country representatives

We select suppliers and service providers who are reliable in order to ensure the continuity of our operations.

High influence/ High interest

Stakeholder Concerns & Expectations

- Opportunities for economic development
- Sustainable and profitable relationships
- Ease of transaction and professionalism
- Ethical business conduct
- Constructive feedback

Method of Engagement

- Site visits and direct dialogue (ongoing)
- Contracts and agreements (ongoing)
- Supplier performance reviews (periodic)
- Seminars and workshops (periodic)

Our Response

Leveraging synergies with channel partners while focusing on the development of local suppliers.

Refer Page 103 **Social & Relationship Capital**



Employees

2,823 employees

We keep our employees happy and motivated as they are key to driving us towards our goals.

High influence/ High interest

Stakeholder Concerns & Expectations

- Remuneration and Other benefits to support increased cost of living
- Safe and conducive workplace
- Opportunities for training and development
- Job security
- Diversity and equal opportunity

Method of Engagement

- Performance appraisals (bi-annual and annual)
- Regular meetings (ongoing)
- Trade unions (ongoing)
- Grievance mechanisms (ongoing)
- Satisfaction surveys (periodic)
- Intranet and social media

Our Response

Strategic management of HR processes.

Refer Pages 82 to 91 **Human Capital**



Shareholders

Aitken Spence PLC and subsidiaries
74.49%

Institutional investors **17.29%**

Retail shareholders **8.22%**

We manage the business to provide returns that correspond to risks undertaken by these stakeholders.

High influence/ High interest

Stakeholder Concerns & Expectations

- Ethical business conduct
- Return on investment
- Growth prospects
- Environment & social impact
- Business continuity
- Compliance
- Corporate governance and risk management framework

Method of Engagement

- Interim financial statements (quarterly)
- Annual General Meeting and Annual Report (annually)
- Press releases (quarterly)
- CSE announcements (continuous basis)
- Corporate website (continuous basis)
- One to one engagement (periodic)

Our Response

Maintained transparent communication with all shareholders.

Refer Pages 71 to 73 **Financial Capital**



Government & Regulators

Rs. 8.3 Bn Paid

Engagement with the Government and regulator ensures our operations are compliant with all regulatory requirements.

High influence/ High interest

Stakeholder Concerns & Expectations

- Compliance to all relevant regulations, directions and guidelines
- Timely payments of taxes/ fees/ levies etc.
- Environmental and social sustainability
- Job creation

Method of Engagement

- Visits to premises (periodic)
- Direct dialogues (ongoing)
- Regulatory reporting (ongoing)
- Participation in forums (ongoing)

Our Response

Proactive engagement with the authorities to support the revival of the tourism industry.

Refer Pages 114 to 132 **Corporate Governance**



Communities

Rs. 1.4 Mn Investment in community development initiatives

Nurturing healthy relationships with the surrounding communities.

High influence/ High interest

Stakeholder Concerns & Expectations

- Employment opportunities
- Empowering livelihoods
- Infrastructure development
- Environmental sustainability

Method of Engagement

- Engagement with community representatives (ongoing)
- Workshops (periodic)
- CSR programmes (ongoing)

Our Response

Operating responsibly and sustainably, and addressing issues that are material for the surrounding communities through continuous engagement.

Refer Page 104 **Social & Relationship Capital**

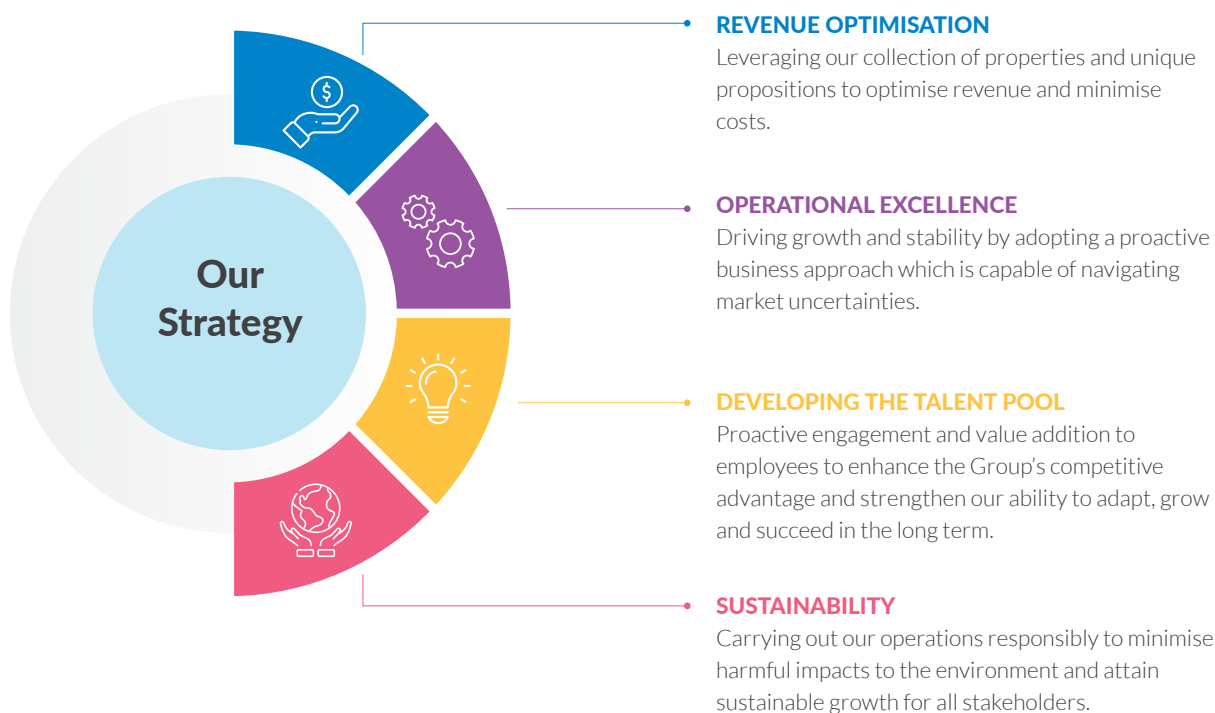


STRATEGY AND RESOURCE ALLOCATION

GRI 2-22

Our corporate strategy was formulated by taking into consideration operating challenges and risks, emerging opportunities, stakeholder needs and our impact on society and the environment. Although the operational challenges that were prevalent during the year necessitated a shift in focus to address immediate issues. In general the Group's activities were aligned to its four strategic pillars.

Having reviewed our strategy during the year, we are confident that it remains relevant in achieving our long-term targets and vision. The subsequent pages provide an overview of resource allocation, initiatives pursued and the measurements of our progress towards these objectives. Relevance to our business clusters and capitals are shown through navigation icons in the respective sections of the report.



STRATEGY AND RESOURCE ALLOCATION

Our Strategic Pillars	Highlights	Measuring Progress
Revenue Optimisation	- Pursuing growth in new source markets and acquiring new customers - Offered targeted promotions and pricing adjustments during the off-peak season to maintain occupancy levels - Maintained flexibility in cancellation policies - Offering distinctive experiences by leveraging our collection of properties - Re-opening of restaurants to provide guests a variety - Investments in improving the website in order to build our brand presence and increase direct bookings	Revenue Rs,Mn 50,000 40,000 30,000 20,000 10,000 0 2021/22 2022/23 2023/24 66% Average occupancy rate
Operational Excellence	- Continuous focus on improving margins through cost savings, automation and efficiency improvements - Optimising group synergies - Providing guests with authentic local menus incorporating locally sourced ingredients - Implemented a food waste monitoring system to reduce wastage - Increasing our online presence through digital media platforms	14% increase in operating profit 19% Points increase in occupancy levels 85% increase in website traffic 92.22% Customer satisfaction rate
Developing the Talent Pool	- Supporting employees with adjusted salaries and benefits due to increased cost of living and taxation - Emphasis on learning and development interventions in order to upskill and re-skill young blood - Driving talent retention by showcasing opportunities for career progression - Inclusive culture promoting work life balance	86,104 Total training hours Rs. 2.64 Mn Average benefits per employee 48% Retention rate
Sustainability	- Elimination of single use plastics at all resorts in the Maldives along with the establishment of glass bottled water plants - Investments in renewable energy sources 100% of wastewater is recycled and re-used in our operations - Commitment to reduce environmental impacts of our operations	17% Reduction in water consumption per guest night 20% Reduction in energy consumption per guest night 33% Reduction in carbon footprint per guest night

Resource Allocation	Capital Trade-offs	Way Forward
Rs. 200 Mn investment in digital marketing 2,653 channel partners	- Investments in enhancing our digital capabilities have led to higher direct bookings - Prioritised financial resources to maintain physical infrastructure which will in turn elevate the guest experiences	Short to Medium term - Emphasis on maintaining quality standards - Switching to paperless processes Long term - Emphasis on branding to capitalise on the demand for established hotels
Rs. 22.4 Bn payments to local suppliers	Prudent allocation of financial resources ensures our continued growth and supports our ability to add value to all other capitals	Short to Medium term - Undertake proactive measures to ensure guest satisfaction - Realignment of overhead cost structures to rationalise costs - Shift focus to acquiring customers from new source markets Long term - Carrying out property refurbishments and upgrades - Growth through pursuit of management of properties
Rs. 14 Mn investment in training and development propositions Rs. 7.47 Bn payments to employees 64 students in hotel school in Ahungalla and Kandalama	Investments in motivating and developing our human capital allows us to benefit from higher productivity levels.	Short to Medium term - Continuous focus on training and development propositions - Focus on strategies to increase talent retention - Increasing female recruitment Long term - Elevating the employer brand
Rs. 1.4 Mn investment in community engagement initiatives and environmental initiatives	Utilising financial capital to protect natural resources which will ensure the sustainability of our business and availability for future generations.	Short to Medium term - Establish glass water bottling plants at the Sri Lankan properties - Investing in a solar grid at Heritance Negombo Long term - Achieve net zero emission status

DETERMINING MATERIAL ISSUES

GRI 3-1 GRI 3-2 GRI 3-3

Material matters are matters that could support or deter ASHH from achieving its strategic goals and creating value over the short, medium and long term. These topics are important to stakeholders and are a key input in strategy formulation and risk management. Our process for determining materiality is graphically presented below.

- 1

Identification of Material Issues

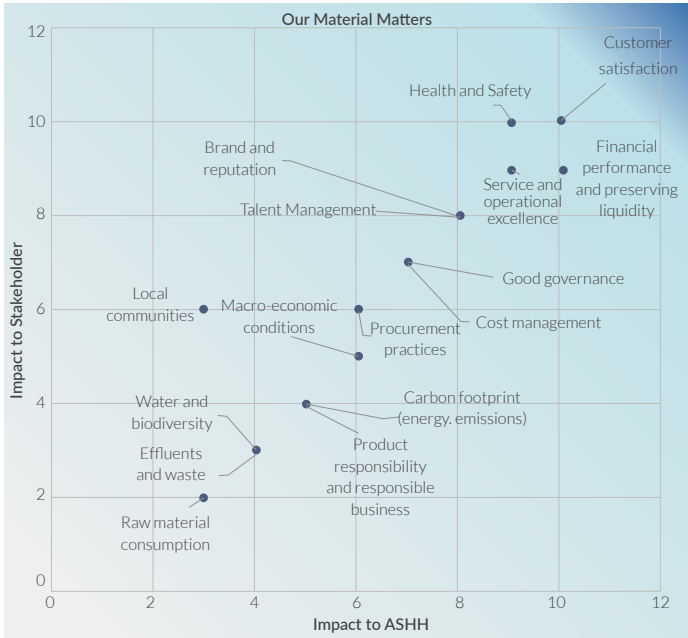
 - Assessment of external environment
 - Stakeholder engagement
 - Evaluation of internal strengths and weaknesses
 - External stakeholder engagement
 - Internal assessments
- 2

Evaluation of Material Topics

 - Each issue is evaluated and scored based on the impact and significance to the Group and its stakeholders.
- 3

Prioritisation

 - The top material topics have been prioritised and plotted onto the materiality matrix. These material topics are continuously assessed in order to ensure our strategy remains relevant.



Our Material Topics

1. Health and safety
2. Macro-economic conditions
3. Cost management
4. Financial performance and preserving liquidity
5. Service and operational excellence
6. Customer satisfaction
7. Talent management
8. Property portfolio
9. Brand and reputation
10. Product responsibility and responsible business
11. Carbon footprint (energy, emissions)
12. Water and biodiversity
13. Effluents and waste
14. Raw material consumption
15. Procurement practices
16. Local communities
17. Good governance

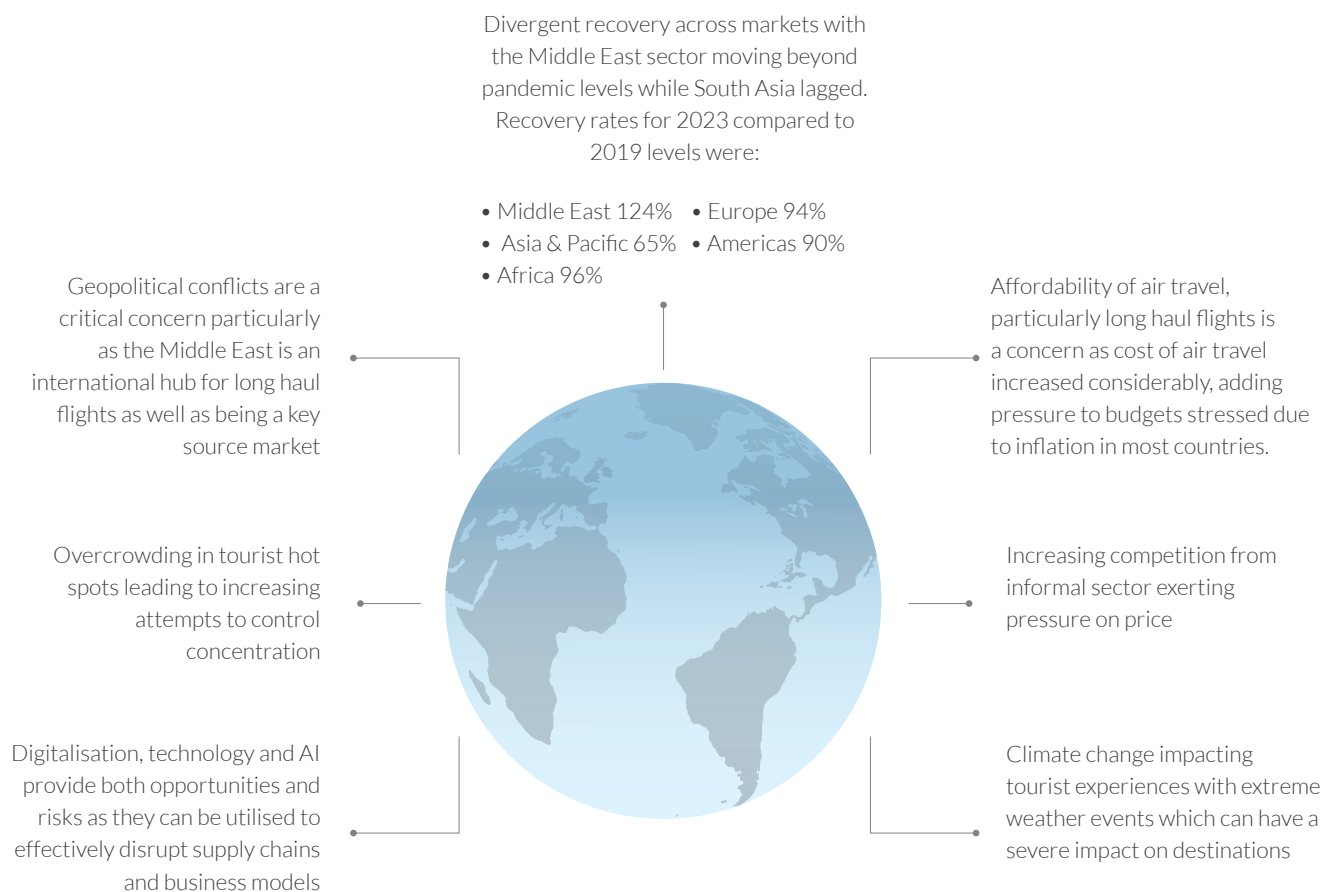
	Strategic Priority	SDG	Relevant GRI Topic
	Operational Excellence		GRI 403: Occupational Health and Safety GRI 416: Customer Health and Safety
	Operational Excellence		
	Operational Excellence		GRI 207: Tax
	Operational Excellence		GRI 416: Customer Health and Safety
	Operational Excellence		
	Portfolio maintenance and upgrade Operational excellence		GRI 410: Security Practices
	Developing talent	  	GRI 401: Employment GRI 402: Labour management relations GRI 404: Training and education GRI 405: Diversity and equal opportunity GRI 407: Freedom of Association and Collective Bargaining
	Portfolio maintenance and upgrade		GRI 202: Market Presence
	Operational Excellence Sustainability		GRI 206: Anti-competitive Behaviour GRI 415: Public Policy
	Operational Excellence		GRI 418: Customer Privacy
	Sustainability	 	GRI 302: Energy GRI 305: Emissions
	Sustainability	 	GRI 303: Water & Effluents GRI 304: Biodiversity
	Sustainability		GRI 306: Waste
	Sustainability		
	Operational Excellence		GRI 204: Procurement practices GRI 308: Supplier Environmental Assessment GRI 414: Supplier Social Assessment
	Sustainability		GRI 203: Indirect Economic Impacts GRI 413: Local Communities
	Sustainability		GRI 205: Anti-corruption GRI 406: Non-discrimination GRI 408: Child labour GRI 409: Forced labour

MANAGING RISKS AND OPPORTUNITIES

The past few years have demonstrated the wisdom of institutionalising risk management systems that look through multiple lenses at various factors that shape our operating environment. Tourism has been one of the most vulnerable sectors during the pandemic and is forecast to recover only next year. Geopolitics, health and safety, civil protests and extreme weather events are some of the events that affect the industry as authorities in source markets issue travel advisories to their citizens. Consequently, managing risk is a key priority to ensure the continuity of business engaging everyone across all operations. The opportunities are also numerous and needs prioritising to determine resource allocation in a capital-intensive sector.

RISK ENVIRONMENT IN 2023/24

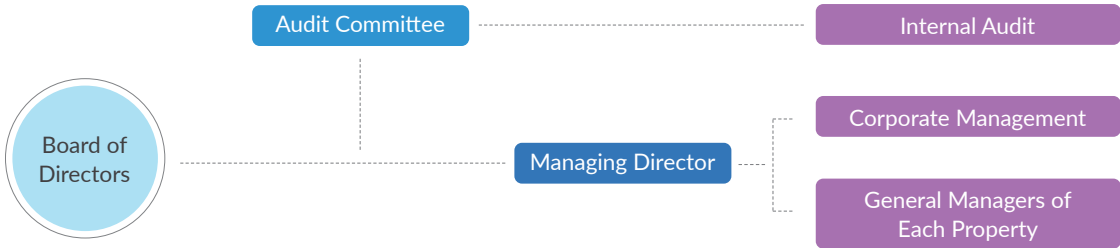
As markets consolidated their post pandemic recovery, the risks became more market specific although many inherent risks in the industry remain global in nature. The key risks are summarised below.



RISK GOVERNANCE

Aitken Spence Hotel Holdings Risk Management functions come within the purview of the Aitken Spence Group Risk Management functions. Risk Management at Aitken Spence Group aims to combine the principles of sustainable growth and economic value creation while balancing adequate risks and opportunities. Since risk management is a vital part of how we design and carry out our business strategies, our risk management policy is established by the Board. Further, the Aitken Spence Group has established a range of risk management and control systems that help us to identify early signs of developments that could threaten the survival of our businesses. The most crucial of these systems are our enterprise-wide processes for strategic planning and risk management reporting. Strategic planning aims to help us to anticipate potential risks and opportunities before making significant business decisions, while management reporting aims to help us to track such risks more closely as our business evolves.

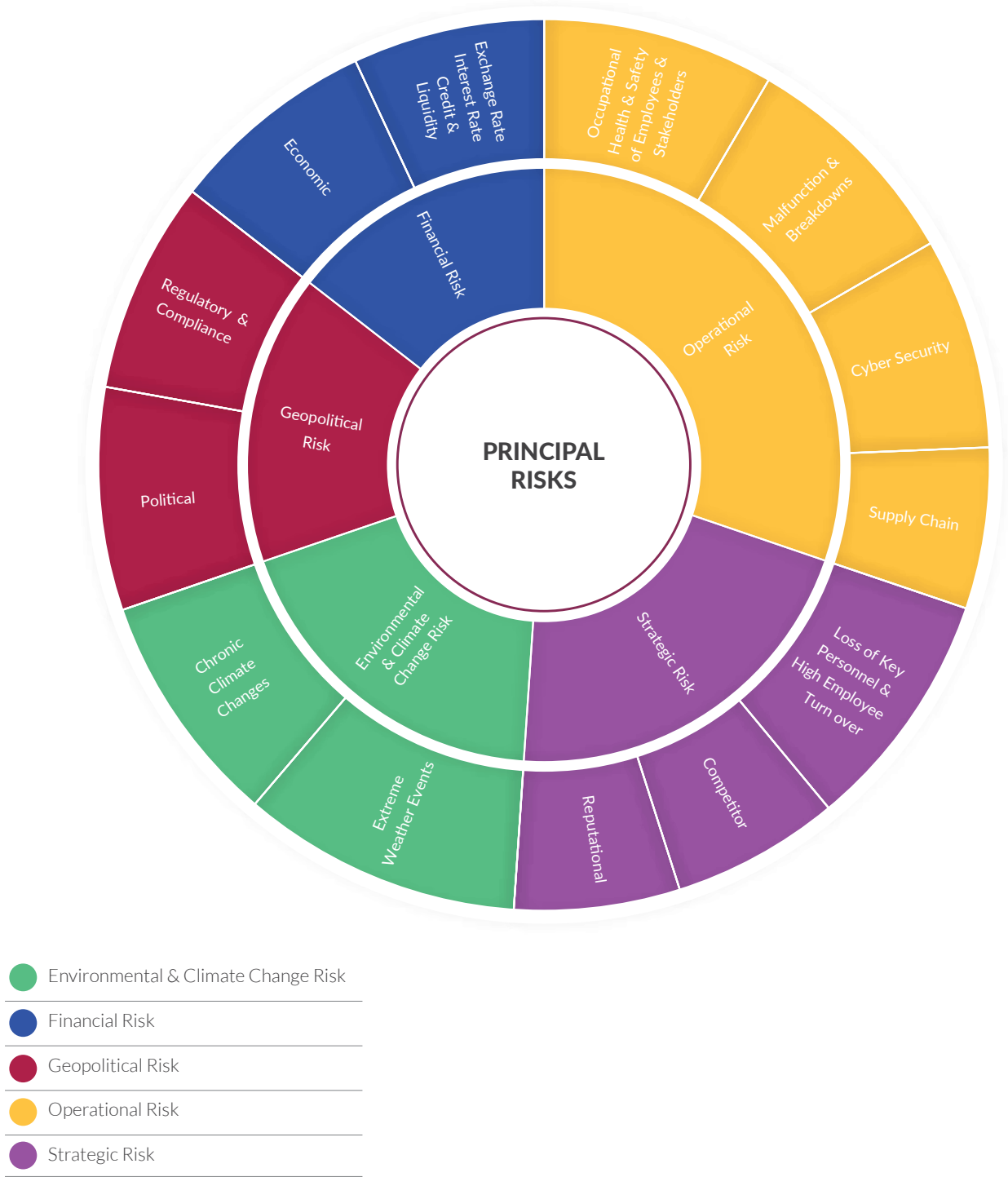
The Group approach to risk management is based on the Three Lines of Defence model. The framework facilitates segregation of responsibilities, objective oversight by the Board, high levels of risk awareness by business owners.



MANAGING RISKS AND OPPORTUNITIES

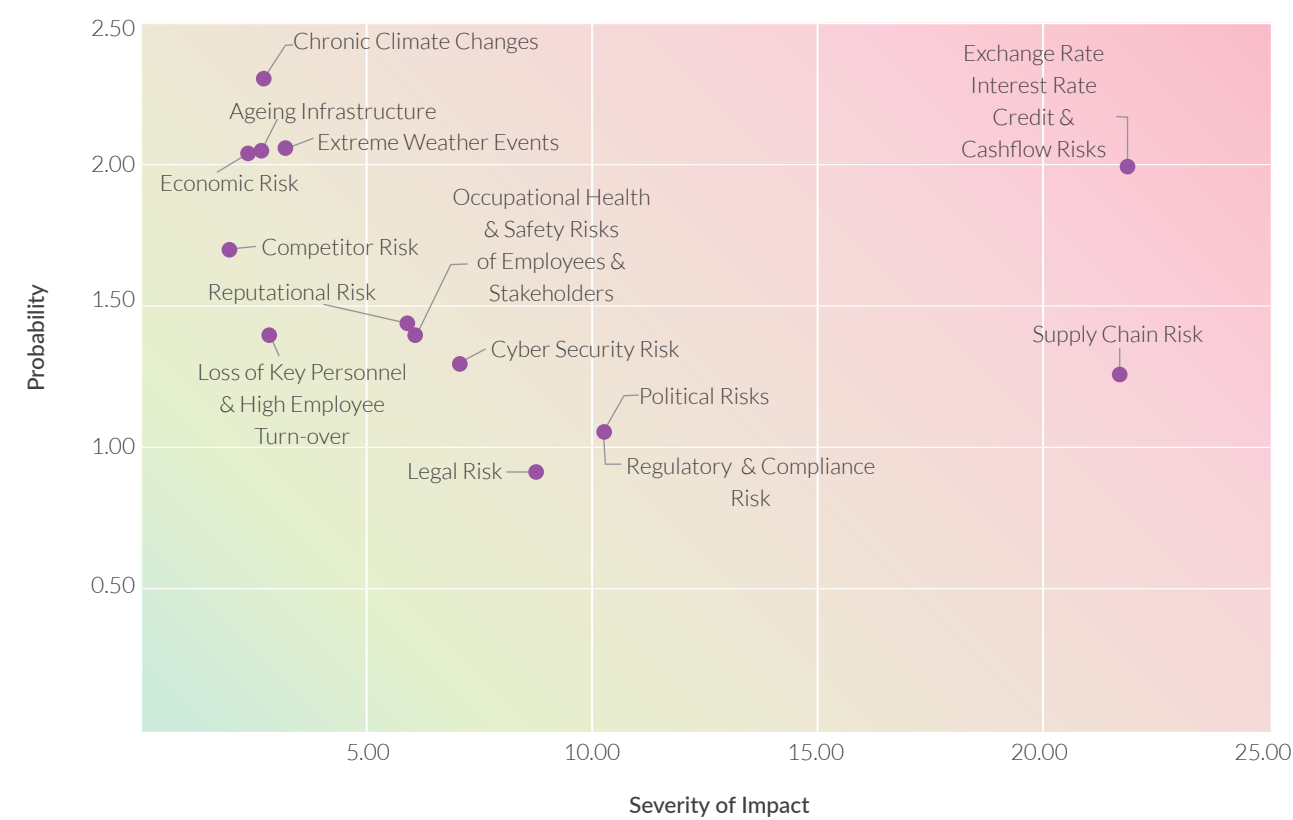
OVERVIEW OF RISKS

Aitken Spence Group has adopted a structured approach to identifying and classifying risk to facilitate reporting across 16 business segments. These are as follows:



RISK ASSESSMENT

The risk heat map below provides a high-level view of the principal risks the Group is exposed to.



MANAGING RISKS AND OPPORTUNITIES

RISK/ OPPORTUNITIES

Risk Category /Risk Subcategory		Mitigation Plan
Exchange Rate Risk, Interest Rate Risk, Credit & Liquidity Risks		
Exchange Rate Risk	ASHH has a net foreign exchange surplus and is negatively correlated to appreciation/depreciation of the Rupee.	• Close monitoring of the forex fluctuations • Fixing the exchange rate in contract • Explore methods of managing foreign exchange risk
Interest Rate Risk	ASHH has significant borrowings and will be adversely affected by upward movement of interest rates.	• Cost of capital and investments are managed by the ASP Group Treasury, leveraging expertise in the segment
KRI		• AWLR
Liquidity Risk	ASHH maintains a cautious approach to managing liquidity and leverage which provides for significant headroom in case of need.	• Agile and proactive management of working capital • Ensure adequate bank facilities and aim for shorter working capital cycles
KRI		• Quick asset ratio • Debt equity ratio
Extreme Weather Events		
KRI	The impact of extreme weather events is different for each location. Therefore, each location has been separately assessed and mitigation and disaster recovery plans made are sector specific.	• Sustainability measures aim to reduce carbon and water footprints • Inventory and PPE are insured for natural disasters • The Group assesses vulnerabilities, strengthens disaster preparedness, and enhances sustainability efforts • Disaster recovery plans are in place for cyclones, drought, high winds, earthquakes, forest fires, high winds, landslides, lightning strikes and tsunamis as relevant to the business
Average temperature		
Average annual rainfall		
Number of rainy days		
Chronic Climate Changes		
Global Warming	Higher energy costs due to need for air conditioning	• Impact of rising sea levels necessitates increased maintenance costs, particularly to water villas • Rising temperatures can alter the biodiversity of locations which can change demand dynamics for locations
KRI		
Temperature		
Rise in sea levels		
Toxic Smog/Smoke	Implement air quality monitoring systems	• Conduct regular maintenance of ventilation systems
KRI		
Air quality		
Economic Risk		
Inflation	Inflation has a significant impact as it reduces consumer purchasing power and also increases our cost profiles	• Impacts affordability of travel • Impacts demand for domestic tourism which supports off-peak demand which may need discounting, exerting pressure on margins • Cost optimisation measures
Global consumer price levels - inflation		
Sri Lanka - NCPI		
Changes in Visa Arrangements with Different Countries	Diplomacy amongst countries have a significant effect as it can increase or decrease entry barriers to markets and change a country's competitiveness as a destination significantly	• Work with the governments to promote destinations and urge for favourable arrangements

Risk Category /Risk Subcategory	Mitigation Plan
Economic Instability & Down Turns • NCPI • GDP Growth • Months of Foreign Exchange Reserves	Economic or political instability results in travel advisories for fear of civil unrest, discouraging tourists and increasing employee migration • Carry out joint promotions with government to allay concerns • Evacuation plans in place to ensure safety of guests • Enhance employer brand
Political Risks	
Geopolitical Risk	The Russian-Ukraine and the Israel-Palestine wars continue to elevate geopolitical risks. Additionally, almost half the world will be conducting elections which can shape geopolitics • Close monitoring of both domestic and global operating environments, to swiftly identify early warning signs of risks and opportunities • Maintain continuous interaction with regulatory authorities, trade chambers, and associations to stay abreast of new laws and regulations, and advocate for changes that may negatively affect the economy and business environment
Domestic Political Risk	• Election year for Sri Lanka
Civil Unrest	• Develop crisis management plans and establish communication channels with local authorities • Conduct significant CSR projects and building a rapport with the community • Maintain open communication with community leaders and stakeholders to address grievances proactively
Terrorism & Insurrections	• Strong security culture within the premises by regularly emphasising the importance of security measures • Display telephone numbers to call immediately at security points • Training for security personnel according to a monthly manual • Insuring the property, lives, and business against losses due to terrorism
Regulatory & Compliance Risk	
KRI • Number of fines • Amount of fines • Number of fraud incidents • Amount of loss • Number of regulatory issues raised • Number of licenses lapsed	• Awareness and strict adherence to timelines and requirements • Training/SOP on segregation/recycle, zero plastic policy to implement • Regular updates on compliance register to be updated on any changes to create actions accordingly • Stay informed about legislative changes and adapt business practices accordingly through consultation with legal experts • Work with tax professionals to ensure compliance with tax regulations and explore tax planning opportunities • Incorporating a fraud risk policy
Legal Risk	
KRI • Number of pending litigation	• Centralised legal function • All major contracts are vetted by the Group Legal Division prior to sign off • The Legal Department retains external counsel at need for litigation or advice on transactions • Well developed processes in place for disciplinary inquiries and HR related issues • Processes in place to investigate theft or losses following due legal process • Avoidance of encroachment with demarcations of boundaries on properties where feasible

MANAGING RISKS AND OPPORTUNITIES

Risk Category /Risk Subcategory		Mitigation Plan
Supply Chain Risks		
KRI		• Ensure adequate inventory levels of frequently needed items including fuel
• Number of stock out incidents		• Collaborate with suppliers to minimise lead times • Proactively communicate any potential delays to customers and provide regular progress updates
• Number of late deliveries		• Build relationships with multiple suppliers and create contingency plans for sourcing materials from different regions
• Average lead times		• Monitoring / understanding of market changes / challenges
Occupational Health & Safety Risks of Employees & Stakeholders		
KRI		This is a key risk for the Group and stringent measures have been put in place to mitigate, which has significantly reduced the associated risks
• Injury rates		• strengthen health and safety measures at identified high-risk locations
• Absenteeism		
• Epidemic statistics		Implement Occupational Health and Safety (OHS) policies throughout the Group. Hotels and Resorts businesses are certified for ISO 45000 • Usage of PPE • Continuous training and awareness sessions • Robust Safety Procedures for Operations • Regular site inspections and hazards spotting exercises • ISO 22000 food safety management system. Food handlers' medical check-ups • Proper cleaning, sanitisation, and pest control • Availability of Doctor / Nurse inhouse • Pandemic protocols documented for activation at need • Proper fire prevention mechanism
Cyber Security Risk		
KRI		• Conducted group-wide staff awareness programs on information security and overseeing sensitive data
• Number of breaches		• Implemented various protection technologies to manage network perimeter defence, data loss prevention, cybersecurity threats like cyber-spoofing and distributed denial of service (DDoS) attacks, and secure mobile devices
• Number of near misses		• Regularly monitor suspicious cyber activities and conduct testing and verification of controls by third-party entities • Centralised control over application installation and configuration • Always use the latest & updated version of software and applications • Adhered with the benchmarked IT system related security measures and frequent update on the same • Utilise firewalls and intrusion detection systems • Implement endpoint detection and response and device encryption • Employ identity and access management, including multifactor authentication • Educate employees on threat identification and prevention techniques to maintain awareness • Business continuity plan for Disaster Recovery- Computer virus server malicious • Ensure regular data backups are available • Implement firewalls and virus protection measures • Apply role-based access controls on systems • Provide user awareness training

Risk Category /Risk Subcategory	Mitigation Plan
Malfunction & Breakdowns	
KRI • Downtime • Number of breakdown incidents	• Implement regular servicing schedules • Consult engineering experts to address issues • Maintain sufficient spare parts inventory • Provide comprehensive training to employees in machine operation and handling • Adhere to operating manual instructions consistently • Source all machinery from reputable suppliers or agents
Reputational Risk	
KRI • Injury rates • Absenteeism • Epidemic Statistics	• The Code of ethics and professional conduct applies to all directors and employees • Established sound governance and comprehensive policy framework to articulate management approach on material topics • Implemented integrated sustainability management policy with a resolute team overseeing implementation • Standard operating procedures for key business processes are established • Voluntarily adopted the ESG framework • Aligned with international best practices through certification on quality, environment, and social management • Develop a crisis communication plan to address negative publicity promptly and transparently • Implement reputation management strategies, including initiative-taking communication and swift resolution of issues • Customer satisfaction is maintained. Customer comments are taken into consideration in every point
Loss of Key Personnel & High Employee Turn-over	
KRI • Attrition Rates • Attrition within one year of Recruitment	• Implement comprehensive talent management programs to cultivate talent pipelines, including succession planning • Offer job rotation and overseas assignments to employees to foster leadership development • Ensure the credibility of grievance mechanisms by Management • Regularly update Human Resources policies and practices to align with industry trends • Formulating HR Strategies to retain employees and Management Intervention to ensure such strategies are implemented
Competitor Risk	
KRI • Market Share • Market Share Growth	• Each sector conducts regular and systematic competitor analysis, implementing measures to sustain the Group's competitiveness • Group Supervisory Board closely monitors strategy implementation • Continued efforts to develop new markets and market segments • Monitor market dynamics and conduct quarterly competitor analysis • Leverage strategic partnerships and Group synergies • Group-wide initiative focuses on customer centricity • Invest in branding • Introduce innovative products & adopt new business strategies • Loyalty programs, value added services, product, and service differentiation • Renovate the property as per the market demand

OPERATING ENVIRONMENT

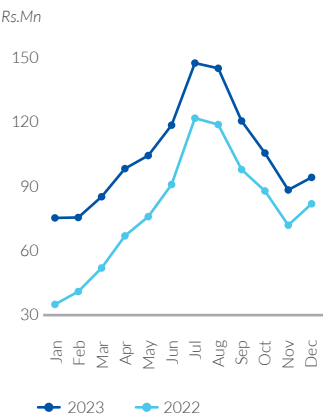
The concluding year was a year of recovery from the lingering effects of the pandemic and the cost-of-living crisis, both in Sri Lanka and globally. Recognising the importance of adaptation and resilience, at ASHH we closely monitored developments and proactively managed risks and opportunities, to deliver on our strategy.

GLOBAL TOURISM

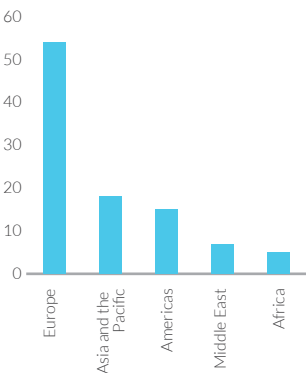
The international tourism industry continued its recovery reaching 88% of pre-pandemic levels in 2023, fuelled by pent-up demand, increased air connectivity and a strong recovery of Asian markets and destinations. The recovery had a significant impact on economies, jobs, growth and opportunities for the communities.

The industry is expected to fully recover and return to pre-pandemic levels in 2024, despite the ongoing geopolitical challenges.

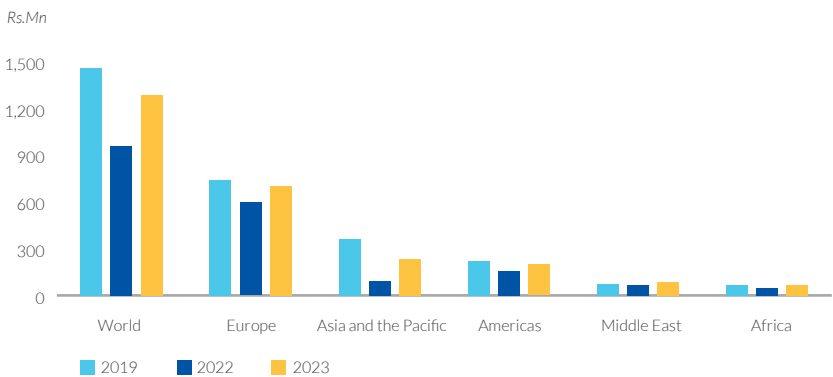
International Tourist Arrivals



Regional Share



International Tourist Arrivals World & Regions



Middle East led the recovery, overcoming pre-pandemic levels with arrivals 22% above 2019.

Recovery in Europe was supported by intra-regional demand.

Asia and the Pacific showcased mixed performance, reaching 65% of pre-pandemic levels. South Asia however recovered to 89% of the pre-pandemic numbers. following the reopening of several markets.

SRI LANKAN TOURISM SECTOR

Along with the revival of the tourism industry, there was a significant growth in tourist arrivals throughout 2023, compared to the corresponding months of the previous year, reflecting a heightened interest in Sri Lanka as a tourist destination.

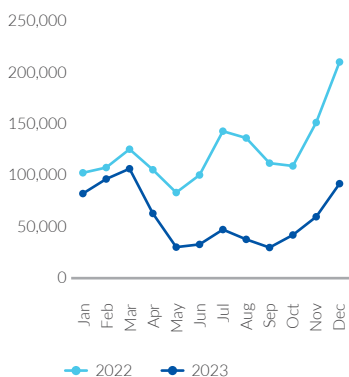
The quick recovery of the tourism sector is expected to support the country's economic revival and growth momentum with positive spillover effects on other related sectors.

The industry is a vital component of the country's economy, contributing a significant portion to its GDP and providing employment to a large number of people. As such, the Government has placed emphasis on reviving the tourism industry by promoting the country as an ideal tourist destination.

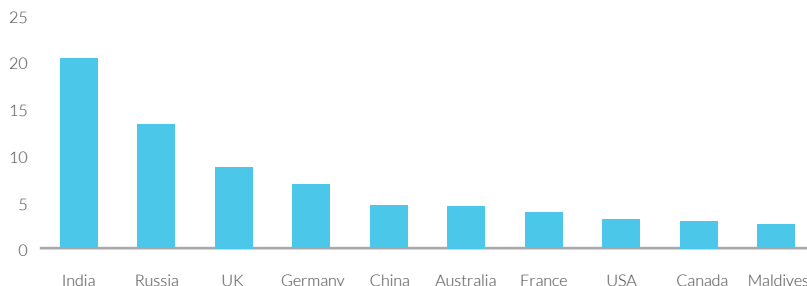
However, the expected surge in tourism should also accompany alignment with international standards and sustainable tourism measures in order for the country to reap the full benefits.

Total arrivals in 2023 amounted to **1,487,303** compared to **719,978** in 2022, which is a **106%** growth year-on-year.

Tourist Arrivals by Month



Top 10 Source Markets in 2023



India emerged as the top source market for Sri Lanka, accounting for 20.3% of arrivals in 2023.

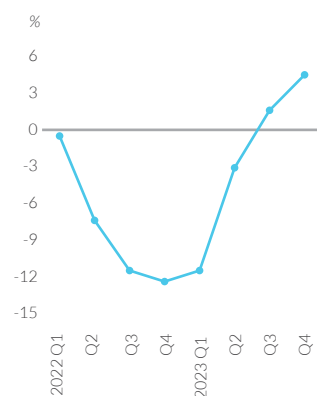
Russia was the only market from which arrivals surpassed pre-pandemic levels. This could be attributed to the Russia-Ukraine conflict and the growing popularity of Sri Lanka among Russians.

Meanwhile, border closures, sluggish recovery in outbound travel and diverse travel preferences contributed to the slow recovery of the Chinese market.

	2022/23	2023/24
Total rooms available	48,120	53,229
Average length of stay	9.3	8.44
Receipt per tourist day	US \$ 164.4	US \$ 164.4

The Domestic Economic Environment

Economic Growth Rate



The Sri Lankan economy contracted by **2.3%** for the full year, due to the significant reduction in Q1 and Q2 of 2023. (Source: DCS)

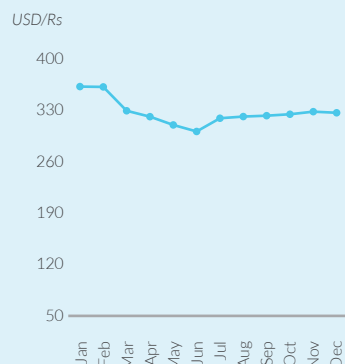
Having contracted in the first half of the year as the country struggled to recover from its worst economic crisis and the resultant political and social turmoil, the economy showed signs of recovery during the second half of 2023 with all three key sectors recording growth in Q3 and Q4.

Although volatility and uncertainty remain, the myriad of stability-oriented policy measures undertaken to steer the economy and the approval of the Extended Fund Facility of the International Monetary Fund sheds a positive light on the outlook for the country.

OPERATING ENVIRONMENT

The External Sector and the Exchange rate

Exchange Rate



Along with the approval of the IMF-EFF and budgetary support from Asian Development Bank and World Bank, there was an easing of the foreign currency shortage experienced in 2022.

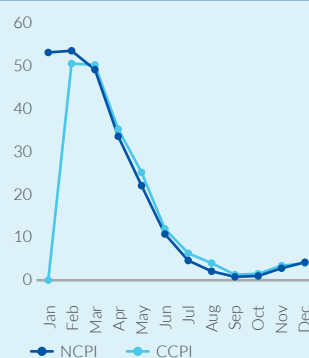
Increased inflows through export proceed conversions, workers' remittances and tourist earnings as well as restrictions on imports in 2023, contributed towards easing liquidity conditions in the domestic foreign exchange market.

Inflation

The normalisation of domestic supply side bottlenecks, appreciation of the domestic currency and the downward adjustment of global commodity prices resulted in a downward movement of inflation from the historical highs witnessed in 2022,

CCPI which peaked at 69.8% in September 2022, reached single digits by July 2023, remaining relatively stable for the rest of 2023.

Inflation YOY % Change



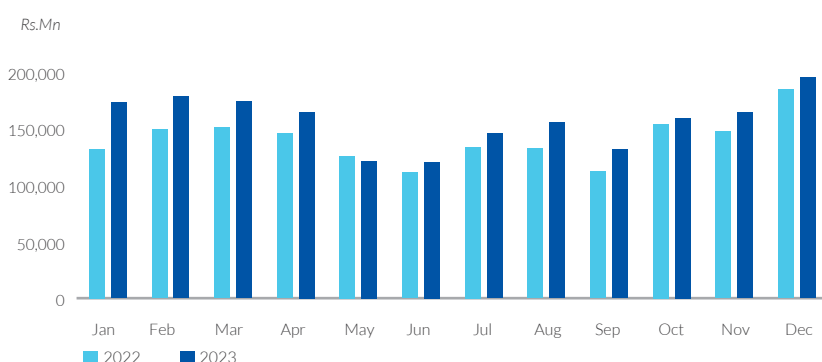
MALDIVIAN TOURISM SECTOR

Maldives is renowned for its exquisite resorts that offer an unparalleled experience of luxury and natural beauty. In 2023, the country welcomed 1.87 Mn tourists reflecting the country's enduring appeal as a premier tourist destination.

In the recent past, there has been an increase in guest houses numbers which could lead to Maldives becoming an affordable market.

The Government has intensified efforts to attract more tourists to the Maldives with the redevelopment of Velana International Airport, which is poised to enhance the country's tourism infrastructure significantly. The Government's proactive measures and strategic investments are expected to fuel continued growth in the years to come.

Tourist Arrivals in Maldives



Tourist arrivals increased by **12.1%** to **1.879 Mn** in 2023, compared to **1.675 Mn** in 2022.

	2022/23	2023/24
Total beds in operation	57,254	61,562
Average length of stay	8	7.6
Occupancy rate	58.9	57.6

INDIAN TOURISM SECTOR

The Indian tourism sector experienced significant growth in 2023, with foreign tourist arrivals surging 64% to 9,236,108 compared to 2022. An analysis of the purpose of visits revealed a shift towards business and professional travel during the year. Delhi, Chennai, Mumbai, Bangalore and Hyderabad held the top five entry ports for foreign tourists while the leading source markets were the United States, Bangladesh, United Kingdom, Australia and Canada.

Focusing on technological integration, sustainable practices, and innovative thinking, the Indian travel industry is poised to contribute significantly to the country's economic growth and development.

OMAN TOURISM SECTOR

Oman is an emerging destination in the tourism market with tourist arrivals reaching approximately 3.5 Mn during the year, marking a 38% increase from 2022.

Although the tourism sector of Oman was supported by infrastructure investments and tourism friendly policies in line with the Government's Oman 2040 vision, the geopolitical tensions in the region caused by the Israel-Palestine conflict impacted the industry to an extent during the year.

However, the future of Oman's tourism sector looks promising, with an anticipated annual growth of 7.4% from 2023 to 2027.

TRENDS SHAPING THE INDUSTRY

The tourism industry is constantly evolving, driven by changing consumer preferences, emerging technologies, and global trends. Some of the key trends shaping our industry are discussed below:

 Sustainable Tourism With travellers becoming increasingly conscious of their impact on the environment and local communities there is an increased focus by hotels, tour operators and destinations on eco-friendly practices, such as reducing carbon footprints, supporting local economies, and promoting conservation efforts.	 Digitisation and Automation Technology plays a crucial role in enhancing the overall travel experience, from the planning stage to the journey itself. With customers increasingly booking directly through website or other channels, hospitality businesses have started investing in systems that offer value to customers.	
 Workation Professionals are seeking opportunities to mix business trips with leisure activities along with the continuation of remote working arrangements. Requires strong Wifi connections, charging facilities and comfortable working atmospheres.	 Wellness Tourism With people prioritising their health in the post-pandemic environment, they tend to seek experiences that offer relaxation, rejuvenation and self-care.	
 Authentic and Immersive Experiences There is an upward trend in travellers seeking authentic experiences that allow them to connect with local cultures and traditions.	 Personalised Experiences Travellers are seeking recommendations, offers, and experiences tailored to their specific interests and preferences.	

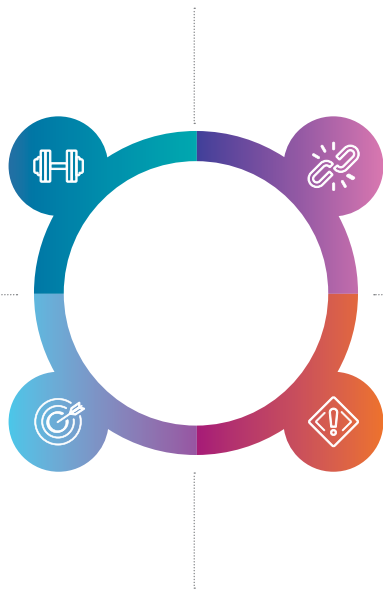
SWOT ANALYSIS

STRENGTH

- Multi-destination portfolio
- Authentic experiences
- Experienced team
- Unique architecture
- Group synergies
- The Aitken Spence Brand

OPPORTUNITY

- Airline connectivity to destinations
- Preference amongst travellers for reputed hotel chains
- Growth in regional tourism
- New source markets
- Promotion of tourism by the respective governments



WEAKNESS

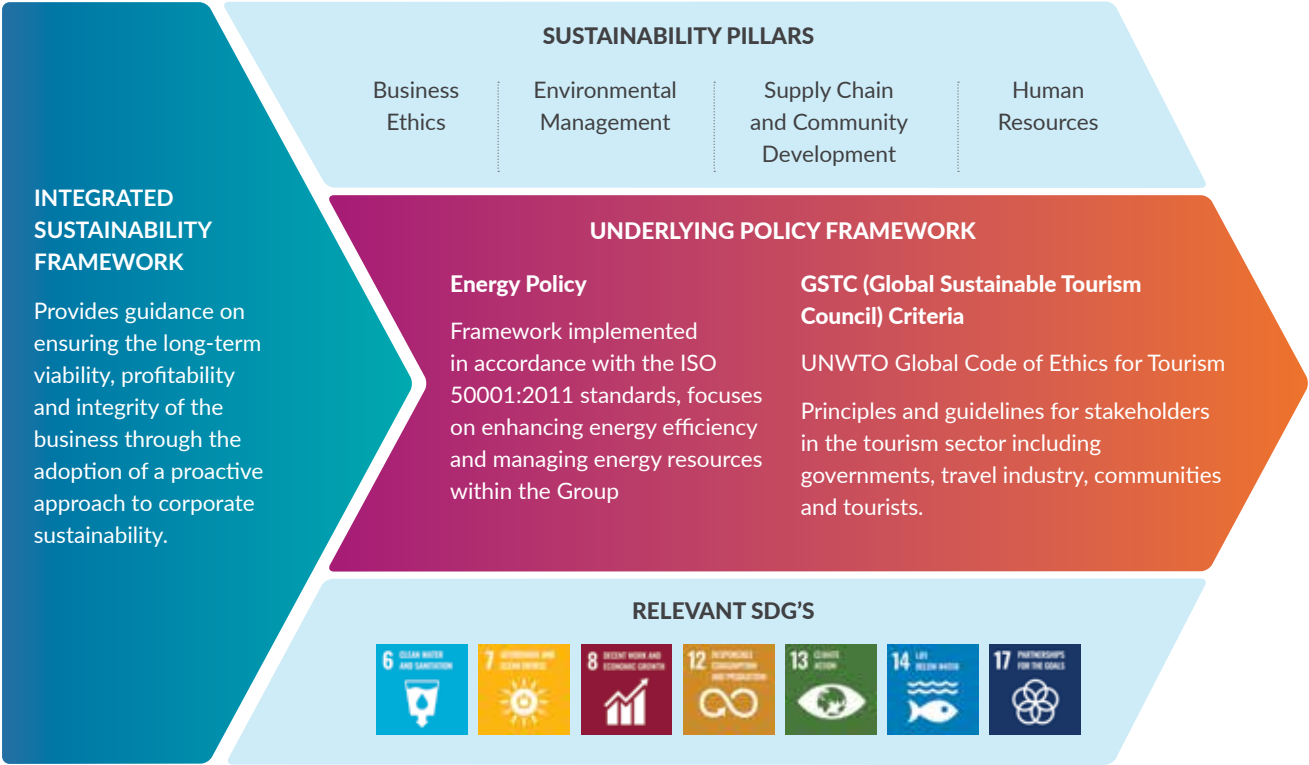
- Sensitivity of the market
- Dependence on employee skills and attitude
- Need for constant refurbishment and upkeep of properties

THREAT

- Increase in competition
- Geopolitical instability
- Climate change
- Increasing cost of airfares
- Expiration of debt moratoriums provided to the tourism sector

SUSTAINABILITY AT AITKEN SPENCE HOTELS

Tourism has been identified as a sector that could make a considerable impact towards addressing global economic, social and environmental sustainability issues facing the world today. As part of the Aitken Spence Group which is recognised as a pioneer in sustainable tourism in Sri Lanka, the Group has long since embraced the principles of sustainability, embedding social and environmental consciousness into its corporate strategy, operations and processes. The Group's approach to sustainability is aligned to the Integrated Sustainability Framework of the parent entity and comprises the following key pillars. Please refer to the full Policy at <https://d3a2q5al71qg9.cloudfront.net/2017/04/ASH-Integrated-Sustainability-Policy.pdf>



 Please refer to the full Integrated Sustainability Policy by scanning the QR Code

OUR SOCIO-ECONOMIC IMPACT

Our socio-economic impact is significant given the geographical spread of our operations across four countries. As part of the Aitken Spence Group, we are cognizant of the socioeconomic responsibility we hold and make a conscious effort to actively facilitate sustainable growth for stakeholders.

 GRI 202-2

A brief overview of our socio-economic impact is illustrated below:

Developing Local Supply Chains

The Group procures locally whenever possible, supporting local suppliers in the vicinity of the hotels as well as SME's.

- **Rs. 22.4 Bn** was made as payments to local suppliers during the year.
- **324** new local suppliers added during the year

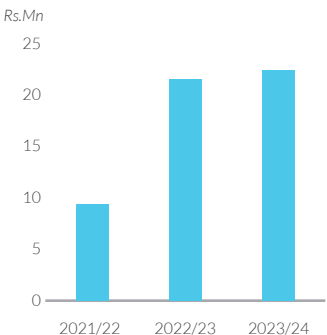


Generating Foreign Currency

Earnings from tourist arrivals brought in much-needed foreign exchange into Sri Lanka as the country recovers from a critical shortage of foreign currency reserves.

- **Rs 9.9 Bn** inflow of foreign currency

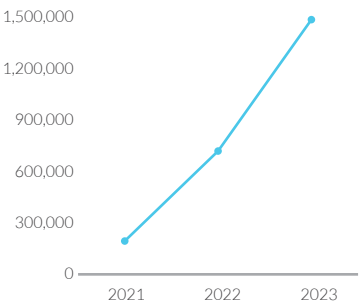
Payments to Local Suppliers



Meaningful Investment in Developing Communities

- **Rs 1.4 Mn** investment in community development Initiatives

Tourist Arrivals - Sri Lanka



Preserving Biodiversity and Natural Habitats

The Group drives concerted efforts to preserve biodiversity and regenerate the natural environment around us.

- Native Flora: **128** species
- Birds: **173** species
- Natural Streams: **11**
- Reptiles and Amphibians: **19** species
- Mammals: **17** species
- Butterflies and Dragonflies: **82** species



211 acres
of Natural
Preservation

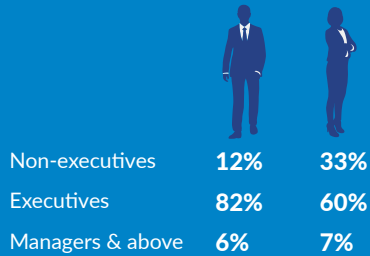
500+
Trees Planted

61.4 m²
Coral Trays

9.2 Mn
Invested in
Sustainability



Total Employees



Contribution of Tax Revenue to the Government of Sri Lanka

Supporting the Government's fiscal policy by paying taxes in compliance with relevant regulations.

- Rs 8.3 Bn was paid as taxes during the year.

Supporting Employment and Uplifting Livelihoods

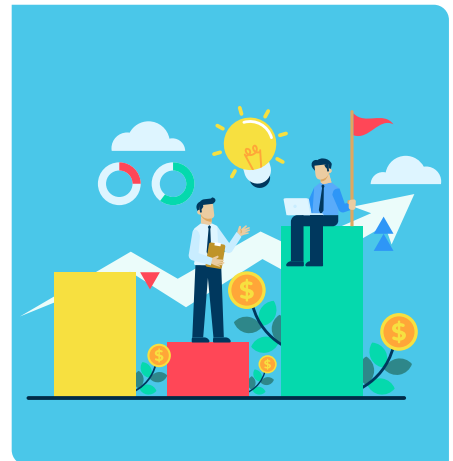
Opportunities for direct and indirect employment are provided with preference given to people from the surrounding community, thereby promoting community relationships.

- 2,823 direct employment opportunities
- Rs. 7.47 Bn as payments to employees
- Rs. 14 Mn investment in training

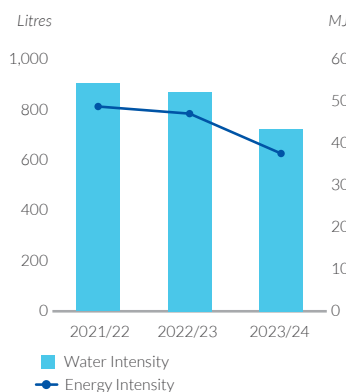
Promoting Responsible Consumption of Resources

We encourage our guests to be responsible in the consumption of resources in line with the integrated sustainability framework of the parent entity.

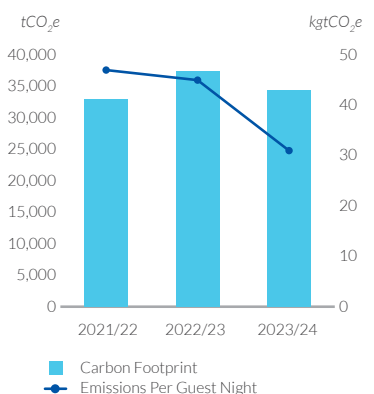
19.7% reduction in energy intensity
16.7% reduction in water intensity



Resource Consumption (Per Guest Night)



Carbon Footprint



PERFORMANCE ANALYSIS

SRI LANKAN CLUSTER

Our Key Differentiators

Rich in culture and offering of authentic experiences

Portfolio of iconic properties in scenic locations across the country

Most number of properties designed by iconic Deshmanya Geoffrey Bawa

Strong value chain partnerships

Reputed for excellence in cuisine

Capital Value Creation



Total Asset Growth
2%
Net Book Value of PPE
Rs. 15 Bn
Total Equity
Rs. (0.5) Bn



561,247
Guest Nights
1,107
Suppliers
Rs. 0.2 Mn
Investment in CSR



80%
Wastewater recycled & reused
211+ Acres
Conservation of forest areas within our properties



Properties owned by the Group
8
Properties managed by the Group
1
Room Inventory
1,411



44
Certifications & Awards
Well-established systems and processes



Over 1900
Employees
1.3 Bn
Payments to Employees
43,146 Hours of Training
195 Female Representations

Operating Environment

- Positive travel sentiments among people led to the recovery of the tourism industry in the country.
- Although the economy showed signs of recovery, volatility of the exchange rate, rising operational costs and shortage of imported raw materials are challenges that remain.
- There is a shortage of manpower due to increased labour migration in search of better opportunities abroad.

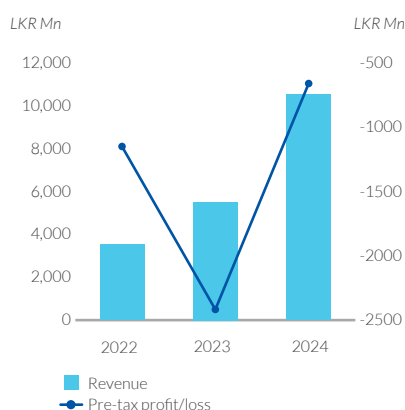
Risks & Opportunities

- + Enhancing revenue streams by re-opening restaurants
- + Increased airline connectivity
- + Experimenting with new menus using locally sourced ingredients
- Travel advisories issued by certain markets due to political instability
- Intensification of competition
- Rising implications of climate change

STRATEGY & PERFORMANCE REVIEW

Revenue from the Sri Lankan cluster experienced remarkable growth of 91% during the year, as occupancy levels increased along with the recovery of international tourist arrivals to the country. The domestic customers also contributed significantly to the increased occupancy levels at our hotels with the stabilisation of macro-economic conditions within the country.

Sri Lankan Cluster - Performance



Although certain properties went on to record profits for the year, the overall profitability of the sector was impacted due to the rapid fluctuations of the cost base, rising energy costs and increased taxation. However, the cluster recorded a profit from operations of Rs. 1 Bn while the loss after tax for the year reduced by 65% to Rs. 1.28 Bn, compared to last year.

Against this backdrop, the segment focused on enhancing revenue streams, preserving liquidity, and optimising resources while sharpening the value proposition to the customer.

Meanwhile, our cost management strategy focused on driving efficiencies through innovation, halting all discretionary expenses and finding alternative local suppliers from the surrounding community,

The biggest challenge facing the segment during the year, was the migration of manpower in search of better opportunities abroad and the reluctance amongst the youth to join the hospitality industry. We focused on mitigating this through targeted learning and development propositions and creating pathways for career

OUTLOOK

Although rising costs, adverse weather conditions and an uncertain political and economic environment remain as clear challenges to the tourism industry, the outlook for the segment looks promising with the Government anticipating tourist numbers to increase to the country given the heightened interest in Sri Lanka as a preferred tourist destination.

Our properties are well equipped to capitalise on these numbers underpinned by our strong brand presence, distinct positioning in the market and synergies with channel partners.

There is also a growing popularity for niche tourism experiences such as wellness tourism, experiential tourism and remote working tourists for which we cater to through customised packages. We will also increase our focus on promoting sustainable tourism measures such as reducing carbon footprints, supporting local economies, and promoting conservation efforts.

HIGHLIGHTS

Rs. 1 Bn

Profit from Operations

Rs. 454 Mn

Capital Expenditure

63%

Average Occupancy

Rs. 23 Bn

Total Assets

18

Certifications

14,272 tCO₂e

Carbon Footprint

SOUTH ASIAN AND MIDDLE EAST CLUSTER

Our Key Differentiators

Our resorts in the Maldives are mature products, with years of continued success

Properties that cater to different segments of the market

Operations across the Maldives, Oman and India

The reputation of the Aitken Spence Brand

The relationships we have nurtured with Channel Partners

Capital Value Creation



Total Equity

Rs. 31 Bn

Total Asset Growth

-13%

Net Book Value of PPE

Rs. 51 Bn



502,811

Guest Nights

227

Suppliers

Rs. 1 Mn

Investment in CSR



80%

Wastewater Recycled & reused

Conservation of coral reefs

Diverse eco-systems of hotels



Properties owned by the Group

7

Properties managed by the Group

2

Room Inventory

1228



47

Certifications & Awards

Well-established systems and processes



Over 1300

Employees

Rs. 6.2 Bn

Payments to Employees

42,958 Hours of Training

80 Female Representations

Operating Environment

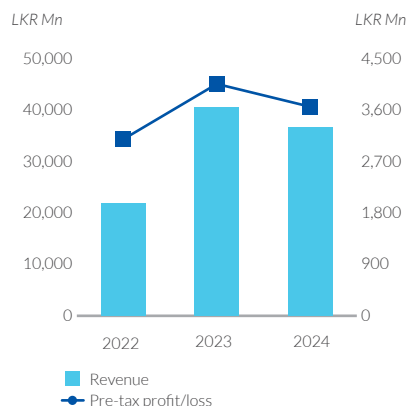
- Maldives continued to be a key market for tourists reflecting the Government's efforts to enhance the tourism infrastructure.
- Geopolitical tensions in the region caused by the Palestine-Israel conflict affected tourism numbers to Oman.
- The Indian market experienced significant growth in tourist arrivals as the Government focused on technological integration, sustainable practices, and innovative thinking to drive the industry.

Risks & Opportunities

- + Growth in regional tourism
- + Strong growth potential in Oman and India
- + opportunities in outdoor catering and banquet services
- Rise in the guest house market could lead to Maldives becoming an affordable market
- Increased competition from cheaper travel destinations

STRATEGY & PERFORMANCE REVIEW

South Asian and Middle East Cluster - Performance



Maldives

The Maldives sector performed reasonably well during the year, capitalising on the positive travel sentiments displayed by tourists from key market segments and going onto record Rs. 37 Bn in revenue. However, there was a drop in occupancy levels at the resorts mainly due to the rise in the number of tourists seeking affordable accommodation options such as guest houses. The segment was able to manage overhead costs quite well by driving operational efficiencies, resulting in profit for the year amounting to Rs. 3.1 Bn.

For Maldives, airline accessibility is the biggest challenge as the renovation work at Velana International Airport is yet to be completed. The country continued to attract new investments resulting in increased competition for our resorts. However, the expertise of our team and brand name differentiated us from the competition. We are also very conscious of our impact on the environment, conducting regular programmes to protect coral reefs, conducting coral planting sessions, establishing our own glass bottled water plant as well as investing in solar power.

Oman

The Omani segment is mainly dependent on the European market, with tour operators

bringing in approximately 40% of the traffic. Operations in Oman was badly affected due to geo-political tensions in the region caused by the conflict between Israel and Palestine. With airlines reducing flights to the region due to the conflict, tourist numbers recorded a drastic decline with revenue decreasing by 27%, to Rs. 1.1 Mn compared to last year.

Disruptions to shipping lines led to a sharp rise in food prices and a shortage of imported items. We had to be proactive in managing our operations by experimenting with new menus and looking for alternative suppliers.

We managed to bring occupancy levels up to 51% during the year, by conducting promotions and targeted marketing to drive domestic resident numbers as well as corporates. The sales team was clustered and centralised during the year, in order to market all 3 properties together and benefit from synergies. We also explored alternative means of revenue generation including outdoor catering, local food promotions and banqueting services.

India

Our hotel in India primarily caters to the business segment of the market. The hotel recorded a revenue growth of 9% during the year with a profit after tax of Rs. 0.14 Mn and an average room occupancy rate of 81%. During the year, we mainly focused on optimising our resources to ensure guest satisfaction.

OUTLOOK

The outlook for Maldives is stable with the government investing significantly in tourism infrastructure in an effort to attract and cater to more tourists. The election of the new government will also bring in political stability, thereby ensuring smooth operations for the next 5 years. We plan on carrying out refurbishments at several of our properties while also expanding our solar power generation capacity.

The Group recognised an exchange loss of Rs. 2.590 Mn in the Statement of

Comprehensive Income on the translation of a foreign operation (Maldives) to the reporting currency. This loss arises due to the appreciation of the Rupee against the US Dollar. The Sri Lanka Rupee appreciated from Rs. 327.14 as of 31.03.2023 to Rs. 300.44 as of 31.03.2024

The outlook for Oman looks somewhat positive with the resumption of travel to the region, although an element of volatility remains due to the ongoing conflict between Israel and Palestine. The Sultanate of Oman continued its tourism development plan, Oman Vision 2040, undertaking several infrastructure development plans towards making Oman a tourism hub, which provides a host of growth opportunities for the hotel sector. We will continue to explore new means of revenue generation and tap into new source markets in order to drive revenue growth.

The Indian segment looks promising, showing potential for growth against a buoyant economy. Having mainly focused on accommodation revenue in the past, we are hoping to explore opportunities in food and beverage revenue as well as banqueting.

HIGHLIGHTS

70%

Average Occupancy

Rs. 6.2 Bn

Payments to Employees

Rs. 7.3 Bn

Profit from Operations

Rs. 1.4 Bn

Capital Expenditure

11

Certifications

20,161 tCO₂e

Carbon Footprint

ECONOMIC VALUE-ADDED STATEMENT

201-1 202-2

	2023/24	2022/23	2021/22	2020/21	2019/20
Net Profit Attributable to Shareholders	1,864,687	46,809	1,034,305	(7,253,215)	(895,724)
Add:					
Depreciation and Amortisation	5,125,872	5,385,799	3,433,486	3,338,451	2,846,879
Non Cash & Non operational adjustments	367,110	530,128	79,730	625,038	448,912
Total Interest on debt	5,666,668	5,809,973	2,278,833	2,173,971	1,861,353
Adjusted Profit After Tax	13,024,337	11,772,709	6,826,354	(1,115,755)	4,261,420
Total Investment Capital					
Total Equity	30,864,692	30,180,271	28,141,058	21,962,720	29,150,430
Add:					
Total Long Term Debt to banks	28,562,441	36,588,535	38,596,278	28,147,885	24,890,820
Total Short Term Debt to banks	11,311,701	14,060,753	10,591,516	7,300,993	5,250,363
Lease Liability	12,483,509	15,010,510	14,689,882	11,033,234	9,133,386
Cumulative Depreciation	36,434,294	35,369,760	29,439,940	20,117,354	16,918,951
Adjusted Investment Capital	119,656,637	131,209,829	121,458,674	88,562,186	85,343,950
Economic Value Added					
Weighted Average Cost of Capital	9.5%	10.9%	6.3%	5.2%	6.6%
Cost of Average Investment	11,336,024	14,355,860	7,700,513	4,621,421	5,640,720
Economic Value Added	1,688,313	(2,583,151)	(874,159)	(5,737,176)	(1,379,300)



Financial Capital

The Group's ability to create value for its financial capital is largely dependent on its financial performance. In this section of the report, we look at how the Group managed its financial resources to create sustained value for shareholders, despite the volatile operating environment exerting pressure on the tourism industry.

FINANCIAL PERFORMANCE

Revenue

Consolidated revenue increased marginally by 3% to Rs. 47 Bn during the year, underpinned by strong performance of the Sri Lankan sector. The Sri Lankan sector performed well along with the increase in tourist arrivals to the country, with occupancy levels averaging 63%, in comparison to the previous year's level of 30%. The Group's marketing and sales strategy which included targeted promotions, particularly during the off season aimed at attracting domestic tourists also contributed towards the increase in occupancy levels at our Sri Lankan properties.

Meanwhile, revenue from the South Asian and Middle East sector which accounted for 77.7% of consolidated revenue, decreased by 9.41% to Rs. 36.73 Bn, mainly reflecting exchange rate fluctuations. Although revenue from our Maldivian resorts which is the largest contributor to the Group revenue increased in dollar terms, the appreciation of the Sri Lankan Rupee against

KEY DRIVERS OF REVENUE



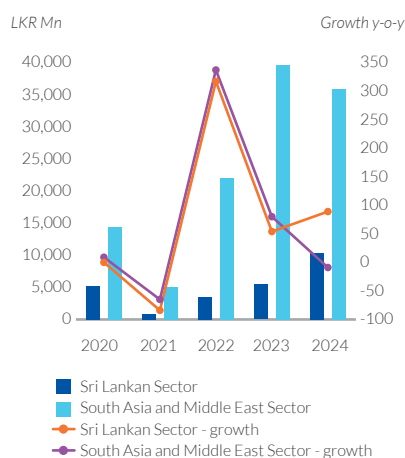
- + Surge in tourist arrivals to Sri Lanka
- Appreciation of the Sri Lankan Rupee against US Dollar during the year masked revenue growth from the South Asian and Middle East sector, particularly the Maldivian segment.

the US Dollar during the year resulted in the revenue figure for Maldives decreasing by 9.27% in Rupee terms.

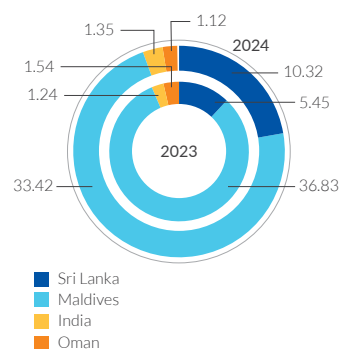
The Indian sector continued to perform reasonably well, recording an 8.52% growth in revenue during the year. Average room occupancy during the year was above 80% supported by 41,600 hotel room nights sold mainly to the business segment of the market.

The Omani segment on the other hand experienced a turbulent year with geopolitical tensions in the region due to the escalation of the Middle East conflict resulting in a drastic decline in leisure tourist arrivals. However, we managed to limit the decrease in revenue to 27.3% through targeted initiatives aimed at attracting domestic travellers as well as expansion of alternative revenue sources including outdoor catering and local food promotions.

Revenue Trends



Breakdown of Revenue Composition



Cost Management

Other direct operating expenses arising from the Sri Lankan sector increased by 91.91% driven by the increased activity levels at our properties along with the resumption of tourist arrivals to the country. Indirect operating expenses increased by 66.61% amidst inflationary pressures on food and rising energy costs, while staff costs related to the Sri Lankan sector also increased by 28%, as we adjusted remuneration of employees to reflect market adjustments in view of the tough economic conditions.

The Group placed strategic emphasis on managing the cost base given the volatile operating conditions that prevailed during the year. Group wide cost management initiatives are indicated below.

Discretionary expenses continued to be deferred as we focused on rationalisation of costs in order to preserve liquidity.

Overhead costs of the Group was **Rs. 37.91 Bn**, compared to **Rs. 37.94 Bn** of last year.

CAPITAL REPORTS

FINANCIAL CAPITAL

Driving energy savings

Optimising resource usage

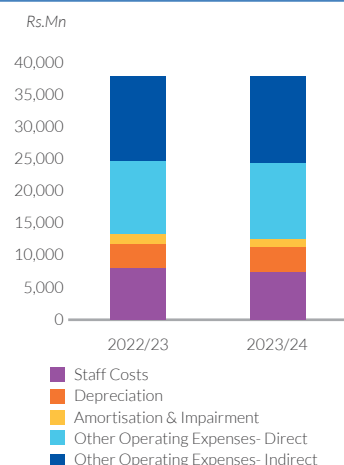
Streamlining and automating processes

Driving a cost conscious culture throughout our operations

Preference to local suppliers in close proximity to our properties in a bid to manage high cost of imported raw materials.

Group profit from operations increased by 13.67% to Rs. 8.31 Bn during the year driven by strong performances from the Sri Lankan, Maldivian and Indian sectors. The Sri Lankan sector bounced back during the year to record a profit from operations of Rs. 1 Bn compared to the loss from operations of Rs. 0.45 Bn recorded last year. The South Asian and Middle East sector contributed Rs. 7.3 Bn to operating profits which is a decrease of 5.8% compared to last year.

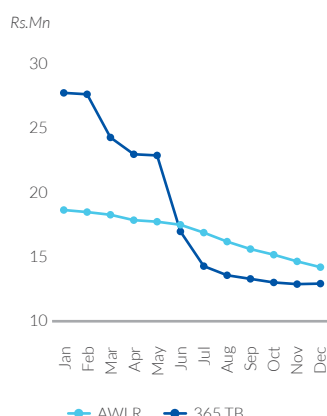
Overhead Costs



FINANCE EXPENSES

The gradual easing of the monetary policy by the Central Bank of Sri Lanka led to a decrease in market interest rates towards the latter part of 2023, resulting in finance expenses of the Group decreasing by 2.47% to Rs. 5.67 Bn. Finance income for the year amounted to Rs. 399 Mn consisting mainly of returns made on financial investments. The Group's net finance expense decreased marginally by 0.01% to Rs. 5.27 Bn during the year, reflecting a decrease in both long-term and short-term interest-bearing liabilities.

Interest Rates



PROFITABILITY

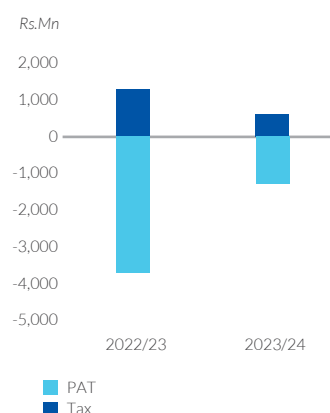
The management demonstrated resilience in navigating volatile market conditions, going on to strengthen the Group's profitability during the year. The pre-tax profitability of the Group increased by 82.75% to Rs. 3.01 Bn during the year, with the strong performance of the Maldivian and Indian sectors offsetting losses from the Sri Lankan and Omani operations.

Although the Sri Lankan operations recorded a pre-tax loss of Rs. 658 Mn, it is a remarkable improvement from the loss of Rs. 2,417 Mn recorded last year, reflecting the substantial increase in revenue earned during the year along with the revival of the tourism industry in the country.

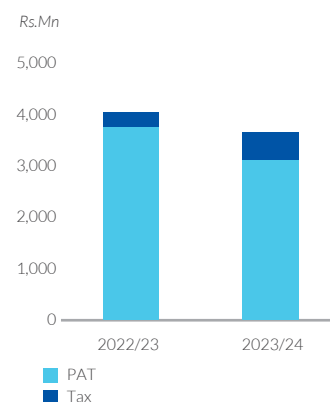
While our Maldivian operations continued to be profitable, stiff competition and rising costs exerted pressure on margins.

Meanwhile, losses arising from equity accounted investees reduced by 90.87% to Rs. 36 Mn compared to the previous year 397 Mn. Income tax expenses for the year amounted to Rs. 1.14 Bn which resulted in Group profit after tax increasing to Rs. 1.86 Bn compared to Rs. 46.81 Mn recorded last year.

Profitability- Sri Lankan Cluster



Profitability- South Asia & Middle East Cluster



FINANCIAL POSITION AND STABILITY

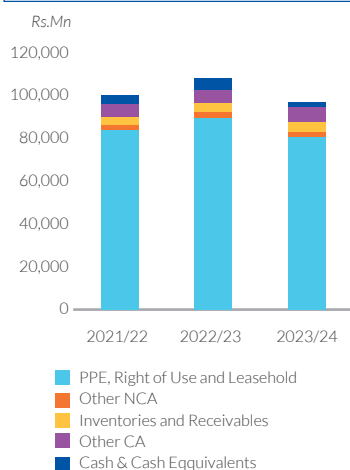
Assets

Total assets of the Group declined by 10.06% to Rs. 97.08 Bn by the end of March 2024. As the hotel sector is a capital-intensive industry, the asset composition weighs heavily on non-current assets, which account for 85.15% of the total assets.

68.17% of total assets account for property, plant and equipment which declined by 8.89% to Rs. 66.18 Bn by the end of the financial year. The decline in PPE can be mainly attributed to the decline in the Rupee value of assets, as the Sri Lankan Rupee appreciated significantly against the US Dollar during the year.

Meanwhile, current assets of the Group accounted for 14.85% of total assets. Current assets declined by 9.6% during the year as inventories (-15.6%), other financial assets (-11.49%) and cash and cash equivalents (-56.35%) contracted during the period. However, trade and other receivables increased by 30.8% to Rs. 3.3 Bn, reflecting increased operating levels.

Asset Composition



Key Driver

Consciously reduced exposure to interest bearing liabilities.

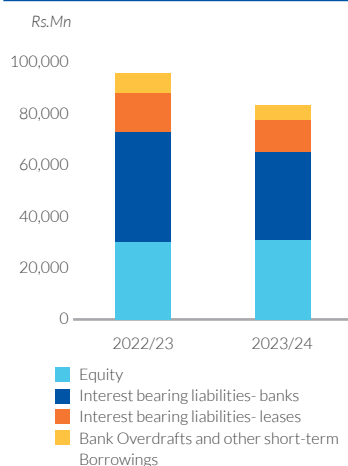
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Funding: Capital and Liabilities

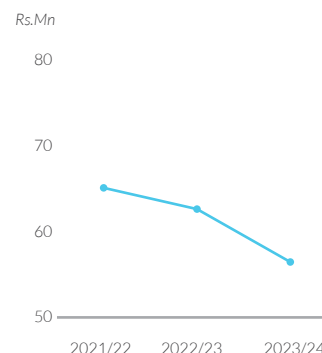
Although there was a loss on foreign currency translation which had a negative impact on the foreign currency translation reserve, shareholders' funds increased by 2.27% to Rs. 30.86 Bn, supported by profits generated during the year. Resultantly equity funded 31.79% of total assets of the Group, compared to 27.96% the previous year.

Total liabilities decreased by 14.85% at the end of the year as the Group sought to curtail borrowings in an effort to strengthen its financial resilience. Along with the repayment of long-term debt settlements the Group's gearing ratio (debt/debt + equity) decreased to 56.47% from 62.65% of the previous year. Despite persistent challenges, the Group successfully met all its financial commitments when they fell due. Aitken Spence Hotel Holdings PLC did not receive Financial Assistance from the government during the year under review.

Funding



Gearing Ratio



CASHFLOWS AND LIQUIDITY

During the year, cashflows generated from operating activities amounted to an inflow of Rs. 7.77 Bn reflecting increased operational activity. Given the volatile operating conditions that were prevalent during the year, the Group's approach to managing cashflow and liquidity included negotiations with suppliers for favourable settlement terms, rationalising costs, close follow up on debt collection and effective management of working capital.

Cashflows used in investing activities amounted to Rs. 0.96 Bn as the Group invested in routine maintenance and replacement of property, plant and equipment to ensure guest satisfaction. Net cash outflow from financing activities amounted to Rs. 7.52 Bn, mainly reflecting the repayments of interest-bearing liabilities. Overall, the Group's cash and cash equivalents recorded a net outflow of Rs. 3.32 Bn compared to an outflow of Rs. 2.68 Bn during the previous year.

Analysis of Cash and Cash Equivalents at the year end

- Cash at bank and in hand **Rs. 1.85 Bn**
- Short-term deposits **Rs. 449 Mn**
- Bank overdraft **Rs. 5.62 Bn**

GRI 203-1



The Group's manufactured capital comprising of its portfolio of properties, physical infrastructure and technology plays a pivotal role in attracting customers, ensuring satisfaction and enhancing brand value. Continued investments in manufactured capital nurtures our competitive advantage, enhances the overall guest experience and supports increased capacity.

OUR MANUFACTURED CAPITAL INPUTS



- Room inventory:
 - Sri Lanka: **1,295**
 - South Asia & Middle East: **1,035**
- Property, plant and equipment of **Rs. 66.1 Bn**
- Digital infrastructure of **Rs. 324 Mn**

VALUE DRIVERS



- Rs 1,838 Mn** investment on refurbishments, renovations and capital investments across our property portfolio
- Strengthening mechanisms to measure customer satisfaction
- Improving efficiency levels through automation and process improvements
- Investments in enhancing our digital capabilities including website enhancements, social media presence and digital marketing

VALUE CREATED

92.22%

Customer satisfaction score on facilities

85%

increase in website traffic through social media

44%

increase in direct bookings through website

STRATEGIC FOCUS AREAS 2023/24

- Utilising digital infrastructure to enhance customer engagement and relationship management
- Safeguarding our manufactured capital through regular maintenance
- Improving our environmental footprint through efficient resource consumption
- Optimising capacity utilisation



1.1.1 MANAGEMENT APPROACH

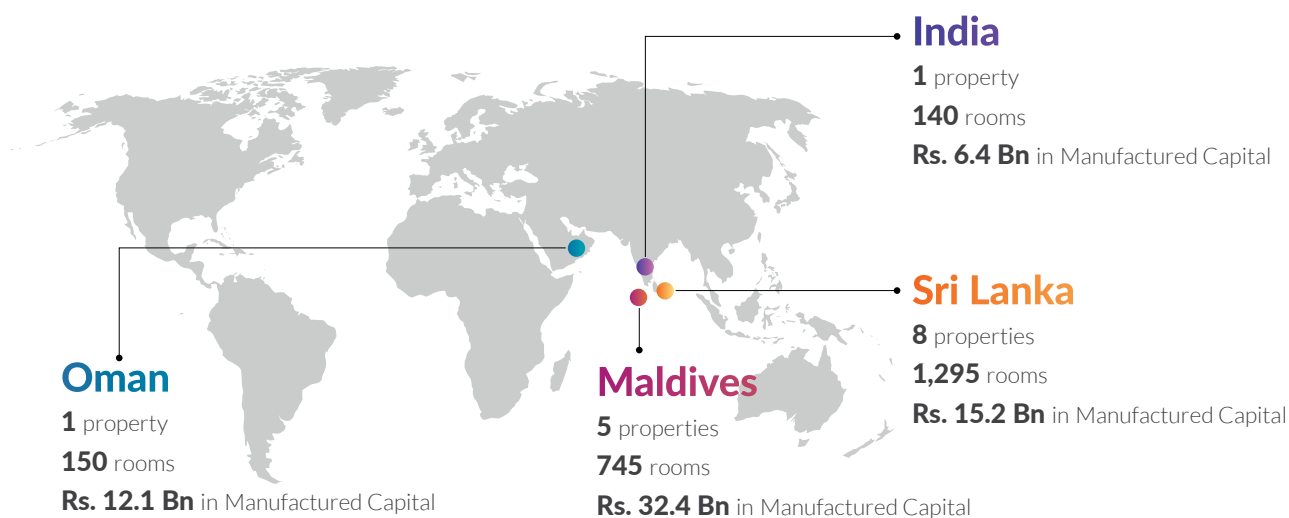
Nurturing manufactured capital requires significant allocation of resources, particularly financial. Major investment proposals undergo assessment based on multiple criteria to ensure alignment with the Group's overall strategic objectives and goals.

However, given the volatile operating environment and macroeconomic challenges faced in the last few years, major renovations were put on hold during the year and refurbishments were carried out only where necessary to ensure guest satisfaction.

1.1.2 OUR PROPERTY PORTFOLIO

Our collection of properties offers diverse and varied experiences to guests. From iconic properties renowned for their architecture and gastronomy, to retreats in unique locations, each property boasts a distinct character. This has helped us to successfully deliver distinction despite encountering intense competitive pressures.

*Map shows only owned properties



Number of available room-nights	850,450
Total area of lodging facilities	316,423 m ²
Number of lodging facilities that are:	
(1) managed	3
(2) owned	14
(3) Owned and Franchised	1
Number of (1) entity-owned and (2) franchise restaurants	Nil

CAPITAL REPORTS

MANUFACTURED CAPITAL

Heritage Ahungalla



Heritage Ahungalla, the first five-star beach resort in the country was designed by the legendary architect Deshamanya Geoffrey Bawa. With 152 rooms, it boasts the world's first infinity pool, inviting guests to experience southern charm and tranquillity.

The resort's theme revolves around peace and serenity, with breathtaking views of the blue sky and sea combined with the symphony of modern comforts, making the hotel the ultimate beach getaway.

Heritage Ahungalla also serves as a canvas for Sri Lanka's renowned artists with their arts and crafts adorning the walls and ceilings, promoting local talent and enhancing the guest experience.

Heritage Kandalama



This 152-room property in Dambulla, envisioned and created by renowned architect Deshamanya Geoffrey Bawa, is a merging of design and the natural environment.

Emphasising the preservation of the natural habitat, the hotel seamlessly blends into the landscape, offering picturesque views of Dambulla lake, the rolling hills beyond and Sigiriya. Top-notch cuisine and convenient access to cultural and natural wonders will ensure your stay here will be unforgettable.

Setting a precedence in eco-design, the hotel was the first in Asia to achieve Green Globe 21 certification and the first in the world to receive the esteemed LEED Green Building certification.

Sentido Heritage Negombo



Sentido Heritage Negombo caters to the modern traveler, offering an iconic location just minutes away from the airport and other cultural sites. This 139-room city resort seamlessly blends inventiveness and grandeur, creating the perfect holiday and banquet space that celebrates the spirit of Sri Lanka.

Sprawling across 6.5 acres of beachfront land, every room boasts a signature view of the sea. The hotel draws inspiration from Negombo's violet sunsets, incorporating primary colours and brassware into its design.

Inspired by the popular street dining concept of the city, the resort features an outdoor dining area giving diners a front row view of the busy city.

Heritage Ayurveda



Heritage Ayurveda, the first property launched by Aitken Spence Hotels and reopened in 2011, offers a unique and authentic ayurveda wellness experience. The resort has revolutionised the delivery of professional ayurvedic treatments without compromising on comfort, making it a favourite among wellness enthusiasts worldwide.

Situated in Beruwala, this 64-room hotel is another masterpiece designed by Geoffrey Bawa, seamlessly blending architecture with nature, an aspect vital for the balance of body, mind and soul. The resort also provides a cultural experience, as local residents showcase their crafts and traditions.

Heritage Tea Factory



Originally a 19th-century tea factory, Heritage Tea Factory is now a tranquil escape featuring a 50-room hotel that embodies local hospitality and up-country charm. Notably, it was the first tea factory in Sri Lanka to be converted into a hotel, earning it a UNESCO Merit Award for meticulous restoration.

Guests can participate in tea plucking activities on the estate, explore a mini tea factory, and indulge in professional tea-tastings. The vibrant tea menu caters to connoisseurs from around the world, making Heritage Tea Factory a unique tea destination.

Hotel Riu Sri Lanka



Hotel Riu Sri Lanka, situated on a magnificent beach in Ahungalla, offers stunning ocean views, diverse menus and a wide range of entertainment options. As part of the international RIU chain of hotels, this 501-room property provides a variety of services and amenities on an all-inclusive basis.

Guests can enjoy a relaxing stay while immersing themselves in Sri Lanka's rich culture and natural beauty. Whether you're a couple, a family, or a group of friends, the hotel caters to everyone. From the mini club for kids to ample entertainment choices, Hotel Riu Sri Lanka ensures a memorable vacation.

Turyaa Kalutara



Nestled on six acres of sandy beaches, dotted with striking green coconut palms, this 199-room resort celebrates the vibrancy of life. Inspired by the Sri Lankan word for 'melody,' the resort is designed to create a perfect synergy of peace, comfort, celebration, and delight.

Turyaa Kalutara is conveniently located just 37 km away from the island's commercial hub. Bright spaces and an array of spacious accommodation options, dining spaces, entertainment areas, banquet facilities, and conference spaces make this an ideal resort in proximity to the city for a variety of activities from leisure to business.

Amethyst Resort



Surrender to the beach vibes as you unwind on one of Sri Lanka's longest shorelines. This unassuming resort stretches across ten acres of bay, with 38 rooms designed to escape the mundane. The large open spaces create a sense of calm and relaxation, offering incomparable peace of mind.

Uniquely positioned to offer views of two water bodies, a stream and the Indian Ocean, the resort is a perfect holiday retreat to be immersed in relaxation, culture and adventure.

CAPITAL REPORTS

MANUFACTURED CAPITAL

Earl's Regency Hotel



Experience regal living in Sri Lanka's last kingdom, where culture and nature harmonise. Located at the heart of Kandy, our 116-room hotel combines royalty with innate hospitality. Earl's Regency epitomises elegance, inviting you to unravel Sri Lanka's hidden marvels while enjoying comfort and indulgence.

Our premier five-star property exceeds expectations with professional service, award-winning cuisine, and a wide range of accommodation options – perfect for an unforgettable vacation.

Heritage Aarah



The 150-villa resort extends the 'Heritage' brand beyond Sri Lanka's borders. With its Premium All-Inclusive offering, guests can enjoy gastronomic delights, cultural immersion, and exhilarating activities. Upholding the Heritage promise, the resort embraces local culture with a unique in-resort Maldivian Village that celebrates the archipelago's rich history. As pioneers in Maldivian hospitality, the resort is distinguished as the first LEED-certified building in the Maldives, underscoring its commitment to sustainability.

Adaaran Prestige Vadoo



This overwater adults-only villa resort, comprising 50 villas, is an oasis for those seeking ultimate relaxation and seclusion amidst stunning natural surroundings.

Strategically positioned at the gateway to the South Atolls, the resort boasts its own exotic reef teeming with vibrant aquatic flora and fauna. As a honeymooners' paradise, Adaaran Prestige Vadoo offers secluded villa designs with breathtaking views of the Indian Ocean.

Adaaran Select Meedhupparu



Nestled in the Raa Atoll, this Premium-All-Inclusive resort offers 221 villas, including beachside and overwater options, on a lush island adorned with pristine beaches and swaying palm trees. The island provides the idyllic setting for a dream vacation, complete with exhilarating activities, rich marine life, a variety of dining options, and ample opportunities for relaxation.

The vast private island is also perfect for celebrating special occasions, offering a romantic and picturesque backdrop for unforgettable moments.

Adaaran Club Rannalhi



Situated at the tip of the South Male Atoll, this All-Inclusive resort is enveloped by stunning tropical surroundings. With 122 rooms and overwater villas, each offering direct access to the ocean akin to a private pool, it is ideal for those seeking a quick escape from everyday life. At Adaaran Club Rannalhi, guests can enjoy convenient access to the capital city, pristine beaches, water sports, and a tranquil environment. Whether seeking self-discovery, relaxation, or a cosy retreat, our island haven provides a private space for everyone.

Adaaran Select Hudhuran Fushi



Renowned as the 'surf island,' this 192-villa resort features a fantastic left-breaking wave on one side and six other world-class waves accessible via a short boat ride. Located in the North Malé Atoll, it caters to surfers of all skill levels, from beginners to professionals. The resort's Premium All-Inclusive package is designed to accommodate families, honeymooners, adventure seekers, and friends, ensuring an unforgettable experience for all.

Al Falaj Hotel Muscat



Conveniently located in the heart of Muscat, this 150-room hotel caters to both business and leisure travellers. Seamlessly blending business and relaxation, it offers easy access to the business district and numerous tourist attractions.

With newly refurbished rooms, spacious meeting venues, and thoughtful service, Al Falaj is among Oman's finest business hotels.

Desert Nights Resort



Discover the epitome of glamping in Oman at this unique 88-bed Bedouin-style tent camp situated in the silky Wahiba Sands. The resort combines the authenticity of desert camps with luxurious facilities, surrounded by picturesque dunes and crystalline wadis.

An award-winning resort, it creates a mystical atmosphere that transports guests to days gone by, allowing them to sleep under the twinkling stars.

CAPITAL REPORTS

MANUFACTURED CAPITAL

Sur Plaza Hotel  Located in the picturesque city of Sur, which is famous for its old fishing village and traditional manufacturing of dhows, Sur Plaza Hotel creates a relaxing and unforgettable experience for guests. With 105 rooms, this three-star property sits on the eastern shores of the Arabian Peninsula, making it one of the first places in the region to witness the Middle Eastern sunrise.	Turyaa Chennai  Conveniently located in the IT corridor of OMR, Chennai, Turyaa Chennai is a five-star deluxe hotel that seamlessly blends business and leisure. With 140 rooms, it caters to both tourists and business travellers. The hotel offers personalised amenities and services, creating a trendy yet exclusive space for stays, high-powered business meetings, intimate weddings, or family time.
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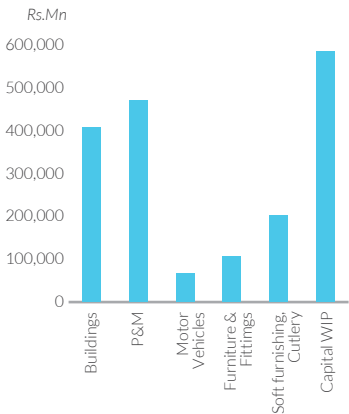
CAPITAL EXPENDITURE IN 2023/24

The Group’s capital expenditure during the year primarily focused on routine maintenance and replacements. Additionally, we continued to invest in safety protocols and enhance energy efficiency across our properties.

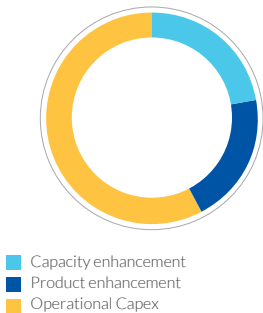
Key Capex during the year is mentioned below:

- Upgrade of the front façade and car park at Al-Falaj Hotel Muscat.
- Invested in a new bar concept at Adaaran Select Meedhupparu Maldives.
- Ongoing upliftment of rooms at Heritance Ahungalla and Heritance Kandalama.
- Upliftment of the restaurants at Turyaa Kalutara.
- Undertook repairing of part of the roof at Heritance Ahungalla.

Capital Expenditure by Category



BreakDown of Capital Expenditure



LONG-TERM ASSET MANAGEMENT STRATEGY

The Group's asset management strategy revolves around striking a balance between short-term and long-term interests, funding needs, and asset life cycles. The core objective is to optimise the trade-off between risk and return while ensuring sustained growth, preservation, and diversification of our manufactured capital.

Our long-term asset development strategy also seeks to identify new destinations through joint ventures and opportunities in property management, contributing to low intensity capital growth. Regular review of our strategy ensures alignment with market conditions and the goals of the Parent Entity.

OUR DIGITAL INFRASTRUCTURE

Along with the significant changes in the industry landscape in recent years, the Group continued to leverage its digital infrastructure to engage with customers, employees, and business partners, ensuring seamless continuity of essential business functions.

During the year, the Group focused on enhancing the functionality of the hotel websites, its visual appeal as well as utilising digital marketing tools to boost direct bookings, improve property management systems, and streamline processes.

The adoption of a multi-channel approach by optimising the use of social media platforms also proved successful for the Group, resulting in increased direct bookings during the period.

We are looking at upgrading our websites with a new look to support growth from this segment.

We have planned refurbishments and repairs at a few properties in Sri Lanka and the Maldives during the upcoming financial year.

OUTLOOK

In the short term, the Group will continue to adopt a wait and see approach on large-scale investments and capital expenditure due to the sensitivity of the tourism industry and the volatility in the operating environment. However, we remain optimistic that normalcy will soon be restored, considering the inherent resilience of the tourism industry. This optimism fuels our efforts to invest in upgrading our properties and undertaking significant refurbishments, all aimed at elevating the guest experience.



Human Capital

The skills, experience and dedication of our team is key to driving our operations, facilitating excellence in customer service and ensuring the sustainability of our business. In turn, we remain steadfast in our commitment to supporting them with a holistic value proposition, aligned to both personal and organisational goals.

OUR HUMAN CAPITAL INPUTS



- Our team of **2,823** passionate and committed employees is a key differentiator for the Group.
 - 1,355** employees in Sri Lanka
 - 1,468** employees in South Asia and the Middle East
- 0.7%** female representation at the management level, **3.1%** at executive level and **5.8%** at non-executive level
- The combined expertise and experience of our team is a key component of our competitive advantage.

VALUE DRIVERS



- Rs 13.6 Mn** investment in learning and development propositions
- Remuneration, bonuses and increments were safeguarded in full and adjusted to compensate for the increase in cost of living.
- Ongoing efforts to nurture a diverse, equitable and inclusive organisational culture.
- Showcasing tangible pathways for career progression.
- Cross functional and cross cultural exposure.

VALUE CREATED

Rs 7.47 Bn

paid as Employee Salaries and Benefits

86,104

training hours

258

promotions

1,008

employees from the local community

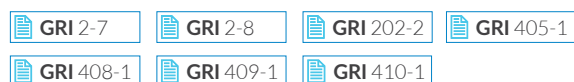
STRATEGIC FOCUS AREAS 2023/24

- Upskilling and reskilling of talent through structured learning and development initiatives
- People enablement in management and leadership development
- Developing cross functional efficiencies
- Enhancing proactive engagement
- Focused talent acquisition strategies for creating pipelines for leadership positions



OUR MANAGEMENT APPROACH

Management of human capital is underpinned by a comprehensive suite of HR policies and procedures which are aligned to the HR policies of the parent entity. Given the diversity of businesses within the Holding Company, each sector operates its own HR department, which is supported by services from the Group's centralised HR function, ensuring adherence to Aitken Spence Group standards.



The suite of HR policies is further supported by the HR reporting and governance structure in place, in managing this key capital.

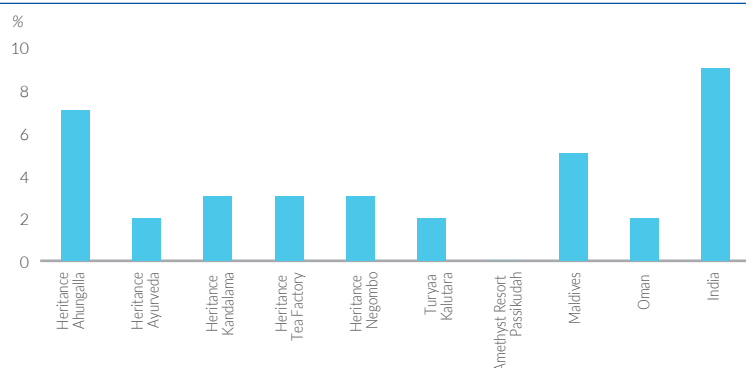
TEAM PROFILE

Our talent pool comprises of 2,823 employees representing different religious, geographic and cultural backgrounds. As an equal opportunity employer, we do not discriminate against employees, thereby allowing them to build fulfilling careers with us. The profile of our team is presented below:

Employee Contract Type	Permanent	Contract	Casual	Total
Total	1,081	1,647	95	2,823
Gender				
Male	961	1,500	87	2,548
Female	120	147	8	275
Region				
Sri Lanka	610	745	0	1,355
Maldives	295	902	0	1,197
Oman	85	0	37	122
India	91	0	58	149

All figures are given as a head count

% of Managers from the Local Community

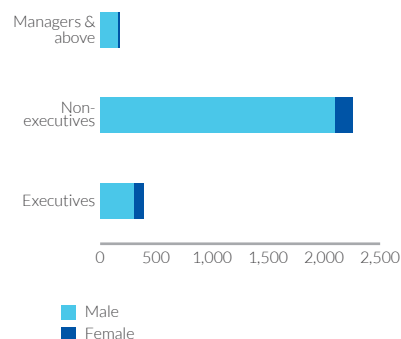


- 38.2% of the talent pool is engaged on a permanent basis, 58.3% on a contract basis and the remainder on a casual basis.
- There are no part-time employees.
- Only security personnel are outsourced by the Group. All (100%) security personnel have received training on the Group's human rights policies and procedures.
- Zero incidents of child labour or forced labour were reported during the reporting year.

All employees are required to adhere to the **Group Code of Conduct and Ethics** which sets out the professional and ethical conduct expected from our employees when engaging with internal and external stakeholders. Key elements of the Group Code of Conduct and Ethics include:

- Ethics and Conduct
- Principles of Conduct
- Ethical Decision Making Framework
- Conflict of Interest
- Healthy Work Environment
- Corporate Gifts
- Entertainment
- Self-Dealing
- Confidentiality
- Fair-Dealing
- Protection and Proper Use of Company Assets-Compliance with Laws, Rules and Regulations (including Insider Trading Laws)
- Substance Abuse - Illegal Drugs and Controlled Substances
- International Relationships

Employees by Staff Category & Gender



GRI 401-1

A STRONG TEAM

The Group’s recruitment policy ensures that individuals with the right talent are identified and recruited through a comprehensive process that seeks to provide equal opportunity. Internal career advancement of our employees is given high prominence as we continue to mentor them for higher responsibilities. Fresh talent is also tapped through external sources such as SLITHM, universities, vocational training centres and other professional organisations.

Apart from the Group Orientation Program, all new recruits undergo the ‘Foundation of Success’ induction programme which is designed to help new recruits transition into the Spenonian Team. The programme provides insight into the Code of Conduct and Ethics, policies related to anti-bribery and anti-corruption and other Company Policies as well as essential administrative procedures.

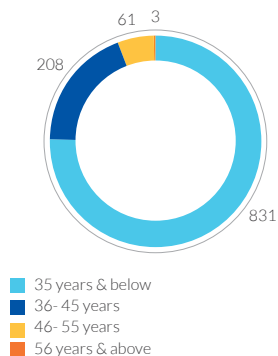


Our talent pool was refreshed with infusing 1,090 new recruits in 2023/24.

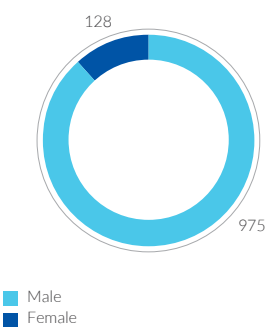
Changes to the Recruitment Policy

- Re-commenced the engagement of trainees in response to rising occupancy levels.
- Strengthening collaborations with educational institutions and hotel schools to source potential candidates.

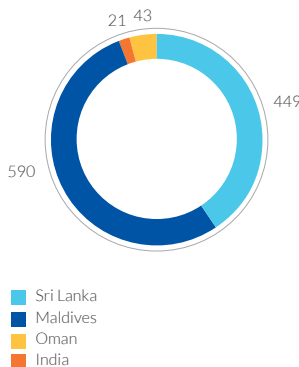
Recruitment by Age



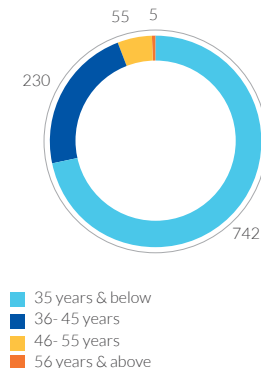
Recruitment by Gender



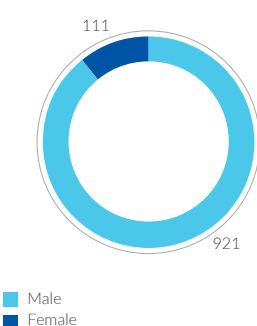
Recruitment by Region



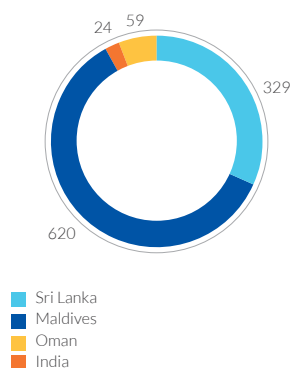
Turnover by Age



Turnover by Gender



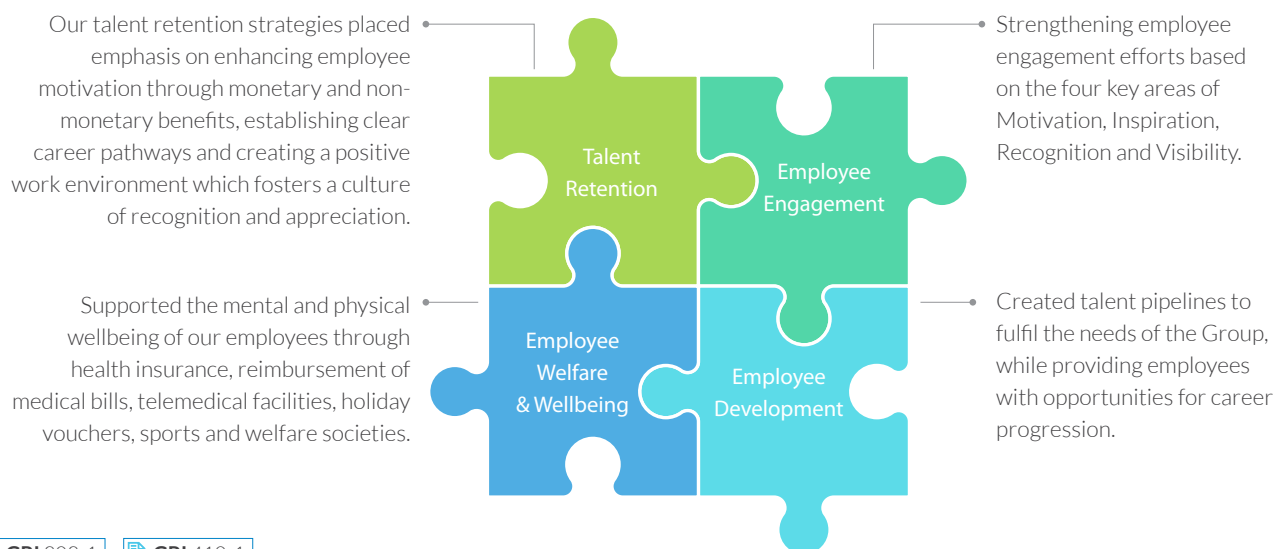
Turnover by Region



OUR HR STRATEGY

Along with the revival of the tourism industry within the country, we needed to strengthen our team. However, recruitment and retention of skilled employees was a challenge amidst the high levels of labour migration in search of better opportunities overseas.

We took a proactive approach in addressing this challenge, by strengthening our talent attraction, retention and development strategies. Emphasis was also placed on ensuring financial security for all employees through various relief measures, given the broad-based impacts on the quality of life of our people.



GRI 202-1 GRI 410-1

REMUNERATION, RECOGNITION AND REWARDS

Our rewards and remuneration policies are in line with the parent entity and customised to reflect industry-specific elements. In addition to the basic remuneration, we provide a host of statutory and other benefits designed to retain and motivate our employees.

All standard entry level wages are paid in accordance with the local minimum wage legislation of the respective country of operation irrespective of gender.



Staff cost amounted to Rs 7.47 Bn during the year. There were no penalties due to non-compliance with labour laws and regulations.

Rewards and Benefits		
Reimbursable Expenses	- Reimbursement of medical bills - Annual subscriptions for professional memberships - Supporting continuous professional development - Transport and travel reimbursements	Additional Support given due to the Economic Crisis - For identified talent pool, remuneration and benefits were adjusted to align with the current market conditions. - Vouchers were given to non-executive staff through a special financial grant in partnership with "DEG Impulse GmbH" (Initiative of the Group). - Online sessions related to employee wellbeing were conducted by the Group. - Extension of temporary crisis allowance.
Subsidised Loan Schemes	Housing loans	
Other Benefits	- Holiday bungalows for executives - Free holiday vouchers at Aitken Spence Hotels - Special rate for hotel staff - Health insurance - Aitken Spence Sports & Welfare Society - Tele medical facility - Enhanced parental leave - Wedding gifts - Death donations - Child care facilities	

GRI 404-3

PERFORMANCE MANAGEMENT

Our performance management process is aligned to the Group's competency framework with all (100%) employees being subject to a performance appraisal. Individual performance is recognised and rewarded through performance-based increments and bonuses. The appraisal provides insight for employee development and facilitates career progression.

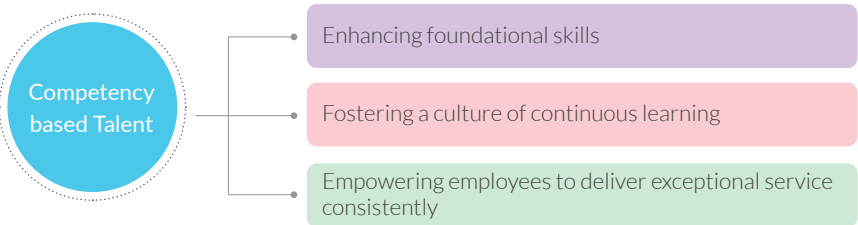
GRI 404-1

GRI 404-2

OPPORTUNITIES FOR TRAINING AND DEVELOPMENT

The surge in tourist arrivals posed a significant demand on the existing labour force, requiring strategic learning and development interventions to meet and exceed visitor expectations.

Accordingly, the L & D strategy for the year focused on fortifying the Company's processes through the implementation of a comprehensive program.



The performance appraisal is a three-step process of goal planning, mid-year review and annual goal evaluation, facilitated by the online Human Resources Information System (HRIS).

The total investment in training amounted to **LKR 13.6 Mn**, with **52%** of our employees undergoing **86,104 hours** of training during the year.

Average training hour per employee is **1.83**.

Management training comes within the purview of the Aitken Spence School of Management (ASSM), the learning and development sector of the parent entity. During the year, the training needs identification process was refined and optimised. The new process allowed training requirements to be identified monthly, following which customised training was carried out to suit individual needs.

Our learning and development efforts were directed towards the following areas during the year:

Process Development We prioritised the refinement and optimisation of our learning processes to ensure efficiency and effectiveness in meeting the evolving needs of our guests by streamlining workflows and implementing best practices. This enhanced service delivery across all touchpoints.	Strengthening the Brilliance in Basics We invested in training programs to equip our workforce with essential competencies required to excel in their roles. Emphasis was placed on elevating standards of service excellence and attention to detail. The same was strengthened with a newly developed Departmental Trainer Development programme - Heritance LEAD, thus, ensuring training is available on demand with professionally trained trainers in all departments.
Employee Retention through Motivation and Engagement We implemented initiatives aimed at boosting employee morale, fostering a sense of belonging, and promoting a positive work environment conducive to growth and development through multiple learning interventions which enabled teams to come together and engage in solving day to day problems and be a part of meaningful work.	Leadership Development Invested in leadership development programs to nurture and empower our current and emerging leaders. These initiatives focused on honing leadership competencies, fostering strategic thinking, and cultivating a culture of innovation and collaboration.
The Heritance Rise Management Trainee Development Program A prestigious 18-month initiative designed to equip aspiring hospitality professionals with the necessary skills and competencies to advance in their careers. Tailored for individual growth, the program combines theoretical knowledge enhancement with hands-on learning, coaching, and mentoring by industry leaders, complemented with training at one of the Group's international properties. The current program has commenced with six enthusiastic individuals following a strenuous selection process.	

AITKEN SPENCE INSTITUTE OF HOTEL MANAGEMENT

The Aitken Spence Institute of Hotel Management has played a pivotal role in meeting the growing demands for skilled employees within our hotels. Through targeted training programs, we have empowered underprivileged youth with the necessary skills and knowledge to pursue fulfilling careers in the tourism trade. By providing employment opportunities within our hotels, we not only contribute to their socio-economic upliftment but also foster positive change within the communities where we operate.

Operating in partnership with TUI Care Foundation and Sustainable Hospitality Alliance, the institute has been instrumental in nurturing talent and facilitating career opportunities in the hospitality industry.

The Group operates two hotel schools at Heritance Kandalama and Heritance Ahungalla which provides technical training in a number of areas. This has enabled us to reach out to marginalised communities where youth have limited opportunities for personal and professional growth, thereby facilitating livelihood upliftment. Graduates completing the course have the opportunity to apply for vacancies within the Group or seek employment in other hotels.

In line with our commitment to diversity and inclusion, we have intensified our focus on female students, with nearly 30% of our student body comprising women. This deliberate effort reflects our commitment to gender equality and empowerment, providing equal opportunities for all aspiring hospitality professionals.

44 graduates from the hotel school in Ahungalla

32 graduates from the hotel school in Kandalama



Hotel School Graduation Batch of 23/24

- GRI 403-1

GRI 403-2

GRI 403-3

GRI 403-4

GRI 403-5

GRI 403-6

GRI 403-7

GRI 403-8

GRI 403-9

GRI 403-10

EMPLOYEE HEALTH, SAFETY AND WELL-BEING

We are committed to ensuring health and safety, reducing workplace risks and creating a conducive work environment for our employees through stringent policies, ongoing training, Health and Safty (H & S) steering committees and internal audits.

Our Health and safety practices are guided by the requirements of the Travelife certification which provides guidelines on safety training, fire drills and use of protective equipment (OHSAS) among others.	Each of our properties has a Health and Safety representative and a steering committee made up of elected employees that conduct H & S internal audits and training for the prevention of potential hazards and risks.
The SpenceSafe safety protocols based on local and international health guidelines and best practices also ensures the safety of both guests and employees through its precautionary mandates	There were no reported incidents of non-compliance with health and safety regulations during the year

The Group also prioritised employee well-being by creating work-life balance and optimising workplace environments.

Health and Safety Record in 2023/24

45	76	0	0
Workplace related accidents & incidents	No. of lost working days due to work related injuries	No. of occupational diseases	Fatalities due to Accidents

CAPITAL REPORTS

HUMAN CAPITAL

ACTIVE ENGAGEMENT

Various formal and informal communication mechanisms are established to address employee concerns and maintain engagement. These efforts help motivate employees and boost morale, particularly in the challenging operating environment.

Open communication channels to address concerns and facilitate collaboration.

Regular staff and team meetings to ensure effective communication.

Providing opportunities for employee feedback and suggestions through Voice of Spensonians an **employee survey** conducted by the Group.

The Group **grievance handling, whistle blowing, and disciplinary** process.

The initiatives for employee engagement were based on four key areas:

Motivation	Inspiration	Recognition	Visibility
Celebration of festivals such as Vesak, Sinhala and Tamil New Year, Eid, Pongal and Christmas Chillax Evening Staff Get-together Quiz Competitions	Spensonian Conventions Team building activities Beach clean-ups Invoking religious blessings Blood Donation Campaigns Medical Clinics Celebrating commemorative days	Selection of the Diamond of the month (for the face and heart of the house) through which two individuals are selected for the year as Diamond of the Year Monetary reward given to executives who complete 25 years of service,	Talent shows, Women's and Men's Day celebrations Sports Tournaments



GRI 2-30

GRI 402-1

GRI 407-1

Trade Union Relationships

The Group acknowledges the rights of our employees to freedom of speech, expression and association. Approximately 17% of our employees across three (03) properties are represented by Trade Unions, namely the Nidahas Sevaka Sangamaya and the Food, Beverages & Tobacco Industry Employees' Union. Additionally, 11.5% of our employees are covered by Collective Agreements.

Cordial relationships were maintained with the Trade Unions during the year, obtaining support for the implementation of new work practices and the determination of remuneration. Employees are able to escalate workplace issues to their respective General Managers, Head of HR and subsequently to the Parent Union as a part of the well-established grievance mechanism.

A minimum notice period of four weeks is in place for significant changes in working conditions, providing employees adequate time to adapt and adjust. There were no instances of disruptions to work due to industrial disputes during the year.

DIVERSITY, EQUITY AND INCLUSION

We believe that a diverse and inclusive work environment enriches decision making through the combination of different skills, ideas, and perspectives. As such, the Group is committed to ensuring a conducive work environment free from discrimination for all our employees. Our policy framework provides equal opportunity to individuals regardless of age, gender, race or religion.



During the year, we launched the Heritance Enable programme for Aitken Spence Hotels which seeks to provide job opportunities for persons with disability.

Persons with disability in 2023/24

Hearing disability	01
Speech disability	01
Mobility & Physical impairments	Nil

OUTLOOK

We will continue our employee value proposition in line with the overall Group strategy. With the anticipated growth in the tourism sector, the Group will focus on facilitating this growth by placing emphasis on enhancing employee engagement, remuneration and benefits, development, mobility and creating a more conducive environment thereby building a team that is skilled, motivated and well equipped to drive our growth plans.

GRI 202-1 GRI 401-3 GRI 405-2 GRI 406-1

GENDER PARITY AT ASHH

We strive for gender parity in our organisation and the wider society by....

...developing policy and structural enablers to promote gender parity.

Our policy framework, HR practices and organisational culture drives gender parity across the organisation. Through the #SpenceWomenAtWork initiative, we have committed to enhancing gender equality and women empowerment throughout the lifecycle of an employee – from recruitment to retention, engagement, career progression and building capabilities.

There is also a formal system and well-organised process to handle employee grievances relating to sexual harassment at the workplace. During the year, there was only one substantiated incident of harassment reported for which appropriate action was taken. There was no instance of discrimination reported.

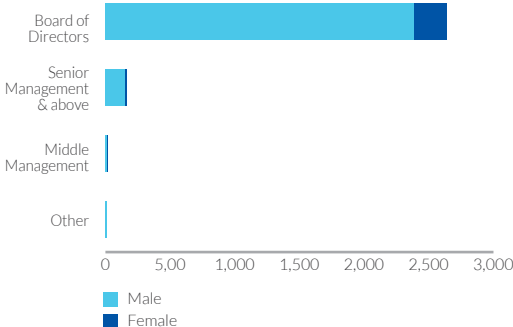
CONDUCTIVE POLICY FRAMEWORK

Diversity & Inclusion	Sexual Harassment	Remuneration	Parental Leave
The Aitken Spence Group's Diversity and Inclusion (D&I) Policy was revised and relaunched last year . This included the establishment of the main committee and subsidiary D&I committees.	Open door policy Grievance handling policy Sexual harassment prevention policy	Our compensation policy focuses on gender pay equity. The basic salary levels for both men and women at entry level are at parity (ratio 1:1) and discrimination in any form is not tolerated.	Maternity leave of upto 100 working days Five days of paternity leave for fathers During the year, 32 employees utilised the parental leave facility. 30 of 32 employees returned to work within 12 months of utilising parental leave.

HR PRACTICES

The Semi-Virtual Mobility (SVM) Policy enhances work life balance for both men and women, by enabling remote working. Employees are provided with the necessary infrastructure, technology and training for this.

Gender Representation by Grade



975
New Recruits
(88.3%) ↑

227
Promotions
(87.9%) ↑

921
Exits
(89.2%) ↑

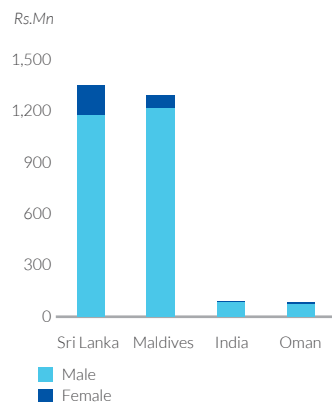


128
New Recruits
(11.6%) ↑

31
Promotions
(12.1%) ↑

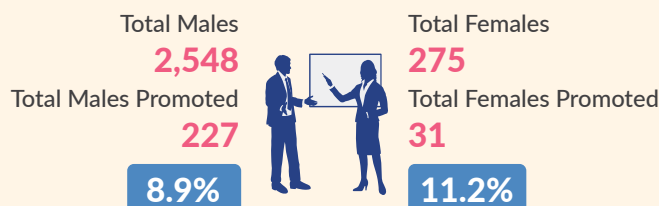
111
Exits
(10.7%) ↑

Gender Representation by Location



...ensuring females are represented at every level

We actively work towards dispelling common misconceptions and social stigma on women working in the hotel industry through continuous engagement with potential female employees and their families, inviting them to observe our working environments and actively addressing concerns through awareness programmes for school leavers.



...and communicating a positive gender narrative throughout the organisation and the wider community.

We actively encourage female participation in the work force and is mindful to ensure that we do not indicate any gender bias in our advertising and communications.

All figures are given as a head counts

Definition Used for 'Senior Management':

Senior Management at Aitken Spence Hotel Holdings PLC is defined as individuals who hold executive positions such as General Managers, Directors, and Heads of Departments. These roles are responsible for strategic decision-making and overseeing major functions within the organisation.

The Organisation's Geographical Definition of 'Local':

For the purposes of this disclosure, 'local' refers to individuals who are native to or have permanent residency in the regions where Aitken Spence Hotel Holdings PLC operates its hotels and business units. This includes specific countries such as Sri Lanka, the Maldives, Oman and India as well as local communities within these countries.

Definition Used for 'Significant Locations of Operation':

Significant locations of operation for Aitken Spence Hotel Holdings PLC are defined as the primary geographic areas where the company has substantial business activities. These areas include countries where the Company has multiple operational units or where the business impact is considerable. For this disclosure, significant locations include Sri Lanka, India, and the Maldives, among others.



Intellectual Capital

Our intellectual capital is what sets us apart and remains a key driver of our growth. Ongoing efforts to nurture intellectual capital enables us to deliver unmatched guest experiences by consistently enhancing our offerings, refining our services, and adapting to evolving needs and market trends.

OUR INTELLECTUAL CAPITAL INPUTS



- Our Brands
 - Heritance Hotels and Resorts
 - Adaaran Resorts
 - Turyaa
- Unique base of tacit knowledge and experience of our team
- Robust systems, standards and processes
- External certifications and accreditations

VALUE DRIVERS



- Unique selling points and destination experiences
- Streamlining systems and processes to drive efficiency and productivity levels
- Nurturing a culture of learning, knowledge-sharing and continuous growth
- Extensive experience of the Board and the Management team
- Proactive engagement with industry counterparts to support the revival of the tourism industry.

VALUE CREATED

92.22%

Guest satisfaction rate (owned properties)

5.2 Years

Average length of service of an employee

62

Awards received during the year

29

Certifications complied with during the year

STRATEGIC FOCUS AREAS 2023/24

- Enhancing brand identity and reputation through a strategic focus on social media, online platforms, and sponsorships
- Driving service excellence
- Providing customers with distinctive and varied experiences



OUR MANAGEMENT APPROACH

The Management continued to nurture ASHH's intellectual capital by strengthening the brand, retaining, and harnessing organisational tacit knowledge and driving service excellence across all aspects of operations.

THE STRENGTH OF OUR BRANDS

Our unique brands are a key element in attracting and retaining guests, and remain a vital component of the Group's intellectual capital, which we continually nurture. The three brands- Heritance Hotels and Resorts, Adaaran Resorts and Turyaa – offer distinctive experiences to our guests by integrating the authentic essence, warm hospitality, and cultural abundance of the destination, with deep roots in sustainable tourism. All operational aspects of the hotels are designed to align with the attributes and personality of the respective brands, focusing on creating unforgettable experiences for guests.



Heritance Hotels and Resorts

The 'Heritance' brand combines elements of heritage and inheritance, celebrating natural beauty and authenticity of place. It offers a unique and immersive proposition that highlights local traditions, hospitality, warmth and culture.



Adaaran Resorts

The 'Adaaran' brand conveys the quintessential flavour of the Maldives by offering abundant comforts and hospitality, heartfelt service with 'obligations fulfilled in gold' through a range of experiences tailored to different price points.

Adaaran Prestige - five-star boutique
Adaaran Select - five-star
Adaaran Club - four-star



Turyaa

Turyaa, is a unique brand of hotels that reflects the vibrancy and character of its destination. The brand was conceptualised to appeal to the changing lifestyles of the modern traveller offering affordable travel, great food and excellent service.

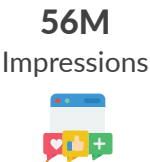
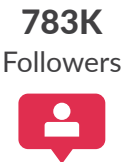
The brand strategy for the year centered on strengthening our online presence while seeking to capitalise on the increase in demand arising from the revival of the tourism industry through targeted initiatives. Key brand building interventions carried out during the year include:

- Embarked on a co-branding venture with Der Touristik hotels, bringing Heritance Negombo on to the Sentido brand board
- Heritance Kandalama was the primary sponsor of the 'Geoffrey Bawa: It is Essential to be There' architectural and photographic installation held at the National Gallery of Modern Art (NGMA) Delhi. At this event, Trails of Bawa by Heritance Hotels and Resorts was launched to the Indian market. This tour takes architecture enthusiasts on a journey through some of Bawa's greatest designs in Sri Lanka.
- Heritance Hotels and Resorts was a session sponsor at the Galle Literary Festival 2024. During the sponsored session 'preservation and re-narration of Sri Lankan cultural histories,' the Trails of Bawa tour was launched to the Sri Lankan market.
- Strengthening our digital presence through improvements to the websites, enhancing web experiences and visual appeal to improve direct bookings.
- Increasing social media penetration to create visibility in new markets through paid campaigns and influencer collaborations
- Establishing our reputation in banqueting and destination weddings
- Celebrating special days and festivities such as, Christmas, Easter, Eid, Mother's Day and Father's Day across the hotels and resorts in all destinations.

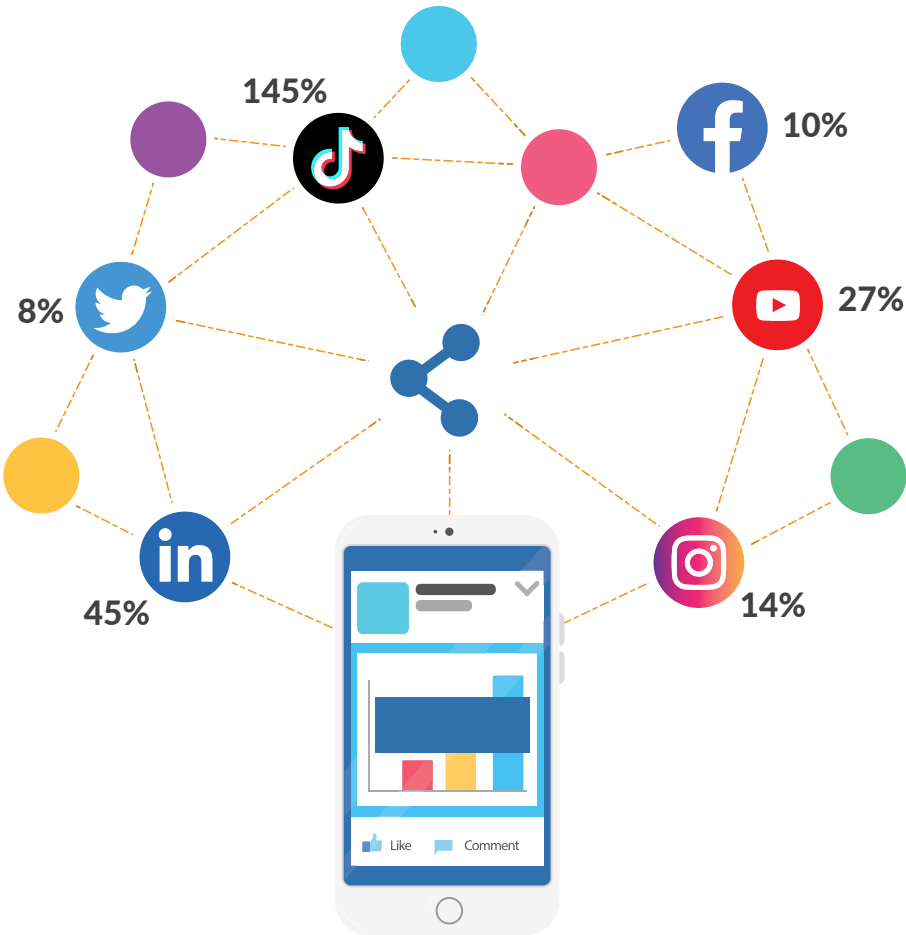
CAPITAL REPORTS

INTELLECTUAL CAPITAL

Our Social Media Footprint across all Platforms



Growth across all channels and destinations below:



Awards and accolades further strengthen the brand, reflecting our unwavering commitment to pursuing excellence in what we do.

Awards and recognitions during the year		
Overall Excellence • South Asian Travel Awards <i>Gold, Leading Resort/ Hotel Brand, Maldives</i> Aitken Spence Resorts, Maldives • Forbes <i>Best Beachfront All-Inclusive Resort For Families</i> Heritage Aarah • Travel Trade Maldives <i>Winner, Editor's Choice: Best All-Inclusive Resort</i> Heritage Aarah • Condé Nast Traveler Readers' Choice Awards 2023 <i>Winner, Resorts</i> Adaaran Select Meedhupparu • DER Touristik <i>Winner, Red Star Quality Award 2024</i> Adaaran Select Meedhupparu • Travel Trade Maldives <i>Winner, Best City Hotel</i> <i>Winner, Adults Only Resorts 2023</i> Adaaran Prestige Vadoo • LMD Customer Excellence survey <i>No 01 ranking</i> Heritage Kandalama • Studiosus Reisen <i>Studiosus Quality award 2023</i> Winner, Desert Nights Resort	Corporate Reporting, Sustainability and CSR • TAGS Awards 2023 <i>Gold, Hospitality Sector</i> Aitken Spence Hotel Holdings PLC • Sustainability Reporting Awards 2023 <i>Runner Up, Leisure & Connected Services Category</i> Aitken Spence Hotel Holdings PLC • Sri Lanka Tourism Alliance <i>Top 20 Sustainability Champions</i> Heritage Kandalama • Meedhoo Council and the island community <i>Winner, Best CSR Resort</i> Adaaran Select Meedhupparu • Meedhoo Council and the island community <i>Fannuveri Award' long time service skilled award to the tourism industry</i> Adaaran Select Meedhupparu	Customer Review • Booking.com Traveller Review Awards Heritage Aarah Adaaran Select Meedhupparu Adaaran Prestige Water Villas Adaaran Club Rannalhi Adaaran Prestige Vadoo Adaaran Select Hudhuran Fushi Heritage Kandalama Heritage Tea Factory Sentido Heritage Negombo Heritage Ahungalla Amethyst Resort Earls Regency Desert Nights Resort • TripAdvisor, Best of the Best 2023 Heritage Aarah • TripAdvisor Traveller's Choice 2023 Heritage Aarah Adaaran Select Meedhupparu Adaaran Club Rannalhi Heritage Kandalama Heritage Tea Factory Sentido Heritage Negombo • Agoda Gold Circle Award 2023 Heritage Kandalama • Agoda Customer Review Award 2023 Heritage Aarah Adaaran Club Rannalhi Adaaran Prestige Vadoo Adaaran Select Hudhuran Fushi Heritage Kandalama Sentido Heritage Negombo • Holiday Check 2023 <i>Listing among world best-rated hotels</i> <i>Adaaran Select Meedhupparu</i> Adaaran Club Rannalhi
Culinary Expertise • The Great Indian Food Festival in Singapore - Indian Chef Association <i>Winner - Three-course Indian menu</i> Heritage Ahungalla	Activities & Experience • South Asian Travel Awards <i>Best Dive Resort</i> Gold, Adaaran Select Meedhupparu • <i>Leading Eco - Friendly Resort</i> Gold, Heritage Kandalama • <i>Leading Designer Hotel/Resort</i> Silver, Heritage Tea Factory • <i>Leading Luxury Hotel/Resort</i> Silver, Sentido Heritage Negombo • <i>Leading Wellness & Spa Resort</i> Gold, Heritage Ayurveda • <i>Leading Meeting and Conference Hotel/Resort</i> Silver, Turyaa Chennai • Travel Trade Maldives <i>Winner, Best Surf Resort</i> Adaaran Select Hudhuran Fushi • 9th FIT Health & Wellness Awards <i>Best Ayurveda Resort in Sri Lanka</i> Heritage Ayurveda • Luxury Lifestyle Awards <i>Winner, Best Luxury Desert Resort</i> Desert Nights Resort	Certifications • Travelife Gold Heritage Kandalama Heritage Ahungalla Heritage Negombo Heritage Tea Factory Heritage Ayurveda • SHe Travel Club <i>Gold Certification</i> Heritage Aarah

CAPITAL REPORTS

INTELLECTUAL CAPITAL



CA Sri Lanka TAGS Awards 2023



GRI 416-1

SYSTEMS AND PROCESSES

Ongoing investments to strengthen our systems and processes through the implementation of Standard Operating Procedures (SOPs) for key functions including F&B, Front Office and Housekeeping have enabled the Group to achieve consistency across the portfolio while sharpening the invaluable base of intellectual capital.

Meanwhile, the domestic and international accreditations and certifications we have obtained encompass different aspects of operations such as food safety, sustainability and, occupational health and safety among others. These certifications facilitate benchmarking with industry best practice while ensuring that our processes continuously evolve to the highest standard, enabling us to deliver an exceptional experience to our customers.

Certifications	ISO 22000: 2018	ISO 14001: 2015	LEED	Organic Tea Certification	Travelife Gold	Dive Center
Heritage Ahungalla	✓				✓	
Heritage Kandalama	✓	✓	✓		✓	
Heritage Tea Factory	✓	✓		✓	✓	
Heritage Ayurveda					✓	
Sentido Heritage Negombo	✓		✓		✓	
Heritage Aarah	✓		✓			✓
Adaaran Prestige Vadoo	✓					✓
Adaaran Select Meedhupparu	✓					✓
Adaaran Select Hudhuran Fushi	✓					✓
Adaaran Club Rannalhi	✓					✓
Turyaa Kalutara	✓					
Earl's Regency	✓	✓				
Hotel RIU Sri Lanka					✓	

ORGANISATIONAL TACIT KNOWLEDGE

The tacit knowledge and experience we have fostered over the years through optimised operations and the combined expertise of our team enables us to understand market dynamics, drive strategy and nurture relationships with various stakeholders. Ongoing efforts to nurture a culture of learning and knowledge sharing with continued investments in learning propositions will allow us to further enhance this knowledge base.

INDUSTRY ENGAGEMENT

We collaborate with industry stakeholders to address issues facing the tourism industry. Active involvement in industry dialogue helps us stay informed and enables us to influence decision-making processes, advocate for the interests of the sector and work towards creating a sustainable value chain.

Given the key role the tourism industry plays towards Sri Lanka's economic development, we sought proactive engagement with relevant authorities, industry associations/ bodies and counterparts aimed at industry growth, development and resilience during the year in concern.

As a leading player in the hospitality sector, the Group holds memberships in the associations mentioned alongside

Signatory to the United Nations World Tourism Organisation (UNWTO) Global Code of Ethics for Tourism (GCET)

Sri Lanka Tourism Development Authority

Maldives Association of Tourism Industry

Ministry of Heritage and Tourism Oman

Hotel Association of India

SHIRA -The South Indian Hotels and Restaurant Association

FHRAI -The Federation of Hotel & Restaurant Association of India

The Pacific Asia Travel Association (Sri Lanka Chapter)

The Ceylon Chamber of Commerce

Oman Chamber of Commerce & Industry

The Madras Chamber of Commerce & Industry

The Hoteliers' Association of Sri Lanka

The Employers' Federation of Ceylon

The Field Ornithological Group of Sri Lanka

The Environmental Management System Users and Promoters Association

Biodiversity Sri Lanka

Sri Lanka Bureau of Foreign Employment

Institute of Supply and Materials Management Sri Lanka

Exporters' Association of Sri Lanka

Lanka Fruits & Vegetables Producers, Processors and Exporters Association

Responsible Tourism Partnership

SKAL International

Sri Lanka Bottled Water Association

Sri Lanka Tourism Alliance

OUTLOOK

We are committed to enhancing our intellectual capital base, recognising its crucial role in driving value creation. A primary objective of the Group is to fortify our brand presence in today's fiercely competitive and intricate business environment. Additionally, we will prioritise the cultivation of service excellence by refining our processes and fostering a customer-centric ethos among our team members.



We continue to nurture strong relationships with customers, channel partners, suppliers and the community, actively engaging with them to retain their trust and confidence

OUR SOCIAL AND RELATIONSHIP CAPITAL INPUTS



- Customer Relationships
551,509 Total Room Nights
- 2,653** Channel Partners
 - Including Tour operators, Travel Agents and Corporate Clients
- 1,334** Suppliers
 - Consisting of local and international supply chain partners
- 86,104** Training Hours
 - Impacted through learning and development initiatives
- The Surrounding Community

VALUE DRIVERS



- Customer relationships and satisfaction
- Established brand reputation and recognition
- Collaborations with a range of channel partners and suppliers
- Employee engagement and wellbeing
- Propagating sustainable business practices with support for local communities and compliance with sustainability standards

VALUE CREATED

92.22% Customer Satisfaction Rate	66% Average Occupancy Rate	22% Procurement from Local Suppliers	Rs. 13.6 Mn Investment in Employees	Rs 1.1 Mn Investment in CSR
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STRATEGIC FOCUS AREAS 2023/24



OUR MANAGEMENT APPROACH

Nurturing manufactured capital requires significant allocation of resources, particularly financial. Major investment proposals undergo assessment based on multiple criteria to ensure alignment with the Group's overall strategic objectives and goals.

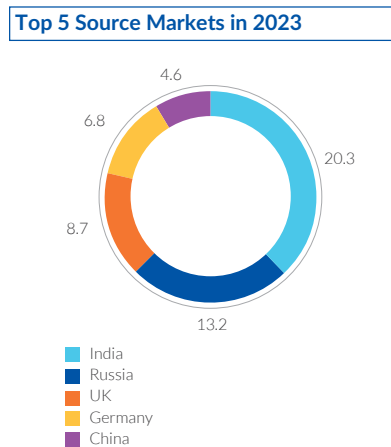
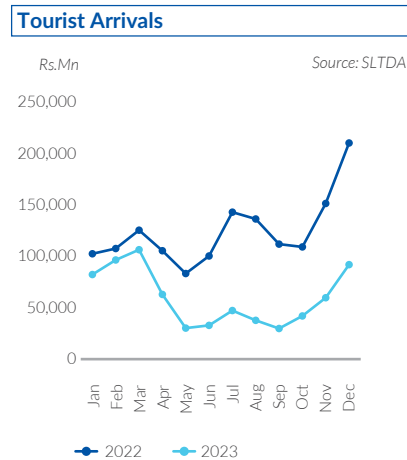
However, given the volatile operating environment and macroeconomic challenges faced in the last few years, major renovations were put on hold during the year and refurbishments were carried out only where necessary to ensure guest satisfaction.

CUSTOMER RELATIONSHIPS

Our customers are at the heart of what we do. Understanding and effectively responding to customer needs remains an integral part of maintaining our competitive advantage. We continued to improve the value proposition to our customers through customised solutions and services that meet their evolving needs.

CUSTOMER PROFILE

Sri Lanka's endeavours to draw international visitors have proven fruitful, with the country's tourism sector rebounding in 2023 and subsequently witnessing a surge in arrivals of international tourists. The country is becoming increasingly popular among tourists as an appealing choice for budget-conscious travellers seeking authentic experiences.



Following India, Russia remains a pivotal source market for us, consistently attracting numerous charter groups from the region. Other key source markets are China, UK, Germany and Australia. We aim to broaden our customer base by exploring new source markets, rather than relying solely on established traditional ones.

At Aitken Spence Hotels, we adopted a robust sales and marketing strategy during the year, targeting optimum growth out of the Maldives and Sri Lanka. Along with the increase in tourist numbers globally, the Group's targeted initiatives to drive guest nights led to an increase in the footfall of both domestic and international tourists at our properties.



There were no reported incidents of corruption and/or fraud; and no fines/penalties for non-compliance with laws and regulations pertaining to socio-economic compliance during the year.

Guests to Sri Lanka and Maldives predominantly travel for leisure purposes and India mainly for business purposes. Oman is a blend of business and leisure travel.

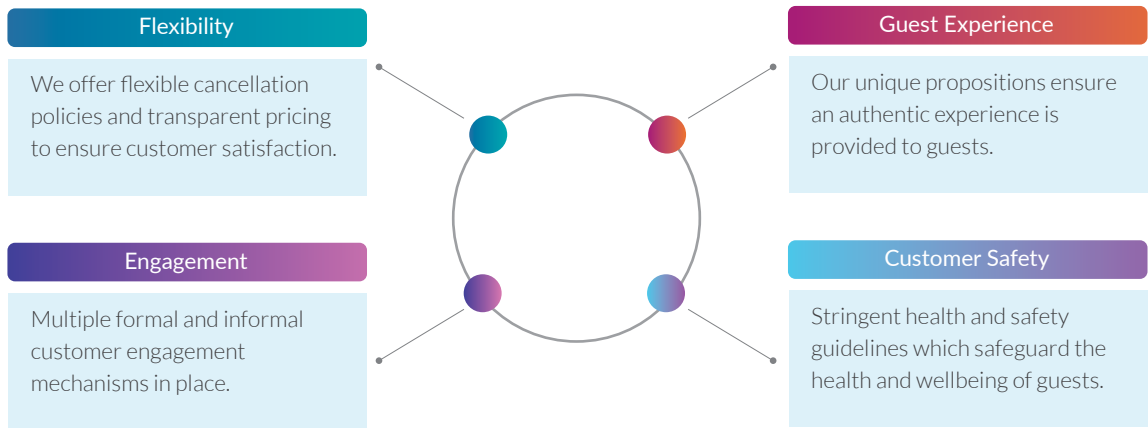
The key areas of focus were as follows:

- Driving direct bookings through our website
- Participation in numerous roadshows and trade fairs in key source markets
- Deploying representatives in strategic markets to advocate for our properties
- Offered flexible rates to stimulate the market when the demand was low
- In the Maldives, systems were put in place for the online booking system to provide tour operators with real-time visibility on room availability, streamlining the booking process.
- In Oman, we diversified revenue streams by offering banqueting, outdoor catering and destination weddings services.
- Introduced group packages tailored for corporate clients.
- Enhanced our online visibility through social media optimisation
- Strengthening online voucher purchases by introducing special packages and experiential offers

CAPITAL REPORTS

SOCIAL AND RELATIONSHIP CAPITAL

OUR HOLISTIC VALUE PROPOSITION TO GUESTS



Customer Experience

As the demand for authentic experiences that foster connections with local cultures and traditions rises, we have consistently improved our value proposition by offering curated experiences that cater to this trend. We also promoted the diversity of our properties to cater to varying customer interests including wellness, yoga and fitness, experiential tourism and other niche markets. Our key propositions to enhance the customer experience include:

Heritage Hotels launched the **Trails of Bawa tour**, covering some of Sri Lanka's iconic spaces designed by Deshamanya Geoffrey Bawa. This immersive experience spans four nights and five days. The tour showcases the innovative use of open spaces, natural light, and local materials, creating an ambiance that embodies the essence of Modern Tropicalism.

Offering **authentic Sri Lankan food and beverage** options by incorporating **locally sourced ingredients** into our menus.

Re-opening of restaurants and enriching our offerings to bolster revenue and broaden our range of services to customers.

In line with Heritage Ararah's **extensive dining offering** and promise of a culinary journey like no other, the resort hosted Michelin star Chef Pascal Aussignac who presented curated dinners to guests during the stay.

Operated **Framissima Clubs** in Sri Lanka and the Maldives by tying up with a French tour operator.

Customer Engagement

Ongoing engagement is carried out with customers through a range of activities and events both online and offline. These include festival celebrations, sustainability awareness events and fun events for kids.



Customer Feedback and Satisfaction

We monitor guest satisfaction consistently through multiple tools including ReviewPro, in-house hotel surveys, social media and business channels. The findings from these monitoring tools help us to drive continuous improvements and ensure customer satisfaction through quality service.

ReviewPro allows us to analyse aggregated reviews from online platforms such as TripAdvisor, Booking.com and social media channels in real time by monitoring guest reviews and experiences. We have benchmarked a ReviewPro score of at least 95% for each property in our portfolio.

Implementation of real time feedback through QR code based surveys at key guest touchpoint in Sri Lankan properties

Actively soliciting feedback while customers are on site.

Implementation of Whatsapp for Business to provide responses to customers in real-time.

Summary of Key Properties	2023/24
Heritage Ahungalla	94.9%
Heritage Ayurveda	90.2%
Heritage Kandalama	92.8%
Heritage Negombo	91.2%
Heritage Tea Factory	96.0%
Turyaa Kalutara	93.0%
Adaaran Club Rannalhi	94.0%
Adaaran Select Hudhuran Fushi	92.7%
Adaaran Select Meedhupparu	94.8%
Adaaran Prestige Vadoo	97.0%
Heritage Aarah	98.7%
Al-Falaj Hotel	84.2%
Turyaa Chennai	88.0%



Travellers' Choice Award
06 properties



Traveller Review Award
17 properties



HolidayCheck Awards
02 properties

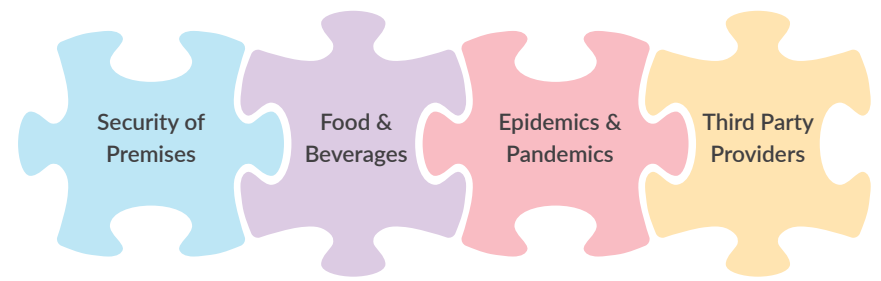
CAPITAL REPORTS

SOCIAL AND RELATIONSHIP CAPITAL

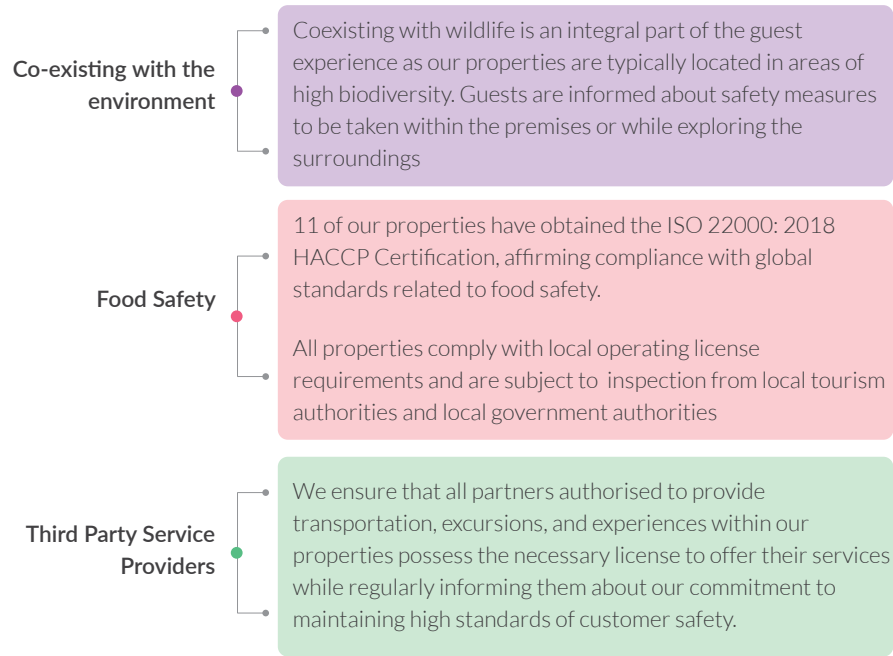
GRI 416-2

Customer Safety

We monitor guest satisfaction consistently through multiple tools including ReviewPro, in-house hotel surveys, social media and business channels. The findings from these monitoring tools help us to drive continuous improvements and ensure customer satisfaction through quality service.



The Group continues to prioritise customer safety, making significant investments to ensure the well-being of guests. Throughout the year, there were no instances of non-compliance related to health and safety impacts of our products and services.



Customer Privacy

We monitor guest satisfaction consistently through multiple tools including ReviewPro, in-house hotel surveys, social media and business channels. The findings from these monitoring tools help us to drive continuous improvements and ensure customer satisfaction through quality service.


Significant investments in IT infrastructure and process controls to ensure customer privacy.

Channel partners encompass a diverse array of third-party organisations and platforms with whom we collaborate. These partners include Online Travel Agencies (OTAs), Corporate Travel Management Companies, Destination Management Companies, Tour Operators, and Online Platforms.

RELATIONSHIPS WITH CHANNEL PARTNERS

Aitken Spence Hotels maintains strong relationships with channel partners, attracting a significant portion of arrivals through these partnerships.

Although online and social media platforms are increasingly becoming crucial channels for bookings and promotions, a significant portion of customers still prefer placing bookings through reliable tour operators in the backdrop of global and domestic economic volatility. As a result, our strategy during the year focused on expanding the contributions from the tour operators we work with.

The Group also leveraged relationships with Destination Management Companies to bring in tour groups from key markets including Russia, Kazakhstan and Uzbekistan.

Partnered with new tour operators targeting the luxury segment from countries such as USA

Working with advances in order to guarantee their commitment to fulfil numbers

Offering flexible rates in periods of low demand in order to stimulate the market

Strengthening the offline and online channel partnerships

Additionally, we enhanced our partnerships with online travel agents, implementing targeted promotions and dynamic pricing strategies to optimise demand-supply dynamics.

Sri Lanka	Maldives	Oman	India
112 tour operator contracts	794 tour operator contracts	57 tour operator contracts	250 registered corporate clients
1,055 registered local travel agents	102 registered local travel agents	57 registered local travel agents	
150 registered corporate clients	12 country representations	76 registered corporate clients	
09 country representations			

 **GRI 204-1**  **GRI 308-1**  **GRI 414-1**  **GRI 414-2**

A RESILIENT SUPPLY CHAIN

F & B Suppliers	Furniture Suppliers	Linen and Bedding Suppliers	IT
The Group's Procurement Policy sets the guidelines for selecting the right suppliers with potential vendors identified through a supplier assessment which considers factors beyond cost, such as quality, reliability and sustainability.			

The mutually advantageous partnerships cultivated with our suppliers are integral to the seamless operation of our business. While our supplier network spans both local and international entities, recent disruptions to global supply chains prompted us to place greater emphasis on local suppliers situated in close proximity to our resorts. This strategic shift not only enhances operational resilience but also fosters socio-economic empowerment within the local communities we serve.

Summary of Key Properties	% of Procurement Expenditure to Local Suppliers
Heritage Ahungalla	55%
Heritage Ayurveda	50%
Heritage Kandalama	45%
Heritage Tea Factory	28%
Turyaa Kalutara	46%
Hotel RIU	25%
Maldives	3%
Oman	95%
India	96%

All (100%) our suppliers were screened using environmental, social and child labour criteria in compliance with local laws and practices.

Key developments during the year from a supply chain perspective include:

- Integration of 324 new local and international suppliers, paralleled by advancements in the business landscape.
- Access to high-quality imported goods at more affordable prices compared to the previous year.
- Ongoing enhancement of suppliers focusing on the utilisation of local raw materials.
- Emphasis placed on supporting local entities engaged in importing raw materials and adding value locally, thereby bolstering local communities.
- Unforeseen price hikes in fruits and vegetables were experienced due to adverse weather conditions. To mitigate this, some properties-initiated efforts to cultivate their own herbs, fruits, and vegetables.

CAPITAL REPORTS

SOCIAL AND RELATIONSHIP CAPITAL

 **GRI 203-2**  **GRI 205-3**  **GRI 206-1**  **GRI 208-2**  **GRI 413-1**  **GRI 413-2**

UPLIFTED COMMUNITIES

The Group's CSR activities are designed to uplift society's most vulnerable segments and build impactful relationships by delivering economic, environmental and social benefits to the wider community. Core areas of focus are as follows:



Community Development



Protection and conservation of the environment



Employee Welfare & Development



Disaster Relief and Emergency Response



Ethical Business Practices



Sustainable Tourism Practices

Throughout the year, our hotels have actively participated in numerous corporate social responsibility (CSR) activities aimed at supporting and uplifting our communities. We made several contributions to death benevolent societies, assisting with funeral expenses for members. Additionally, we supported local educational institutions by providing school stationery and footwear to School children and assisting Moragalla Kanishta Vidyalaya with grounds maintenance.

Our contributions extended to religious and cultural events, including donations to local temples for their development and festivals. We also supported community health and

welfare through various donations, including covering medical expenses and providing meals for community events like the Life Saving & Aquatic Sports Club in Dambulla and continuous beach, riverbed and tank area cleaning programs.

We celebrated important days and organised activities for local schools and communities, including New Year programs, International Children's Day, International Nurses Day, and World Teachers' Day. Our involvement also included logistical support such as arranging seaplane transfers for medical and educational purposes and dhoni transfers for community needs. We facilitated water

sports activities and supported study tours for local school students to gain insight into the hospitality industry ensuring a well-rounded and impactful presence in the communities we serve.

Throughout the year, our operations remained fully compliant with all applicable laws and regulations, with no reported incidents of non-compliance or significant adverse impacts on local communities.

OUTLOOK

With the gradual normalisation of economies worldwide and the resumption of tourist arrivals, the outlook for the sector appears promising. We aim to leverage these positive trends by enhancing our operations and guest experiences.

Key priorities in the short-term include:

- Enhancing guest relationships through refinement of our customer value proposition.
- Expanding into new markets and market segments while reinforcing existing ones.
- Implementing standardised hotel operating equipment and linen across all properties (both Local and Overseas) to achieve economies of scale.
- Fostering SME growth in local communities through supplier development programs.
- Sustaining investments in community engagement and development initiatives.



Natural Capital

We are aware of our environmental impact and are constantly exploring avenues to preserve and rejuvenate the natural environment around our properties, while minimising the environmental footprint of our operations. We drive concerted efforts to safeguard both land and underwater biodiversity. As part of the hospitality industry, we recognise the significance of involving tourists in these environmental sustainability efforts for long term impact.

OUR NATURAL CAPITAL INPUTS



Energy Consumption

Electricity consumption from the National Grid

98,106.24 GJ

Diesel

289,180.37 GJ

LPG

22,071.18 GJ

Biomass

13,099.79 GJ

Water Consumption

1,425,916 m³

of water withdrawn

Rich Biodiversity Surrounding Our Properties

Over 400 documented species in Sri Lanka

Over 1100 in the Maldives

VALUE DRIVERS



- Efficient allocation of resources to manage energy consumption and enhance energy efficiency
- Automation and digitisation of processes to increase efficiencies and reduce paper consumption
- Generation of renewable energy through investments in solar and wind power
- Reduction of single use plastics in our operations
- Engaging employees in emission reduction efforts through training programmes, awareness campaigns and incentive schemes.

VALUE CREATED

19.7 %

Reduction in Energy Intensity

16.8%

Reduction in Water Intensity

32.5%

Reduction In Carbon Intensity

21,333 GJ

Renewable Energy Generated

STRATEGIC FOCUS AREAS 2023/24

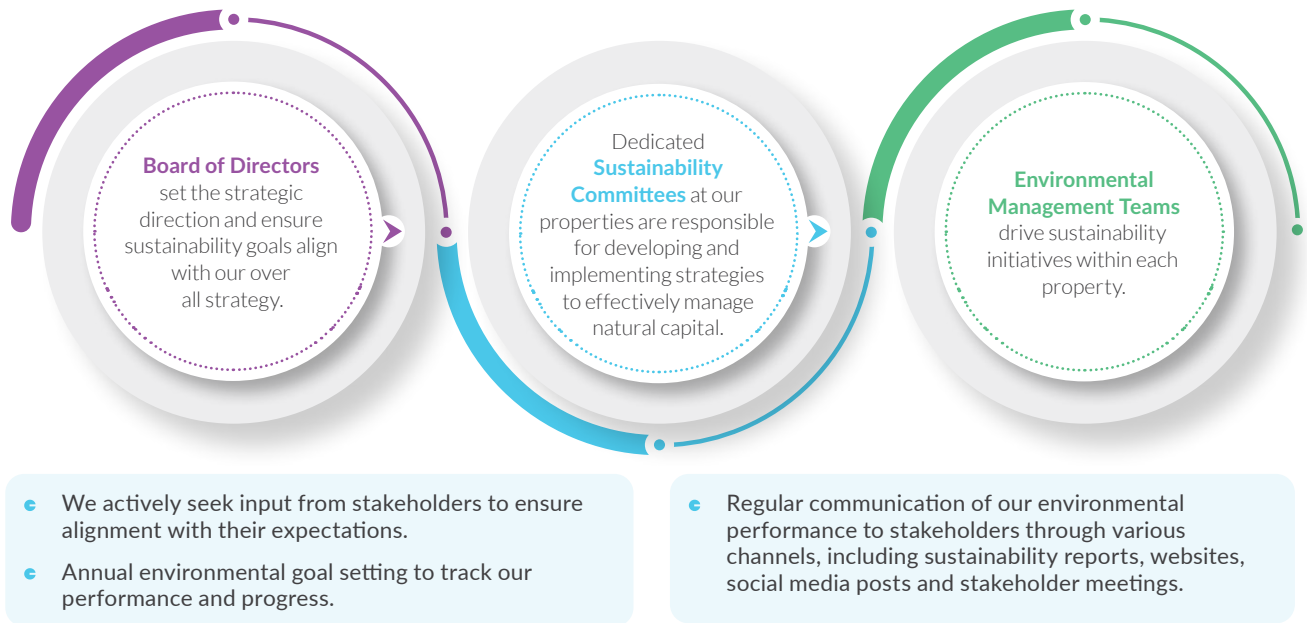
- Climate action
- Material and waste management
- Preserving biodiversity
- Drive increased efficiency in the usage of energy, water and raw materials



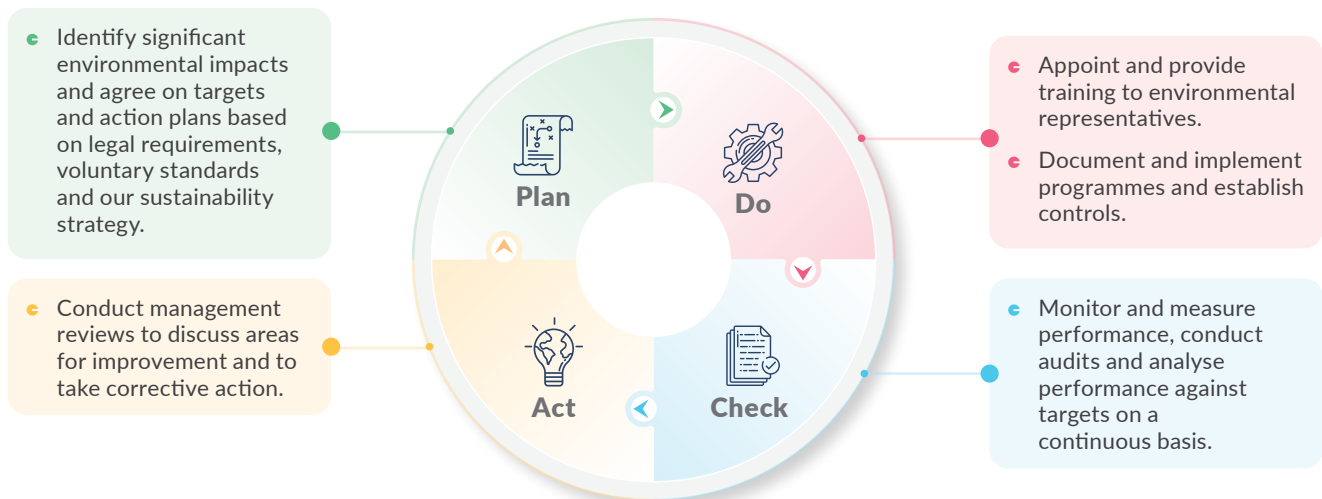
MANAGEMENT APPROACH

As a pioneer in sustainable tourism in Sri Lanka, Aitken Spence Hotels is dedicated to minimising its environmental footprint. Aligned with the parent entity's guidelines we track, monitor, and optimise natural resource usage to positively impact the environment and ecosystems. Our environmental strategy is further guided by national and international environmental certifications which enhance accountability and provide stakeholder assurance.

SUSTAINABILITY GOVERNANCE



A comprehensive Environmental Management System (EMS) is implemented across the Group's properties through which material environmental impacts such as water, energy, waste, emissions and chemical usage are tracked. Regular reporting to the Group Head of Sustainability ensures transparency is maintained. The key elements of the Group's EMS as illustrated below drive the progress of our environmental commitment.



Group Integrated Sustainability Policy

Energy Policy

ISO 14001: 2015- Environmental Management (3 properties)

Travelife Gold or Green Globe Certification (11 properties)



ENERGY MANAGEMENT

Our energy requirements are primarily fulfilled through electricity sourced from the national grid, diesel, LPG and biomass.

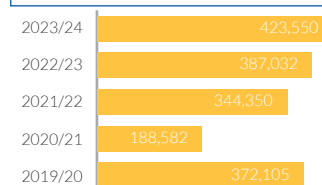
GJ	2023/24	2022/23	2021/22
Sri Lanka	132,844	114,522	79,971
Maldives	263,762	243,767	241,087
Oman	15,025	16,800	13,734
India	11,919	11,944	9,558
Total	423,550	387,032	344,350

Despite an overall increase in energy usage by 9.44% to 423,550 GJ due to the increase in occupancy levels, the energy intensity levels of the Group decreased from 469.24 MJ to 376.80 MJ per guest night compared to the last financial year 2022/23.

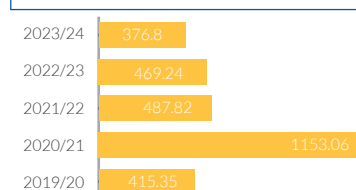
- Conducted educational programmes and campaigns for guests and staff on energy conservation practices and encouraging sustainable behaviour.
- Upgraded to energy-efficient lighting systems such as LED (Light-Emitting Diode) bulbs and fixtures throughout our properties.
- Installation of occupancy sensors in some guestrooms, corridors, and other areas to automatically adjust lighting and HVAC (Heating, Ventilation, and Air Conditioning) settings based on occupancy levels.
- Invested in energy-efficient HVAC systems and equipment, including high-efficiency air conditioners, heat pumps, and boilers.
- Increasingly investing in renewable energy sources such as solar photovoltaic (PV) panels to generate clean energy.



Energy Consumption - GJ



Energy Consumption per guest night- MJ



Electricity from grid, diesel fuel, LPG gas, renewable energy sourced from solar, wind and biomass, are included when calculating the energy intensity ratio. It covers the entire organisation and its direct operations.



We conduct regular energy audits to assess the performance of our properties and identify opportunities for energy efficiency improvements.

Power Wheeling Agreement

Turyaa Chennai, our property in India, has implemented a Power Wheeling Agreement as part of its renewable energy strategy.

Under this agreement, Turyaa Chennai has partnered with a renewable energy developer who owns and operates a solar power plant located offsite. The property purchases renewable energy credits or units generated by the solar plant through the grid, offsetting a portion of its electricity consumption with clean energy.

By participating in the Power Wheeling Agreement, Turyaa Chennai not only reduces its dependence on grid-supplied electricity generated from conventional sources but also contributes to the growth of renewable energy capacity in the region, aligning with our commitment to environmental sustainability.

Floating Solar Project

Our premier resort in the Maldives, Heritance Aarah has pioneered a floating solar project by installing photovoltaic (PV) panels on floating platforms on the surface of the ocean surrounding the island.

The floating solar project takes advantage of the abundant sunlight in the Maldives to generate clean electricity while conserving precious land resources.

This project not only reduces the resort's reliance on diesel generators for power generation but also contributes to the Maldives' efforts to transition to renewable energy and mitigate the effects of climate change, demonstrating our commitment to environmental stewardship.

GRI 305-1 GRI 305-2 GRI 305-4 GRI 305-5

CARBON FOOTPRINT

By harnessing renewable energy, we reduce our reliance on fossil fuels, contribute to lowering greenhouse gas emissions, and support the transition to a sustainable energy future. The energy efficiency measures mentioned above have also contributed towards managing our carbon footprint.

In addition, we have implemented transportation efficiency measures to reduce emissions from guest and staff travel, shuttle services and logistics. This includes promoting public transportation, carpooling, and cycling among guests and staff, as well as offering electric vehicle charging stations and incentives for eco-friendly transportation options.

The Group's carbon footprint for the year is given below:

tCO ₂ e	2023/24	2022/23	2021/22
GHG emissions Scope 1 and 2 Group	34,433	37,437	32,905
GHG emissions Scope 1 and 2 SL	14,272	15,666	12,221
GHG emissions Scope 1 and 2 Maldives	16,550	16,163	15,985
GHG emissions Scope 1 and Scope 2 Oman	2,867	3,367	2,868
GHG emissions Scope 1 and Scope 2 India	744	2,241	1,831

GRI 303-1 GRI 303-2 GRI 303-5

WATER AND EFFLUENTS

We rely on surface water, municipal water (sea), ground water and harvested rainwater to meet our water requirements. Water audits are conducted regularly to identify areas of high consumption.

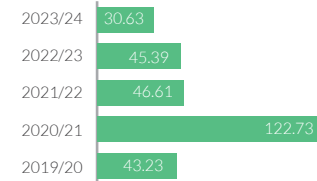
We strive to gradually reduce the water withdrawn for our operations and prevent water stress in the areas of operations through ongoing efforts to optimise water usage. These are mentioned below:



Carbon footprint - tCO₂e

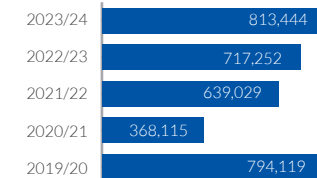


Carbon footprint per guest night - kg CO₂e

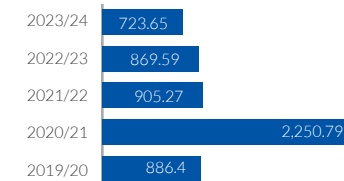


The Group ensures compliance with local, regional, and national regulations governing emissions, including air quality standards and emission limits.

Water Consumption - m³



Water Consumption - per guest night (liters)





Water Withdrawal by Source

m ³	2023/24	2022/23	2021/22
Ground water	167,872	200,986	154,353
Municipal water	237,521	135,013	155,123
Sea water	1,020,523	953,133	823,883

Data is collected from flow meters at respective sites, volume calculations based from installed tank capacity and invoice data in case of municipal water withdrawn. no water source was significantly affected by withdrawal.

Water Recycled/ Reused/ Discharged

m ³	2023/24	2022/23	2021/22
Sri Lanka	275,377	212,090	167,459
Maldives	408,209	381,253	329,553
Total	683,586	593,343	497,012

Wastewater discharged from our properties is either pre-treated and purified on site or channelled to local wastewater treatment plants. We persistently monitor the quality of the water discharged from our operations, abiding by local standards or limits or the International Finance Corporation's Environmental, Health, and Safety (EHS) Guidelines for pollutants released to surface water (Whichever is more stringent).

RAW MATERIAL CONSUMPTION

Aitken Spence Hotels is committed to responsible consumption of resources, including reducing the usage of plastic to minimise our environmental footprint. Our key raw materials include F&B inputs, food packing materials, linen and consumable room amenities.

When selecting and dealing with raw material suppliers, we screen them for quality as well as environmental criteria to ensure ethical and sustainable business practices are maintained.

Key initiatives to reduce material consumption include:



Elimination of single use plastics by offering biodegradable, compostable or reusable alternatives made from materials like paper, bamboo, or stainless steel.



Encouraging guests and staff to use reusable water bottles by providing water refill stations throughout our properties.



Transitioning to plastic-free amenities in all guestrooms and bathrooms, replacing single-use plastic toiletry bottles with refillable dispensers or biodegradable alternative.



Working with suppliers to minimise plastic packaging by sourcing products in bulk, opting for eco-friendly packaging materials and encouraging suppliers to adopt plastic-free packaging alternatives.



Grey Water Recycling

- We have implemented greywater recycling systems to capture and treat wastewater from sinks, showers, and laundry facilities.
- Treated greywater is reused for purposes such as irrigation, flushing toilets, and cooling systems, reducing our reliance on freshwater resources.

Due diligence frameworks



Inclusion of ESG into contracts



Onsite inspections



Educating suppliers on our benchmarks for quality

WASTE

The Group engages in the segregation and disposal of waste at source, in compliance with regulatory requirements and industry best practice. We have adopted the 7R approach to waste management, ensuring responsible disposal of all types of waste including food, kitchen and human waste. This approach aims to achieve zero waste to landfill status by actively promoting increased efficiencies in material consumption, recycling, and resource reuse.



Recycle

Recycle all materials that cannot be rejected, reduced, reused, reclaimed, replaced, or repaired so that nothing goes to waste. This includes wastewater, cooking oil, engine oil, metal cans, plastic containers, PET bottles, etc.

Reject

All non-biodegradable items such as plastic and packaging materials to be **rejected** wherever possible.

Reduce

Reduce the use of resources including energy, water and non-bio-degradable material.

Reuse

Reuse resources such as paper, plastic packaging materials, construction material etc.

Reclaim

Reclaim what cannot be totally reused.

Replace

Replace what cannot be rejected, reused or reduced with more environmentally friendly materials.

Repair

Broken items to be **repaired**, where possible, instead of purchasing new items.

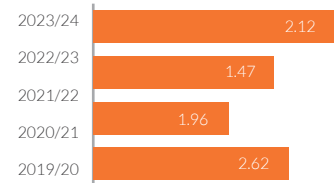
Our waste management initiatives include:

- Providing clear signage, colour-coded bins, and educational materials to facilitate proper waste sorting and disposal.
- Managing organic waste through composting initiatives and food for waste programmes with local farms.
- Food waste composting machine in Maldives that converts 100% of wet garbage into eco-friendly fertiliser.
- Hazardous waste such as plastic waste is diverted from disposal in compliance with the stipulations of the country of operation.

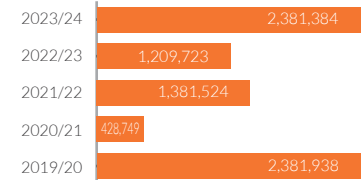


Total volume of waste generated amounted to 2,453 MT

Waste per guest night - kg



Waste - kg



Food for Waste Programme

Through this programme food scraps, garden trimmings, and other organic materials are collected and composted onsite or through partnerships with local farms as animal feed.

Details of waste and disposal methods are as follows:

Waste by Type and Disposal Method (tons)	2023/24	2022/23
Solid waste (hazardous)	27	50
Solid waste (non-hazardous)	2447	1157
Total number and volume of significant spills or adverse impacts from the waste generated	None	None

GRI 304- 1 GRI 304- 2 GRI 304- 3 GRI 304- 4

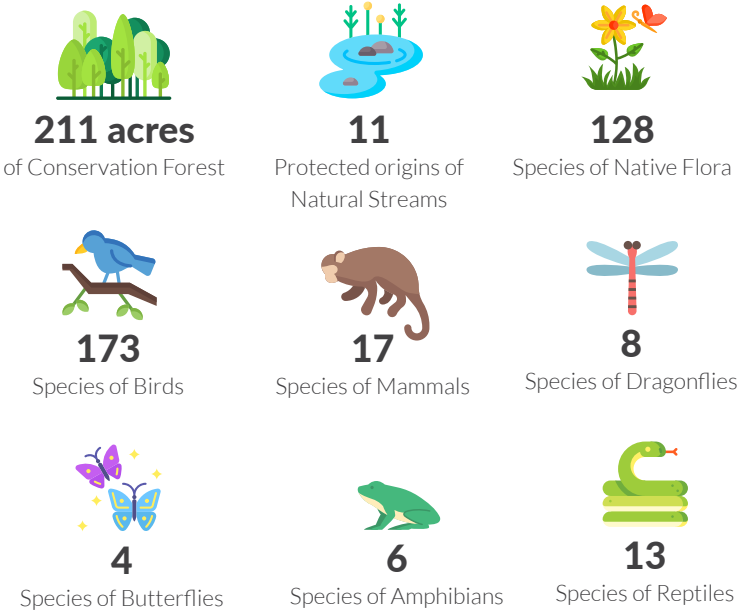


BIODIVERSITY PRESERVATION

The rich biodiversity surrounding our resorts in both Sri Lanka and the Maldives is a key differentiator that significantly enhances our ability to attract and delight guests. We are fully committed to operating our resorts in harmony with the natural ecosystem, from design and architecture to operations and waste management, through well-managed nature conservation programs and initiatives.

Eco Park at Heritance Kandalama

We continued to preserve the lush flora and fauna surrounding Heritance Kandalama by maintaining 211 acres of land adjacent to the thoughtfully designed hotel building as a conservation forest. The area also serves as a rich habitat for a number of endemic species. The hotel building itself occupies only eight acres of the entire 200-acre property, which is utilised for research purposes and guided nature tours for guests. Within the Eco Park, you will find a wildlife orphanage and rehabilitation centre for injured animals, compost fertiliser pits, wet and solid waste recycling facilities, wastewater recycling plant and a herbal garden. The hotel has also actively engaged in a community tree-planting campaign using saplings from its own nursery.



Other initiatives carried out to preserve biodiversity includes:

- Collaborating with local schools and universities on biodiversity research and conservation projects
- Partnering with local environmental organisations for ongoing conservation projects
- Conducting educational programs on biodiversity and nature for associates and guests
- Planting native species to support local ecosystems
- Creating butterfly and pollinator gardens/areas
- Reducing the use of pesticides and fertilisers to prevent harm to local flora and fauna
- Supporting local wildlife rehabilitation centers
- Offering educational programs and tours about local ecosystems and biodiversity to guests
- Organising beach clean-up events

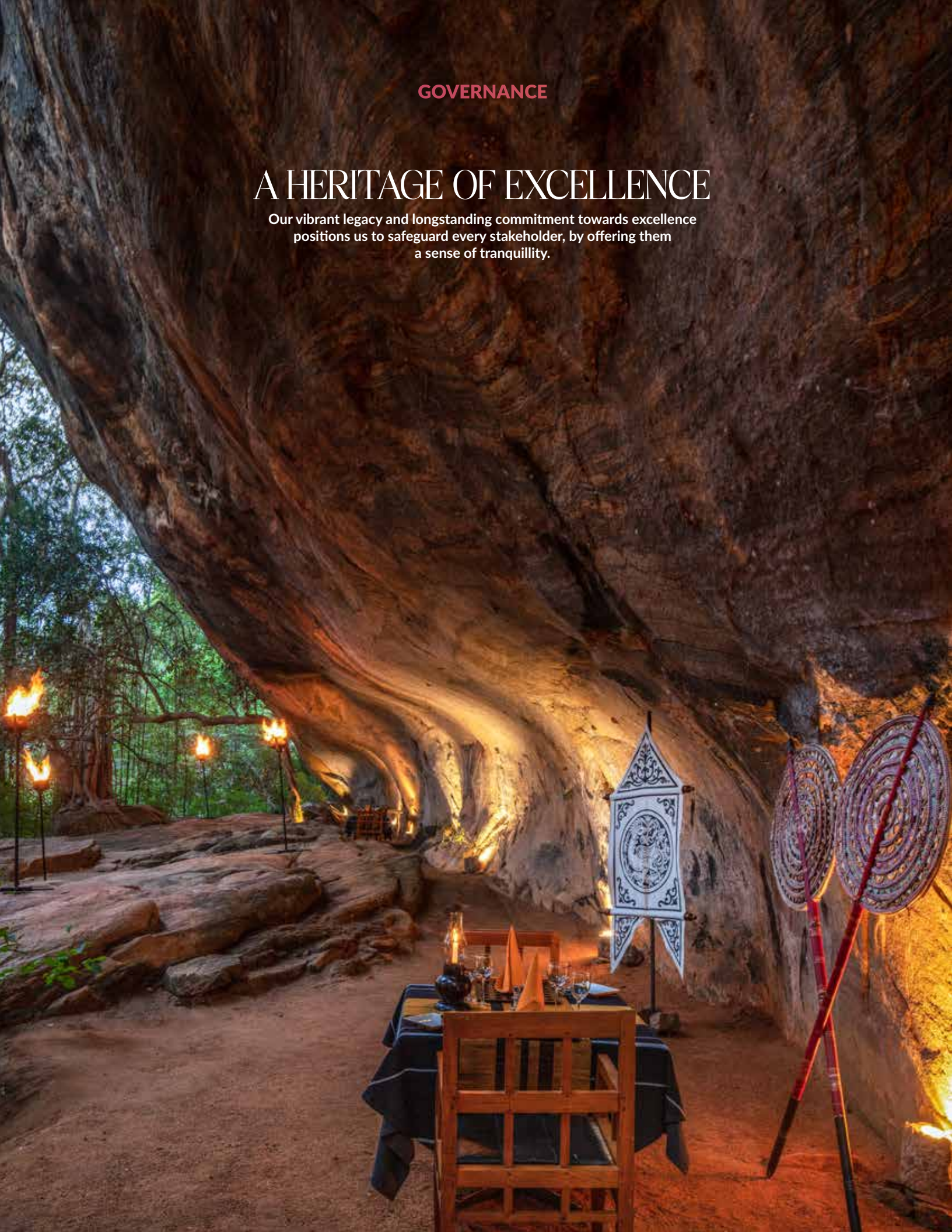
QR Code and Access page 124 of 2017/18 Annual report for IUCN Red list species and national conservation list species with habitats in areas affected by operations via QR code



GOVERNANCE

A HERITAGE OF EXCELLENCE

Our vibrant legacy and longstanding commitment towards excellence positions us to safeguard every stakeholder, by offering them a sense of tranquillity.



CORPORATE GOVERNANCE

GRI 2- 16

GRI 2- 22

GRI 2- 23

GRI 2- 24

GRI 2- 25

GRI 2- 26

CHAIRMAN'S STATEMENT ON GOVERNANCE

Dear Stakeholders,

It is my pleasure to present to our stakeholders the Corporate Governance Report of Aitken Spence Hotel Holdings PLC for the Financial Year 2023/2024. At Aitken Spence Hotel Holdings PLC we are committed to achieving the highest standards of corporate governance and to conducting its operations and corporate activities safely and in accordance with all applicable laws and regulatory obligations. Our governance framework is designed to promote transparency, accountability, and continuous improvement, ensuring that we meet the expectations of our stakeholders and operate sustainably and ethically. Our framework on Corporate Governance is not limited to mere compliance but is more reflective of a comprehensive and dynamic approach.

The last year was significant for the Tourism and Hospitality sector in Sri Lanka, marked by a series of challenges and recovery efforts. The industry faced repercussions from previous crises, including the 2019 Easter Sunday attacks, the Covid 19 pandemic and the economic crisis in Sri Lanka which severely impacted tourism. However, despite the resultant cash flow challenges, the Sri Lankan hotel industry demonstrated resilience and adaptability in 2023, striking a delicate balance between recovery efforts and leveraging new opportunities to attract tourists. In this context, Aitken Spence Hotels played a multifaceted role in shaping Sri Lanka's hotel industry towards growth, sustainability, and resilience amidst adversity. This accomplishment was made possible by the robust corporate governance framework of Aitken Spence Hotel Holdings, ensuring ethical business conduct and the delivery of enduring value to stakeholders, all aligned with its strategic objectives.

During the reporting year, there were significant changes in the sustainability landscape emphasising the evolving nature of corporate governance and the urgency of addressing these issues. In 2023, the IFRS

Sustainability Standards and the European Sustainability Reporting Standards were introduced. Both standards underscore the necessity of robust governance structures to manage sustainability related risks and opportunities. Additionally, the Colombo Stock Exchange introduced Section 9 of the Listing Rules, which strengthens governance and underscores the need for formal policies and governance processes. This was followed by the revision of the Code of Best Practice on Corporate Governance, which now places greater emphasis on sustainability reporting. Aitken Spence Group has begun complying with these regulatory requirements and is also embarking on the implementation of the IFRS Sustainability Standards, aiming for full compliance by the next financial year. The Board remained vigilant in adapting to new regulatory mandates, promptly aligning the Company's practices with the latest Corporate Governance Rules mandated by the Colombo Stock Exchange. This proactive approach reflects our unwavering commitment to strengthening our governance frameworks as required.

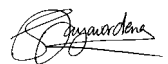
Our enduring history of strong governance structures and processes, combined with our hallmark professionalism, serves as the cornerstone for institutionalising these changes. Teams at the parent company have been diligently undertaking training to understand the new requirements, setting up processes to ensure that necessary changes are implemented across the Group, and rolling out the necessary training to facilitate this implementation. Notable progress has been made in Risk Management within the Group, and there has been a significant enhancement in our non-financial information reporting systems. A structured process has been put in place to obtain information from all business segments in a formal manner to prepare the Annual Report, ensuring accountability across the Group for the statements contained in the Report. All business segments have reviewed and signed off on their respective reports, further strengthening the process.

I am pleased to note that Aitken Spence Hotel Holdings PLC had many of the governance requirements of the IFRS Sustainability Standards in place even before they were formally articulated. This is a key differentiator, as sustainability at Aitken Spence has been driven from the top, reflecting our belief that it supports corporate longevity and growth, enabling value creation in harmony with our values. Globally renowned certifications provide assurance on compliance with key operational aspects of each business segment within a "Must Do, Shall Do, and Can Do" structure, offering additional assurance to the Board that policies, systems, and processes are in place to manage critical sustainability issues. These efforts are driven by a knowledgeable and inspired Sustainability Council, who coordinate sustainability reporting for the Group.

As we move forward, Aitken Spence Hotels reaffirms its unwavering commitment to the principles of corporate governance. We extend our sincere gratitude to our stakeholders for their continued trust and support. Together, we remain steadfast in our pursuit of excellence, transparency, and ethical conduct. Corporate governance will continue to serve as our guiding light, ensuring that we uphold the highest standards of integrity and deliver sustainable value to all stakeholders. We look forward to the opportunities and challenges ahead, as we continue to lead and innovate in the hotel and tourism sector.



Deshamanya D.H.S. Jayawardena
Chairman



Ms. D.S.T. Jayawardena
Joint Deputy Chairperson and
Joint Managing Director

15th July 2024

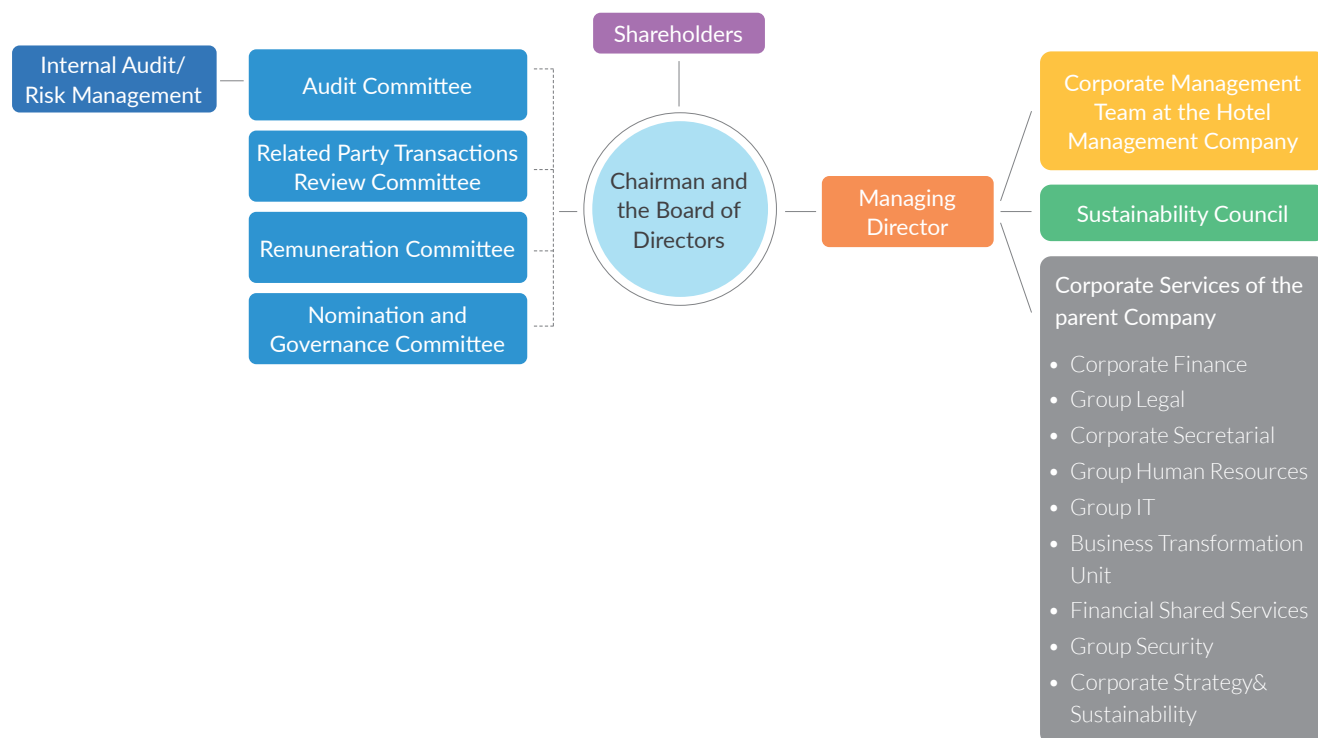
CORPORATE GOVERNANCE RECAP 2023/2024

COMPOSITION	Modifications/alterations to existing Directors/ Committees	Re-designation of Mr. J.M.S. Brito as an Independent Non-Executive Director with effect from 8th September 2023 by nevertheless determination Appointment of Ms. D.S.T. Jayawardena to the office of Joint Deputy Chairperson and Joint Managing Director with effect from 14th September 2023 Renaming the existing Nomination Committee as Nominations and Governance Committee in compliance with the Section 9 of the Listing Rules of the Colombo Stock Exchange Re-designation of Deshamanya D.H.S. Jayawardena, Chairman of the Company, as a Non-Executive Director in compliance with Rule 9.6.1 of the Listing Rules of the Colombo Stock Exchange with effect from 30th October 2023
	New appointments to Committees/Board and Cessation of holding office	Appointment of Mr. C R Jansz, Non-Independent Non-Executive Director of Aitken Spence PLC, the parent company, as a member of the Remuneration Committee with effect from 8th September 2023 Mr. G.P.J. Goonawardena, Independent Non-Executive Director demised on 18th November 2023 Appointment of Dr. R. A. Fernando as an Independent Non-Executive Director with effect from 10th January 2024
REGULATIONS	Amendments to existing rules	Introduction of Section 9 of the CSE Listing Rules on Corporate Governance with effect from 01st October 2023 Release of the revised Code of Best Practice on Corporate Governance by the Institute of Chartered Accountants of Sri Lanka 2017 (as amended) in December 2023
PROCEDURES	New procedures implemented	Introduction of Fit and Proper Criteria for Directors and CEOs in compliance with Rule 9.7 of the Listing Rules of the Colombo Stock Exchange Disclosure of whether either the Director or close family members have any material business relationships with other Directors of the Listed Entity in compliance with Rule 9.10.4 of the Listing Rules of the Colombo Stock Exchange

CORPORATE GOVERNANCE

GRI 2-9

CORPORATE GOVERNANCE FRAMEWORK

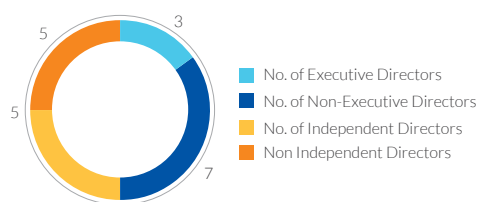


Board Composition, Skills and Diversity

Board Composition



Board Balance



Board of Director's Industry Background and Expertise

	Business Leadership	10
	Marketing	3
	Hoteliering	1
	Accounting and Finance	5
	Investment and Banking	2
	Law	1

Age Diversity

Below 40	1
40 to 55	1
55 to 70	4
Above 70	4

Tenure on the Board

Less than 05 years	3
6 to 15 years	4
16 to 20 years	1
Above 21 years	2

Director Disclosures in terms of Rule 9.10.4(e) of the Listing Rules on Corporate Governance issued by the CSE*

Name of the Director	Directorate Status	Company
Deshamanya D. H. S. Jayawardena	Non-Executive Chairman	Aitken Spence PLC
		Melstacorp PLC
		Browns Beach Hotels PLC
		Distilleries Company of Sri Lanka PLC
		Madulsima Plantations PLC
		Balangoda Plantations PLC
		Lanka Milk Foods (CWE) PLC
		Lanka Dairies Limited
	Chairman	Stassen Exports (Pvt) Ltd
		Stassen Natural Foods (Pvt) Ltd
		Stassen International (Pvt) Ltd
		Stassen Foods (Pvt) Ltd
		Milford Exports (Ceylon) (Pvt) Ltd
		Milford Developers (Pvt) Ltd
		CBD Exports (Pvt) Ltd
		Ceylon Garden Coir (Pvt) Ltd
		Ambewela Products (Pvt) Ltd
		Ambewela Livestock Company Ltd
		Pattipola Livestock Company Ltd
		United Dairies Lanka (Pvt) Ltd
	Directors	McSen Range (Pvt) Ltd.
Ms. D.S.T. Jayawardena	Joint Deputy Chairperson and Joint Managing Director	Aitken Spence PLC
	Executive Director	Browns Beach Hotels PLC
		Lanka Milk Foods (CWE) PLC
		Lanka Dairies Limited
	Non-Executive Director	Melstacorp PLC
		Distilleries Company of Sri Lanka PLC
	Director	Stassen Exports (Pvt) Ltd
		Stassen Natural Foods (Pvt) Ltd
		Stassen International (Pvt) Ltd
		Stassen Foods (Pvt) Ltd
		Milford Exports (Ceylon) (Pvt) Ltd
		Milford Developers (Pvt) Ltd
		CBD Exports (Pvt) Ltd
		Ceylon Garden Coir (Pvt) Ltd
		Ambewela Products (Pvt) Ltd
		Ambewela Livestock Company Ltd
		Pattipola Livestock Company Ltd
		United Dairies Lanka (Pvt) Ltd
Dr. M.P. Dissanayake	Deputy Chairman	Aitken Spence PLC
	Chairman	Elpitiya Plantations PLC
		Aitken Spence Plantation Managements PLC
	Executive Director	Browns Beach Hotels PLC

CORPORATE GOVERNANCE

Name of the Director	Directorate Status	Company
Mr. J.M.S. Brito	Non-Executive Director	Aitken Spence Hotel Holdings PLC
Mr. C.H. Gomez	Non-Executive Director	Aitken Spence PLC
Mr. N.J. de S. Deva Aditya	Non-Executive Director	Aitken Spence PLC Melstacorp PLC Browns Beach Hotels PLC Distilleries Company of Sri Lanka PLC The Kingsbury PLC
	Director	Serene Residencies (Pvt) Ltd
Mr. R.N. Asirwatham	Non-Executive Director	Aitken Spence PLC Browns Beach Hotels PLC Royal Ceramics Lanka PLC Dilmah Ceylon Tea Company PLC Three Acre Farms PLC Ceylon Grain Elevators PLC Vallibel One PLC Renuka Hotels PLC
	Director	Mercantile Merchant Bank Limited Yarl Hotels (Private) Limited
Mr. M.A.N.S. Perera	Managing Director	Melstacorp PLC
	Executive Director	Distilleries Company of Sri Lanka PLC Balangoda Plantations PLC Madulsima Plantations PLC Non-Executive Director Aitken Spence PLC Browns Beach Hotels PLC
Dr. R A Fernando	Non-Executive Director	Aitken Spence Plantation Managements PLC Melstacorp PLC Distilleries Company of Sri Lanka PLC Dilmah Ceylon Tea Company PLC LOLC Holdings PLC
	Director	Ceylon Graphene Technologies Ltd Ceylon Asset Management Ltd
Mr. C M S Jayawickrama	He holds directorships in companies within the Group.	
Mr. G P J Goonawardena	Mr. G. P. J. Goonewardena who was a Director of the Company at the beginning of the financial year 2023/2024, passed away on 18th November 2023.	

*Excluding Directorships held in Group Companies.

Roles and Responsibilities

Board

- Providing directions and guidance to the Group in formulating and implementing the corporate strategy for value creation in short, medium and long terms and monitoring the implemented strategies
- Making decisions on Board appointments and evaluating Board performance and ensuring succession planning and the continued ability of the Company to operate without any disruption
- Overseeing Company's financial performance and adopting appropriate accounting policies
- Ensuring that the Company adheres to best practices in corporate governance including ethical business practices and compliance with rules, regulations and internal policies of the Group including concerns on ethics, bribery and corruption
- Establishing and overseeing systems of internal control and risk management to ensure that the Company has effective risk management systems in place to identify, assess and mitigate risks
- Ensuring that business operations are conducted with adherence to environmental, social and governance (ESG) considerations
- Building and improving stakeholder relationships
- Reviewing and approving major investments, acquisitions, disposals and capital expenditure subject to legal requirements whilst considering their impacts on society and the environment

Chairman

- Leading the Board, preserving good corporate governance and ensuring that the Board works effectively
- Setting the Board's annual work plan and the agendas
- Ensuring that the Board is in control of the affairs of the Company
- Ensuring effective participation of all Board members during Board meetings and ensuring efficient conduct of Board Meetings
- Building and maintaining stakeholder trust and confidence

Managing Director

- Implementing strategy and driving performance
- Ensuring succession planning of the corporate management team and assessing their performance
- Developing the Company/Group strategy for consideration and approval by the Board in line with guidance provided by the Board
- Developing and recommending to the Board, budgets supporting the Company/ Group long-term strategy
- Setting the Board agenda in consultation with the Chairman and assisted by the Company Secretaries
- Monitoring and reporting to the Board on the performance of the Company and its compliance with applicable laws and Corporate Governance principles
- Establishing an organisational structure for the Company which is appropriate for the execution of strategy
- Ensuring a culture that is based on the Company's values
- Ensuring that the Company operates within the approved risk appetite

Company Secretaries

- Ensuring the conduct of Board and General Meetings are in accordance with the Articles of Association and relevant legislation
- Maintaining statutory registers and the minutes of Board Meetings, General Meetings and of the Sub-Committee Meetings
- Prompt communication to regulators and shareholders
- Filing statutory returns and facilitating access to legal advice in consultation with the Board, where necessary
- Advising and assisting the Directors with respect to their duties and responsibilities in particular compliance with company law and other relevant legislations and regulations including but not limited to SEC and CSE.

All Directors have access to the advice and services of the Secretaries as necessary. The Secretaries maintain minutes of Board meetings, which are open for inspection by any Director. Appointment and removal of the Company Secretaries is a matter for the Board as a whole.

Role Segregation

The Board has taken further steps to balance decision making power, authority and accountability by separating the roles of Chairman and Managing Director.

CORPORATE GOVERNANCE

Independence of Directors

At the beginning of the financial year 2023/2024, there were four Independent Non-Executive Directors. On 8th September 2023, Mr. J.M.S. Brito was re-designated as an Independent Non-Executive Director, bringing the total count to five. On 18th November 2023, Mr. G. P. J. Goonewardena passed away. Subsequently, on 10th January 2024, Dr. R.A. Fernando was appointed to the Board as an Independent Non-Executive Director. Therefore, at the close of the financial year 2023/2024, there were five Independent Non-Executive Directors.

Independence of Directors is determined by the Board, based on annual declarations submitted by the Directors in compliance with the Listing Rules of the CSE and in line with Schedule C of the Code of Best Practice on Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka.

Whilst Dr. R.A. Fernando who was appointed as an Independent Director fully meets the criteria for determining Independence, the Board determined the below mentioned Directors as nevertheless independent under the exception provided in Rule 9.1.4(3) of the Listing Rules of the CSE.



Mr. R.N. Asirwatham

The Board is of the view that the period of service of Mr. R.N. Asirwatham which exceeds nine years does not compromise his independence and objectivity in discharging his functions as a Director. Therefore, the Board determined that Mr. Asirwatham is nevertheless Independent of Aitken Spence Hotel Holdings PLC as per the Listing Rules of the Colombo Stock Exchange.



Mr. C.H. Gomez

The Board is of the view that the period of service of Mr. C.H. Gomez as a Board Member, which exceeds nine years does not compromise his independence and objectivity in discharging his functions as a Director. Therefore, the Board determined that Mr. Gomez is nevertheless Independent of Aitken Spence Hotel Holdings PLC as per the Listing Rules of the Colombo Stock Exchange.



Mr. N.J. de S. Deva Aditya

The Board is of the view that the period of service of Mr. N.J. de S. Deva Aditya as a Board Member, which exceeds nine years does not compromise his independence and objectivity in discharging his functions as a Director. Therefore, the Board determined that Mr. Deva Aditya is nevertheless Independent of Aitken Spence Hotel Holdings PLC as per the Listing Rules of the Colombo Stock Exchange.



Mr. J.M.S. Brito

The period of service of Mr. J.M.S. Brito as a Board Member exceeds nine years. Additionally, Mr. Brito was an Executive Director on the Board of the Company prior to his assumption of duties as a Non-Executive Director. However, his period of service and his appointment as an Executive Director prior to his assumption of duties as a Non-Executive Director of the Company do not compromise his independence and objectivity in discharging his functions as a Director of the Company. Therefore, the Board determined that Mr. J.M.S. Brito is nevertheless Independent of Aitken Spence Hotel Holdings PLC as per the Listing Rules of the Colombo Stock Exchange.

All five Directors have submitted the annual declaration of independence in 2023.

Board Subcommittees

The Board has delegated certain functions to Board sub-committees. Through the sub-committees, the Board is able to deal effectively with complex or specialised issues with strong governance.

Aitken Spence PLC, the parent company is fully compliant with the requirements of having sub-committees. As permitted by 9.1.4 (4) of the Listing Rules of the Colombo Stock Exchange Audit Committee, Remuneration Committee and Related Party Transaction Committee of the parent company oversee the functions of the relevant committees. The Company will be compliant with the requirements of having sub-committees by the stipulated deadlines provided by the Colombo Stock Exchange.

Board Committee	Composition	Members	Areas of Oversight
Nomination and Governance Committee Report of the Nominations and Governance Committee is given on pages 150 to 151	Two Independent Non-Executive Directors including the Chairman of the Committee and the Chairman of the Board (Non-Executive Director)	R.N. Asirwatham - <i>Chairman</i> J.M.S Brito Deshamanya D.H.S. Jayawardena	Evaluate and recommend the appointment/re-appointment/election/re-election of Directors to the Board Evaluate and recommend suitable internal and external candidates to higher levels of management Succession planning Effectiveness of the Board and its Sub-Committees
Remuneration Committee Report of the Remuneration Committee is given on pages 148 to 149	Two Independent Non-Executive Directors including the Chairman of the Committee and one Non-Executive Director	R.N. Asirwatham - <i>Chairman</i> J.M.S. Brito C.H. Gomez C.R. Jansz	Determine the remuneration policy of the Directors and the KMPs Determine the overall individual remuneration packages which includes compensation on termination of employment Evaluate the performance of the Managing Directors, Executive Directors as well as the individual and collective performance of Directors and Senior Management of the Strategic Business Units
Audit Committee Report of the Audit Committee is given on pages 143 to 145	Four Independent Non-Executive Directors including the Chairman of the Committee	R.N. Asirwatham - <i>Chairman</i> J.M.S. Brito C.H. Gomez N.J. de S. Deva Aditya	Risk management and internal control Financial reporting and financial control Internal audit External audit including assessing the independence of External Auditor Compliance with legal and regulatory requirements
Related Party Transactions Review Committee Report of the Related Party Transactions Review Committee is given on pages 146 to 147	Three Independent Non-Executive Directors including the Chairman of the Committee and one Non-Executive Director	R.N. Asirwatham - <i>Chairman</i> J.M.S. Brito C.H. Gomez N.J. de S. Deva Aditya	Recommend appropriate actions for compliance in respect of proposed Related Party Transactions or post quarter confirmations as applicable Annual Review of thresholds of transactions falling under the ambit of Rule 9.14.8 of the Listing Rules based on the available Audited Financial Statements Set out criteria to determine key management personnel

CORPORATE GOVERNANCE

Board Meetings & Minutes

The Board of Directors convene Board Meetings where they may bring their diverse knowledge and experience to bear on various topics under discussion.

The Managing Director in consultation with the Chairman sets the Board agenda, with the assistance of the Company Secretaries. The Chairman ensures that Directors have sufficient information on matters included in the agenda to facilitate effective participation of all Directors. Additionally, all Directors have access to the Managing Director and the Senior Management of the Company to clarify any matter and they are available for clarification of matters during the meeting. In an instance of a Director's non-attendance at the meetings, he/she is provided with briefing material for discussion with the Chairman or the Managing Director on a later date, through formally documented minutes of meetings, by clarifying matters from the Company Secretaries or through separate discussions prior to the meeting regarding matters arising from the previous meeting.

Board papers (Board packs) are circulated one week prior to the meeting to allow adequate time for preparation of the same. Minutes of meetings are circulated within 10 days of the meeting to Board members and included in the subsequent Board pack. Company Secretaries maintain all past minutes and board papers and are accessible at the convenience of the Directors. Directors' concerns regarding matters which are not resolved unanimously (if any) are recorded in the minutes.

Attendance at Meetings throughout the financial year 2023/2024

Name of Director	Director Status	Meeting Attendance				
		Board	Audit Committee	Nomination & Governance Committee	Remuneration Committee	Related Party Transactions Review Committee
Deshamanya D.H.S. Jayawardena	Chairman NED	3	-	1	-	-
Ms. D.S.T. Jayawardena	EXE	3	-	-	-	-
Dr. M.P. Dissanayake	EXE	3	-	-	-	-
Mr. C.M.S. Jayawickrama	EXE	3	-	-	-	-
Mr. J.M.S. Brito	INED	3	13	1	1	4
Mr. N.J. de Silva Deva Aditya	INED	3	10*	-	-	3*
Mr. R.N. Asirwatham	INED	3	13	1	1	4
Mr. C.H. Gomez	INED	3	7	-	1	2
Mr. G.P.J. Goonawardene (demised on 18.11.2023)	INED	0	-	-	-	-
Mr. M.A.N.S. Perera	NED	3	-	-	-	-
Dr. R.A. Fernando (Appointed w.e.f. 10.01.2024)	INED	1	-	-	-	-
Total No. of Meetings		3	13	1	-	4

EXE - Executive Director **NED** - Non-Executive Director **INED** - Independent Non-Executive Director

* Attendance through Mr. M.A.N.S. Perera (Mr. M.A.N.S. Perera served as an Alternate Director to Mr. N.J. de Silva Deva Aditya in the parent company Aitken Spence PLC and he ceased to be an Alternate Director to Mr. N.J. de S Deva Aditya w.e.f. 01.01.2024)

CORPORATE GOVERNANCE PRACTICES

Appointment, Re-election and election of Directors

The Nomination and Governance Committee assists the Board in reviewing the structure and composition of the Boards of Aitken Spence Hotel Holdings PLC and make recommendations to the Board on all Board appointments. The Board considers the recommendations of the Nominations and Governance Committee and recommends suitable candidates for appointment or re-election by the shareholders at the Annual General Meeting. The Nominations and Governance Committee prudently assesses the fitness and propriety of Directors when considering appointments to the Board and during the annual assessment of the continuation of directorships.

The Company obtained annual declarations from the Directors confirming that they have continuously satisfied the specified Fit and Proper Assessment Criteria. Therefore, no Director was identified as a person who has failed to fulfil the required assessment criteria during the year under review.

As required by the Listing Rules, new appointments to the Board are promptly communicated to the CSE through announcements. The announcements typically include a brief details of expertise, key appointments, shareholdings, the names of companies where the Director holds directorships or memberships in Board Committees and status of independence.

The resignations of directors need to be informed in writing by the Director and are communicated immediately to the CSE upon acceptance by the Board together with any shareholding in the Group.

Director Induction & Training

On appointment, Directors are taken through a formal and tailored induction programme coordinated by the Managing Director, where they are apprised of the Group values and culture, its operating

model, Group policies, governance framework and processes, Group Code of Ethics and Professional Conduct, and operational strategies of the Group. Directors are availed the opportunity to have one-on-one meetings with the management of each subsidiary, visit sites/factories/hotels where appropriate.

Presentations are made to the Board on new developments in corporate governance and the operating environment. In addition, Board members are encouraged to participate in seminars/webinars conducted by professional institutions to enhance their knowledge which would aid and assist the Directors in discharging their duties in a more effective and efficient manner. Directors undertake training and professional development as they consider necessary, in their personal capacity. Other training and continuous professional development undertaken includes attending seminars/ workshops/conferences and reading regulatory updates etc.

Identifying & Managing Conflicts

The Group has processes in place to identify and manage conflicts of interest which are listed below:

Directors' interest in transactions - All the Directors of the Company and its Subsidiaries are required to make the general disclosures annually as provided for in section 192(2) of the Companies Act. Note 44 to the Financial Statements dealing with related party disclosures includes details of their interests in transactions.

Directors' interests in shares - Directors of the Company and its subsidiaries who have relevant interests in the shares of the respective companies have disclosed their shareholdings and any acquisitions/ disposals to their Boards, in compliance with section 200 of the Companies Act. Further, the relevant interests of each Director in the securities of the Company and any acquisition/disposals of same have been

notified to the CSE in accordance with Rule 7.8 of the Listing Rules and, accordingly, the relevant entries have been made in the Company's Interests Register which has been maintained as required by the Companies Act.

Annual declarations on Independence - In compliance with the principles of corporate governance stipulated the Listing Rules of the CSE and in line with Schedule C of the Code of Best Practice on Corporate Governance, 2023, Independent Directors submit signed declarations annually confirming their independence or non-independence against the specified criteria given under Rule 9.8.3 of the Listing Rules of the CSE.

Disclosure of Interest in Related Party Transactions - Declarations from Key Management Personnel of Aitken Spence (Board of Directors of the Company, Directors, Vice Presidents and Assistant Vice Presidents of subsidiary companies) and from the Group companies are obtained quarterly for the purpose of identifying proposed Related Party Transactions and post quarter confirmations of Related Party Transactions and to determine Related Party Transactions which ensures the compliance with the disclosure requirements of the Listing Rules of the CSE.

Related Party Transactions Review Committee - The Board has appointed a Related Party Transactions Review Committee comprising of three Independent Non-Executive Directors and a Non-Independent Non-Executive Director who meet quarterly to review Related Party Transactions during each quarter in line with the Continuing Listing Requirements of the CSE. The Committee met quarterly and their report is given on page 146.

Annual Disclosure on Material Business Relationships with other Directors of the Company - In keeping with Rule 9.10.4(c) of the Listing Rules of CSE, Declarations were

CORPORATE GOVERNANCE

obtained from the Directors of the Company for the purpose of identifying material business relationships, if any, which they or their close family members have with the other Directors of the Company.

Risk Management

The Board is responsible for setting in place a system to identify, measure, monitor and manage the principal risks of the Group and determining the level of risk it is willing to accept in relation to its strategic goals. The Group implemented a centralised risk management process using a central risk register which will be updated on a quarterly basis by the business segments to enable the preparation of a consolidated risk register for the Group. This was further strengthened with training and obtaining additional information to support the Group's journey to adopt IFRS Sustainability Standards. This also ensures that business segments take a holistic approach in identifying and assessing risks from a continuously updated risk universe and a common taxonomy and classification is followed facilitating consolidation.

Additionally, specialised central services such as HR and IT assess the specialised risks for the Group, ensuring that the risks capture issues related to subsidiaries as well through regular meetings with Business Segment heads. The Group Internal Audit division reviews the risk management processes and moderates the same prior to reporting to the Board on Group risks.

(For more details, please refer Risk Management on pages 50 to 57 of this Annual Report)

Internal Controls, Accountability and Audit

Standard Operating Procedures (SOPs) prepared by subsidiary companies within the Group undergo review by Internal Audit, with all Group employees required to adhere to these SOPs. Any deviations are reported and appropriate remedial action is agreed upon with management. Serious

deviations undergo further investigation and root cause analysis, with disciplinary action initiated as necessary. Internal Audit Reports, encompassing audit findings, risk ratings and management explanations are reviewed by the Audit Committee, which recommends further action to strengthen controls as needed.

The Audit Committee assists the Board in fulfilling its responsibilities regarding financial reporting and audit oversight. The Committee reviews performance, internal audit reports and risk management reports regularly. Additionally, it assesses the adequacy of internal controls.

(Further details are provided in the Audit Committee Report on page 143)

Board Performance Evaluation

Performance of the Managing Director and other Executive Directors are assessed at the end of each financial year against financial and non financial objectives set out in consultation with the Board at the commencement of every financial year. The evaluation is carried out by the Chairman, against the backdrop of the operating environment. Remuneration is revised based on performance. Areas identified for improvement are communicated to the respective Director, including training needs and skills and knowledge gaps.

Director's Remuneration

The Remuneration Committee is responsible for making recommendations to the Board regarding the remuneration of the Executive Directors and Key Management Personnel (KMPs). The compensation for Directors and KMPs is aligned with objectives for sustainable value creation that are consistent with the Group's strategy. It is determined based on well-defined performance goals that are appropriately challenging and benchmarked against the industry standards. For further information, please refer Remuneration Committee Report on page 148 of this Annual Report.

The Board, as a whole, determines the remuneration of the Non-Executive Directors (NED's). NEDs are remunerated based on their attendance at Board and/or Committee meetings. Remuneration for NEDs reflects the time commitment and responsibilities of their role, taking into consideration market practices. They do not receive any performance related incentive payments. Professional advice is sought by the Board and Remuneration Committee in discharging their responsibilities. Further details are provided in the Remuneration Committee Report on page 148)

Employee Remuneration

Aitken Spence's remuneration policy is designed to incentivise employees in creating long-term value for the Group and aligning their interests with the Group's strategic direction. This policy ensures effective utilisation of Group resources and a continued focus on sustainability, growth and long-term value. The Group has established policies to ensure that remuneration and benefits are fair, transparent, competitive and cost-effective while also aligning with the Group's business goals. The implementation of this policy is overseen by the Group Chief Human Resource Officer.

Employee remuneration remained a focal point throughout the year, with pay increases granted to non-executive staff to aid them during the economic challenges. All staff members received increments to accommodate the elevated cost of living.

A total reward philosophy is maintained within the Group, encompassing both monetary and non-monetary rewards. In order to position the group as an employer of choice, new rewards have been introduced to provide staff with a unique value proposition.

(For more details, please refer Human Capital on pages 82 to 91 of this Annual Report)

Shareholder Communications

Shareholder communications are managed by the Company Secretarial division. The Annual General Meeting (AGM) is the main platform which provides forum for all shareholders to directly communicate with the Board of the Company and participate in the decision making process reserved for the shareholders as defined in the Articles of Association and the Companies Act No.07 of 2007. Shareholders also have the opportunity to ask questions, comment or make suggestions to the Board through the Company Secretaries. All significant issues and concerns of shareholders are referred to the Board with the views of the Management. Shareholder queries are responded to by the Company Secretaries for an on behalf of the Management. Opportunity is also provided to address the Board directly at AGMs.

The Board approves the quarterly Financial Statements for dissemination to shareholders through the CSE in a timely manner. All other price sensitive information such as major acquisitions or disposals and share transaction dealings are also notified promptly to the CSE.

Engagement Mechanism	Frequency of Engagement					
	Annually	Quarterly	Periodically	Regularly	24 Hours 7 days	As and when Required
General meetings	✓					
Annual Report	✓					
Interim Financial Statements		✓				
Disclosures and announcements to the CSE			✓			✓
Corporate website					✓	
General correspondence				✓		
CSR projects				✓		

GRI 205-2

Anti-Bribery & Corruption Approach

Group Code of Ethics and Professional Conduct prohibits the acceptance or offer of gifts in order to receive preferential business treatment. Any non-compliance related to code concerning bribery & corruption reported will be investigated and appropriate course of action will be taken so that it serves as a forewarning to others to desist from engaging in such activities. Any complaint of non-compliance is channelled to the Internal Audit division for investigation and the Internal Audit Report is placed before the Audit Committee to consider and recommend the appropriate action to be taken in respect of controlled persons who will be subjected to disciplinary action whereas non-controlled persons will be subjected to appropriate actions as suggested by the Audit Committee.

GRI 418-1

Internet of Things and Cybersecurity

The Group's emphasis on Internet of Things (IoT) and cybersecurity aligns with the increasing trend of digital transformation and the necessity for businesses to adjust to the ever-changing technological environment. Our investment in these areas underscores the commitment to innovation and our efforts to safeguard the businesses against cyber threats. The Board has the ultimate responsibility for establishing the required infrastructure, organisational structures, policies, and procedures for effective governance over our digital infrastructure, systems, and information assets.

The globally recognised ISO/IEC 27001/2013 Information Security Standards was recertified at Aitken Spence for the ninth consecutive year in

2023/2024. The certification is a testament of our conformance to the highest information systems practices and protocols in accordance with global standards. The certification supports the Company in identifying the risks to the security of information. Identified risks will be evaluated and proper measures are taken by the Group IT Services team to mitigate or minimise the threats. The Board of Directors are regularly updated regarding the controls in place to mitigate cyber risks, and on possible cyber risks that the Company is exposed to by the Group IT Services team which also reports more frequently to the Management Council and the Group Supervisory Board.

Given the emergence of regulations such as European Union General Data Protection Regulation (GDPR) and the Sri Lankan Personal Data Protection Act No. 9 of 2022 (PDPA), Aitken Spence Group has

given its utmost attention to data security, integrity and information management. Though the Group has yet to specifically adopt measures catering to PDPA, it has put in place the policies, procedures and frameworks such as ISO/IEC 27001/2013 Information Security Standards to ensure data security, integrity and information management.

Further, Aitken Spence Group has implemented robust Data Loss and Prevention policies (DLP) associated with all platforms and dual layers of security in preventing any breaches of information security. Additionally, the application platforms used by the Group have the embedded platforms to comply with the international standards of information protection such as GDPR. With the implementation of the Semi Virtual Mobility programme, the Group has implemented a remote working policy which required employees to take necessary steps to protect Company data and any other information that is accessible from their home office. The policy outlines the best practices for remote working and provides guidelines for maintaining a secure work environment.

In the aftermath of the pandemic that devastated the businesses, the Company has adopted a unique set of smart initiatives to ensure resilience and to maintain a robust environment that caters to increase productivity in conventional and semi virtual

working conditions. Few examples of such smart initiative are the use of digital twins in the mechanised spaces such as elevators, use of Advance Virtual Assistance in the hotel sector for sentiment analysis, visitor guiding etc., use of Generative Artificial Intelligence (AI) to improve quality of images for printing sector, Robotic Process Automation (RPA), collaborative ecosystem product development, self-supervised learning and Low Code Application Platforms (LCAP) such as app development enabling the sectors to develop their own home grown solutions.

Environment, Society and Governance Reporting (ESG Reporting)

The Board places significant emphasis on sustainable development ensuring that the Company creates value, both for the organisation and its key stakeholders. The Board satisfies itself that Environmental, Social and Governance (ESG) metrics are incorporated into the business model and the creation of value as disclosed in the following sections of the Annual Report.

Environmental, Social and Governance Reporting

ESG Factors	Reference
Environmental factors	Natural Capital - pages 106 to 112 of this Annual Report
Social factors	Human Capital - pages 82 to 91 of this Annual Report
	Social & Relationship Capital - pages 98 to 105 of this Annual Report
Governance	Financial Capital - pages 71 to 73 of this Annual Report
	Corporate Governance Report - pages 114 to 142 of this Annual Report

CORPORATE GOVERNANCE COMPLIANCE

Mandatory External Governance Benchmark	Voluntary External Governance Benchmark	Internal Governance Benchmark
- Companies Act No. 7 of 2007 and the amendments thereto - Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995 (SLFRs/ LKASs) - Listing Rules of the CSE - Securities and Exchange Commission of Sri Lanka Act No. 19 of 2021 and the amendments thereto - Inland Revenue Act No. 24 of 2017 and the amendments thereto - Foreign Exchange Act No. 12 of 2017 and the amendments thereto - The Anti-Money Laundering Laws and Regulations and Financial Transaction Reporting Act No. 6 of 2006 and the amendments thereto - Industrial laws - Personal Data Protection Act. No. 9 of 2022 - Anti-Corruption Act, No. 9 of 2023 - Online Safety Act No.9 of 2024	- Code of Best Practice on Corporate Governance 2017, as amended in 2023, issued by the Institute of Chartered Accountants - Codes of regulatory authorities, professional institutions and Trade Associations - United Nations Global Compact (UNGC) - Global Reporting Initiative's (GRI) Universal Standards 2021 - Integrated Reporting Framework - Women's Empowerment Principles - Social and Environmental Certification Requirements - UN Guiding Principles on Business and - SASB® Standards, IFRS Sustainability Disclosure Standards	- Articles of Association - Group Code of Ethics and Professional Conduct - Terms of Reference of Subcommittees - Policy on Whistleblowing - Policy on Anti-Bribery and Corruption - Policy on Environmental, Social and Governance Sustainability



The Compliance levels with the Code of Best Practice on Corporate Governance 2017, issued by the Institute of Chartered Accountants of Sri Lanka are available on Company's website at <https://www.aitkenspencehotels.com/about-us/investor-relations/corporate-governance.html?remove> and forms a part of this Corporate Governance Report.

CORPORATE GOVERNANCE

Compliance with the Companies Act No. 7 of 2007

Section	Requirement	Disclosure Reference for Compliance	Compliance Status
168 (1)(a)	Any change during the accounting period in the nature of business of the Company or any of its subsidiaries and the classes of business in which the Company has an interest	Refer Annual Report of the Board of Directors of this Annual Report	Compliant
168 (1) (b)	Financial Statements of the Company and the Group for the accounting period completed and signed	Refer Financial Statements and Annual Report of the Board of Directors of this Annual Report	Compliant
168 (1) (c)	Auditors Report on Financial Statements of the Company and the Group	Refer Financial Statements of this Annual Report	Compliant
168 (1) (d)	Change of accounting policies during the accounting period	Refer Annual Report of the Board of Directors of this Annual Report	Compliant
168 (1) (e)	Particulars of entries in the interest register made during the accounting period	Refer Annual Report of the Board of Directors of this Annual Report	Compliant
168 (1) (f)	Remuneration and other benefits paid to the Directors during the accounting period	Refer Annual Report of the Board of Directors of this Annual Report	Compliant
168 (1) (g)	Total amount of donations made by the Company and the Group during the accounting period	Refer Annual Report of the Board of Directors of this Annual Report	Compliant
168 (1) (h)	Directorate of the Company and the Group as at the end of accounting period along with the changes occurred during the accounting period	Refer Annual Report of the Board of Directors of this Annual Report	Compliant
168 (1) (i)	Amounts payable to the Auditors as audit fees and fees payable for other related services provided by them	Refer Annual Report of the Board of Directors of this Annual Report	Compliant
168 (1) (j)	Relationship or interest of the Auditors with the Company or any of its subsidiaries	Refer Annual Report of the Board of Directors of this Annual Report	Compliant
168 (1) (k)	Annual Report of the Board of Directors signed on behalf of the Board	Refer Annual Report of the Board of Directors of this Annual Report	Compliant

Compliance with the Continuing Listing Requirements - Section 7.6 on the Content of Annual Report Issued by the Colombo Stock Exchange

CSE Rule	Requirement	Disclosure Reference for Compliance	Compliance Status
7.6 i)	Names of Directors of the entity	Refer Corporate Information of this Annual Report	Compliant
7.6 ii)	Principal activities of the entity and its subsidiaries during the year under review	Refer Annual Report of the Board of Directors and the Group Directorate of this Annual Report	Compliant
7.6 iii)	20 largest holders of voting and non-voting shares and the percentage of shares	Refer Investor Information of this Annual Report	Compliant
7.6 iv)	The float adjusted market capitalisation, Public Holding percentage (%), number of public shareholders and under which option the Listed Entity complies with the Minimum Public Holding requirement	Refer Investor Information of this Annual Report	Compliant
7.6 v)	Directors and CEO's holding in shares of the entity at the beginning and end of reporting year	Refer Investor Information of this Annual Report	Compliant
7.6 vi)	Information pertaining to material foreseeable risk factors	Refer Risk Management of this Annual Report	Compliant
7.6 vii)	Details of material issues pertaining to employees and industrial relations	Refer Human Capital of this Annual Report	Compliant
7.6 viii)	Extents, locations, valuations and the number of buildings of the entity's land holdings and investment properties	Refer Note 16.3 to the Financial Statements of this Annual Report	Compliant
7.6 ix)	Number of shares representing the stated capital	Refer Investor Information of this Annual Report	Compliant
7.6 x)	Distribution schedule of the number of holders and the percentage of their total holding	Refer Investor Information of this Annual Report	Compliant
7.6 xi)	Ratios and market price information	Refer Investor Information of this Annual Report	Compliant
7.6 xii)	Significant changes in the entity's or its subsidiaries fixed assets and the market value of land	Refer Note 16 to the Financial Statements of this Annual Report	Compliant
7.6 xiii)	Funds, (if any) raised either through a public issue, rights issue and private placement	The Company had no public issue, rights issue or private placement during the year under review	N/A
7.6 xiv)	Employee share option/purchase schemes	As at date, the Company has no share option/purchase schemes made available to its Directors or employees	N/A
7.6 xv)	Corporate Governance Disclosures	Refer Corporate Governance Report of this Annual Report	Compliant
7.6 xvi)	Related Party Transactions	Refer Note 44 to the Financial Statements and the declaration of the Board of Directors embodied in the Annual Report of the Board of Directors of this Annual Report	Compliant

CORPORATE GOVERNANCE

Compliance with Section 9 of the Listing Rules Issued by the Colombo Stock Exchange

Rule Ref.	Disclosure Requirement	Effective Date	How We Comply
9.1	Corporate Governance Rules		
9.1.1	Statement confirming the extent of compliance with the Corporate Governance Rules	01st October 2023	The extent of compliance with Section 9 of the Listing Rules of the Colombo Stock exchange on Corporate Governance Rules is tabulated in the table given below
9.1.3			Also refer 'Chairman's Statement on Governance' in the Corporate Governance Report of this Annual Report
9.2	Policies		
9.2.1	Listed Company shall establish and maintain the following policies and disclose the fact of existence of such policies together with the details relating to the implementation of such policies by the Company on its website; a) Policy on the matters relating to the Board of Directors b) Policy on Board Committees c) Policy on Corporate Governance, Nominations and Re-election e) Policy on Remuneration f) Policy on Internal Code of Business conduct and Ethics for all Directors and employees, including policies on trading in the Entity's listed securities g) Policy on Risk management and Internal controls h) Policy on Relations with Shareholders and Investors i) Policy on Environmental, Social and Governance Sustainability j) Policy on Control and Management of Company Assets and Shareholder Investments k) Policy on Corporate Disclosures Policy on Whistleblowing l) Policy on Anti-Bribery and Corruption	01st October 2024	Policies referred to in h, k and l have been uploaded in the corporate website of the Company The Company is in the process of developing the policies referred to in a, b, c, d, e, f, g, i and j and the said policies will be made available on the corporate website on or before the effective date
9.2.2	Any waivers from compliance with the Internal Code of business conduct and ethics or exemptions granted	01st October 2024	N/A
9.2.3	i) List of policies in place as per Rule 9.2.1, with reference to website ii) Any changes to policies adopted	01st October 2024	Refer 'How We Comply' under Rule 9.2.1 above
9.2.4	Listed Company shall make available all such policies to shareholders upon a written request being made for any such Policy	01st October 2024	Refer 'How We Comply' under Rule 9.2.1 above

Rule Ref.	Disclosure Requirement	Effective Date	How We Comply
9.3	Board Committees		
9.3.1	Listed Company shall ensure that the following Board committees are established and maintained at a minimum and are functioning effectively. The said Board committees at minimum shall include: a) Nominations and Governance Committee b) Remuneration Committee c) Audit Committee d) Related Party Transactions Review Committee	01st October 2023	Compliant Aitken Spence PLC, the parent company is fully compliant with the requirements of having sub-committees. As permitted by 9.1.4 (4) of the Listing Rules of the Colombo Stock Exchange Audit Committee, Remuneration Committee and Related Party Transaction Committee of the parent company oversee the functions of the relevant committees. The Company will be compliant with the requirements of having sub-committees by the stipulated deadlines provided by the Colombo Stock Exchange. The existing Nomination Committee has been renamed as the Nominations and Governance Committee during the year under review in accordance with the revised Listing Rules of the CSE
9.3.2	Listed Company shall comply with the composition, responsibilities and disclosures required in respect of the above Board committees as set out in these Rules	01st October 2023	Refer 'How We Company' under Rules 9.11, 9.12, 9.13 and 9.14 below
9.3.3	The Chairperson of the Board of Directors of the Company shall not be the Chairperson of the Board Committees referred to in Rule 9.3.1 above	01st October 2024	Compliant
9.4	Principles of democracy in shareholder dealings		
9.4.1	Listed Company shall maintain records of all resolutions and the following information upon a resolution being considered at any General Meeting of the Company. The Company shall provide copies of the same at the request of the Exchange and/or the Securities and Exchange Commission (SEC). The number of shares in respect of which proxy appointments have been validly made; The number of votes in favour of the resolution; The number of votes against the resolution; and The number of shares in respect of which the vote was directed to be abstained	01st October 2023	The Company Secretaries maintain records of all resolutions of General Meetings and information related thereto
9.4.2	Listed Company should have a policy on effective communication and relations with shareholders and investors Listed Company should disclose the contact person for such communication The policy on relations with shareholders and investors on the process to make all Directors aware of major issues and concerns of shareholders	01st October 2024	This will be compliant with the establishment of the Policy on Relations with Shareholders and Investors

CORPORATE GOVERNANCE

Rule Ref.	Disclosure Requirement	Effective Date	How We Comply
9.5.1	Listed Company shall establish and maintain a formal policy governing matters relating to the Board of Directors and such policy shall include the matters listed under this Rule	01st October 2024	This will be compliant with the establishment of the Policy on matters relating to Board of Directors
9.5.2	Confirmation on compliance with the requirements of the Policy on matters relating to the Board of Directors. If non-Compliant reasons for the same with proposed remedial action	01st October 2024	This will be compliant with the establishment of the Policy on matters relating to Board of Directors
9.6	Chairperson and CEO		
9.6.1	The Chairperson of every Listed Company shall be a Non-Executive Director and the positions of the Chairperson and CEO shall not be held by the same individual, unless otherwise a SID is appointed by such Entity in terms of Rule 9.6.3 below	01st October 2023	Compliant Chairman is a Non-Executive Director
9.6.2	Where the Chairperson of a Listed Company is an Executive Director and/or the positions of the Chairperson and CEO are held by the same individual, such Entity shall make a Market Announcement within a period of one (1) month from the date of implementation of these Rules or an Immediate Market Announcement if such date of appointment and/or combination of the said roles falls subsequent to the implementation of these Rules	01st October 2023	N/A
9.6.3	Report of Senior Independent Director demonstrating the effectiveness of duties	01st October 2023	N/A
9.6.4	Rationale for appointing Senior Independent Director	01st October 2023	N/A
9.7	Fitness of Directors and CEOs		
9.7.1	Listed Company shall take necessary steps to ensure that their Directors and the CEO are, at all times, fit and proper persons as required in terms of the Listing Rules In evaluating fitness and propriety of the persons referred in these Rules, the Company shall utilise the 'Fit and Proper Assessment Criteria' set out in Rule 9.7.3 of the Listing Rules	01st October 2023	The Company Secretaries obtain annual declarations from the Directors of the Company to ensure that they are at all times fit and proper persons as specified in the criteria given in Rule 9.7.3 of the Listing Rules of the CSE
9.7.2	Listed Company shall ensure that persons recommended by the Nominations and Governance Committee as Directors are fit and proper as required in terms of these Rules before such nominations are placed before the shareholders' meeting or appointments are made	01st October 2023	Compliant
9.7.3	A Director or the CEO of a Listed Company shall not be considered as 'fit and proper' if she or he does not meet with the fit and proper assessment criteria specified under "Honesty, Integrity and Reputation", "Competence and Capability" and "Financial Soundness" as set out in Rule 9.7.3 (a), (b) and (c) respectively	01st April 2024	Refer 'How We Comply' under Rule 9.7.1 above

Rule Ref.	Disclosure Requirement	Effective Date	How We Comply
9.7.4	Listed Company shall obtain declarations from its Directors and CEO on an annual basis confirming that each of them have continuously satisfied the Fit and Proper Assessment Criteria set out in the Listing Rules during the financial year concerned and satisfies the said criteria as at the date of such confirmation	01st October 2023	Annual declarations from Directors confirming that each of them has continuously satisfied the fit and proper assessment criteria set out in the CSE revised Listing Rules were obtained as at 31st March 2024
9.7.5	a) Statement on Directors and CEO satisfying Fit and Proper Assessment Criteria b) Any non-compliance/s and remedial action taken	01st October 2023	Compliant Refer the 'Annual Report of the Board of Directors' of this Annual Report N/A
9.8	Board Composition		
9.8.1	The Board of Directors of a Listed Company shall, at a minimum, consist of five (05) Directors	01st October 2024	As of the date of the publication of this Annual Report, the Company consists of 10 Directors, thereby complying with the requirement stipulated under Rule 9.8.1 of the Listing Rules of the CSE However, the Articles of Association of the Company will be amended at the forthcoming Annual General Meeting to increase the minimum number of Directors from two (02) to five (05)
9.8.2	Minimum Number of Independent Directors: a) The Board of Directors of a Listed Company shall include at least two (2) Independent Directors or such number equivalent to one third (1/3) of the total number of Directors of the Company at any given time, whichever is higher b) Any change occurring to this ratio shall be rectified within ninety (90) days from the date of the change	01st October 2024	Compliant
9.8.3	A Director shall not be considered independent if he/she does not meet the criteria for determining independence as set out in Rule 9.8.3 of the Listing Rules	Criteria 9.8.3 (i) to (viii) - October 01, 2023 Criteria 9.8.3 (ix) - January 01, 2025.	Compliant in terms of Rule 9.1.4(3)

CORPORATE GOVERNANCE

Rule Ref.	Disclosure Requirement	Effective Date	How We Comply
9.8.5	Each Independent Director to submit a signed and dated declaration annually of his or her “independence” or “non-independence” against the criteria specified herein and in the format in Appendix 9A, containing at a minimum the content prescribed therein Make an annual determination as to the “independence” or “non-independence” of each Independent Director based on the Directors’ declaration and other information available to it and shall set out the names of Directors determined to be ‘independent’ in the Annual Report If the Board of Directors determines that the independence of an Independent Director has been impaired against any of the criteria set out in Rule 9.8.3, it shall make an immediate Market Announcement thereof	01st October 2023	The Independent Directors submit signed declarations annually with regard to their independence/non-independence against the specified criteria stipulated under Rule 9.8.3 of the Listing Rules of the CSE Refer ‘Independence of the Directors’ in the Corporate Governance Report of this Annual Report
9.9	Alternate Directors		
9.9	If a Listed Company provides for the appointment of Alternate Directors, it shall be required to comply with the requirements set out in Rule 9.9 of the Listing Rules and such requirements shall also be incorporated into the Articles of Association of the Company	01st January 2024	The Articles of Association of the Company will be amended at the forthcoming Annual General Meeting of the Company to incorporate the requirements referred to in this Rule
9.10	Disclosures Relating to Directors		
9.10.1	Listed Company shall disclose its policy on the maximum number of directorships its Board members shall be permitted to hold in the manner specified in Rule 9.5.1. In the event such number is exceeded by a Director(s), the Company shall provide an explanation for such non-compliance in the manner specified in Rule 9.5.2 of the Listing Rules	01st October 2024	This will be compliant with the establishment of the Policy on matters relating to Board of Directors
9.10.2	Listed Company shall, upon the appointment of a new Director to its Board, make an immediate Market Announcement setting out the following: i) a brief resume of such Director; ii) his/her capacity of directorship; and, iii) Statement by the Company indicating whether such appointment has been reviewed by the Nominations and Governance Committee of the Company	01st October 2023	Compliant Refer ‘Appointment, Re-election and election of Directors’ in the Corporate Governance Report of this Annual Report
9.10.3	Listed Company shall make an immediate Market Announcement regarding any changes to the composition of the Board of Directors or Board Committees referred to in Rule 9.3 of the Listing Rules containing, at minimum, the details of changes including the capacity of directorship with the effective date thereof	01st October 2023	Will comply if a need arise

Rule Ref.	Disclosure Requirement	Effective Date	How We Comply
9.10.4	Directors details a) name, qualifications and brief profile b) nature of his/her expertise in relevant functional areas c) whether either the Director or Close Family Members has any material business relationships with other Directors d) whether Executive, Non-Executive and/or independent Director e) total number and names of companies in Sri Lanka in which the Director concerned serves as a Director and/or KMP stating whether listed or unlisted, whether functions as executive or non-executive (If the directorships are within the Group, names need not be disclosed) f) number of Board meetings attended g) names of Board Committees in which the Director serves as Chairperson or a member h) Attendance of board committee meetings i) Terms of Reference and powers of Senior Independent Directors	01st October 2023	a), b) and d) - refer 'Board profiles' of this Annual Report c) - Based on the individual declarations obtained from the Directors, it was evident that none of the Directors or their close family members have material business relationships with other Directors of the Company. A Statement to this effect will be included in the 'Annual Report of the Board of Directors' of this Annual Report e) - Refer 'Corporate Governance Report' of this Annual Report f), g) and h) - refer 'Composition of the Board' and 'Details of Directors' Attendance held during the Financial Year 2023/2024' in the Corporate Governance Report of this Annual Report i) - N/A
9.11	Nominations and Governance Committee		
9.11.1	Listed Company shall have a Nominations and Governance Committee that conforms to the requirements set out in Rule 9.11 of the Listing Rules	01st October 2024	Compliant The Nomination & Governance Committee of Aitken Spence PLC acts as the Nomination Committee of Aitken Spence Hotel Holdings PLC. However, the Company will be compliant with the requirement of having a separate Committee by the stipulated deadline issued by the Colombo Stock Exchange. The existing Nomination Committee has been renamed as the Nomination and Governance Committee during the year under review in accordance with the revised Listing Rules of the CSE
9.11.2	Listed Company shall establish and maintain a formal procedure for the appointment of new Directors and re-election of Directors to the Board through the Nominations and Governance Committee	01st October 2024	Will be fully compliant on or before the effective date
9.11.3	The Nominations and Governance Committee shall have a written terms of reference clearly defining its scope, authority, duties and matters pertaining to the quorum of meetings	01st October 2024	Will be fully compliant on or before the effective date

CORPORATE GOVERNANCE

Rule Ref.	Disclosure Requirement	Effective Date	How We Comply
9.11.4	(1) The members of the Nominations and Governance Committee shall; a) comprise of a minimum of three (03) Directors of the Listed Company, out of which a minimum of two (02) members shall be Independent Directors of the Company b) not comprise of Executive Directors of the Listed Company. (2) An Independent Director shall be appointed as the Chairperson of the Nominations and Governance Committee by the Board of Directors (3) The Chairperson and the members of the Nominations and Governance Committee shall be identified in the Annual Report of the Listed Company	01st October 2024	Compliant Refer 'Composition of the Committee' in the Nominations and Governance Committee Report
9.11.5	The functions of the Nominations and Governance Committee	01st October 2024	Will be fully compliant on or before the effective date Refer 'Nomination and Governance Committee Report' of this Annual Report
9.11.6	The Annual Report of a Listed Company shall contain a report of the Nominations and Governance Committee signed by its Chairperson Nominations and Governance Committee Report shall include the following: a) Names of chairperson and members with nature of directorship b) Date of appointment to the committee c) Availability of documented policy and processes when nominating Directors d) Requirement of re-election at regular intervals at least once in 3 years e) Board diversity f) Effective implementation of policies and processes relating to appointment and reappointment of Directors	01st October 2024	Will be compliant on or before the effective date Nominations and Governance Committee Report containing the requirements stipulated under this Rule will be included in the Annual Report of the Company for the Financial Year 2024/2025

Rule Ref.	Disclosure Requirement	Effective Date	How We Comply
9.11.6	g) Details of directors re-appointed - Board Committees served - Date of first appointment - Date of last re-appointment - Directorships or Chairpersonships and other principal commitments, present and held over the preceding three years - Any relationships – close family member, more 10% shareholding h) Performance of periodic evaluation of board i) Process adopted to inform independent directors of major issues. j) Induction / orientation programs for new directors on corporate governance, Listing Rules, securities market regulations or negative statement k) Annual update for all directors on corporate governance, Listing Rules, securities market regulations or negative statement l) Compliance with independence criteria m) Statement on compliance with corporate governance rules, if non-compliant reasons and remedial actions		
9.12	Remuneration Committee		
9.12.2	Listed Company shall have a Remuneration Committee that conforms to the requirements set out in Rule 9.12 of the Listing Rules	01st October 2023	Compliant The Remuneration Committee of Aitken Spence PLC acts as the Remuneration Committee of Aitken Spence Hotel Holdings PLC in terms of Rule 9.1.4 (4) of the Listing Rules of the Colombo Stock Exchange. The Company has complied with the policies and procedures set out by the Group Remuneration Committee. However, the Company will be compliant with the requirement of having a separate Committee by the stipulated deadline issued by the Colombo Stock Exchange. Refer 'Remuneration Committee Report' of this Annual Report
9.12.3	The Remuneration Committee shall establish and maintain a formal and transparent procedure for developing policy on Executive Directors' remuneration and for fixing the remuneration packages of individual Directors. No Director shall be involved in fixing his/her own remuneration	01st October 2023	Compliant Refer 'Director Remuneration' in the Corporate Governance Report of this Annual Report and the 'Remuneration Committee Report' of this Annual Report

CORPORATE GOVERNANCE

Rule Ref.	Disclosure Requirement	Effective Date	How We Comply
9.12.4	Remuneration for Non-Executive Directors should be based on a policy which adopts the principle of non-discriminatory pay practices among them to ensure that their independence is not impaired	01st October 2023	Refer 'How We Comply' under Rule 9.2.1 above
9.12.5	Remuneration Committee shall have a written terms of reference clearly defining its scope, authority, duties and matters pertaining to the quorum of meetings	01st October 2023	Compliant Refer 'Remuneration Committee Report' of this Annual Report
9.12.6	(1) The members of the Remuneration Committee shall; a) comprise of a minimum of three (03) Directors of the Listed Company, out of which a minimum of two (02) members shall be Independent Directors of the Company b) not comprise of Executive Directors of the Listed Company (3) An Independent Director shall be appointed as the Chairperson of the Remuneration Committee by the Board of Directors.	01st October 2024 01st October 2023	Compliant Refer 'Composition of the Committee' in the Remuneration Committee Report of this Annual Report
9.12.7	The functions of the Remuneration Committee	01st October 2023	Compliant Refer 'Remuneration Committee Report' of this Annual Report
9.12.8	Remuneration Committee Report shall contain the following: a) Names of chairperson and members with nature of directorship b) Remuneration Policy c) The aggregate remuneration of the Executive and Non-Executive Directors	01st October 2023	Compliant Refer 'Remuneration Committee Report' of this Annual Report Refer Note 11 to the Financial Statements of this Annual Report
9.13	Audit Committee		
9.13.1	Where a Listed Company does not maintain separate Committees to perform the Audit and Risk Functions, the Audit Committee of such Company shall additionally perform the Risk Functions set out in Rule 9.13 of the Listing Rules	01st October 2023	Compliant The Audit Committee of Aitken Spence PLC acts as the Audit Committee of Aitken Spence Hotel Holdings PLC as provided by Rule 9.1.4 (4) of the Listing Rules of the Colombo Stock Exchange. However, the Company will be compliant with the requirement of having a separate Committee by the stipulated deadline issued by the Colombo Stock Exchange. The Audit Committee of the Company also performs the risk functions
9.13.2	The Audit Committee shall have a written terms of reference clearly defining its scope, authority and duties	01st October 2023	Compliant

Rule Ref.	Disclosure Requirement	Effective Date	How We Comply
9.13.3	1) The members of the Audit Committee shall; a) comprise of a minimum of three (03) Directors of the Listed Company, out of which a minimum of two (02) or a majority of the members, whichever higher, shall be Independent Directors. a) not comprise of Executive Directors of the Listed Company. 2) The quorum for a meeting of the Audit Committee shall require that the majority of those in attendance to be independent directors. 3) The Audit Committee may meet as often as required provided that the Audit Committee compulsorily meets on a quarterly basis prior to recommending the financials to be released to the market. 5) An Independent Director shall be appointed as the Chairperson of the Audit Committee by the Board of Directors. 6) Unless otherwise determined by the Audit Committee, the CEO and the Chief Financial Officer (CFO) of a Listed Company shall attend the Audit Committee meetings by invitation. 7) The Chairperson of the Audit Committee shall be a Member of a recognised professional accounting body	01st October 2024	Compliant Refer 'Audit Committee Report' of this Annual Report
9.13.4	The functions of the Audit Committee	01st October 2024	Presently, the Company is compliant in terms of Rule 7.10.6(b) Will be fully compliant on or before the effective date
9.13.5	Disclosures in the Annual Report 1) Listed Company shall prepare an Audit Committee Report which shall be included in the Annual Report 1) The Audit Committee Report shall contain disclosures set out in Rule 9.13.5 (2)	01st October 2024	Presently, the Company is compliant in terms of Rule 7.10.6(c) Will be fully compliant on or before the effective date Audit Committee Report containing the disclosures referred to in this Rule will be included in the Annual Report of the Company for the Financial Year 2024/2025

CORPORATE GOVERNANCE

Rule Ref.	Disclosure Requirement	Effective Date	How We Comply
9.14	Related Party Transactions Review Committee		
9.14.1	Listed Company shall have a Related Party Transactions Review Committee that conforms to the requirements set out in Rule 9.14 of the Listing Rules.	01st October 2023	Compliant The Related Party Transactions Review Committee of Aitken Spence PLC acts as the Related Party Transactions Review Committee of Aitken Spence Hotel Holdings PLC as provided by Rule 9.1.4 (4) of the Listing Rules of the Colombo Stock Exchange. The Company has complied with the policies and procedures set out by the Group Related Party Transactions Review Committee. However, the Company will be compliant with the requirement of having a separate Committee by the stipulated deadline issued by the Colombo Stock Exchange. Refer 'Related Part Transactions Review Committee Report' of this Annual Report
9.14.2	(1) The Related Party Transactions Review Committee shall comprise of a minimum of three (03) Directors of a Listed Company, out of which two (02) members shall be Independent Directors of the Company. It may also include Executive Directors, at the option of the Company. An Independent Director shall be appointed as the Chairperson of the Committee	01st April 2024	Compliant Refer 'Related Part Transactions Review Committee Report' of this Annual Report
9.14.3	The functions of the Related Party Transactions Review Committee	01st October 2023	Compliant Refer 'Related Part Transactions Review Committee Report' of this Annual Report

Rule Ref.	Disclosure Requirement	Effective Date	How We Comply
9.14.4	1) The Related Party Transactions Review Committee shall meet at least once a calendar quarter. It shall ensure that the minutes of all meetings are properly documented and communicated to the Board of Directors. 2) The members of the Related Party Transactions Review Committee should ensure that they have, or have access to, enough knowledge or expertise to assess all aspects of proposed Related Party Transactions and where necessary, should obtain appropriate professional and expert advice from an appropriately qualified person. 3) Where necessary, the Committee shall request the Board of Directors to approve the Related Party Transactions which are under review by the Committee. In such instances, the approval of the Board of Directors should be obtained prior to entering into the relevant Related Party Transaction. 4) If a Director of a Listed Company has a material personal interest in a matter being considered at a Board Meeting to approve a Related Party Transaction as required in Rule 9.14.4(3), such Director shall not: a) be present while the matter is being considered at the meeting; and, b) vote on the matter	01st October 2023	Compliant Refer 'Related Part Transactions Review Committee Report' of this Annual Report
9.14.5	Review of Related Party Transactions by the Related Party Transactions Review Committee	01st October 2023	Compliant Refer 'Related Part Transactions Review Committee Report' of this Annual Report
9.14.6	Listed Company shall obtain Shareholder approval for the Related Party Transactions set out in Rule 9.14.6 of the Listing Rules	01st October 2023	There were no Related Party Transactions during the year which required shareholder approval The Company will comply with this Rule should a need arise
9.14.7	Listed Company shall make an immediate Market Announcement to the Exchange for the Related Party Transactions as set out in Rule 9.14.7 (a) and (b)	01st October 2023	There were no Related Party Transactions during the year which required an immediate Market Announcement The Company will comply with this Rule should a need arise
9.14.8 (1)	Related Party Disclosures Non-recurrent RPT exceeding 10% of the Equity or 5% of the Total Assets, whichever is lower (in the specified format)	01st October 2023	Compliant Refer 'Related Party Transactions Review Committee Report' and the 'Annual Report of the Board of Directors' of this Annual Report

CORPORATE GOVERNANCE

Rule Ref.	Disclosure Requirement	Effective Date	How We Comply
9.14.8 (2)	Recurrent RPT exceeding 10% of the gross revenue/income (in the specified format)	01st October 2023	Compliant Refer 'Related Party Transactions Review Committee Report' and the 'Annual Report of the Board of Directors' of this Annual Report
9.14.8 (3)	Related Party Transactions Review Committee Report - Names of the Directors comprising the Committee - Statement that committee has reviewed RPTs and communicated comments/observations to the Board - Policies and procedures adopted by the Committee	01st October 2023	Compliant Refer 'Related Part Transactions Review Committee Report' of this Annual Report
9.14.8 (4)	Affirmative declaration by the Board of Directors on compliance with RPT Rules or negative statement to that effect	01st October 2023	Compliant Refer 'Annual Report of the Board of Directors' of this Annual Report
9.14.9	Acquisition and disposal of assets from/to Related Parties Except for transactions set out in Rule 9.14.10, Listed Company shall ensure that neither the Company nor any of its subsidiaries, acquires a substantial asset from, or disposes of a substantial asset to, any Related Party of the Company without obtaining the approval of the shareholders of the Company by way of a Special Resolution	01st October 2023	N/A The Company has not acquired or disposed of any assets from/to Related Parties The Company will comply with this Rule should a need arise
9.16	Additional Disclosures		
9.16	Additional disclosures by Board of Directors Declaration on following - All material interests in contracts and have refrained from voting on matters in which they were materially interested - Reviewed the internal controls covering financial, operational and compliance controls and risk management and obtained reasonable assurance of their effectiveness and successful adherence and, if unable to make any of these declarations an explanation on why it is unable to do so; - Made themselves aware of applicable laws, rules and regulations and are aware of changes particularly to Listing Rules and applicable capital market provisions; - Disclosure of relevant areas of any material non-compliance with law or regulation and any fines, which are material, imposed by any government or regulatory authority in any jurisdiction where the Entity has operations	01st October 2023	Compliant Refer 'Annual Report of the Board of Director' of this Annual Report

AUDIT COMMITTEE REPORT

Aitken Spence Hotel Holdings PLC belongs to the tourism segment of the Aitken Spence Group under its parent company Aitken Spence PLC. The Audit Committee of Aitken Spence PLC acts as the Audit Committee of Aitken Spence Hotel Holdings PLC as provided by Rule 9.1.4 (4) of the Listing Rules of the Colombo Stock Exchange.

However, the Company will be compliant with the requirement of having a separate Committee by the stipulated deadline issued by the Colombo Stock Exchange.

COMPOSITION OF THE COMMITTEE

Composition of the Committee

 Mr. R.N. Asirwatham - Chairman

 Mr. J.M.S. Brito

 Mr. C.H. Gomez

 Mr. N.J. de S. Deva Aditya/Mr. M.A.N.S. Perera (Mr. M.A.N.S. Perera served as an Alternate Director to Mr. N.J. de Silva Deva Aditya in the parent company Aitken Spence PLC and he ceased to be an Alternate Director to Mr. N.J. de S Deva Aditya w.e.f. 01.01.2024)

 Independent Non-Executive Director

The Committee's composition complies with the requirements of Section 9.14.2 of the Listing Rules of the Colombo Stock Exchange.

Secretaries to the Committee - Mr. D.D.M.A. Saparamadu – Chief Internal Auditor, Aitken Spence PLC

The Committee is composed of four Independent Non-Executive Directors and is chaired by an Independent Non-Executive Director who is a fellow of the Institute of Chartered Accountants of Sri Lanka. The profiles of the members are given on pages 28 to 31 of this Report.

COMMITTEE MEETINGS AND ATTENDANCE

The Audit Committee functioned throughout the financial year and held thirteen meetings in semi virtual mode. Dr. M.P. Dissanayake - Managing Director, Ms. D.S.T. Jayawardena - Joint Deputy Chairperson and Joint Managing Director, Ms. N. Sivapragasam -Chief Financial Officer attended the meetings by invitation. Further, Senior Officers of the Group as well as the partner of Messrs. KPMG, Chartered Accountants responsible for the Group's external audit attended the meetings by invitation as and when required. The attendance at the Audit Committee meetings held during the year under review were as follows:

Audit Committee Members	Date of Meeting (DD/MM/YYYY) and Attendance													Overall Attendance
	02/05/2023	23/05/2023	19/06/2023	27/07/2023	06/11/2023	17/11/2023	08/12/2023	12/01/2024	26/01/2024	12/02/2024	21/02/2024	29/02/2024	15/03/2024	
Mr. R.N. Asirwatham - Chairman														13/13
Mr. J.M.S. Brito														13/13
Mr. C.H. Gomez				Ex.		Ex.	Ex.	Ex.				Ex.	Ex.	7/13
Mr. N.J. de S. Deva Aditya/ Mr. M.A.N.S. Perera									Ex.	Ex.			Ex.	10/13
 In person participation														
 Virtual Participation														
Ex. - Excused														

AUDIT COMMITTEE REPORT

KEY RESPONSIBILITIES OF THE COMMITTEE

- Assisting the Board in carrying out its overall independent oversight functions in relation to the accuracy and integrity of the Financial Statements, internal control systems and compliance with Group policies, legal and regulatory requirements with a view to safeguard the interests of shareholders and other stakeholders. The scope of functions and responsibilities is adequately outlined in the Terms of Reference of the Committee, which have been approved by the Board and are regularly reviewed.
- Ensuring the effectiveness of the system of internal controls, financial reporting, risk management, compliance with laws and regulations, as well as the adequacy and effectiveness of the governance processes of the Group.
- Exercising its independent oversight on internal and external assurance functions and ensure both internal and external auditor's independence, objectivity and the effectiveness of the audit process.
- Reviewing the internal audit reports and maintaining healthy relationships with the sector senior management to ensure that precautionary measures are taken to mitigate the risk that could arise due to reported control weaknesses, procedure violations, frauds and errors.
- Examining all matters relating to the Group's adopted accounting principles and practices and reviewing all material financial, operational, and compliance controls; the Committee is provided with sufficient resources to perform its duties, including support as necessary, from the internal audit department, the external auditor, and sector senior management.

ACTIVITIES DURING THE FINANCIAL YEAR 2023/2024

Risk Management and Internal Control

- Monitored the Group's risk management and internal control processes through detailed discussions with the management and Executive Directors.
- Assisted the Board in evaluating the adequacy, robustness and effectiveness of the Group's management of risk, in terms of identifying, managing and mitigating principal risks and emerging risks.
- Ensured that the Group adheres to and complies with all relevant laws, rules and regulations of the country, international laws and codes of ethics and standards of conduct required by regulatory authorities, professional bodies and trade associations.

Financial Reporting and Financial Control

- Reviewed the Group's quarterly and annual Financial Statements, focusing on the following aspects:
 - Adequacy of disclosures.
 - Uniformity and appropriateness of the accounting policies adopted.
 - Major judgemental areas to ensure compliance with the Companies Act No. 7 of 2007.
 - Adherence to applicable Sri Lanka Accounting Standards and other Accounting Standards of jurisdictions in which each subsidiary operates.
 - Compliance with the Listing Rules of the Colombo Stock Exchange.
 - Compliance with the Code of Best Practice on Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka.
 - Meeting requirements of other regulatory bodies applicable to the Group.

- Discussed with the management any future accounting developments likely to affect the Financial Statements.
- Reviewed the budgets and strategic plans of the Group to ensure that all forward-looking statements in the Annual Report accurately reflect the Group's position
- Monitored the integrity of the Group's published financial information and reviewed all significant financial judgements and estimates made by the management.

External Audit

- Reviewed and monitored the relationship with the External Auditors including overseeing their appointment, independence, remuneration, tenure, rotation of the engagement partner and engagement for non-audit services.
- Assessed the effectiveness and the progress of the External Auditors and the audit process.
- Discussed the audited Financial Statements with External Auditors and ensured that they were in conformity with the Sri Lanka Accounting Standards and other regulatory requirements.
- Reviewed and discussed the Management Letter and instructed the management to take appropriate follow up actions on matters highlighted therein.

Internal Audit

- Reviewed and approved the Annual Audit Plan after considering its depth and coverage in the Group.
- Reviewed the operation and effectiveness of the Group Internal Audit function in terms of its independence, effectiveness and competency.
- Continued to ensure the coordination between Group Internal Audit and External Auditors.

- Reviewed and discussed the periodic reports submitted by the Internal Audit Department with the management responses on financial and operational audits, information security and risk assessments carried out in line with approved Annual Audit Plan.

Reporting

- The Chairman of the Audit Committee reports to the Board at each meeting on the activities of the Committee. Minutes of the Audit Committee meetings are also tabled at the Board Meetings.
- The Annual Report incorporates the Audit Committee Report.
- The Chairman of the Audit Committee attends the Annual General Meeting.



CONDUCT, ETHICS AND GOOD GOVERNANCE

The Audit Committee remains steadfast in its commitment to ensuring that the Group adheres to the highest ethical standards in business dealings. In this regard, the Group has a Code of Ethics & Professional Conduct, robust policies such as the Whistleblowing Policy and an Anti-Bribery & Anti-Corruption Policy which ensure and encourage all staff members to be ethical, transparent and accountable and resort to whistleblowing if they suspect any wrongdoings or other improprieties. The highest standards of corporate governance and adherence to the Group's Code of Ethics & Professional Conduct were ensured. All appropriate procedures are in place to conduct independent investigations into incidents reported through whistleblowing or identified through other means. The Whistleblowing Policy guarantees the maintenance of strict confidentiality of the identity of the whistleblowers.

RE-APPOINTMENT OF EXTERNAL AUDITORS – MESSRS. KPMG, CHARTERED ACCOUNTANTS

The Committee perused transactions with the External Auditors and ensured that there was no significant material transaction between the External Auditors and the companies in the Group. Furthermore, the Committee reassured that the External Auditors do not hold any shares in the Company.

The Committee having considered that there were no significant material transactions between the External Auditors and the Group companies, that there were no shares held by the External Auditors, the confirmation received from the External Auditors and the periodic rotation of the Audit Partner, noted that KPMG, Chartered Accountants are independent and are eligible for re-appointment as the External Auditors of the Group.

Having noted the above, the Committee recommends to the Board that Messrs. KPMG, Chartered Accountants be re-appointed as the External Auditors of the Company for the current financial year, subject to the approval of the Shareholders at the forthcoming Annual General Meeting.

THE YEAR AHEAD

Looking ahead to the financial year 2024/2025, the Committee's key priorities will include overseeing of the Group's risk management and internal control processes, sustaining a strong culture of risk management across the Group, continuing to monitor the impacts of climate change and taking a proactive approach in anticipating and preparing for any legislative or regulatory changes.

R.N. Asirwatham

Chairman

Audit Committee

Colombo

15th July 2024

RELATED PARTY TRANSACTIONS REVIEW COMMITTEE REPORT

Aitken Spence Hotel Holdings PLC belongs to the tourism segment of the Aitken Spence Group under its parent company Aitken Spence PLC. The Related Party Transactions Review Committee of Aitken Spence PLC acts as the Related Party Transactions Review Committee of Aitken Spence Hotel Holdings PLC as provided by Rule 9.1.4 (4) of the Listing Rules of the Colombo Stock Exchange. The Company has complied with the policies and procedures set out by the Group Related Party Transactions Review Committee.

However, the Company will be compliant with the requirement of having a separate Committee by the stipulated deadline issued by the Colombo Stock Exchange.

ROLE OF THE RELATED PARTY TRANSACTIONS REVIEW COMMITTEE

The role of the Related Party Transactions Review Committee is to advise the Board in relation to transactions with related parties as defined by Sri Lanka Accounting Standard - LKAS 24 and Listing Rules of the Colombo Stock Exchange. The Committee adheres to Rule 9.14 of the updated Listing Rules of the Colombo Stock Exchange, ensuring that the Company considers the interests of shareholders collectively when entering into Related Party Transactions.

COMPOSITION OF THE COMMITTEE

Composition of the Committee

 Mr. R.N. Asirwatham - Chairman
 Mr. J.M.S. Brito
 Mr. C.H. Gomez
 Mr. N.J. de S. Deva Aditya/Mr. M.A.N.S. Perera (Mr. M.A.N.S. Perera served as an Alternate Director to Mr. N.J. de Silva Deva Aditya in the parent company Aitken Spence PLC and he ceased to be an Alternate Director to Mr. N.J. de S Deva Aditya w.e.f. 01.01.2024)
 Independent Non-Executive Director

The Committee's composition complies with the requirements of Section 9.14.2 of the Listing Rules of the Colombo Stock Exchange.

The Committee is composed of three Independent Non-Executive Directors and a Non-Independent Non-Executive Director as at the end of the financial year 2023/2024 and is chaired by an Independent Non-Executive Director. Members of the Committee possess a wealth of knowledge and experience.

RELATED PARTY TRANSACTIONS COMMITTEE MEETING ATTENDANCE

Related Party Transactions Review Committee Members	Date of Meeting (DD/MM/YYYY) and Attendance				
	19/06/2023	06/11/2023	08/12/2023	15/03/2024	Overall Attendance
Mr. R.N. Asirwatham - Chairman					4/4
Mr. J.M.S. Brito					4/4
Mr. C.H. Gomez			Ex.	Ex.	2/4
Mr. N.J. de S. Deva Aditya/Mr. M.A.N.S. Perera				Ex.	3/4
 In person participation					
 Virtual Participation					
Ex. - Excused					

KEY HIGHLIGHTS DURING THE FINANCIAL YEAR 2023/2024

- Obtained quarterly disclosures from the Key Management Personnel and the Group related companies in relation to proposed related party transactions and post quarter confirmations and the Committee reviewed all such disclosures at its quarterly meetings.
- Communicated Committee's activities to the Board by tabling the minutes of the Committee meetings, at the Board meetings.
- Fixed the thresholds at the first meeting of the financial year for Related Party Transactions which require either shareholders' approval or immediate market disclosures, as the case may be for the financial year 2023/2024 based on the Audited Financial Statements of the previous financial year.

RESPONSIBILITIES OF THE COMMITTEE

The Committee's key focus is to review all proposed Related Party Transactions prior to entering into or completion of the transaction according to the procedures laid down by Rule 9.14 of the Listing Rules of the Colombo Stock Exchange. The responsibilities of the Committee are as follows:

- Evaluate any proposed Related Party Transactions on a quarterly basis and recommend to the management and the Board, the appropriate course of action to be taken in order to be compliant with the regulations of the Listing Rules of the Colombo Stock Exchange,
- Review any post quarter confirmations on Related Party Transactions,
- Review the threshold for Related Party Transactions which require either shareholders' approval or immediate market disclosures, as the case may be,

- Review the criteria of Key Management Personnel,
- Regularly report to the Board on the Committee's activities.

KEY MANAGEMENT PERSONNEL

The members of the Board of the Company are construed as the Key Management Personnel (KMPs) of Aitken Spence Hotel Holdings PLC. Further, Directors, Vice Presidents and Assistant Vice Presidents of subsidiary companies are considered as KMPs of such companies to establish greater transparency and governance.

Declarations are obtained from each KMP of the Company and its subsidiaries for the purpose of identifying any Related Party Transactions they intend to carry out on quarterly and annual basis to determine Related Party Transactions and to comply with the disclosure requirements, if any.

KEY FUNCTIONS OF THE COMMITTEE

- Policies and Procedures:
 - Quarterly disclosures were obtained from the Key Management Personnel of any proposed Related Party Transactions and confirmations of any post-quarter transactions. All such disclosures are tabled at each Related Party Transactions Review Committee meeting,
 - Quarterly disclosures were obtained from all Group companies of any proposed Related Party Transactions and confirmations of any post-quarter transactions and all disclosures are tabled at each Related Party Transactions Review Committee Meeting,
 - Non-recurrent Related Party Transactions which in aggregate value exceeding lower of 10% of the equity or 5% of the total assets of the Group as per the Audited

Financial Statements of the previous year, if any, were communicated to the Committee through the Group Company Secretaries,

Recurrent Related Party Transactions exceeding 10% of the gross revenue of the Group as per the Audited Financial Statements of the previous year, if any, were communicated to the Committee through the Group Company Secretaries.

- Review of Related Party Transactions:
 - Reviewed all proposed Related Party Transactions as well as post quarter confirmations,
 - Activities of the Committee were communicated to the Board by tabling the minutes of the Related Party Transactions Review Committee Meetings,
 - Reviewed thresholds for Related Party Transactions which require either shareholders' approval or immediate market disclosure based on the Financial Statements for the year ended 31st March 2024.

DECLARATION BY THE BOARD

The Annual Report of the Board of Directors embodies a declaration confirming the compliance with the requirements stipulated in Section 9.14.8(4) of the Listing Rules of the Colombo Stock Exchange.



R.N. Asirwatham
Chairman

Related Party Transactions Review Committee

Colombo
15th July 2024

REMUNERATION COMMITTEE REPORT

Aitken Spence Hotel Holdings PLC belongs to the tourism segment of the Aitken Spence Group under its parent company Aitken Spence PLC. The Remuneration Committee of Aitken Spence PLC acts as the Remuneration Committee of Aitken Spence Hotel Holdings PLC in terms of Rule 9.1.4 (4) of the Listing Rules of the Colombo Stock Exchange. The Company has complied with the policies and procedures set out by the Group Remuneration Committee.

However, the Company will be compliant with the requirement of having a separate Committee by the stipulated deadline issued by the Colombo Stock Exchange.

COMPOSITION OF THE COMMITTEE

Composition of the Committee

 Mr. R.N. Asirwatham (Chairman)
 Mr. J.M.S. Brito
 Mr. C.H. Gomez
 Mr. C. R. Jansz (Director of the parent Company Aitken Spence PLC and appointed as a member of the Remuneration Committee w.e.f. 08.09.2023)
 Independent Non-Executive Director
 Non-Executive Director

The Committee's composition complies with the requirements of Section 9.12.6 of the Listing Rules of the Colombo Stock Exchange.

INDEPENDENCE OF THE COMMITTEE

The Committee is composed of three Independent Non-Executive Directors and a Non-Independent Non-Executive Director as at the end of the financial year 2023/2024. They are independent of management and are completely free from any business, personal or other relationships that may interfere with the exercise of their independent, unbiased judgement. The members of the Committee refrain from taking part in determining their own remuneration.

COMMITTEE MEETINGS

The Committee met once during the year under review. Deshamanya D.H.S. Jayawardena, Group Chairman together with Dr. M.P. Dissanayake - Managing Director, Ms. D.S.T. Jayawardena - Joint Deputy Chairperson and Joint Managing Director and Mr. S.N. Muttiah - Group Chief Human Resource Officer attended the meeting by invitation.

Remuneration Committee Members	Date of Meeting (DD/MM/YYYY) and Attendance
	14/09/2023
Mr. R.N. Asirwatham - Chairman	
Mr. J.M.S. Brito	
Mr. C.H. Gomez	
Mr. C.R. Jansz	
 Virtual Participation	

THE REMUNERATION POLICY

The Group follows a formal and transparent procedure to ascertain the remuneration packages for individual Directors, Key Management Personnel (KMPs) and the Executives. The Committee recognises the importance of formulating remuneration packages that effectively motivate, attract and retain the Directors, KMPs and Executives of the Company, taking into account the employment conditions of the Group Companies and the relevant industries.

The Group remuneration policy which was reviewed by the Committee remained unchanged during the year under review.

RESPONSIBILITIES OF THE COMMITTEE

The Committee is responsible to the Board for:

- Determine remuneration policy for Directors, Key Management Personnel and Executives.
- Decide individual remuneration packages, including termination compensation.
- Evaluate performance of Managing Directors, Executive Directors and Senior Management.
- Review Committee's Terms of Reference regularly to ensure industry best practices.

FUNCTIONS OF THE COMMITTEE

The Committee's decisions were determined based on the following principles and policies:

- Remuneration Policy
 - Evaluated the Group Remuneration Policy against the current market trends and industrial norms.
 - Reviewed and ensured the implementation of the Group Remuneration Policy.
 - Reviewed the policy of the remuneration package of the Directors and the Key Management Personnel.
 - Reviewed the specific application of the Group Remuneration Policy to the Managing Director, Joint Deputy Chairperson and Joint Managing Director and Executive Directors and general application of the Group Remuneration Policy to the Key Management Personnel below the Directorate of the Company.
- Performance Based Remuneration
 - Evaluated the performance of the Managing Directors, Executive Directors as well as the individual and collective performance of Directors and Senior Management of the Strategic Business Units.

- Reviewed, monitored and evaluated performance of Key Management Personnel as well as their management development and succession planning.
- Performance Incentives
 - Evaluated the achievements as well as unaccomplished targets and results which are considered to determine performance-based incentives.
- Remuneration of Managing Director
 - Evaluated the performance of the Managing Director and Joint Deputy Chairperson and Joint Managing Director.



R.N. Asirwatham

Chairman

Remuneration Committee

Colombo

15th July 2024

NOMINATION & GOVERNANCE COMMITTEE REPORT

Aitken Spence Hotel Holdings PLC belongs to the tourism segment of the Aitken Spence Group under its parent company, Aitken Spence PLC. Therefore, the Nomination & Governance Committee of Aitken Spence PLC acts as the Nomination Committee of Aitken Spence Hotel Holdings PLC.

However, the Company will be compliant with the requirement of having a separate Committee by the stipulated deadline issued by the Colombo Stock Exchange.

COMPOSITION OF THE COMMITTEE

Composition of the Committee

-  Mr. R.N. Asirwatham (Chairman)
-  Deshamanya D.H.S. Jayawardena
-  Mr. J.M.S. Brito
-  Independent Non-Executive Director
-  Non Executive Director/Group Chairman

The Committee's composition complies with the requirements of Section 9.11.4 of the Listing Rules of the Colombo Stock Exchange.

COMMITTEE MEETINGS

The Committee met once during the year under review with the attendance of the Dr. M.P. Dissanayake, Managing Director on invitation.

RESPONSIBILITIES OF THE COMMITTEE

- Evaluation of the quality and composition of the Boards of Aitken Spence Hotel Holdings PLC and the subsidiary companies.

The Committee is responsible for ensuring that the Boards of Aitken Spence Hotel Holdings PLC and its Group companies are well balanced and diversified in terms of effectiveness and composition. Suitable candidates are identified as Directors whilst ensuring that Boards consist of Directors with vast knowledge, experience, competency and entrepreneurial skills to advance the effectiveness of the Boards. The Committee periodically reviews the structure, size and composition of the Boards of the Group Companies.

- Evaluation of the performance of the Board, its committees and individual Directors to ensure that their responsibilities are satisfactorily discharged.
- Reviewed and recommended necessary appointments to the Boards of the Group companies whenever necessary,
- Evaluated and recommended suitable internal and external candidates to higher levels of management,
- Evaluated the eligibility of the Directors who have offered themselves for re-appointment and re- election to the Board considering the performance and contribution made by the Director concerned towards the overall discharge of the Board's responsibilities and made necessary recommendations to the Board,
- Evaluated the combination of varied skills, knowledge and experience of the Directors of the Company and of the Group companies,
- Ascertained that the competencies of Directors are adequate to meet the required strategic demands of the Group.

KEY FUNCTIONS OF THE COMMITTEE

The Committee reviews and makes recommendations that are fair, free from any bias and not influenced by personal or business relationships, thereby enabling the Company to make sound and measured judgments in order to attract the best talent to the Group. During the financial year 2023/2024 the Committee performed the following functions:

- Ensured the diversity and effectiveness of the Board of Aitken Spence Hotel Holdings PLC and the Boards of its Group companies as well as the Key Management Personnel (KMPs),

RE-APPOINTMENT, RE-ELECTION AND ELECTION OF DIRECTORS

Deshamanya D.H.S. Jayawardena, Mr. R.N. Asirwatham, Mr. J.M.S. Brito and Mr. N.J. de S. Deva Aditya who retire from the Board at the conclusion of the forthcoming Annual General Meeting in terms of Section 210 and 211 of the Companies Act No. 7 of 2007, have offered themselves for re-appointment.

In terms of Article 83 and 84 of the Articles of Association, Mr. C.M.S. Jayawickrama retires by rotation and has offered himself for re-election at the forthcoming Annual General Meeting.

In terms of Article 90 of the Articles of Association, Dr. R.A. Fernando retires and has offered himself for election at the forthcoming Annual General Meeting.

Having given due consideration to each Director's performance, the Committee believes that the said Directors are eligible for re-appointment, re-election and election as the case may be to continue as Directors of the Company.

The members of the Nominations and Governance Committee did not participate in the decisions relating to their own re-appointments.



R.N. Asirwatham

Chairman

Nomination & Governance Committee

Colombo

15th July 2024

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The Companies Act No. 07 of 2007 requires the Directors of the Company to be responsible for the preparation and presentation of the Financial Statements and other statutory reports. The responsibilities of the Directors, in relation to the Financial Statements of Aitken Spence Hotel Holdings PLC and the Consolidated Financial Statements of the Group are set out in this Report.

The Directors confirm that the Financial Statements and other statutory reports of the Company and its Subsidiaries for the year ended 31st March 2024 incorporated in this Report have been prepared in accordance with the Companies Act No. 07 of 2007, the Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995 and the Listing Rules of the Colombo Stock Exchange.

The Directors have taken appropriate steps to ensure that the companies within the Group maintain adequate and accurate records which reflect the true financial position of each such company and hence the Group. The Directors have taken appropriate and reasonable steps to safeguard the assets of the Company and the Group. The Directors have instituted appropriate systems of internal control in order to minimise and detect fraud, errors and other irregularities. The Directors in maintaining a sound system of internal control and in protecting the assets of the Company and its Group have further adopted risk management strategies to identify and evaluate the risks which the Company and its Group could be exposed to and its impact to the Company and its Group.

The Directors having considered the Group's business plans, and a review of its current and future operations, are of the view that the Company and the Group have adequate resources to continue in operation. The Directors have adopted the going concern basis in preparing the Financial Statements.

The Financial Statements presented in this Annual Report for the year ended 31st March 2024, have been prepared based on the Sri Lanka Accounting Standards (SLFRSs/ LKASs). The Directors have selected the appropriate accounting policies and such policies adopted by the Group are disclosed and explained in the Financial Statements.

The Board of Directors confirm that the Company and the Group's Consolidated Statements of Financial Position as at 31st March 2024 and the Comprehensive Income Statements of the Company and the Group for the Financial Year ended 31st March 2024 reflect a true and fair view of the Company and the Group.

The Directors have provided the Auditors with every opportunity to carry out any reviews and tests that they consider appropriate and necessary for the performance of their duties. The responsibility of the Independent Auditors in relation to the Financial Statements is set out in the Independent Auditors Report.

The Directors confirm that to the best of their knowledge, all payments to employees, regulatory and statutory authorities due and payable by the Company and its Subsidiaries have been either duly paid or adequately provided for in the Financial Statements. The Directors further confirm that they promote the highest ethical, environmental and safety standards within the Group. The Directors also ensure that the relevant national laws, international laws and codes of regulatory authorities, professional institutes and trade associations have been complied with by the Group.

By order of the Board,
Aitken Spence Hotel Holdings PLC



Aitken Spence Corporate Services (Private) Limited
Secretaries

15th July 2024
Colombo

ANNUAL REPORT OF THE BOARD OF DIRECTORS

The Board of Directors of Aitken Spence Hotel Holdings PLC has pleasure in presenting the Annual Report and the Audited Financial Statements for the year ended 31st March 2024. The details set out herein provide the pertinent information required by the Companies Act No. 07 of 2007, Listing Rules of the Colombo Stock Exchange and the best accounting practices.

1. PRINCIPAL ACTIVITIES

The principal activities of the Company are that of an investment holding company and hoteliering. The subsidiary companies are also engaged in the business of hoteliering. During the year, there were no significant changes in the principal activities of the Company and the subsidiaries.

2. REVIEW OF OPERATIONS

A review of operational and financial performance, the future of the Company and the Group are described in greater detail in the Chairman's Statement, Managing Director's Review and the Management Discussion and Analysis of the Annual Report. These Reports together with the Audited Financial Statements of the Company and of the Group reflect the respective state of affairs of the Company and the Group. The Group consists of the subsidiaries and equity accounted investees of Aitken Spence Hotel Holdings PLC and details of the Group structure is given on pages 10 and 11 of the Annual Report.

3. ACCOUNTING POLICIES AND CHANGES DURING THE YEAR

The Company and the Group prepared the Financial Statements in accordance with Sri Lanka Accounting Standards (SLFRSs/ LKASs). The Board of Directors wish to confirm that there were no changes to the accounting policies used by the

Company and the Group during the year. The significant accounting policies adopted in the preparation of the Financial Statements of the Company and the Group and the changes made during the year are given on pages 176 to 271.

4. SYNOPSIS OF THE INCOME STATEMENT OF THE COMPANY AND THE GROUP

For the year ended 31st March	2024	2023
Net profit before tax	3,006,151	1,644,950
Provision for taxation including deferred tax	(1,141,464)	(1,598,141)
Net profit after tax	1,864,687	46,809
Other comprehensive income/(expense)	(1,131,524)	2,350,509
Total comprehensive income for the year	733,163	2,397,318
Total comprehensive income attributable to non-controlling interest	399,487	1,183,325
Total comprehensive income attributable to equity shareholders	333,676	1,213,993
Transactions directly recognised in the equity statement	-	(14,288)
Balance brought forward from the previous year	17,486,669	16,316,664
Amount available for appropriations	17,820,345	17,516,369
Preference dividends	14,850	29,700
Total reserves and earnings	17,805,495	17,486,669
Stated capital	3,554,587	3,554,587

4.1. Group Revenue and Profits

Revenue generated by the Company during the year amounted to Rs. 1,232 Mn (2023- Rs. 759 Mn). The Group revenue was Rs. 47,259 Mn (2023 - Rs. 46,060 Mn) which is a rise of 3% compared to the previous year. An analysis of Group revenue based on geographical and business segments is disclosed in notes 06 and 07 of the Financial Statements on pages 196 and 197. The profit after tax of the Group was - Rs. 1,865 Mn (2023- Rs.47 Mn). The Group's profit attributable to the equity shareholders of the parent company for the year was Rs. 1,140 Mn (2023 - loss of Rs. 288 Mn). The segmental profits/ losses are disclosed in note 06 of the Financial Statements on page 196.

 415-1

4.2. Donations

During the year, no donations (2023 - Rs. 672,500/-) were made by the Company, the donations made by the Group during the year amounted to Rs. 361,472 (2023 - Rs. 2,125,783/-). There were no Political donations.

4.3. Taxation

A detailed statement of the income tax rates applicable to the individual companies in the Group and a reconciliation of the accounting profits with the taxable profits are given in note 13 of the Financial Statements on pages 202 to 207. It is the policy of the Group to provide for deferred taxation on all known timing differences on the liability method. The deferred tax balances of the Group companies are given in notes 22 and 33 of the Financial Statements on pages 223 and 237. The deferred tax of the Company and the Group are calculated based on the tax rates that are specified in the Inland Revenue Act No. 24 of 2017 and its amendments thereto.

ANNUAL REPORT OF THE BOARD OF DIRECTORS

4.4. Dividends

The Directors declared a preference dividend of cents 90 per share on the cumulative preference shares for the financial year ended 31st March 2024. The Directors are confident that the Company will meet the solvency test requirement under section 56(2) of the Companies Act No.7 of 2007 immediately after the payment of the said preference dividend. The Directors did not recommend an ordinary dividend for the financial year ended 31st March 2024.

5. SYNOPSIS OF THE STATEMENT OF FINANCIAL POSITION OF THE COMPANY AND THE GROUP

5.1. Stated Capital and Reserves

As at 31st March 2024, the Company had issued 336,290,010 ordinary shares and 16,500,000 redeemable cumulative preference shares. The stated capital of the Company was Rs. 3,555 Mn. The Company's reserves as at 31st March 2024 were Rs. 6,568 Mn (2023 - Rs. 6,891 Mn) whereas the total Group's reserves as at 31st March 2024 were Rs. 17,805 Mn (2023 - Rs. 17,487 Mn). The movement in these reserves is shown in the Statement of Changes in Equity - Group on Pages 172 to 173.

5.2. Property, Plant and Equipment

The carrying value of property plant and equipment for the Company and the Group as at 31st March 2024 amounted to Rs. 1,911 Mn and Rs. 66,183 Mn respectively. The total expenditure on the acquisition of property, plant and equipment during the year in respect of new assets acquired by the Company and the Group amounted to Rs. 268 Mn and Rs. 1,838 Mn respectively.

5.3. Market Value of Freehold Properties

Land recognised as property, plant and equipment in the Financial Statements in the Group is recorded at either fair value or revalued amounts. Revaluation of land is performed with sufficient regularity so that the carrying value of the land does not differ materially to its market value. Revaluation was performed by professionally qualified independent valuers having appropriate experience in valuing properties in the locality of the land being revalued. If the fair value of land does not change other than by an insignificant amount at each reporting date the Group revalues such land every five years. Details of the revalued land, revaluation surplus, and the original cost are given in note 16.3.2 of the Financial Statements. The Group records all other assets at cost and check for any impairment of these assets when the Group identifies any trigger for impairment.

5.4. Contingent Liabilities

The details of contingent liabilities are disclosed in note 38 of the Financial Statements on page 244.

6. EVENTS OCCURRING AFTER THE REPORTING DATE

No event of material significance that requires adjustments to the Financial Statements has arisen other than that disclosed in note 46 to the Financial Statements on page 271.

7. GOING CONCERN

The Group has prepared the financial statements for the year ended 31st March 2024 on the basis that it will continue to operate as a going concern.

In determining the basis of preparing the financial statements for the year ended 31st March 2024,

based on available information, the management has assessed the prevailing macroeconomic conditions and its effect on the Group companies and the appropriateness of the use of the going concern basis.

The Management has formed judgment that the Company, its subsidiaries, associates, and joint ventures have adequate resources to continue in operational existence for the foreseeable future driven by the continuous operationalisation of risk mitigation initiatives and monitoring of business continuity and response plans at each business unit level along with the financial strength of the Group.

Based on the publicly available information at the date these financial statements were authorised for issue, management considered a number of severe but plausible scenarios with respect to possible impact of the downside economic scenarios and climate related matters.

Furthermore, the Management is not aware of any material uncertainties that may cast significant doubt upon the Group's ability to continue as a going concern.

Having presented the outlook of the Group to the Board, the Directors are satisfied that the Group has adequate resources to continue in operational existence for the foreseeable future. Management concluded that the range of possible outcomes considered at arriving at this judgment does not give rise to material uncertainties related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern.

8. INFORMATION ON THE BOARD OF DIRECTORS AND THE BOARD SUB-COMMITTEES

8.1. Board of Directors

The names of the Directors of the Company who held office during the financial year 2023/2024 is given in the following table and their brief profiles are given on pages 28 to 31 of the Annual Report. All of the below Directors held office during the entire year, with the exception of Mr. G.P.J. Goonawardena who passed away on 18th November 2023 and Dr. R.A. Fernando who was appointed as Independent Non-Executive Directors of the Company w.e.f 10th January 2024.

	Executive	Non-Executive	Independent Non-Executive
Deshamanya D.H.S. Jayawardena (Chairman)		✓*	
Ms. D.S.T. Jayawardena (Joint Deputy Chairperson and Joint Managing Director)	✓		
Dr. M.P. Dissanayake (Managing Director)	✓		
Mr. C.M.S. Jayawickrama	✓		
Mr. J.M.S. Brito			✓**
Mr. R.N. Asirwatham			✓
Mr. N.J. de Silva Deva Aditya			✓
Mr. C.H. Gomez			✓
Mr. G.P.J. Goonawardena			✓
Mr. M.A.N.S. Perera		✓	
Dr. R.A. Fernando			✓

* with effect from 30th October 2023

** with effect from 8th September 2023

8.2. Board Sub-Committees

The following Committees of the parent company namely Aitken Spence PLC function as the Audit, Remuneration, Nomination and Governance and Related Party Transactions Review Committees as permitted by the Listing Rules.

Group Audit Committee

Mr. R.N. Asirwatham – Chairman
Mr. J.M.S. Brito
Mr. C.H. Gomez
Mr. N.J. de Silva Deva Aditya/
Mr. M.A.N.S. Perera (Mr. M.A.N.S. Perera served as an Alternate Director to Mr. N.J. de Silva Deva Aditya in the parent company Aitken Spence PLC and he ceased to be an Alternate Director to Mr. N.J. de S Deva Aditya w.e.f. 01.01.2024)

Group Remuneration Committee

Mr. R.N. Asirwatham -Chairman
Mr. J.M.S. Brito
Mr. C.H. Gomez
Mr. C. R. Jansz (Director of the parent Company and appointed as a member of the Remuneration Committee w.e.f. 08.09.2023)

Group Nomination and Governance Committee

Mr. R.N. Asirwatham -Chairman
Deshamanya D.H.S. Jayawardena
Mr. J.M.S. Brito

Group Related Party Transactions Review Committee

Mr. R.N. Asirwatham -Chairman
Mr. J.M.S. Brito
Mr. C.H. Gomez
Mr. N.J. de S Deva Aditya/Mr. M.A.N.S. Perera (Mr. M.A.N.S. Perera served as an Alternate Director to Mr. N.J. de Silva Deva Aditya in the parent company Aitken Spence PLC and he ceased to be an Alternate Director to Mr. N.J. de S Deva Aditya w.e.f. 01.01.2024)

ANNUAL REPORT OF THE BOARD OF DIRECTORS

 **GRI 2-15**  **GRI 2-18**  **GRI 2-19**  **GRI 2-20**

8.3. Recommendation for Re-appointment and Re-election of Directors

Upon the recommendation of the Nominations and Governance Committee, the Board resolved to recommend that Deshamanya D.H.S. Jayawardena, Mr. R.N. Asirwatham, Mr. J.M.S. Brito and Mr. N.J. de S. Deva Aditya who are over 70 years of age and vacate office in terms of Section 210(2) of the Companies Act, be re-appointed as Directors in terms of Section 211 of the Companies Act No. 7 of 2007, specially declaring that the age limit stipulated in Section 210 of the Companies Act shall not apply to the said Directors. Resolutions to this effect will be proposed at the forthcoming Annual General Meeting.

Upon the recommendation of the Nominations and Governance Committee, the Board resolved to recommend that Mr. C.M.S. Jayawickrama who retires by rotation in terms of Article 83 and 84 of the Articles of Association of the Company and being eligible offers himself for re-election be re-elected as a Director of the Company.

Upon the recommendation of the Nominations and Governance Committee, the Board resolved to recommend that Dr. R.A. Fernando who retires by rotation in terms of Article 90 of the Articles of Association of the Company and being eligible offers himself for election at the forthcoming Annual General Meeting.

8.4. Directors' Shareholding

The Directors' shareholdings are provided on page 282 of the Annual Report.

8.5. Interest Register

An Interest Register is maintained by the Company as per the Companies Act No. 07 of 2007. Any interest in transactions disclosed to the Board by a Director in accordance with Section 192 of the Companies Act No. 7 of 2007 is duly recorded in the Interest Register.

8.6. Directors' Remuneration

The Directors' remuneration and fees in respect of the Company and the Group for the financial year ended 31st March 2024 are disclosed on page 201 of the Financial Statements.

8.7. Related Party Transactions

Related Party Transactions of the Company and the Group are disclosed in note 44 to the Financial Statements. These are recurrent and non-recurrent related party transactions, which required disclosure in the Annual Report in accordance with the Sri Lanka Accounting Standard No. 24 - Related Party Disclosures. However, there were no recurrent related party transactions which in aggregate value exceeded 10% of the consolidated revenue of the group as per the Audited Financial Statements as at 31st March 2023.

There were no non-recurrent related party transactions which in aggregate value exceeding lower of 10% of the equity or 5% of the total assets of the Group as per the Audited Financial Statements as at 31st March 2023, which required additional disclosures in the Annual Report under Rule 9.14.8 (1) of the Listing Rules of the Colombo Stock Exchange.

The Key Management Personnel of the Group companies (including the Company) have disclosed on a quarterly basis, the proposed Related Party Transactions (if any) falling

under the ambit of Rule 9.14.8(1) of the Listing Rules of the Colombo Stock Exchange which were to be entered into with the Company and or with another company within the Group and or with any other 'Related Party' as defined in the Sri Lanka Accounting Standards (as applicable). The disclosures so made were tabled at the quarterly meetings of the Related Party Transactions Review Committee, in compliance with the requirements of the above mentioned Rule.

The Directors declare that the Company is in compliance with Rule 9.14 of the Listing Rules of the Colombo Stock Exchange pertaining to Related Party Transactions during the financial year ended 31st March 2024.

8.8. Board of Directors of the Subsidiary

The names of Directors of the subsidiary companies who held office as at 31st March 2024 and Directors who ceased to hold office during the accounting period are set out on pages 286 to 288 of this Annual Report.

9. HUMAN RESOURCES

The human resources strategies applied and practiced by the Group in the regions we operate have translated into the creation of a dynamic and competent human resource team. The strategies adopted in motivating and retaining our employees are discussed in "Human Capital" on pages 82 to 91 of this Annual Report.

10. GOVERNANCE

The Directors declare that:

- the Group has not engaged in any activity, which contravenes the national and international laws. The Group rigidly adheres to relevant

national and international laws and the regulations of Professional Institutes and Associations, Industrial Associations, Chambers of Commerce and Regulatory Bodies.

- the Company complies with the Corporate Governance Rules contained in Section 9 of the Listing Rules of the Colombo Stock Exchange and the Code of Best Practice on Corporate Governance 2017, as amended in 2023, issued by the Institute of Chartered Accountants of Sri Lanka. The measures taken and the extent to which the Company has complied with the said Section and the Code are given on page 130 of the Corporate Governance Report of this Annual Report.
- the Group applies very high standards to protect and nurture the environment in which it operates and ensures strict adherence to all environmental laws and practices. The Group's efforts to conserve non-renewable resources, as well as its environmental objectives and key initiatives, are described in the Natural Capital on pages 106 to 112.
- the Company has no restrictions with regard to shareholders carrying out analysis or obtaining independent advice of a non-price sensitive nature regarding their investment in the Company and has made all endeavours to ensure the equitable treatment of shareholders. The Company's Corporate Governance practices are set out on pages 123 to 126 of this Annual Report.

- they have declared all material interests in contracts involving the Company and the Group and refrained from voting on matters in which they were materially interested.
- they have continuously satisfied the Fit and Proper Assessment Criteria set out in the Listing Rules during the financial year concerned and as at the date of such confirmation.
- none of the Directors or Close Family Members of the Directors have had any material business relationships with other Directors of the Company.
- they have conducted an evaluation of Group's internal controls covering financial, operational and compliance controls and risk management and have obtained reasonable assurance of their effectiveness and successful adherence therewith.
- they have made arrangements to make themselves aware of applicable laws, rules and regulations and are aware of changes particularly to Listing Rules and applicable capital market provisions.

11. RISK MANAGEMENT

The Directors have established and adhered to a comprehensive risk management framework at both Strategic Business Units and Group levels to ensure the achievement of their corporate objectives. The categories of risks faced by the Group are identified, the significance they pose are evaluated and mitigating strategies are adopted by the Group. The Board of Directors reviews the risk management process through

the Audit Committee. The Risk Management Report of the Group is on pages 50 to 57 of this Report

12. INTERNAL CONTROLS

The Board of Directors ensures that the Group has an effective internal control system which ensures that the assets of the Company and the Group are safeguarded and appropriate systems are in place to minimise and detect fraud, errors and other irregularities. The system ensures that the Group adopts procedures which result in financial and operational effectiveness and efficiency.

Board of Directors' Statement on Internal Controls on pages 159 to 160, the Statement of Directors' Responsibilities on page 152 and the Audit Committee Report set out on pages 143 to 145 of this Report provide further information in respect of the above.

13. STATUTORY PAYMENTS

The Directors to the best of their knowledge and belief are satisfied that all statutory financial obligations to the Government and to the employees have been either duly paid or adequately provided for in the Financial Statements. A confirmation of same is included in the Statement of Directors' Responsibilities on page 152 of this Annual Report.

14. CORPORATE SUSTAINABILITY

The Board of Directors guides and supports the Group's sustainability strategy. It welcomes the implementation of the structured and dynamic integrated sustainability framework. Awards and recognition received during the year and previous years are a testament to our commitment as we continue to benchmark our practices against global standards and best practices

ANNUAL REPORT OF THE BOARD OF DIRECTORS

in a myriad of aspects that affect or potentially affect delivery of growth. More details of the Group's sustainability efforts are included in the Management Discussion and Analysis of this Report.

15. SHAREHOLDER INFORMATION

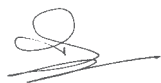
There were 3,732 shareholders as at 31st March 2024. The distribution schedule of the number of shareholders and their shareholdings are detailed on page 279 of this Annual Report. The names of the twenty largest shareholders, together with their shareholdings as at 31st March 2024 are given on page 281 of this Annual Report. The percentage of the shares held by the public as at 31st March 2024 was 25.44% and the number of shareholders who held the public holding was 3,722. Information relating to Earnings Per Share and the Net Assets Per Share for the Company and the Group, the Dividend Per Share and the Market Price Per Share are given on pages 14 and 280 of this Annual Report.

16. AUDITORS

The Independent Auditors' Report on the Financial Statements is given on pages 164 to 167 of this Annual Report. The retiring Auditors Messrs. KPMG, Chartered Accountants have expressed their willingness to continue in office and a resolution to re-appoint them as auditors and grant authority to the Board to determine their remuneration will be proposed at the Annual General Meeting of the Company. The fees payable to the Company auditors Messrs. KPMG, Chartered Accountants was Rs. 1,386,000 (2023 - Rs. 1,260,000/-). In addition to the above, Rs. 422,877/- (2023 - Rs. 148,611/-) was payable by the Company for permitted non audit related services including tax advisory services. Messrs. KPMG, Chartered Accountants the auditors of the Company are also the auditors of certain subsidiaries and associate companies of the Group. The list of the subsidiaries and associate companies audited by them are included on pages 286 to 288 of this Annual Report.

The amount payable by the Group to Messrs. KPMG, Chartered Accountants as audit fees was Rs. 15,106,672/- (2023 - Rs. 16,082,379/-) while a further Rs. 3,339,488/- (2023 - Rs. 5,077,433/-) was payable for permitted non audit related services including tax advisory services.

In addition to the above, Rs. 5,178,337/- (2023-Rs. 4,796,932/-) was payable to other auditors for carrying out audits in subsidiaries and associates where the audits were conducted by them. The amount payable to such other auditors for non-audit related services including tax advisory services was Rs.14,587,865/- (2023 - Rs. 13,227,546/-). As far as the Directors are aware the auditors neither have any other relationship with the Company nor any of its subsidiaries and associates that would have an impact on their independence.



Deshamanya D.H.S. Jayawardena
Chairman



Ms. D.S.T. Jayawardena
Joint Deputy Chairperson and
Joint Managing Director



Dr. M.P. Dissanayake
Managing Director



Aitken Spence Corporate Services (Private) Limited
Secretaries

Colombo
15th July 2024

THE BOARD OF DIRECTORS' STATEMENT ON INTERNAL CONTROLS

The Board of Directors present this Statement on Internal control in accordance with principle D.1.5. of the Code of Best Practice on Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka.

RESPONSIBILITY

The Board of Directors ("Board") is responsible for the adequacy and effectiveness of the internal control mechanism in place at Aitken Spence Hotel Holdings PLC ("Group").

The Board has established an ongoing process for identifying, evaluating and managing the significant risks faced by the Group. This process includes enhancing the system of internal controls as and when there are changes to business environment or regulatory guidelines. The process is regularly reviewed by the Board.

The Board is of the view that the systems of Internal control over financial reporting in place is sound and adequate to provide reasonable assurance regarding the reliability of financial reporting, and that the preparation of financial statements for external purposes is in accordance with relevant accounting principles and regulatory requirements.

The Board has delegated specific responsibilities to the following four sub-committees ensuring the effectiveness of Group's daily operations and to ensure that these daily operations are within the corporate objectives, strategies and annual budget ratified by the Board.

- Audit Committee
- Nominations and Governance Committee
- Remuneration Committee
- Related Party Transactions Review Committee.

These committees are chaired by Independent Non-Executive Directors and have the authority to examine particular issues and report back to the Board with their recommendations.

The Board is confident that the Internal Controls are adequate to provide reasonable assurance regarding the reliability of financial reporting which are in accordance with acceptable accounting principles and the applicable regulatory requirements.

INTERNAL AUDIT

The Internal Audit Department of the Group verifies compliance of operations with policies and procedures and the effectiveness of the Internal control systems and highlights significant findings in respect of any non-compliance.

Audits are carried out on all Strategic Business Units (SBUs), the frequency of which are determined by the level of risk assessed, to provide an independent and objective report on operational and management activities of SBUs. The annual audit plan is reviewed and approved by the Audit Committee and the findings of the audits are submitted to the Audit Committee for review at their periodic meetings.

POLICIES, PROCEDURES AND BUDGETS

Policies and procedures to ensure the compliance with internal controls and relevant laws and regulations are set out in operations manuals, which are updated from time to time.

Annual budgets are approved by the respective Boards and the subsidiaries' performance are assessed against the budgets and explanations are provided for significant variances periodically to the respective Boards.

WHISTLE BLOWING POLICY

The Group encourages a whistle-blowing policy which enables employees to bring irregularities in financial reporting, internal

controls or other matters within the Group to the notice of the higher management.

Proper arrangements are in place to facilitate fair and independent investigation for such matters, if any. The prevalence and effectiveness of this policy is monitored by the Audit Committee from time to time.

THE GROUP CODE OF ETHICS & PROFESSIONAL CONDUCT

The Group Code of Ethics and Professional Conduct which includes a strong set of corporate values and conduct, is circulated to Directors and all employees. The Board ensures that Directors and all employees strictly comply with the Code in exercising their duties, communications, role modelling and in any other circumstance, so as to uphold the Group's integrity and image. Strict disciplinary actions are initiated for any violation of the Group Code of Ethics and Professional Conduct.

CYBER SECURITY

The Board has taken necessary precautions to minimise the risk of a security breach. During the year under review, necessary steps have been rolled out to curtail the exposure to cyber-attacks by reducing the threat surface and any potentially exploitable vulnerabilities.

GOING CONCERN

The statement of going concern is set out in the Annual Report of the Directors on page 154.

RISK MANAGEMENT

The Board has set up an ongoing process for identifying, monitoring and managing the principal and emerging risks faced by the Group.

An overview of the Group's risk management framework is set out on pages 50 to 57.

THE BOARD OF DIRECTORS' STATEMENT ON INTERNAL CONTROLS

ANNUAL REPORT

The Board is responsible for the preparation of the Annual Report and confirm that the quarterly reports, annual financial statements and the annual review of operations of the Group and its equity accounted investees that are incorporated in this Annual Report have been prepared and presented in a reliable manner based on a balanced and comprehensive assessment of the financial performance of the Group.

CONFIRMATION

Based on the above processes, the Board of Aitken Spence Hotel Holdings PLC confirms that the financial reporting system of the Group has been designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of Financial Statements for external purposes and has been done in accordance with Sri Lanka Accounting Standards and all relevant regulatory requirements.

Moreover, the Board has conducted an evaluation of Group's Internal Controls encompassing financial, operational and compliance controls, risk management and have obtained a reasonable assurance of their effectiveness and proper adherence.



Deshamanya D.H.S. Jayawardena
Chairman



Ms. D.S.T. Jayawardena
Joint Deputy Chairperson and
Joint Managing Director



Dr. M.P. Dissanayake
Managing Director



R.N. Asirwatham
Chairman
Audit Committee

Colombo
15th July 2024



AN INDELIBLE PERFORMANCE

Driven by a spirit of vitality and spurred onwards by an undying passion to serve, our exploits and achievements over the years have seen us deliver enduring results and a performance that is truly timeless.

FINANCIAL CALENDAR

FINANCIAL CALENDAR		
	2023/2024	2022/2023
INTERIM FINANCIAL STATEMENTS CALENDAR		
Interim Financial Statements for 1st quarter	Approved on 09th August 2023	Approved on 10th August 2022
Interim Financial Statements for 2nd quarter	Approved on 11th November 2023	Approved on 03rd November 2022
Interim Financial Statements for 3rd quarter	Approved on 09th February 2024	Approved on 09th February 2022
Interim Financial Statements for 4th quarter	Approved on 27th May 2024	Approved on 25th May 2023
AUDITED FINANCIAL STATEMENTS CALENDAR		
Audited Financial Statements	Approved on 15th July 2024	Approved on 06th June 2023
ANNUAL GENERAL MEETING (AGM) CALENDAR		
Annual General Meeting	On 06th August 2024	On 30th June 2023

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INDEPENDENT AUDITOR'S REPORT



KPMG
(Chartered Accountants)
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To the Shareholders of Aitken Spence Hotel Holdings PLC

Report on the Audit of the Financial Statements

OPINION

We have audited the financial statements of Aitken Spence Hotel Holdings PLC ("the Company") and the consolidated financial statements of the Company and its subsidiaries ("the Group"), which comprise the statement of financial position as at 31st March 2024, and the statement of profit and loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including material accounting policies and other explanatory information as set out on pages 168 to 271.

In our opinion, the accompanying financial statements of the Company and the Group give a true and fair view of the financial position of the Company and the Group as of 31st March 2024, and of their financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

BASIS FOR OPINION

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSS). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Group in accordance with the Code of Ethics for professional

Accountants issued by CA Sri Lanka (Code of Ethics), and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

KEY AUDIT MATTERS

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

FINANCIAL INSTRUMENTS – CASH FLOW HEDGE

Refer Accounting Policies Note 3.3 (e) and Note 41.5.1.3 to the Financial Statements.

RISK DESCRIPTION	OUR RESPONSE
The effective portion of a Cash Flow Hedge has been recognised under other comprehensive income amounting to Rs 1,501.5 Mn as at 31st March 2024. Group is exposed to financial risks arising from exchange rates. A subsidiary company has hedged its Euro currency revenue against the contractual future loan repayments. Rules on hedge accounting requirements and documentation can be complicated. Lack of compliance with documentation rules, hedge effectiveness rules, and probability criteria could lead to income statement volatility.	Our audit procedures included, - Assessing the nature of the hedge relationships and testing compliance with specific hedge accounting requirements for foreign currency hedging. - Examining the accounting treatment applied for Hedge, in particular when reclassifying gains and losses from reserves to the income statement and adjustments to the carrying value of the hedged item.

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C. P. Jayatilake FCA
Ms. S. Joseph FCA
R.M.D.B. Rajapakse FCA
M.N.M. Shaneeel FCA
Ms. P.M.K. Sumanasekara FCA

T. J. S. Rajakarier FCA
W. K. D. C. Abeyrathne FCA
Ms. B.K.D.T.N. Rodrigo FCA
Ms. C.T.K.N. Perera ACA
R.W.M.O.W.D.B. Rathnadiwakara FCA

W. W. J. C. Perera FCA
G. A. U. Karunaratne FCA
R. H. Rajan FCA
A.M.R.P. Alahakoon ACA

Principals: S.R.I. Perera FCMA(UK), LLB, Attorney-at-Law, H.S.Goonewardene ACA, Ms. F.R.Ziyad FCMA (UK), FCIT
K. Somasunderam ACMA(UK)



FINANCIAL INSTRUMENTS - CASH FLOW HEDGE (CONTD)

Refer Accounting Policies Note 3.3 (e) and Note 41.5.1.3 to the Financial Statements.

RISK DESCRIPTION	OUR RESPONSE
Hedge relationships are formally documented and designated at inception. The documentation includes identification of the hedged item and the hedging instrument and details of the risk that is being hedged and the way in which effectiveness will be assessed at inception and during the period of the hedge. If the hedge is not highly effective in offsetting changes in fair values or cash flows attributable to the hedged risk, consistent with the documented risk management strategy, hedge accounting is discontinued. We identified this as a key audit matter due to the complexities and high level of judgment involved in determining the hedging item, hedge instrument and the testing effectiveness as required by the accounting standards.	Assessing the adequacy of the disclosure in financial instruments by agreeing the financial statements to the underlying workings prepared by management and ensuring classification is consistent with the accounting principles.

IMPAIRMENT ASSESSMENT OF GOODWILL, INVESTMENTS IN SUBSIDIARIES AND INVESTMENTS IN EQUITY ACCOUNTED INVESTEEES

Refer Accounting Policies in Note 3.3 (d) and Note 3.5.3.1 and Financial Statements Note 18, Note 19 and Note 20.

RISK DESCRIPTION	OUR RESPONSE
The Company hold investments in subsidiaries and investments in equity accounted investees amounting to Rs. 7,418 Mn and Rs. 993 Mn respectively as at 31st March 2024. Further the Group holds investments in equity accounted investees amounting to Rs. 63 Mn and goodwill amounting to Rs. 782 Mn as at 31st March 2024. The carrying amount of each investments in subsidiary and investments in equity accounted investees have been tested for impairment as individual Cash Generating Units. The carrying amount of these investments could be materially misstated if inappropriate judgments and estimates were used by the Directors in calculating the recoverable amount for each cash generating unit ('CGU') and recoverable amounts of the identified CGUs have been determined based on the value-in-use calculation. Investments which have not generated adequate returns may be an indication of impairment. Due to the investments being material it will have a significant impact on financial performance of the Company/ Group. We have identified the impairment assessment of goodwill, investments in subsidiaries and investments in equity accounted investees as a key audit matter since that is based on forecasting and discounting cash flows, which are inherently judgemental.	Our audit procedures included, - Assessing the impairment indications of investments made in subsidiaries and equity accounted investees and assessing the reasonableness of the discounted cash flow model (Value in use computations), key assumptions, principles and accuracy of the forecasts. - Comparing the actual results of the current year with management's assumptions and estimates in the discounted cash flow forecast for the previous year to assess the historical accuracy of the management's forecasting process. - Evaluating the discounted cash flow forecast prepared by management of the Group by comparing with the relevant data, including forecast revenue, cost of sales and other operating expenses, contained in the financial budget of subsidiaries and investment in equity accounted investees which was approved by management and taking into account our understanding, experience and knowledge. - Assessing the adequacy of disclosures in the financial statements.

INDEPENDENT AUDITOR'S REPORT



OTHER INFORMATION

Management is responsible for the other information. The other information comprises the information included in the annual report, but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

RESPONSIBILITIES OF MANAGEMENT AND THOSE CHARGED WITH GOVERNANCE FOR THE FINANCIAL STATEMENTS

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's and the Group's financial reporting process.

AUDITOR'S RESPONSIBILITIES FOR THE AUDIT OF THE FINANCIAL STATEMENTS

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company and the Group's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENTS

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 2618.



CHARTERED ACCOUNTANTS

Colombo, Sri Lanka
15th July 2024

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

		Group		Company	
For the year ended 31st March		2024	2023	2024	2023
	Notes	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Revenue	7	47,258,528	46,059,884	1,231,849	759,460
Revenue taxes		(1,055,618)	(1,000,584)	(37,657)	(15,020)
Net revenue		46,202,910	45,059,300	1,194,192	744,440
Other income	8	19,110	191,744	142,488	515,068
Staff costs		(7,467,911)	(7,957,453)	(256,374)	(203,162)
Depreciation		(3,797,247)	(3,890,512)	(63,038)	(61,496)
Amortisation and impairment		(1,328,625)	(1,495,287)	(67,820)	(343,797)
Other operating expenses - direct	9	(11,831,086)	(11,371,496)	(398,923)	(254,328)
Other operating expenses - indirect	10	(13,486,890)	(13,225,410)	(699,303)	(410,771)
Profit/(loss) from operations	11	8,310,261	7,310,886	(148,778)	(14,046)
Finance income		398,872	541,596	134,912	60,331
Finance expenses		(5,666,668)	(5,809,973)	(363,326)	(299,770)
Net financing expense	12	(5,267,796)	(5,268,377)	(228,414)	(239,439)
Share of loss of equity accounted investees (net of tax)	20	(36,314)	(397,559)	-	-
Profit/(loss) before taxation		3,006,151	1,644,950	(377,192)	(253,485)
Income tax (expense)/reversal	13	(1,141,464)	(1,598,141)	73,370	2,583
Profit/(loss) for the year		1,864,687	46,809	(303,822)	(250,902)
Attributable to:					
Equity holders of the parent company		1,140,112	(287,893)	(303,822)	(250,902)
Non - controlling interests		724,575	334,702	-	-
Profit/(loss) for the year		1,864,687	46,809	(303,822)	(250,902)
Earnings/(loss) per ordinary share - Basic/Diluted (Rs.)	14	3.35	(0.94)	(0.95)	(0.83)

Figures in brackets indicate deductions.

The notes on pages 176 to 271 form an integral part of these financial statements.

		Group		Company	
For the year ended 31st March		2024	2023	2024	2023
	Notes	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Profit/(loss) for the year		1,864,687	46,809	(303,822)	(250,902)
Other comprehensive income/(loss)					
Items that will never be reclassified to profit or loss					
Revaluation of freehold land	16	-	818,850	-	133,200
Share of other comprehensive income of equity accounted investees (net of tax)	20	6,459	29,889	-	-
Actuarial losses on defined benefit obligations	34.4	(19,927)	(8,597)	(6,752)	(4,177)
Income tax on other comprehensive income	13.8	6,405	(707,931)	2,026	(148,731)
		(7,063)	132,211	(4,726)	(19,708)
Items that are or may be reclassified to profit or loss					
Foreign currency translation differences of foreign operations		(2,626,011)	2,636,086	-	-
Net movement in cashflow hedge	41.5.1.3	1,501,550	(417,788)	-	-
		(1,124,461)	2,218,298	-	-
Other comprehensive income/(loss) for the year net of tax		(1,131,524)	2,350,509	(4,726)	(19,708)
Total comprehensive income/(loss) for the year net of tax		733,163	2,397,318	(308,548)	(270,610)
Attributable to:					
Equity holders of the parent company		333,676	1,213,993	(308,548)	(270,610)
Non - controlling interests		399,487	1,183,325	-	-
Total comprehensive income/(loss) for the year net of tax		733,163	2,397,318	(308,548)	(270,610)

Figures in brackets indicate deductions.

The notes on pages 176 to 271 form an integral part of these financial statements.

STATEMENT OF FINANCIAL POSITION

		Group		Company	
As at		31.03.2024	31.03.2023	31.03.2024	31.03.2023
	Notes	Rs. '000	Rs. '000	Rs. '000	Rs. '000
ASSETS					
Non - current assets					
Property, plant and equipment	16	66,183,428	72,644,868	1,911,214	1,708,129
Right-of-use assets	17	14,282,682	16,888,712	-	-
Intangible assets	18	804,588	889,049	-	-
Investment in subsidiaries	19	-	-	7,418,461	7,470,779
Investment in equity accounted investees	20	63,185	93,040	992,673	1,008,176
Other financial assets	21	975,778	998,018	725,524	725,524
Deferred tax assets	22	359,966	486,592	-	-
		82,669,627	92,000,279	11,047,872	10,912,608
Current assets					
Inventories	23	1,426,110	1,690,992	40,408	44,024
Trade and other receivables	24	3,315,811	2,534,933	140,154	89,078
Amounts due from holding company	25	1,068,116	146,435	-	-
Amounts due from parent's group entities	26	1,386,708	939,895	1,366,866	603,407
Deposits and prepayments		881,417	795,287	21,992	39,689
Current tax receivable		14,895	28,723	3,890	4,731
Other financial assets	27	4,029,660	4,552,709	260,371	431,668
Cash and cash equivalents	28	2,297,233	5,262,311	147,562	186,710
		14,419,950	15,951,285	1,981,243	1,399,307
Total assets		97,089,577	107,951,564	13,029,115	12,311,915
EQUITY AND LIABILITIES					
Total equity attributable to equity holders of the company					
Stated capital	29	3,554,587	3,554,587	3,554,587	3,554,587
Reserves	30	9,515,479	10,305,604	689,177	689,177
Retained earnings		8,290,016	7,181,065	5,878,756	6,202,154
		21,360,082	21,041,256	10,122,520	10,445,918
Non - controlling interests		9,504,610	9,139,015	-	-
Total equity		30,864,692	30,180,271	10,122,520	10,445,918

		Group		Company	
As at		31.03.2024	31.03.2023	31.03.2024	31.03.2023
	Notes	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Non - current liabilities					
Interest - bearing liabilities - banks	31	28,562,441	36,588,535	318,126	535,332
Interest - bearing liabilities - leases	32	11,104,238	13,588,054	-	-
Deferred tax liabilities	33	3,290,299	3,014,059	149,087	229,170
Employee benefits	34	366,966	315,641	60,733	47,235
		43,323,944	53,506,289	527,946	811,737
Current liabilities					
Trade payables		1,503,995	1,559,571	42,572	26,772
Other provisions and payables	35	5,774,814	5,482,238	171,875	159,131
Amounts due to holding company		2,531,875	1,313,017	1,609,944	502,434
Amounts due to parent's group entities	36	75,377	204,269	-	19,830
Interest - bearing liabilities - banks	31	5,693,006	6,114,421	217,205	177,154
Interest - bearing liabilities - leases	32	1,379,271	1,422,456	-	-
Current tax payable		323,908	222,700	-	-
Bank overdrafts and other short term borrowings	28	5,618,695	7,946,332	337,053	168,939
		22,900,941	24,265,004	2,378,649	1,054,260
Total liabilities		66,224,885	77,771,293	2,906,595	1,865,997
Total equity and liabilities		97,089,577	107,951,564	13,029,115	12,311,915

The above Statements of Financial Position are to be read in conjunction with notes to the financial statements on pages 176 to 271.

I certify that the financial statements for the year ended 31st March 2024 are in compliance with the requirements of the Companies Act No. 07 of 2007.

C.M.S. Jayawickrama
Director

The Board of Directors is responsible for the preparation and presentation of these financial statements.

Approved and signed for and on behalf of the Board:

Deshamanya D.H.S Jayawardena
Chairman

Ms. D.S.T. Jayawardena
Joint Deputy Chairperson and
Joint Managing Director

Dr. M.P. Dissanayake
Managing Director

15th July 2024
Colombo
Sri Lanka

STATEMENT OF CHANGES IN EQUITY

For the year ended 31st March

Group	Notes	Attributable to equity holders of the parent										Total Equity
		Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	
		Stated Capital	General Reserve	Fair Value Reserve	Foreign Currency Translation Reserve	Cashflow Hedge Reserve	Revaluation Reserve	Retained Earnings	Total	Non - Controlling Interests		
Balance as at 01st April 2022		3,554,587	22,929	20,414	8,533,719	(2,858,488)	3,073,205	7,524,885	19,871,251	8,269,807	Rs. '000	Rs. '000
Adjustment on Surcharge tax levied under Surcharge Act		-	-	-	-	-	-	(13,924)	(13,924)	-	-	(13,924)
Balance as at 01 st April 2022 (Adjusted)		3,554,587	22,929	20,414	8,533,719	(2,858,488)	3,073,205	7,510,961	19,857,327	8,269,807	Rs. '000	Rs. '000
Profit/(Loss) for the year		-	-	-	-	-	-	(287,893)	(287,893)	334,702	Rs. '000	Rs. '000
Other comprehensive income/(loss) for the year		-	-	42,212	1,647,312	(250,673)	74,974	(11,939)	1,501,886	848,623	Rs. '000	Rs. '000
Total comprehensive income/(loss) for the year		-	-	42,212	1,647,312	(250,673)	74,974	(299,832)	1,213,993	1,183,325	Rs. '000	Rs. '000
Share of net assets of equity accounted investees	20	-	-	-	-	-	-	(364)	(364)	-	-	(364)
Preference dividends for 2020/2021 and 2021/2022	15	-	-	-	-	-	-	(29,700)	(29,700)	-	-	(29,700)
Dividends paid to non-controlling interests		-	-	-	-	-	-	-	-	(314,117)	(314,117)	(314,117)
Balance as at 31st March 2023		3,554,587	22,929	62,626	10,181,031	(3,109,161)	3,148,179	7,181,065	21,041,256	9,139,015	Rs. '000	Rs. '000
Profit for the year		-	-	-	-	-	-	1,140,112	1,140,112	724,575	Rs. '000	Rs. '000
Other comprehensive income/(loss) for the year		-	-	10,899	(1,701,954)	900,930	-	(16,311)	(806,436)	(325,088)	Rs. '000	Rs. '000
Total comprehensive income/(loss) for the year		-	-	10,899	(1,701,954)	900,930	-	1,123,801	333,676	399,487	Rs. '000	Rs. '000
Preference dividends for 2022/2023	15	-	-	-	-	-	-	(14,850)	(14,850)	-	-	(14,850)
Dividends paid to non-controlling interests		-	-	-	-	-	-	-	-	(33,892)	(33,892)	(33,892)
Balance as at 31st March 2024		3,554,587	22,929	73,525	8,479,077	(2,208,231)	3,148,179	8,290,016	21,360,082	9,504,610	Rs. '000	Rs. '000

Dividend per ordinary share - (Note No.15) Nil. (2022/23- Nil)

Figures in brackets indicate deductions.

The notes on pages 176 to 271 form an integral part of these financial statements.

For the year ended 31st March

Company	Notes	Stated Capital Rs. '000	General Reserve Rs. '000	Revaluation Reserve Rs. '000	Retained Earnings Rs. '000	Total Equity Rs. '000
Balance as at 01st April 2022		3,554,587	22,929	683,032	6,499,604	10,760,152
Adjustment on Surcharge tax levied under Surcharge Act					(13,924)	(13,924)
Balance as at 01 st April 2022 (Adjusted)		3,554,587	22,929	683,032	6,485,680	10,746,228
Loss for the year		-	-	-	(250,902)	(250,902)
Other comprehensive loss for the year		-	-	(16,784)	(2,924)	(19,708)
Total comprehensive loss for the year		-	-	(16,784)	(253,826)	(270,610)
Preference dividends for 2020/2021 and 2021/2022	15				(29,700)	(29,700)
Balance as at 31st March 2023		3,554,587	22,929	666,248	6,202,154	10,445,918
Loss for the year		-	-	-	(303,822)	(303,822)
Other comprehensive loss for the year		-	-	-	(4,726)	(4,726)
Total comprehensive loss for the year		-	-	-	(308,548)	(308,548)
Preference dividends for 2022/2023	15				(14,850)	(14,850)
Balance as at 31st March 2024		3,554,587	22,929	666,248	5,878,756	10,122,520

Dividend per ordinary share - (Note No.15) Nil. (2022/23-Nil)

Figures in brackets indicate deductions.

The notes on pages 176 to 271 form an integral part of these financial statements.

STATEMENT OF CASH FLOWS

		Group		Company	
For the year ended 31st March		2024	2023	2024	2023
	Notes	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Cash flow from operating activities					
Profit/(loss) before taxation		3,006,151	1,644,950	(377,192)	(253,485)
Adjustments for					
Depreciation	11	3,797,247	3,890,512	63,038	61,496
Amortisation of right-of-use assets and intangible assets	11	1,328,625	1,495,287	-	179
Impairment/(reversal of impairment) of trade debtors	11	6,709	(90,680)	508	(708)
Impairment/(reversal of impairment) of financial assets	11	43	(3,280)	(9)	(3,354)
Impairment of investment in subsidiaries and equity accounted investees	11	-	-	67,820	343,618
Interest expense	12	5,666,668	5,809,973	363,326	299,770
Interest income	12	(398,872)	(541,596)	(134,912)	(60,331)
Loss on disposal of property, plant and equipment	8	15,722	23,715	2,298	32
Loss on retirement of assets held for sale	8	-	72,269	-	-
Provision for retirement benefit obligations	34.3	83,970	49,353	12,275	7,776
Share of loss of equity accounted investees (net of tax)	20	36,314	397,559	-	-
Effect of movement in exchange rates	8	224,352	153,461	111,940	(64,775)
Operating profit before working capital changes		13,766,929	12,901,523	109,092	330,218
(Increase)/decrease in inventories		264,882	(63,920)	3,616	(24,021)
(Increase)/decrease in trade and other receivables		(777,278)	(162,215)	(51,805)	116,418
(Increase)/decrease in amounts due from holding company		(916,404)	339,278	-	-
(Increase)/decrease in amount due from parent's group entities		(392,949)	(319,591)	(662,765)	32,820
(Increase)/decrease in deposits and prepayments		(86,130)	(241,835)	17,697	26,837
Increase/(decrease) in trade payables		(55,576)	267,622	15,800	1,495
Increase/(decrease) in other provisions and payables		292,576	123,154	12,744	79,962
Increase/(decrease) in amounts due to holding company		1,069,653	111,160	1,081,926	92,447
Increase/(decrease) in amount due to parent's group entities		(128,892)	116,163	(19,830)	(544,277)
Cash generated from operations		13,036,811	13,071,339	506,475	111,899
Interest expenses paid		(4,762,324)	(4,464,564)	(337,742)	(247,148)
Retirement benefit obligations paid	34	(39,140)	(21,082)	(5,529)	(2,783)
Income taxes paid		(462,895)	(77,315)	(3,624)	(7,993)
Surcharge tax paid		-	(13,924)	-	(13,924)
Net cash flow generated from/(used in) operating activities		7,772,452	8,494,454	159,580	(159,949)

(carried forward to next page)

Figures in brackets indicate deductions.

		Group		Company	
For the year ended 31st March		2024	2023	2024	2023
	Notes	Rs. '000	Rs. '000	Rs. '000	Rs. '000
(brought forward from previous page)					
Net cash flow generated from/(used in) operating activities		7,772,452	8,494,454	159,580	(159,949)
Cash flow from investing activities					
Acquisition of property, plant and equipment	16	(1,838,236)	(2,019,885)	(268,421)	(101,579)
Purchase of intangible assets	18	(11,565)	(1,330)	-	-
Proceeds from disposal of property, plant and equipment		3,961	1,223	-	-
Proceeds on retirement of assets held for sale		-	1,878,448	-	-
Purchase of term deposits		579,062	(737,890)	174,501	(357,744)
Interest received		305,915	443,594	31,023	23,020
Net cash used in investing activities		(960,863)	(435,840)	(62,897)	(436,303)
Cash flow from financing activities					
Repayment of interest bearing liabilities - banks	31	(5,811,807)	(6,889,954)	(177,155)	(155,505)
Proceeds from interest bearing liabilities - banks	31	504,424	321,921	-	-
Repayment of interest bearing liabilities - leases	32	(2,162,060)	(2,422,018)	-	-
Dividends paid to equity holders of the parent	15	(14,850)	(29,700)	(14,850)	(29,700)
Dividends paid to shareholders of non - controlling interests		(33,892)	(314,117)	-	-
Proceeds from redemption of preference shares	19	-	-	-	400,000
Net cash (used in)/generated from financing activities		(7,518,185)	(9,333,868)	(192,005)	214,795
Net decrease in cash and cash equivalents		(706,596)	(1,275,254)	(95,322)	(381,457)
Cash and cash equivalents at the beginning of the year		(2,684,021)	(1,201,796)	17,771	334,453
Effect of movement in exchange rates		69,155	(206,971)	(111,940)	64,775
Cash and cash equivalents at the end of the year	28	(3,321,462)	(2,684,021)	(189,491)	17,771
Analysis of cash and cash equivalents at the end of the year					
Cash at bank and in hand		1,848,009	1,874,496	147,562	141,740
Short term deposits less than 90 days		449,224	3,387,815	-	44,970
Bank overdrafts and other short term bank borrowings		(5,618,695)	(7,946,332)	(337,053)	(168,939)
Cash and cash equivalents at the end of the year	28	(3,321,462)	(2,684,021)	(189,491)	17,771

Figures in brackets indicate deductions.

The notes on pages 176 to 271 form an integral part of these financial statements.

NOTES TO THE FINANCIAL STATEMENTS

1. REPORTING ENTITY

1.1. Corporate information

Aitken Spence Hotel Holdings PLC (the 'Company') is a public limited liability company incorporated and domiciled in Sri Lanka and listed on the Colombo Stock Exchange. The Company's registered office and the principal place of business is located at No. 315, Vauxhall Street, Colombo 02.

The immediate parent of Aitken Spence Hotel Holdings PLC is Aitken Spence PLC and ultimate parent is Milford Exports (Ceylon) (Pvt) Ltd.

1.2. Consolidated Financial Statements

The consolidated financial statements of the Company as at and for the year ended 31st March 2024 comprise the financial statements of Company and its subsidiaries (together referred to as the "Group" and individually as "Group entities") and the Group's interest in equity-accounted investees.

1.3. Principal activities and nature of operations

The principal activities of the Company are that of an investment holding company and hoteliering, while the principal activities of the subsidiary companies are to engage in the business of hotel operation and auxiliary services (hoteliering). There was no change in the nature of the principal activities of the group entities during the year.

2. BASIS OF PREPARATION

2.1. Statement of compliance

The Consolidated financial statements of the Group and the separated financial statements of the Company have been prepared in accordance with Sri Lanka Accounting Standards (herein referred to as SLFRSs/LKASs), laid down by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) and in compliance with the requirement of the Companies Act No. 07 of 2007 and Sri Lanka Accounting and Auditing Standards Act No.15 of 1995. These financial statements, except for information on cash flows and items measured at fair value as described in Note No. 2.6, have been prepared following the accrual basis of accounting.

The Group did not adopt any inappropriate accounting treatment, which is not in compliance with the requirements of the SLFRSs and LKASs regulations governing the preparation and presentation of the Financial Statements.

2.2. Components of Financial Statements

The consolidated financial statements include the following components:

- a Statement of Profit or Loss and Other Comprehensive Income providing information on the financial performance of the Group and the Company for the year under review.
- a Statement of Financial Position providing information on the financial position of the Group and the Company as at the year end.
- a Statement of Changes in Equity depicting all changes in shareholders' funds during the year under review for the Group and the Company.
- a Statement of Cash Flow providing information to users on the ability of the of the Group and the Company to generate cash and cash equivalents and utilisation of those cash flows.
- notes to the financial statements comprising material accounting policies and other explanatory information.

2.3. Responsibility for financial statements

The Board of Directors of the Company acknowledges their responsibility for the financial statements, as set out in the "Annual Report of the Board of Directors", "Statement of Directors' Responsibilities for Financial Statements" and the "Certification on the Statement of Financial Position".

2.4. Reporting date

The financial statements of all companies in the Group are prepared for a common financial year, which ends on 31st March except for Jetan Travel Services Company Pvt Ltd, ADS Resorts Pvt Ltd, Unique Resorts Pvt Ltd, Cowrie Investment Pvt Ltd and Ace Resorts Pvt Ltd whose financial year ends on 31st December.

2.5. Approval of financial statements by Directors

The financial statements of the Group and the Company for the year ended 31st March 2024 were approved and authorised for issue by the Board of Directors on 15th July 2024.

2.6. Basis of measurement

The financial statements of the Group and the Company have been prepared on the historical cost basis, except for the following material items in the Statement of Financial Position.

Item	Basis of Measurement	Note
Land	Measured at cost at the time of acquisition and subsequently at revalued amounts which are the fair values at the date of revaluation	16.3
Financial assets classified as fair value through other comprehensive income	Measured at fair Value	21
Retirement benefit obligations	Measured at the present value of the defined benefit obligation	34
Interest bearing liabilities- leases	Measured at amortised cost using effective interest method	32

2.7. Functional and presentation currency

Items included in these financial statements are measured using the currency of the primary economic environment in which the Company operates (the Functional Currency), which is the Sri Lankan Rupees.

These financial statements are presented in Sri Lankan Rupees. All financial information presented has been rounded to the nearest thousand except where otherwise indicated as permitted by the Sri Lanka Accounting Standard – LKAS 1 on 'Presentation of Financial Statements'.

Each entity in the Group determines its own functional currency and items included in the financial statements of these entities are measured using that Functional Currency.

There was no change in the Group's Presentation and Functional Currency during the year under review. The financial statements of the Group are presented in Sri Lankan Rupees (LKR) which is the functional currency of the Group entities other than for the companies listed below where the functional currency is either based on the country of incorporation of the respective company or elements that could influence in determining its functional currency.

Company	Country of Incorporation	Functional Currency
ADS Resorts Pvt Ltd	Maldives	USD
Unique Resorts Pvt Ltd	Maldives	USD
Jetan Travel Services Company Pvt Ltd	Maldives	USD
Ace Resorts Pvt Ltd	Maldives	USD
Cowrie Investment Pvt Ltd	Maldives	USD
Aitken Spence Resorts (Middle East) LLC	Oman	Oman Riyal
Aitken Spence Hotel Managements (South India) Pvt Ltd	India	Indian Rupees
Aitken Spence Hotel Services Pvt Ltd	India	Indian Rupees
P.R Holiday Homes Pvt Ltd	India	Indian Rupees
Perumbalam Resorts Pvt Ltd	India	Indian Rupees
Crest Star (B.V.I.) Ltd	British Virgin Island	USD
Aitken Spence Hotel Managements Asia (Pvt) Ltd	Sri Lanka	USD
Aitken Spence Hotels International (Pvt) Ltd	Sri Lanka	USD

2.8. Use of accounting judgements, estimates and assumptions

The preparation of the financial statements of the Group and the Company in conformity with SLFRSs/LKASs requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported values of assets, liabilities, income and expenses, accompany disclosures (including contingent liabilities). Those which management has assessed to have the most material effect on the amounts recognised in the consolidated financial statements have been discussed in the individual notes of the related financial statement line items. The estimates and associated assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making a judgment about the carrying values of assets and liabilities that are not readily apparent from other sources. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

NOTES TO THE FINANCIAL STATEMENTS

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are also described in the individual notes of the related financial statement line items below. The Group based its assumptions and estimates on parameters available when the consolidated financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising that are beyond the control of the Group. Such changes are reflected in the assumptions when they occur.

Items that have a significant effect on Judgements, estimates and assumptions and the respective notes that they are included in are as follows,

Item	Note
Going concern	2.11
Valuation of property, plant and equipment	16
Impairment of non-financial assets	3.3 (d)
Recognition of deferred tax assets	22
Measurement of fair value of unquoted investment	21
Measurement of loss rate to compute ECL Allowance for trade receivables	3.3 (d)
Measurement of defined benefit obligations: key actuarial assumptions	34
Measurement of contingent liabilities	3.13 & 38

2.9. Materiality and aggregation

Each material class of similar items is presented separately in the financial statements. Items of dissimilar nature or function are presented separately unless they are immaterial as permitted by the Sri Lanka Accounting Standard – LKAS 1 on 'Presentation of Financial Statements' and amendments to the LKAS 1.

Notes to the financial statements are presented in a systematic manner which ensures the understandability and comparability of financial statements of the Group and the Company. Understandability of the financial statements is not compromised by obscuring material information with immaterial information or by aggregating material items that have different natures or functions.

2.10. Offsetting

Financial assets and financial liabilities are offset, and the net amount reported in the statement of financial position, only when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on

a net basis or to realise the assets and settle the liabilities simultaneously. Income and expenses are not offset in the income statement, unless required or permitted by Sri Lanka Accounting Standards and as specifically disclosed in the "Material Accounting Policies" of the Company.

2.11. Going concern

The Group has prepared the financial statements for the year ended 31st March 2024 on the basis that it will continue to operate as a going concern.

In determining the basis of preparing the financial statements for the year ended 31st March 2024, based on available information, the management has assessed the prevailing macroeconomic conditions and its effect on the Group companies and the appropriateness of the use of the going concern basis.

The management has formed judgment that the Company, its subsidiaries, associates, and joint ventures have adequate resources to continue in operational existence for the foreseeable future driven by the continuous operationalisation of risk mitigation initiatives and monitoring of business continuity and response plans at each business unit level along with the financial strength of the Group.

Based on the publicly available information at the date these financial statements were authorised for issue, management considered a number of severe but plausible scenarios with respect to possible impact of the downside economic scenarios and climate related matters.

Furthermore, the Management is not aware of any material uncertainties that may cast significant doubt upon the Group's ability to continue as a going concern.

Having presented the outlook of the Group to the Board, the Directors are satisfied that the Group has adequate resources to continue in operational existence for the foreseeable future. Management concluded that the range of possible outcomes considered at arriving at this judgment does not give rise to material uncertainties related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern.

2.12. Changes in material accounting policies

2.12.1. Material accounting policy information

The Group adopted Disclosure of Accounting Policies (Amendments to LKAS 1 and SLFRS Practice Statement 2) from 1 April 2023. Although the amendments did not result in any changes to the accounting policies themselves, they impacted the accounting policy information disclosed in the financial statements.

The amendments require the disclosure of 'material', rather than 'significant', accounting policies. The amendments also provide guidance on the application of materiality to disclosure of accounting policies, assisting entities to provide useful, entity-specific accounting policy information that users need to understand other information in the financial statements. Management reviewed the accounting policies and made updates to the information disclosed in Note 3 Material accounting policies (2022/2023: Significant accounting policies) in certain instances in line with the amendments.

2.12.2. Deferred tax related to assets and liabilities arising from a single transaction

The Group has adopted Deferred Tax related to Assets and Liabilities arising from a Single Transaction (Amendments to LKAS 12) from 1 April 2023. The amendments narrow the scope of the initial recognition exemption to exclude transactions that give rise to equal and offsetting temporary differences – e.g., leases. For leases, group is required to recognise the associated deferred tax assets and liabilities from the beginning of the earliest comparative period presented, with any cumulative effect recognised as an adjustment to retained earnings or other components of equity at that date. For all other transactions, the Group applies the amendments to transactions that occur at or after the beginning of the earliest period presented.

The Group previously accounted for deferred tax on leases by applying the 'integrally linked' approach, resulting in a similar outcome as under the amendments, except that the deferred tax asset or liability was recognised on a net basis. Following the amendments, the Group has recognised a separate deferred tax asset in relation to its lease liabilities and a deferred tax liability in relation to its right-of-use assets. However, there was no impact on the statement of financial position because the balances qualify for offset under paragraph 74 of LKAS 12. There was also no impact on the opening retained earnings as at 1 April 2022 as a result of the change. The key impact for the Group relates to the recognition of a separate deferred tax asset in relation to its lease liabilities and a deferred tax liability in relation to its right-of-use assets as disclosed in Note 33.2.

3. SUMMARY OF MATERIAL ACCOUNTING POLICIES

3.1. Basis of consolidation

The Group's financial statements comprise of the consolidation of financial statements of the company its subsidiaries prepared in terms of Sri Lanka Accounting standard (SLFRS -10) - Consolidated Financial Statements and share of profit and loss and net assets of equity accounted investees prepared in terms of Sri Lanka Accounting standard (LKAS 28) - Investments in Associates and Joint Ventures.

3.1.1. Business combinations

Business combinations are accounted for using the acquisition method as at the acquisition date, which is the date on which control is transferred to the Group.

The Group accounts for business combinations under the acquisition method when the acquired set of activities and assets meets the definition of a business and control is transferred to the Group. In determining whether a particular set of activities and assets is a business, the Group assesses whether the set of assets and activities acquired includes, at a minimum, an input and substantive process and whether the acquired set has the ability to produce outputs.

The Group has an option to apply a 'concentration test' that permits a simplified assessment of whether an acquired set of activities and assets is not a business. The optional concentration test is met if substantially all of the fair value of the gross assets acquired is concentrated in a single identifiable asset or group of similar identifiable assets.

The Group measures goodwill at the acquisition date as the fair value of the consideration transferred plus the recognised amount of any non-controlling interests in the acquiree plus if the business combination achieved in stages, the fair value of the pre-existing interest in the acquiree less the net recognised amount (generally fair value) of the identifiable assets acquired and liabilities assumed, all measured as of the acquisition date. Transaction costs, other than those associated with the issue of debt or equity securities, that the Group incurs in connection with a business combination are expensed as incurred.

Any contingent consideration payable is measured at fair value at the acquisition date. If the contingent consideration is classified as equity, then it is not re-measured, and settlement is accounted within equity. Otherwise, subsequent changes in the fair value of the contingent consideration are recognised in the income statement.

The goodwill arising on acquisition of subsidiaries is presented as an intangible asset.

After initial recognition, goodwill is measured at cost less any accumulated impairment losses. For the purpose of impairment testing, goodwill acquired in a business combination is from the acquisition date, allocated to each of the Group's cash-generating units that are expected to benefit from the combination, irrespective of whether other assets or liabilities of the acquiree are assigned to those units.

If the Group's interest in the net fair value of the identifiable assets, liabilities and contingent liabilities of the entity acquired exceed the cost of the acquisition of the entity, the surplus, which is a gain on bargain purchase is recognised immediately in the consolidated income statement.

NOTES TO THE FINANCIAL STATEMENTS

Where goodwill has been allocated to a cash-generating unit and part of the operation within that unit is disposed of, the goodwill associated with the operation disposed of is included in the carrying amount of the operation when determining the gain or loss on disposal of the operation. Goodwill disposed of in this circumstance is measured based on the relative values of the operation disposed of and the portion of the cash generating unit retained.

3.1.2. Non-controlling interests

The proportion of the profits or losses after taxation applicable to outside shareholders of subsidiary companies is included under the heading of "Non – controlling interest" in the Consolidated Income Statement. Losses applicable to the non-controlling interests in a subsidiary is allocated to the non-controlling interest even if doing so causes the non-controlling interests to have a deficit balance.

The interest of the minority shareholders in the net assets employed of these companies are reflected under the heading of "Non – controlling interest" in the Consolidated Statement of Financial Position.

Acquisitions of non-controlling interests are accounted for as transactions with equity holders in their capacity as owners and therefore no goodwill is recognised as a result of such transactions. Adjustments to non-controlling interest arising from transactions that do not involve the loss of control are based on a proportionate amount of the net assets of the subsidiary.

3.1.3. Subsidiaries

Subsidiaries are those entities that are controlled by the Group. Control is achieved when the Group is exposed or has rights to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. The Group controls an investee if only if, the Group has:

- * Power over the investee (i.e., existing rights that give it the current ability to direct the relevant activities of the investee)
- * Exposure or rights to variable returns from its involvement with the investee
- * The ability to use its power over the investee to affect the amount of the investor's returns

When assessing control of an investee, an investor shall consider the purpose and design of the investee in order to identify the relevant activities, how decision about the relevant activities is made, who has the current ability to direct those activities and who receives returns from those activities.

When an investee's purpose and design are considered, it may be clear that an investee is controlled by means of equity instruments that give the holder proportionate voting rights, such as ordinary shares in the investee. In this case in the absence of any additional arrangements that alter decision making, the assessment of control focuses on which party, if any, is able to exercise voting rights sufficient to determine the investee's operating and financing policies. The investor that holds a majority of those voting rights, in the absence of any other factors, controls the investee.

Therefore, Group considers all relevant facts and circumstances in assessing whether it has power over an investee including:

- * The contractual arrangement with the other vote holders of the investee
- * Rights arising from other contractual arrangements
- * The Group's voting rights and potential voting rights

The Group reassesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the above.

Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

Entities that are subsidiaries of another entity which is a subsidiary of the Company are also treated as subsidiaries of the Company.

The accounting policies of subsidiaries have been changed when necessary to align them with the policies adopted by the Group.

3.1.4. Loss of control

When the Group loses control over a subsidiary, the Group derecognises the assets and liabilities of the subsidiary, any non-controlling interests and the other components of equity related to the subsidiary. Any surplus or deficit arising on the loss of control is recognised in profit or loss. If the Group retains any interest in the previous subsidiary, then such interest is measured at fair value as at the date that control is lost. Subsequently, It is accounted for an equity accounted investee or as a FVOCI financial asset depending on the level of influence retained.

A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction.

3.1.5. Investments in equity accounted investees (investments in associates and joint ventures)

Associates are those entities in which the Group has significant influence, but does not have control, over the financial and operating policies. A significant influence is the power to participate in the financial and operating policy decisions of the investee but does not have the control or joint control over those policies. Significant influence is presumed to exist when the Group holds between 20% - 50% of the voting rights of another entity.

Joint ventures are arrangements in which the Group has joint control and have rights to the net assets of the arrangement. The Group has joint control in a venture when there is contractually agreed sharing of control of the venture and the decisions about the relevant activities of the venture require the unanimous consent of the parties sharing control.

The Group determines significant influence or joint control by taking into account similar considerations necessary to determine control over subsidiaries.

The Group's investment in associate and joint venture are treated as equity accounted investees and accounted for using the equity method and are recognised initially at cost, which includes transaction costs. The carrying amount of the investment is increased or decreased to recognise the investor's share of net assets of the investee after the date of acquisition. The investor's share of Investee's profit or loss is recognised in the investor's profit or loss. Distributions received from an investee reduces the carrying amount of the investment. Adjustment to the carrying amount may also be necessary for changes in the investor's proportionate interest in the investee arising from changes in investee's other comprehensive income. Goodwill relating to the associate or joint venture is included in the carrying amount of the investment and not tested for impairment individually.

When the Group's share of losses exceeds its interest in an equity-accounted investee, the carrying amount of that interest, including any long-term investments, is reduced to nil and the recognition of further losses is discontinued except to the extent that the Group has an obligation or has made payments on behalf of the investee. If the Associate subsequently reports profits, the Group resumes recognising its share of those profits only after its share of the profits equal the share of losses not recognised previously.

The statement of profit or loss reflects the Group's share of the results of operations of the associates or joint venture. Any changes in OCI of those investees is presented as part of the Group's OCI. In addition, when there has been a change

recognised directly in equity of the associate or joint venture the Group recognises its share of any changes when applicable in the statement of changes in equity.

The aggregate of the Group's share of profit or loss of an associate and a joint venture is shown on the face of the statement of profit or loss outside operating profit and represents profit or loss after tax and non-controlling interests in the subsidiaries of the associate or joint venture.

At each reporting date the Group determines whether there is an objective evidence that the investment in associate or joint venture is impaired. If there is such evidence that the investment in associate or joint venture is impaired, the Group calculates the amount of impairment as the difference between the recoverable amount of the associate or joint venture and its carrying values and then recognises the amount in share of losses of equity accounted investees or joint venture in the income statement.

The Group discontinues the use of the equity method from the date it ceases to have significant influence over an associate or joint control over the joint venture and accounts for the investment in accordance with the Group's accounting policy for financial instruments. Any difference between the carrying amount of the associate or the joint venture upon loss of significant influence or joint control and fair value of the retained investment and proceeds from disposal is recognised in profit or loss.

3.1.6. Intra-group transactions

Transfer prices between Group entities are set on an arms-length basis in a manner similar to transactions with third parties.

3.1.7. Transactions eliminated on consolidation

Intra-group balances and transactions, and any unrealised gains and losses or income and expenses arising from intra-group transactions, are eliminated in preparing the consolidated financial statements. Unrealised gains arising from transactions with equity accounted investees are eliminated against the investment to the extent of the Group's interest in the investee. Unrealised losses are eliminated in the same way as unrealised gains, but only to the extent that there is no evidence of impairment.

3.2. Foreign currency

3.2.1. Foreign currency transactions

Transactions in foreign currencies are translated to the respective functional currencies of Group entities at exchange rates at the dates of transactions. Monetary assets and liabilities denominated in foreign currency at the reporting date

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are retranslated to the functional currency at the exchange rate at that date. Non-monetary assets and liabilities that are measured at fair value in a foreign currency are translated into the functional currency at the exchange rate when the fair value was determined.

Non-monetary assets and liabilities in a foreign currency that are measured in terms of historical cost are translated using the exchange rate at the date of transaction. Non-monetary assets and liabilities denominated in foreign currencies that are measured at fair value are retranslated to reporting currency using the exchange rate that was prevailing on the date the fair value was determined.

Foreign currency differences arising on retranslation generally are recognised in income statement. However, the following items are recognised in the other comprehensive income.

- i. Differences arising on the retranslation of fair value through other comprehensive income equity investments which was recognised in other comprehensive income. Foreign currency gains and losses are reported on a net basis in the income statement.
- ii. Gains and losses arising from translating the financial statements of foreign operations
- iii. Qualifying cash flows hedges to the extent that the hedge is effective

3.2.2. Foreign operations

Subsidiaries incorporated outside Sri Lanka are treated as foreign operations. The assets and liabilities of foreign operations, including goodwill and fair value adjustments arising on acquisition, are translated at the rate of exchange prevailing on the reporting date. The income and expenses of the foreign entities are translated at an exchange rate approximating the actual rate at the time of the transaction. For practical purposes this is presumed to be the average rate for each month.

Foreign currency differences are recognised in other comprehensive income and presented in the foreign currency translation reserve in equity. When a foreign operation is disposed of such that control, significant influence or joint control is lost, the cumulative amount in the translation reserve related to that foreign operation is reclassified to profit or loss as part of the gain or loss on disposal. On the partial disposal of a subsidiary that includes a foreign operation, the relevant proportion of such cumulative amount is reattributed to non-controlling interest, in any other partial disposal of foreign operation, the relevant proportion is reclassified to profit or loss.

Foreign exchange gains or losses arising from a monetary items' receivable from or payable to a foreign operation, the settlement of which is neither planned nor likely to occur in the foreseeable future and which in substance is considered to form part of the net investment in the foreign operation, are recognised in other comprehensive income in the foreign currency translation reserve.

3.3. Financial instruments

(a) Recognition and initial measurement

Trade receivables are initially recognised when they are originated. All other financial assets are initially recognised when the Group becomes a party to the contractual provisions of the instrument.

A financial asset (unless it is a trade receivable without a significant financing component) is initially measured at fair value plus, for an item not at FVTPL, transaction costs that are directly attributable to its acquisition or issue. A trade receivable without a significant financing component is initially measured at the transaction price.

(b) Classification and subsequent measurement

On initial recognition, a financial asset is classified as measured at: amortised cost; FVOCI – equity investment; or FVTPL.

Financial assets are not reclassified subsequent to their initial recognition unless the Group changes its business model for managing financial assets, in which case all affected financial assets are reclassified on the first day of the first reporting period following the change in the business model.

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL:

- it is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount of outstanding.

On initial recognition of an equity investment that is not held for trading, the Group may irrevocably elect to present subsequent changes in the investment's fair value in OCI. This election is made on an investment-by-investment basis.

All financial assets not classified as measured at amortised cost or FVOCI as described above are measured at FVTPL. This includes all derivative financial assets. On initial recognition, the Group may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost or at FVOCI as at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

Financial assets - Business model assessment:

The Group makes an assessment of the objective of the business model in which a financial asset is held at a portfolio level because this best reflects the way the business is managed, and information is provided to management. The information considered includes:

- the stated policies and objectives for the portfolio and the operation of those policies in practice. These include whether management's strategy focuses on earning contractual interest income, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of any related liabilities or expected cash outflows or realising cash flows through the sale of the assets;
- how the performance of the portfolio is evaluated and reported to the Group's management;
- the risks that affect the performance of the business model (and the financial assets held within that business model) and how those risks are managed;
- how managers of the business are compensated - e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected; and
- the frequency, volume and timing of sales of financial assets in prior periods, the reasons for such sales and expectations about future sales activity

Transfers of financial assets to third parties in transactions that do not qualify for derecognition are not considered sales for this purpose, consistent with the Group's continuing recognition of the assets. Financial assets that are held for trading or are managed and whose performance is evaluated on a fair value basis are measured at FVTPL.

Financial assets –Assessment whether contractual cash flows are solely payments of principal and interest:

For the purposes of this assessment, 'principal' is defined as the fair value of the financial asset on initial recognition. 'Interest' is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs (e.g. liquidity risk and administrative costs), as well as a profit margin.

In assessing whether the contractual cash flows are solely payments of principal and interest, the Group considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making this assessment, the Group considers:

- contingent events that would change the amount or timing of cash flows;
- terms that may adjust the contractual coupon rate, including variable-rate features;
- prepayment and extension features; and
- terms that limit the Group's claim to cash flows from specified assets (e.g. nonrecourse features).

A prepayment feature is consistent with the solely payments of principal and interest criterion if the prepayment amount substantially represents unpaid amounts of principal and interest on the principal amount outstanding, which may include reasonable additional compensation for early termination of the contract. Additionally, for a financial asset acquired at a discount or premium to its contractual par-amount, a feature that permits or requires prepayment at an amount that substantially represents the contractual par amount plus accrued (but unpaid) contractual interest (which may also include reasonable additional compensation for early termination) is treated as consistent with this criterion if the fair value of the prepayment feature is insignificant at initial recognition.

Financial assets - Subsequent measurement and gains and losses:

Item	Basis of Measurement
Financial assets at FVTPL	These assets are subsequently measured at fair value. Net gains and losses, including any interest or dividend income, are recognised in profit or loss.
Financial assets at amortised cost	These assets are subsequently measured at amortised cost using the effective interest method. The amortised cost is reduced by impairment losses. Interest income, foreign exchange gains and losses and impairment are recognised in profit or loss. Any gain or loss on derecognition is recognised in profit or loss.
Equity investments at FVOCI	These assets are subsequently measured at fair value. Dividends are recognised as income in profit or loss unless the dividend clearly represents a recovery of part of the cost of the investment. Other net gains and losses are recognised in OCI and are never reclassified to profit or loss.

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Financial liabilities - Classification, subsequent measurement and gains and losses

Financial liabilities are classified as measured at amortised. Other financial liabilities are subsequently measured at amortised cost using the effective interest method. Interest expense and foreign exchange gains and losses are recognised in profit or loss. Any gain or loss on derecognition is also recognised in profit or loss.

(c) Derecognition

Financial assets

The Group derecognises a financial asset when the contractual rights to the cash flows from the financial asset expire, or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all of the risks and rewards of ownership of the financial asset are transferred or in which the Group neither transfers nor retains substantially all of the risks and rewards of ownership and it does not retain control of the financial asset.

The Group enters into transactions whereby it transfers assets recognised in its statement of financial position but retains either all or substantially all of the risks and rewards of the transferred assets.

In these cases, the transferred assets are not derecognised.

Financial liabilities

The Group derecognises a financial liability when its contractual obligations are discharged or cancelled or expire. The Group also derecognises a financial liability when its terms are modified and the cash flows of the modified liability are substantially different, in which case a new financial liability based on the modified terms is recognised at fair value.

On derecognition of a financial liability, the difference between the carrying amount extinguished and the consideration paid (including any non-cash assets transferred or liabilities assumed) is recognised in profit or loss.

(d) Impairment

Non-derivative financial assets

Financial instruments and contract assets

The Group recognises allowances for expected credit losses (ECLs) on financial assets measured at amortised cost.

Loss allowances for trade receivables is always measured at an amount equal to lifetime ECLs.

Loss allowance for debt instruments is measured at 12-month ECL unless credit risk (i.e. the risk of default occurring over the expected life of the financial instrument) of the debt instrument has not increased significantly since initial recognition.

When determining whether the credit risk of a financial asset has increased significantly since initial recognition and when estimating ECLs, the Group considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Group's historical experience and informed credit assessment and including forward-looking information.

The Group assumes that the credit risk on a financial asset has increased significantly if it is more than 30 days past due.

The Group considers a financial asset to be in default when:

- the borrower is unlikely to pay its credit obligations to the Group in full, without recourse by the Group to actions such as realising security (if any is held); or
- the financial asset is more than 180 days past due.

Lifetime ECLs are the ECLs that result from all possible default events over the expected life of a financial instrument.

12-month ECLs are the portion of ECLs that result from default events that are possible within the 12 months after the reporting date (or a shorter period if the expected life of the instrument is less than 12 months).

The maximum period considered when estimating ECLs is the maximum contractual period over which the Group is exposed to credit risk.

Measurement of ECLs

ECLs are a probability-weighted estimate of credit losses. Credit losses are measured as the present value of all cash shortfalls (i.e. the difference between the cash flows due to the entity in accordance with the contract and the cash flows that the Group expects to receive).

ECLs are discounted at the effective interest rate of the financial asset.

Credit-impaired financial assets

At each reporting date, the Group assesses whether financial assets carried at amortised cost are credit impaired. A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

Evidence that a financial asset is credit-impaired includes the following observable data:

- significant financial difficulty of the borrower or issuer;
- a breach of contract such as a default or being more than 180 days past due;
- the restructuring of a loan or advance by the Group on terms that the Group would not consider otherwise;
- it is probable that the borrower will enter bankruptcy or other financial reorganisation; or
- the disappearance of an active market for a security because of financial difficulties.

Presentation of allowance for ECL in the statement of financial position

Loss allowances for financial assets measured at amortised cost are deducted from the gross carrying amount of the assets.

Write-off

The gross carrying amount of a financial asset is written off when the Group has no reasonable expectations of recovering a financial asset in its entirety or a portion thereof. For individual customers, the Group has a policy of writing off the gross carrying amount when the financial asset is 365 days past due based on historical experience of recoveries of similar assets. For corporate customers, the Group individually makes an assessment with respect to the timing and amount of write-off based on whether there is a reasonable expectation of recovery. The Group expects no significant recovery from the amount written off. However, financial assets that are written off could still be subject to enforcement activities in order to comply with the Group's procedures to recovery of amounts due.

Impairment Policy: Non-financial assets

The carrying amounts of the Group's non-financial assets, other than deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. For intangible assets that have indefinite useful lives or that are not yet available for use, the recoverable amount is estimated each year at the same time.

The recoverable amount of an asset is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific

to the asset. For the purpose of impairment testing, assets that cannot be tested individually are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets.

An impairment loss is recognised if the carrying amount of an asset exceeds its estimated recoverable amount. Impairment losses are recognised in profit or loss.

An impairment loss in respect of other assets, recognised in prior periods, is assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

(e) Hedge accounting and cash flow hedge

'Hedging' is a process of using a financial instrument to mitigate all or some of the risk associated to a hedged item. 'Hedge accounting' changes the timing of recognising the gains and losses on either the hedged item or the hedging instrument so that both are recognised in profit or loss or other comprehensive income in the same accounting period in order to record the economic substance of the relationship between the hedged item and instrument.

At the inception of a hedge relationship, the Group formally designates and documents the hedge relationship to which the Group wishes to apply hedge accounting and the risk management objective and strategy for undertaking the hedge. The documentation includes identification of the hedging instrument, the hedged item or transaction, the nature of the risk being hedged and how the Group will assess the effectiveness of changes in the hedging instrument's fair value in offsetting the exposure to changes in the hedged item's fair value or cash flows attributable to the hedged risk. Such hedges are expected to be highly effective in achieving offsetting changes in fair value or cash flows and are assessed on a prospective basis according to SLFRS 09 requirements.

The Group holds derivative financial instruments to hedge its foreign currency and interest rate risk exposures. Embedded derivatives are separated from the host contract and accounted for separately if the host contract is not a financial asset and certain criteria are met.

Derivatives are initially measured at fair value. Subsequent to initial recognition, derivatives are measured at fair value, and changes therein are generally recognised in profit or loss.

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The Group designates certain derivatives as hedging instruments to hedge the variability in cash flows associated with highly probable forecast transactions arising from changes in foreign exchange rates and interest rates and certain derivatives and non-derivative financial liabilities as hedges of foreign exchange risk on a net investment in a foreign operation.

Cash Flow Hedge

A hedge of an exposure to variability in cash flows that is attributable to a particular risk associated with a recognises asset, liability or a highly probable forecast transaction that could affect the profit or loss is classified as a cash flow hedge.

When a non-derivative financial liability is designated as a cash flow hedging instrument, the effective portion of changes in the fair value of the non-derivative financial liability is recognised in OCI and accumulated in the hedging reserve. The effective portion of changes in the fair value of the non-derivative financial liability that is recognised in OCI is limited to the cumulative change in fair value of the hedged item, determined on a present value basis, from inception of the hedge. Any ineffective portion of changes in the fair value of the non-derivative financial liability is recognised immediately in profit or loss.

If the hedge no longer meets the criteria for hedge accounting (after taking into account any rebalancing of the hedging relationship) or the hedging instrument is sold, expires, is terminated or is exercised, then hedge accounting is discontinued prospectively. When hedge accounting for cash flow hedges is discontinued, the amount that has been accumulated in the hedging reserve remains in equity until, for a hedge of a transaction resulting in the recognition of a non-financial item, it is included in the non-financial item's cost on its initial recognition or, for other cash flow hedges, it is reclassified to profit or loss in the same period or periods as the hedged expected future cash flows affect profit or loss.

If the hedged future cash flows are no longer expected to occur, then the amounts that have been accumulated in the hedging reserve and the cost of hedging reserve are immediately reclassified to profit or loss.

3.4. Stated capital

Ordinary shares

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of ordinary shares are recognised as a deduction from equity.

Preference Shares

Preference Share capital is classified as equity if it is non-redeemable or redeemable only at the Company's option and any dividends are discretionary. Dividends thereon are recognised as distributions within equity upon approval by the Company's shareholders.

Preference share capital is classified as a financial liability if it is redeemable on a specific date or at the option of the shareholders, or if dividend payments are not discretionary. Dividends thereon are recognised as interest expense in income statement as accrued.

3.5. Assets and bases of their valuation

3.5.1. Property, plant and equipment

3.5.1.1. Recognition and measurement

Items of property, plant and equipment other than land, are stated at costs less accumulated depreciation and accumulated impairment losses.

The cost of property, plant and equipment comprises its purchase price and any directly attributable costs of bringing the asset to working condition for its intended use. The cost of self-constructed assets includes the cost of materials, direct labour and any other costs directly attributable to bringing the asset to the working condition of its intended use. This also includes the costs of dismantling and removing the items and restoring the site on which they are located and borrowing costs on qualifying assets.

All items of property, plant and equipment are recognised initially at cost.

The Group recognises land owned by them in the statement of financial position at their revalued amount. Revaluations are performed with sufficient regularity such that the carrying amount does not differ materially from that which would be determined using fair values at the end of each reporting period. If the fair values of land do not change other than by a significant amount at each reporting period, the Group will revalue such land every five years.

Any surplus arising on the revaluation is recognised in other comprehensive income except to the extent that the surplus reverses a previous revaluation deficit on the same asset recognised in income statement, in which case the credit to that extent is recognised in income statement. Any deficit on revaluation is recognised in the income statement except to the extent that it reverses a previous revaluation surplus on the

same asset, in which case the debit to that extent is recognised in other comprehensive income. Therefore, revaluation increases and decreases cannot be offset, even within a class of assets.

External, independent qualified valuers having appropriate experience in valuing properties in locations of properties being valued, value the land owned by the Group based on market values, this is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The details of the land valuation are disclosed in Note No. 16.3.2 to the financial statements.

Upon disposal, any related revaluation reserve is transferred from the revaluation reserve to accumulated profits and is not taken into account in arriving at the gain or loss on disposal.

Gains and losses on disposal of an item of property, plant and equipment are determined by comparing the proceeds from disposal of with the carrying amount of property, plant and equipment and are recognised net within other income in income statement.

3.5.1.2. Significant components of property, plant and equipment

When parts of an item of property, plant and equipment have different useful lives, they are accounted for as separate items of property plant and equipment and depreciated separately based on their useful life.

3.5.1.3. Subsequent costs

The cost of replacing a component of an item of property, plant and equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied with the item will flow to the Group, and the cost of the item can be measured reliably. The costs of the day-to-day servicing and any other costs are recognised in the income statement as and when incurred.

3.5.1.4. Depreciation

Depreciation is based on the cost of an asset less its residual value.

Depreciation is recognised in the income statement on a straight-line basis over the estimated useful lives of each component of an item of property, plant and equipment. Depreciation of an asset begins when it is available for use and ceases at the earlier date that the asset is classified as held for

sale or on the date that the asset is disposed of. Leased assets are depreciated over the shorter of the lease term and their useful lives unless it is reasonably certain that the Group will obtain ownership by the end of the lease term.

The estimated useful lives are as follows:

• Leasehold Premises	Over the remaining lease period
• Buildings	08- 50 years
• Plant and Equipment	10-20 years
• Kitchen Equipment	05 -15 years
• Office Equipment	03- 10 years
• Sports Equipment	05-10 years
• Motor Vehicles	04-06 years
• Motorboats	5 years
• Swimming Pool and Equipment	15- 30 years
• Furniture and Fittings	10- 20 years
• Crockery, Cutlery and Glassware	03-05 years
• Soft Furnishing	03-05 years

Depreciation is not provided on land and assets under construction.

The depreciation methods, useful lives and residual values are reviewed at each financial year end and adjusted if appropriate.

3.5.2. Leases

At inception of a contract, the Group assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Group uses the definition of a lease in SLFRS 16.

• As a lessee

At commencement or on modification of a contract that contains a lease component, the Group allocates the consideration in the contract to each lease component on the basis of its relative stand-alone prices. However, for the leases of property the Group has elected not to separate non-lease components and account for the lease and non-lease components as a single lease component.

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The Group recognises a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove the underlying asset or to restore the underlying asset or the site on which it is located, less any lease incentives received.

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the end of the lease term, unless the lease transfers ownership of the underlying asset to the Group by the end of the lease term or the cost of the right-of-use asset reflects that the Group will exercise a purchase option. In that case the right-of-use asset will be depreciated over the useful life of the underlying asset, which is determined on the same basis as those of property and equipment. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain remeasurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Group's incremental borrowing rate. Generally, the Group uses its incremental borrowing rate as the discount rate.

The Group determines its incremental borrowing rate by obtaining interest rates from various external financing sources and makes certain adjustments to reflect the terms of the lease and type of the asset leased.

Lease payments included in the measurement of the lease liability comprise the following:

- fixed payments, including in-substance fixed payments;
- variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date;
- amounts expected to be payable under a residual value guarantee; and
- the exercise price under a purchase option that the Group is reasonably certain to exercise, lease payments in an optional renewal period if the Group is reasonably certain to exercise an extension option, and penalties for early termination of a lease unless the Group is reasonably certain not to terminate early.

The lease liability is measured at amortised cost using the effective interest method. It is remeasured when there is a change in future lease payments arising from a change in an index or rate, if there is a change in the Group's estimate of

the amount expected to be payable under a residual value guarantee, if the Group changes its assessment of whether it will exercise a purchase, extension or termination option or if there is a revised in-substance fixed lease payment.

When the lease liability is remeasured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use asset or is recorded in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero.

The Group presents right-of-use assets that do not meet the definition of investment property in 'right of use assets and lease liabilities in 'interest - bearing liabilities - leases' in the statement of financial position.

Lease modifications

The Group shall account for a lease modification as a separate lease if both:

- a. the modification increases the scope of the lease by adding the right to use one or more underlying assets; and
- b. the consideration for the lease increases by an amount commensurate with the stand-alone price for the increase in scope and any appropriate adjustments to that stand-alone price to reflect the circumstances of the particular contract.

For a lease modification that is not accounted for as a separate lease, at the effective date of the lease modification the Group shall:

- a) allocate the consideration in the modified contract
- b) determine the lease term of the modified lease
- c) remeasure the lease liability by discounting the revised lease payments using a revised discount rate. The revised discount rate is determined as the interest rate implicit in the lease for the remainder of the lease term, if that rate can be readily determined, or the lessee's incremental borrowing rate at the effective date of the modification, if the interest rate implicit in the lease cannot be readily determined.

For a lease modification that is not accounted for as a separate lease, the Group shall account for the remeasurement of the lease liability by:

- a) decreasing the carrying amount of the right-of-use asset to reflect the partial or full termination of the lease for lease modifications that decrease the scope of the lease. The lessee shall recognise in profit or loss any gain or loss relating to the partial or full termination of the lease.

- b) making a corresponding adjustment to the right-of-use asset for all other lease modifications.

Short-term leases and leases of low-value assets

The Group has elected not to recognise right-of-use assets and lease liabilities for leases of low-value assets and short-term leases, including IT equipment. The Group recognises the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

• As a lessor

At inception or on modification of a contract that contains a lease component, the Group allocates the consideration in the contract to each lease component on the basis of their relative standalone prices.

When the Group acts as a lessor, it determines at lease inception whether each lease is a finance lease or an operating lease.

To classify each lease, the Group makes an overall assessment of whether the lease transfers substantially all of the risks and rewards incidental to ownership of the underlying asset. If this is the case, then the lease is a finance lease; if not, then it is an operating lease. As part of this assessment, the Group considers certain indicators such as whether the lease is for a major part of the economic life of the asset.

When the Group is an intermediate lessor, it accounts for its interests in the head lease and the sub-lease separately. It assesses the lease classification of a sub-lease with reference to the right-of-use asset arising from the head lease, not with reference to the underlying asset. If a head lease is a short-term lease to which the Group applies the exemption described above, then it classifies the sub-lease as an operating lease.

If an arrangement contains lease and non-lease components, then the Group applies SLFRS 15 to allocate the consideration in the contract.

The Group applies the derecognition and impairment requirements in SLFRS 9 to the net investment in the lease. The Group further regularly reviews estimated unguaranteed residual values used in calculating the gross investment in the lease.

The Group recognises lease payments received under operating leases as income on a straight-line basis over the lease term as part of 'other revenue'.

3.5.3. Intangible assets

Initial Recognition and measurement

The Group recognises intangible assets if it is probable that the expected future economic benefits that are attributable to the asset will flow to the entity and the cost of the asset can be measured reliably.

Separately acquired intangible assets are measured on initial recognition at cost. The cost of such separately acquired intangible assets includes the purchase price, import duties, non-refundable purchase taxes and any directly attributable cost of preparing the asset for its intended use.

The cost of intangible assets acquired in a business combination is the fair value of the asset at the date of acquisition.

The cost of an internally generated intangible asset arising from the development phase of an internal project which is capitalised includes all directly attributable costs necessary to create, produce, and prepare the asset to be capable of operating in the manner intended by the Management. Other development expenditure and expenditure on research activities, undertaken with the prospect of gaining new technical knowledge and understanding is expensed in the income statement as and when incurred.

Subsequent costs

Subsequent expenditure on intangible assets is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates.

Subsequent Measurement

After initial recognition an intangible asset is stated at its costs less any accumulated amortisation and any accumulated impairment losses.

The useful economic life of an intangible asset is assessed to be either finite or indefinite.

Intangible assets with finite lives are amortised over the useful economic life of the asset. The amortisation period and the amortisation method for an intangible asset with a finite useful life is reviewed at least at the end of each reporting date. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortisation period or method, as appropriate, and are treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in the income statement.

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Intangible assets with indefinite useful lives are not amortised, but are tested for impairment annually, either individually or at the cash-generating unit level. The assessment of indefinite life is reviewed annually to determine whether the indefinite life continues to be supportable. If not, the change in useful life from indefinite to finite is made on a prospective basis.

3.5.3.1. Goodwill

Goodwill that arises upon the acquisition of subsidiaries is included in intangible assets, the policy on measurement of goodwill is at initial recognition.

Subsequent measurement

Goodwill is measured at cost less accumulated impairment losses. In respect of equity accounted investees, the carrying amount of goodwill is included in the carrying amount of the investment, and impairment loss on such an investment is allocated to the carrying amount of the equity accounted investee.

3.5.3.2. Computer software

All computer software cost incurred, licensed for use by the Group, which does not form an integral part of related hardware, and which can be clearly identified, reliably measured and it is probable that they will lead to future economic benefits are included under intangible assets and carried at cost less accumulated amortisation and any accumulated impairment losses.

Subsequent measurement

Expenditure incurred on software is capitalised only when it is probable that this expenditure will enable the asset to generate future economic benefits in excess of its originally assessed standards of performance and this expenditure can be measured and attributed to the asset reliably.

Amortisation

Amortisation is calculated over the cost of the asset, or other amount substituted for cost, less its residual value.

Amortisation is recognised in the income statement on a straight-line basis over the estimated useful lives of intangible assets, other than goodwill, from the date that they are available for use, since this most closely reflects the expected pattern of consumption of the future economic benefits embodied in the asset. The estimated useful lives for the current and comparative periods are three years.

Amortisation methods, useful lives and residual values are reviewed at each financial year end and adjusted if appropriate.

3.5.3.3. Website costs

Costs incurred on development of websites are capitalised when the entity is satisfied that the web site will generate probable economic benefits in the future. The estimated useful lives for the current and comparative periods are three years.

3.5.4. Inventories

Inventories are measured at the lower of cost and net realisable value. The cost of inventories is based on a weighted average principle and includes expenditure incurred in acquiring the inventories and bringing them to their existing location and condition.

Net realisable value is the estimated selling price in the ordinary course of business, less the estimated costs of completion and selling expenses.

3.5.5. Cash and cash equivalents

Cash and cash equivalents comprise cash in hand and short-term deposits with original maturity of three months or less. Bank overdrafts are shown within borrowings in current liabilities. For the purpose of Cash Flow, Bank overdrafts that are repayable on demand and form an integral part of the Group's cash management are included as components of cash and cash equivalent.

3.6. Liabilities and Provisions

3.6.1. Liabilities

Liabilities classified as current liabilities on the statement of financial position are those which fall due for payment on demand or within one year of the reporting date. Non-current liabilities are those balances payable after one year from the reporting date.

All known liabilities are accounted for in the statement of financial position.

3.6.2. Provisions

A provision is recognised if, as a result of a past event, the Group has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefit will be required to settle the obligation.

Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflect current market assessments of the time value of money and the risks specific to the liability. The unwinding of discount is recognised as a financial cost.

3.7. Employee benefits

3.7.1. Defined contribution plan

A defined contribution plan is a post-employment benefit plan under which an entity pays fixed contributions to a separate entity and will have no legal or constructive obligations to pay further amounts. Obligations for contributions to defined contribution plan, are recognised as an employee benefit expense in income statement in the periods during which services are rendered by employees.

3.7.1.1. Provident fund and trust fund – Sri Lanka

All employees in Sri Lanka are members of the Employees' Provident Fund and Employees' Trust Fund, to which employers contribute 12% - 15% and 3% respectively of such employees' basic or consolidated wage or salary, cost of living and all other allowances.

3.7.1.2. Contribution to Retirement Pension Scheme-Maldives

All Maldivian employees of the Group are members of the Retirement Pension Scheme established in the Maldives. Both employer and employee contribute 7% respectively to this scheme of such employees' pensionable wage. Employers' obligations for contributions to pension scheme is recognised as an employee benefit expense in income statement in the periods during which services are rendered by employees.

3.7.1.3. Employee Provident Fund - India

Group companies in India contribute a sum of 12% of the basic salaries of all employees as provident fund benefits to the Employee Provident Organisation of India.

3.7.1.4. Defined contribution Fund - Oman

Group companies in Oman contribute a sum of 12.5% of the Omani employee's gross salary in accordance with Social Security Insurance Law. Contributions to a defined contribution retirement plan are recognised as an expense in the statement of comprehensive income as incurred.

3.7.2. Defined Benefit Plans – retiring gratuities

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan.

3.7.2.1 Retiring Gratuity – Sri Lanka

The liability recognised in the statement of financial position in respect of defined benefit plans is the present value of the defined benefit obligation at the reporting date. The defined benefit obligation is calculated annually using the Projected Unit Credit method. The present value of the defined benefit obligation is determined by discounting the estimated future cash flows using interest rates that are denominated in the currency in which the benefits will be paid, and that have terms of maturity approximating to the terms of the liability.

The defined benefit plan is valued by a professionally qualified external actuary.

Provision has been made in the financial statements for retiring gratuities from the first year of service for all employees. However, according to the Payment of Gratuity Act No. 12 of 1983, the liability for payment to an employee arises only after the completion of 5 years continued service.

When the benefits of a plan are changed or when a plan is curtailed, the resulting change in benefit that related to past service or the gain or loss on curtailment is recognised immediately in profit or loss. The Group recognises gains and losses on the settlement of defined benefit plans when the settlement occurs.

The liability is not externally funded.

The Group recognises all actuarial gains and losses arising from defined benefit plans in other comprehensive income and all expenses related to defined benefit plans in staff cost in income statement.

3.7.2.2. Defined Benefit Plans – Oman

Gratuity is provided as per the labour law of Sultanate of Oman due to expatriate employees upon termination/completion of employment which is computed based on one month's basic salary for each year of employment.

3.7.2.3. Defined Benefit Plans – India

A liability is provided for employees in India based on a valuation made by an independent actuary using unit credit method for payment of gratuity at the rate of 15/26 times the monthly qualifying salary for each year of service.

3.7.3. Short-term employee benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognised for the amount expected to be paid under short-term cash bonus if the Group has a present legal or constructive obligation to pay this amount as a result of past service rendered by the employee and the obligation can be measured reliably.

3.8. Revenue and Income

Group revenue represents sales to customers outside the Group and excludes value added tax.

3.8.1. SLFRS 15- Revenue from contracts with Customers

SLFRS 15 established a comprehensive framework for determining how much and when revenue is recognised. Revenue is measured based on the consideration specified in a

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contract with a customer. Under SLFRS 15, the Group revenue is recognised when a customer obtains control of the goods or services – Determining the timing of the transfer of control – at a point in time or over time requires judgement.

Under SLFRS 15, revenue is recognised to the extent that it is highly probable that a significant reversal in the amount of cumulative revenue recognition will not occur.

The following specific criteria are used for the purpose of recognition of revenue:

- Apartment revenue is recognised for the rooms occupied on a daily basis. All revenues are recognised on an accrual basis over the time of the duration of the stay of the customer and matched with the related expenditure where they simultaneously receive and consume the benefits of the services rendered.
- Restaurant revenue includes the revenue recognised on the sale food and beverage. All revenue is accounted for at the time of sale.
- Bar revenue is accounted for at the time of sale.
- The spa is operated by a third party and invoices are raised together with the spa bills. Spa related revenue is recognised gross after completion of service / treatments.
- Transfers and excursions include the consideration earned from providing excursions to customers that represents sea plane and boat transfers services provided to customers who enter into contacts with Maldives Hotels. Revenue is recognised for at the time of rendering the service.
- Telephone, laundry, diving and windsurfing represent the services provided to customers which are implied as business practice in the industry. All revenue is recognised at the time of rendering the service.
- Management fee represents the fees for managing hotels that are computed based on the industry norms. All revenue is recognised at the time of provision of management services.

3.8.2. Other income

- Rent and shop income represents the rental income arising from renting space on the hotel premises. All revenue is recognised on a straight-line basis over the term of hire.
- Dividend income is recognised when the right to receive dividends is established, which is generally when the dividend is declared. Dividend income is included under other operating income.

3.9. Expenses

All expenditure incurred in the running of the business and in maintaining the property, plant and equipment in a state of efficiency has been charged to income statement in arriving at the profit for the year.

3.10. Finance Income/ (Expenses)

Finance income comprises interest income on funds invested, including the income from investment categorised under fair value through other comprehensive income (FVOCI). Gains on the disposal of interest generating investment classified under financial assets measured at amortised cost is recognised under finance income.

Interest income is recognised as it accrues in the income statement, using the effective interest method.

Finance expenses comprise interest expenses on borrowings, preference dividends of preference shares classified as debt and impairment losses recognised on financial assets. Borrowing costs that are not directly attributable to the acquisition, construction or production of a qualifying asset are recognised in the income statement using the effective interest method. However, borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset that takes a substantial period of time to get ready for its intended use or sale, are capitalised as part of the asset.

3.11. Income tax expenses

Income tax expense comprises both current and deferred tax. Income tax expense is recognised in income statement except to the extent that it relates to items recognised directly in equity, in which case is recognised in the statement of comprehensive income or statement of changes in equity, in which case it is recognised directly in the respective statements.

The Group determined that interest and penalties related to income taxes, including uncertain tax treatments, do not meet the definition of income taxes, and therefore accounted for them under LKAS 37 Provisions, contingent liabilities and contingent assets.

3.11.1. Current taxes

Current tax is the expected tax payable on the taxable income for the year, using tax rates enacted or substantially enacted at the reporting date and any adjustment to tax payable in respect of previous years.

Taxation for the current and previous periods to the extent unpaid is recognised as a liability in the financial statements. When the amount of taxation already paid in respect of current and prior periods exceeds the amount due for those periods, the excess is recognised as an asset in the financial statements.

3.11.2. Companies incorporated in Sri Lanka

Provision for current tax for companies incorporated in Sri Lanka has been computed in accordance with the Inland Revenue Act No. 24 of 2017 and its amendments thereto.

3.11.3. Companies incorporated outside Sri Lanka

Provision for current tax for companies incorporated outside Sri Lanka have been computed in accordance to the relevant tax statutes as disclosed in Note No. 13.2 to the financial statements.

3.11.4. Deferred tax

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes.

Deferred tax is not recognised for temporary differences arising on initial recognition of goodwill, the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profits and differences relating to investment in subsidiaries and jointly controlled entities to the extent that they probably will not reverse in the foreseeable future.

Deferred tax is measured at the tax rates that are expected to be applied to the temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date.

A deferred tax asset is recognised for unused tax losses and deductible temporary differences to the extent that it is probable that future taxable profits will be available against which they can be utilised. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

Deferred tax assets and liabilities recognised by individual companies within the Group are disclosed separately as assets and liabilities in the Group statement of financial position and are not offset against each other.

3.11.5. Social Security Contribution Levy (SSCL)

Social Security Contribution Levy shall be paid by any person carrying on the business of providing a service, on the liable turnover specified in the second schedule of the Social Security Contribution Levy Act No 25 of 2022 and its amendments thereto, at the rate of 2.5%.

3.11.6. Transfer Pricing

As prescribed in the Inland Revenue Act No. 24 of 2017 and the Gazette notifications issued on transfer pricing, companies in the Group have complied with the arm's length principles relating to transfer pricing.

3.12. Statement of cash flows

The cash flow statement has been prepared using the "Indirect Method" of preparing cash flows in accordance with the Sri Lanka Accounting Standard – LKAS 7 on 'Statement of Cash Flow', whereby operating activities, investing activities and financing activities are separately recognised.

Cash and cash equivalents comprise of short-term, highly liquid investments that are readily convertible to known amounts of cash and are subject to an insignificant risk of changes in value.

3.13. Capital commitments and contingencies

Contingencies are possible assets or obligations that arise from a past event and would be confirmed only on the occurrence or non-occurrence of uncertain future events, which are beyond the Group's control. Capital commitments and contingent liabilities of the Group are disclosed in Note No. 47 and 38 to the financial statements.

3.14. Events occurring after the reporting date.

All material post reporting date events have been considered and where appropriate adjustment to or disclosures have been made in the financial statements.

3.15. Comparative Information

The comparative information has been reclassified wherever necessary to confirm with the current years classification in order to provide a better presentation.

3.16. Earnings per share (EPS)

The Group presents basic and diluted earnings per share (EPS) for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares.

3.17. Segmental Information

An operating segment is a component of the Group that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Group's other

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components. All operating segments' operating results are reviewed regularly by the Group's Joint Deputy Chairperson/Joint Managing Director to make decisions about resources to be allocated to the segment and assess its performance, and for which discrete financial information is available.

3.17.1. Primary and Secondary Segments

The Group is in the hospitality industry and cannot segment its products and services. The Group manages hotels in two principal geographical areas, namely Sri Lanka sector and South Asia & Middle East sector. In presenting segmental information segment revenue and assets are based on the geographical locations of the assets. The primary segment is considered to be the geographical segments based on the Group's management and internal reporting structure.

- i) Segmental information analysed by geographical segments is disclosed in Note No. 06 to the financial statements.
- ii) All transfers made between the hotels in the Group are based on normal market price.

4. DETERMINATION OF FAIR VALUES

A number of the Group's accounting policies and disclosures require the determination of fair values, for both financial and non-financial assets and liabilities.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

When measuring fair value of an asset or liability, the Group uses observable market data as far as possible. Fair values are categorised into different levels in a fair value hierarchy based on the inputs used in the valuation techniques.

Level 1 inputs are unadjusted quoted prices in active markets for identical assets or liabilities.

Level 2 inputs are inputs other than quoted prices included within Level 1 that are observable for the asset or liability either directly (i.e., as prices) or indirectly (i.e. derived from prices).

Level 3 inputs are inputs that are not based on observable market data (unobservable inputs).

If inputs used to measure the fair value of an asset or liability fall into different levels of the fair value hierarchy, then the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

Fair values have been determined for measurement and disclosure purposes based on the following methods. Where applicable further information about the assumptions made in determining fair value is disclosed in the notes specific to that asset or liability.

Fair value of non-financial assets

The fair value used by the Group in the measurement of non-financial assets is based on the presumption that the transaction to sell the asset or transfer the liability takes place either in the principal market for the asset or liability, or in the absence of a principal market, in the most advantageous market that is accessible by the Group for the asset or liability.

The fair value of an asset or a liability is measured using the assumptions that market participants would act in their economic best interest when pricing the asset or liability.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

5. NEW ACCOUNTING STANDARDS ISSUED BUT NOT EFFECTIVE AS AT THE REPORTING DATE

A number of new accounting standards are effective for annual periods beginning after 1st January 2024 and earlier application is permitted. However, the Group has not early adopted the new or amended standards in preparing these financial statements.

• Classification of liabilities as current or non-current (Amendments to LKAS 01)

The amendments, as issued in 2020, aim to clarify the requirements on determining whether a liability is current or non-current, and apply for annual reporting periods beginning on or after 1st January 2023. However, the IASB has subsequently proposed further amendments to LKAS 1 and the deferral of the effective date of the 2020 amendments to no earlier than 1st January 2024. Due to these ongoing developments, the Group is unable to determine the impact of these amendments on the financial statements in the period of initial application. The Group is closely monitoring the developments.

The amendments in classification of liabilities as current or non-current (Amendments to LKAS 01) affect only the presentation of liabilities in the statement of financial position not the amount or timing of recognition of any asset, liability income or expenses or the information that entities disclose about those items.

- **Supplier Finance Arrangements (Amendments to LKAS 7 and SLFRS 7)**

The amendments introduce new disclosures relating to supplier finance arrangements that assist users of the financial statements to assess the effects of these arrangements on an entity's liabilities and cash flows and on an entity's exposure to liquidity risk. The amendments apply for annual periods beginning on or after 1 January 2024.

- **Other Accounting Standards**

The following new and amended accounting standards are not expected to have a material impact on the Group's financial statements.

- **Lease Liability in a Sale and Leaseback (Amendments to SLFRS 16)**

The amendment is intended to improve the requirements for sale and leaseback transactions in SLFRS 16. It does not change the accounting for leases unrelated to sale and leaseback transactions. The amendment applies retrospectively to annual reporting periods beginning on or after 1 January 2024.

- **Lack of Exchangeability (Amendments to LKAS 21)**

The amendments clarify how an entity should assess whether a currency is exchangeable and how it should determine a spot exchange rate when exchangeability is lacking, as well as require the disclosure of information that enables users of financial statements to understand the impact of a currency not being exchangeable. The amendments apply to annual reporting periods beginning on or after 1 January 2025.

- **General requirements for disclosure of sustainability-related financial information (SLFRS S1) and climate-related disclosures (SLFRS S2)**

In June 2023 the International Sustainability Standards Board (ISSB) released its first two sustainability disclosure standards, IFRS S1 and IFRS S2. During the year, CA Sri Lanka issued the localised standards based on these IFRSs designated as SLFRS S1 SLFRS S2. These standards will become effective for the Group from 1 April 2025. No financial impact is expected on the Group except for additional disclosures.

OPERATING SEGMENTS

The Group manages hotels in two principal geographical areas namely, Sri Lanka and South Asia & Middle East. In presenting segmental information, segment revenue and segmental assets are presented based on the geographical location of the assets. The Group's primary segment is considered to be the geographical segments based on the Group's management and internal reporting structure.

The following tables present revenue, profit information, assets and liabilities based on the Group's operating segments.

	Resorts and Hotels				Sri Lankan Sector				South Asia and Middle East				Group	
	2024		2023		2024		2023		2024		2023		2024	
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Geographical segmental analysis of Group revenue and profit														
For the year ended 31 st March														
- External revenue	10,458,584	5,435,272			74,407	85,678			10,532,991	5,520,950			47,258,528	46,059,884
- Intra group revenue	11,848	29,502			1,475,614	1,626,341			1,487,462	1,655,843			1,487,462	1,655,843
Total revenue	10,470,432	5,464,774			1,550,021	1,712,019			12,020,453	7,176,793			48,745,990	47,715,727
Less: Total Intra group revenue	(11,848)	(29,502)			(1,475,614)	(1,626,341)			(1,487,462)	(1,655,843)			(1,487,462)	(1,655,843)
Net segmental revenue (Revenue from external customers)	10,458,584	5,435,272			74,407	85,678			10,532,991	5,520,950			47,258,528	46,059,884
Profit/(loss) from operations	1,136,442	(480,285)			(134,270)	33,067			1,002,172	(447,218)			8,310,261	7,310,886
Finance income	138,757	100,364			60,966	107,390			199,723	207,754			398,872	541,596
Finance cost	(1,331,754)	(911,296)			(491,644)	(869,138)			(1,823,398)	(1,780,434)			(5,666,668)	(5,809,973)
Share of loss of equity accounted investees	(20,410)	(373,163)			(15,904)	(24,396)			(36,314)	(397,559)			(36,314)	(397,559)
Profit/(loss) before taxation	(76,965)	(1,664,380)			(580,852)	(753,077)			(657,817)	(2,417,457)			3,006,151	1,644,950
Income tax expense	(453,556)	(1,089,768)			(172,414)	(198,927)			(625,970)	(1,288,695)			(1,141,464)	(1,598,141)
Profit/(loss) for the year	(530,521)	(2,754,148)			(753,266)	(952,004)			(1,283,787)	(3,706,152)			1,864,687	46,809
Capital expenditure	453,213	247,529			1,038	1,309			454,251	248,838			1,849,801	2,021,215
Depreciation and amortisation	734,474	739,762			2,028	4,167			736,502	743,929			5,125,872	5,385,799
Other non-cash expenses	45,121	14,949			(553)	(37,040)			44,568	(22,091)			106,444	51,377
Geographical segmental analysis of Group assets and liabilities														
As at 31 st March														
Segmental non - current assets	15,994,602	16,278,328			262,350	286,677			16,256,952	16,565,005			82,606,442	91,907,239
Segmental current assets	5,061,706	3,930,089			1,648,601	1,906,459			6,710,307	5,836,548			14,419,950	15,951,285
Equity accounted investees	-	20,410			63,185	72,630			63,185	93,040			63,185	93,040
Total Assets	21,056,308	20,228,827			1,974,136	2,265,766			23,030,444	22,494,593			97,089,577	107,951,564
Segmental non - current liabilities	12,128,977	14,584,555			1,589,368	3,095,104			13,718,345	17,679,659			43,323,944	53,506,289
Segmental current liabilities	7,327,184	5,556,960			2,546,022	2,990,260			9,873,206	8,547,220			22,900,941	24,265,004
Total Liabilities	19,456,161	20,141,515			4,135,390	6,085,364			23,591,551	26,226,879			66,224,885	77,771,293
Net Assets	1,600,147	87,312			(2,161,254)	(3,819,598)			(561,107)	(3,732,286)			30,864,692	30,180,271

7 REVENUE

7.1 Revenue breakdown

	Group		Company	
For the year ended 31st March	2024	2023	2024	2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Total revenue	48,745,990	47,715,727	1,231,849	759,460
Intra group revenue	(1,487,462)	(1,655,843)	-	-
Revenue excluding intra group revenue	47,258,528	46,059,884	1,231,849	759,460
Revenue tax	(1,055,618)	(1,000,584)	(37,657)	(15,020)
Net revenue	46,202,910	45,059,300	1,194,192	744,440

7.2 Revenue streams

The companies in the Group are primarily involved in hoteliering and generate revenue from provision of accommodation, food, beverages and other related services to customers. Other sources of revenue include income from renting the hotel spaces to provide other value added services to customers.

	Group		Company	
For the year ended 31st March	2024	2023	2024	2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Revenue from contracts with customers	46,761,738	45,498,576	1,230,592	758,299
Other revenue				
- Rent and shop income	496,790	561,308	1,257	1,161
	47,258,528	46,059,884	1,231,849	759,460

7.3 Disaggregation of revenue from contracts with customers

7.3.1 Type of service rendered

	Group		Company	
For the year ended 31st March	2024	2023	2024	2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Apartment revenue	20,714,356	21,008,364	337,850	210,225
Restaurant revenue	11,978,393	11,270,303	768,461	478,093
Bar revenue	6,659,619	6,263,547	105,797	58,230
Spa related income	982,636	1,073,663	17,221	11,095
Transfers and excursions income	5,074,997	4,512,860	38	-
Telephone charges income	607	565	-	-
Diving and windsurfing income	1,234,203	1,246,222	-	-
Laundry revenue	42,520	37,373	1,225	656
Management fees income	74,407	85,679	-	-
	46,761,738	45,498,576	1,230,592	758,299
Rent and shop income	496,790	561,308	1,257	1,161
Total	47,258,528	46,059,884	1,231,849	759,460

NOTES TO THE FINANCIAL STATEMENTS

7.3.2 Geographical markets

	Group		Company	
For the year ended 31st March	2024	2023	2024	2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
- Sri Lanka	10,532,991	5,520,950	1,231,849	759,460
- South Asia and Middle East	36,725,537	40,538,934	-	-
	47,258,528	46,059,884	1,231,849	759,460

7.3.3 Timing of revenue recognition

	Group		Company	
For the year ended 31st March	2024	2023	2024	2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
- Revenue recognised at a point in time	26,047,382	24,490,212	892,742	548,074
- Revenue recognised over time	21,211,146	21,569,672	339,107	211,386
	47,258,528	46,059,884	1,231,849	759,460

7.4 Performance obligations

Performance obligations of a hotel entity mainly include promises which are carried out on a contractually agreed upon task.

Performance obligations of the Group could be mainly summarised as detailed below:

Type of service	Nature and timing of the satisfaction of performance obligation	Significant payment terms
Provision of accommodation	The main obligation in the customer contract is to provide rooms for guests accommodation. This is represented in the apartment revenue reported in the financial statements. This revenue category is recognised when the rooms are occupied on a daily basis over the stay. Invoice is raised to customer on completion of the duration of the stay.	Due within 30 days from the date of invoice.
Provision of food and beverages	The following services are rendered under this performance obligation: 1. Provision of Bed and Breakfast (BB), Half Board (HB) and Full Board (FB) meal for guests occupying the hotels which is as per the contract entered into. Revenue is recognised at the time of the food sale and invoice to the customers on the completion of the stay. 2. Provision of extra food and beverages revenue is recognised at the time of sale and invoice to the customers at the time of consumption.	Due within 30 days from the date of invoice. Due at the time of service is rendered.

Type of service	Nature and timing of the satisfaction of performance obligation	Significant payment terms
Transfers and excursions	This obligation is for customers entering into contract with hotels in the Maldives. Sea plane and boat transfers are provided to customers to reach the hotels and back as part of the contracts entered into. Revenue is recognised at the time of provision of service and invoiced to the customers at the time of the completion of the stay.	Due within 30 days from the date of invoice.
Provision of laundry, telephone, water sports , spa services etc.	These services are provided to customers as they are implied as business practices in the industry and create a valid expectation of the customer. Revenue is recognised at the time of provision of service and invoice is raised at the time of service is consumed.	Due at the time of service is rendered.
Management fees	This obligation is for hotels entering in to contracts with hotel management companies. Property management services, handling of employees' related activities, marketing and promotional activities and other related management services are mainly rendered under this performance obligation. Revenue is recognised over the period and invoiced on monthly basis.	Due twice a year on completion of first six months and on completion of year end audit.

Warranties and obligations to refunds and other similar obligations are handled on a case by case basis.

7.5 Allocating the transaction price to performance obligations

In allocating the transaction price to each performance obligation based on the amount that depicts the amount of consideration to which the entity expects to be entitled in exchange for transferring of promised services to the customers.

7.6 Contract Assets and Contract Liabilities

The contract assets primarily relate to the Group's right to consideration for work completed but not billed at the reporting date.

The contract liabilities primarily relate to the advance consideration received from customers for future stay in hotels, for which revenue is recognised over the time.

However companies in the Group recognise considerations or payments received prior to transferring of services to customer against what is rightfully due at the time of transferring the services. These amounts have been recognised as contractual liabilities in the financial statements.

7.6.1 Contract balances

	Notes	Group		Company	
		31.03.2024 Rs. '000	31.03.2023 Rs. '000	31.03.2024 Rs. '000	31.03.2023 Rs. '000
As at					
Trade receivables	24	3,017,520	2,289,251	132,069	83,077
Contract liabilities	7.6.2	2,418,761	2,143,152	19,737	33,664

NOTES TO THE FINANCIAL STATEMENTS

7.6.2 Contract liabilities

	Group		Company	
For the year	2023/2024	2022/2023	2023/2024	2022/2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Contract liabilities balance as at 01st April	2,143,152	2,226,159	33,664	19,687
Revenue recognised in the reporting period that was included in the contract liability balance at the beginning of the period	(1,686,638)	(2,190,639)	(22,649)	(17,897)
Advances received from customers during the reporting period	25,667,053	24,243,039	183,554	286,655
Revenue recognised in the reporting period from performance obligations satisfied during current period	(23,512,050)	(22,410,484)	(174,832)	(254,781)
Write back of unutilised old reservation advances	(14,030)	-	-	-
Effect of movement in exchange rates	(178,726)	275,077	-	-
Contract liabilities balance as at 31st March (Note 35)	2,418,761	2,143,152	19,737	33,664

8 OTHER INCOME (NET)

	Group		Company	
For the year ended 31st March	2024	2023	2024	2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Recreation income	34,769	115,370	137	194
Dividends from Group subsidiaries and equity accounted investees	-	-	254,226	448,472
Dividends from equity securities at FVOCI	1,344	-	-	-
Loss on disposal of property, plant and equipment	(15,722)	(23,715)	(2,298)	(32)
Loss on retirement of assets held for sale	-	(72,269)	-	-
Net foreign exchange gain / (loss)	(224,352)	(153,461)	(111,940)	64,775
Insurance claims received	146,710	184,581	-	-
Sundry income	76,361	141,238	2,363	1,659
Total	19,110	191,744	142,488	515,068

9 OTHER OPERATING EXPENSES - DIRECT

Other operating expenses - direct disclosed in the income statement refers to the cost of material and services other than staff costs, which are directly related to revenue.

10 OTHER OPERATING EXPENSES - INDIRECT

	Group		Company	
For the year ended 31st March	2024	2023	2024	2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Administration and establishment	4,452,706	4,896,333	244,673	143,414
Repairs and maintenance	1,974,423	2,252,282	139,032	74,457
Energy	3,744,816	4,110,334	204,863	131,109
Selling and marketing	2,585,205	1,615,989	73,636	38,083
Management fees	729,740	350,472	37,099	23,708
Total	13,486,890	13,225,410	699,303	410,771

11 PROFIT/(LOSS) FROM OPERATIONS

Profit/(loss) from operations is stated after charging all expenses including the following:

	Group		Company	
For the year ended 31st March	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
Cost of inventories and services	11,831,086	11,371,496	398,923	254,328
Directors fees and emoluments	Nil	Nil	Nil	Nil
Auditors' remuneration				
- KPMG	15,107	16,082	1,386	1,260
- Other auditors	5,178	4,797	-	-
Fees paid to Auditors for non audit services				
- KPMG	3,339	5,077	423	148
- Other auditors	14,588	13,228	-	-
Depreciation of property, plant and equipment	3,797,247	3,890,512	63,038	61,496
Amortisation and impairment				
- Amortisation of right-of-use assets and intangible assets	1,328,625	1,495,287	-	179
- Impairment of investment in subsidiaries and equity accounted investees	-	-	67,820	343,618
Donations	361	2,126	-	673
Defined contribution plan cost - EPF	75,947	60,702	16,337	13,019
Defined contribution plan cost - ETF	24,365	15,701	3,995	3,184
Defined contribution plan cost - India	14,555	15,088	-	-
Defined contribution plan cost - Oman	16,806	22,943	-	-
Defined contribution plan cost - Maldives	89,570	91,308	-	-
Defined benefit plan cost - retirement benefit	83,970	49,353	12,275	7,776
Impairment / (reversal of impairment) of trade receivables	6,709	(90,680)	508	(708)
Impairment / (reversal of impairment) of financial assets	43	(3,280)	(9)	(3,354)
Legal expenses	6,478	3,928	2,056	1,146
Expenses relating to short-term leases and leases of low value assets	439,066	470,828	-	-

12 NET FINANCING EXPENSE

	Group		Company	
For the year ended 31st March	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
Finance income				
Interest income on financial assets measured at amortised cost	398,872	541,596	134,912	60,331
Total finance income	398,872	541,596	134,912	60,331
Finance expenses				
Interest expense on financial liabilities measured at amortised cost	(4,875,190)	(4,834,909)	(363,326)	(299,770)
Interest expense on lease liabilities	(791,478)	(975,064)	-	-
Total finance expenses	(5,666,668)	(5,809,973)	(363,326)	(299,770)
Net Finance expense	(5,267,796)	(5,268,377)	(228,414)	(239,439)

NOTES TO THE FINANCIAL STATEMENTS



13 INCOME TAX EXPENSE

The income tax provision of Aitken Spence Hotel Holding PLC, its subsidiaries and equity accounted investees which are resident in Sri Lanka is calculated in accordance with the Inland Revenue Act No. 24 of 2017 and its amendments thereto.

Aitken Spence Hotel Holdings PLC, being a Company engaged in the promotion of tourism is liable for tax at a standard rate of 30% in terms of the Inland Revenue Act No. 24 of 2017 and its amendments thereto.

Income tax expense for the year includes, Advance Income Tax (AIT) / Withholding Tax (WHT) of 15% deducted on the dividend distributions made by resident companies of the Group from their taxable profits.

The Group has adjusted any adjustments relating to income tax payable or receivable balances in respect of previous years.

The taxation details of the other companies in the Group are disclosed in Note 13.1, 13.2 and 13.3.

13.1 Sri Lankan operations

Companies incorporated in Sri Lanka and operating outside Sri Lanka

The business profits and income of Aitken Spence Hotel Managements Asia Pvt Ltd and Aitken Spence Hotels International (Pvt) Ltd are exempt from income tax in terms of the Inland Revenue Act No. 24 of 2017 and its amendments thereto as service rendered in or outside Sri Lanka to any person to be utilised outside Sri Lanka, where the payment for such services is received in foreign currency through a bank. Management fee income and dividend income received from Republic of Maldives is subject to 10% withholding tax at source as per the Income Tax Act of Republic of Maldives and the profits earned by the Company in Oman is taxed at 15%.

Companies liable to income tax at standard rate

The business profits and income of Hethersett Hotels Ltd, Aitken Spence Hotels Ltd, Kandalama Hotels (Pvt) Ltd, and Turyaa (Pvt) Ltd, being companies engaged in the promotion of tourism are liable for tax at a standard rate of 30% in terms of the Inland Revenue Act No. 24 of 2017 and its amendments thereto.

The business profits and income of Neptune Ayurvedic Village (Pvt) Ltd arising from leasing out land, is liable for tax at a standard rate of 30% in terms of the Inland Revenue Act No. 24 of 2017 and its amendments thereto.

Companies exempt from income tax

The business profits of Ahungalla Resorts Ltd is exempt from income tax under section 17A of Inland Revenue (amendment) Act No. 8 of 2012 for a period of 12 years ending 2029/30.

13.2 Overseas operations

Companies incorporated and operating outside Sri Lanka are liable for income tax in accordance with the provisions of the foreign jurisdictions applicable to overseas companies.

The business profits of Jetan Travel Services Company Pvt Ltd, Cowrie Investment Pvt Ltd, ADS Resorts Pvt Ltd, Unique Resorts Pvt Ltd, Ace Resorts Pvt Ltd, Crest Star (BVI) Ltd, PR Holiday Homes Pvt Ltd, Perumbalam Resorts Pvt Ltd, Aitken Spence Hotel Services Ltd, Aitken Spence Hotel Managements (South India) Pvt Ltd and Aitken Spence Resorts [Middle East] LLC, being non resident companies in Sri Lanka and not deriving Income from Sri Lanka are out of the Scope of Income Taxation in Sri Lanka.

The business profits of Jetan Travel Services Company Pvt Ltd, Cowrie Investment Pvt Ltd, ADS Resorts Pvt Ltd, Ace Resorts Pvt Ltd and Unique Resorts Pvt Ltd which are incorporated in the Republic of Maldives are liable for corporate tax in Maldives at a rate of 15% as per Income Tax Act of Republic of Maldives.

Crest Star (BVI) Ltd, a company incorporated in the British Virgin Islands is exempt from Income Tax.

The business profits of PR Holiday Homes Pvt Ltd, Perumbalam Resorts Pvt Ltd and Aitken Spence Hotel Services Pvt Ltd; being Companies incorporated in India is liable for tax at a rate of 25.17% in India, when the Company commences commercial operations.

The business profits of Aitken Spence Hotel Managements (South India) Pvt Ltd, being a Companies incorporated in India is liable to an effective income tax rate of 25.17% as per the Indian tax law.

The business profits of Aitken Spence Resorts (Middle East) LLC, being a Company incorporated in Oman is liable for corporate tax rate of 15% as per the Oman tax law.

13.3 Associate and joint venture companies

The business profits and income of Browns Beach Hotels PLC arising from leasing of land to Negombo Beach Resorts (Pvt) Ltd to construct and operate a Hotel is liable for income tax at a standard rate of 30% in terms of the Inland Revenue Act No. 24 of 2017 and its amendments thereto.

The business profits of Negombo Beach Resorts (Pvt) Ltd, is exempt from income tax under section 17 A of Inland Revenue (amendment) Act No. 08 of 2012 for a period of 12 years ending 2029/30.

The business profits and income of Amethyst Leisure Ltd, is liable for income tax at a standard rate of 30% in terms of the Inland Revenue Act No. 24 of 2017 and its amendments thereto.

The business profits and income of Paradise Resorts Passikudah (Pvt) Ltd, being a Company engaged in the promotion of tourism is liable to income tax at a standard rate of 30% in terms of the Inland Revenue Act No. 24 of 2017 and its amendments thereto.

The business profits and income of Aitken Spence Hotel Managements (Pvt) Ltd, arising from management of Sri Lankan hotels and exporting of goods to hotels in Maldives, is liable for income tax at a standard rate of 30% in terms of the Inland Revenue Act No. 24 of 2017 and its amendments thereto.

The business profits and income of Aitken Spence Resources (Pvt) Ltd, being a company involved in the business as agents for recruitment and supply of human resources for employment in abroad, is liable for income tax at a standard rate of 30% in terms of the Inland Revenue Act No. 24 of 2017 and its amendments thereto.

13.4 Deferred tax expense

Deferred tax expense on companies resident in Sri Lanka are calculated based on the tax rates specified in the Inland Revenue Act No. 24 of 2017 and its amendments thereto.

The deferred tax expense associated with the revaluation of non-depreciable assets, such as land, takes into account the tax implications that would arise upon the sale of those assets. Furthermore, the Group recognises deferred tax expense for the taxes that are applicable to the undistributed profits of its subsidiary companies.

The Group applied Deferred Tax related to Assets and Liabilities arising from a Single Transaction (Amendments to LKAS 12) from 1 April 2023. Following the amendments, the Group has recognised a separate deferred tax asset in relation to its lease liabilities and a deferred tax liability in relation to its right-of-use assets as disclosed in Note 13.10 and 33.2.

IFRIC interpretation 23 - uncertainty over income tax treatment

IFRIC 23 "Uncertainty over income tax treatments" provides guidance on determining taxable profits, tax bases, unused tax losses, unused tax credits and tax rates, when there is an uncertainty over the income tax treatment. The Group has applied significant judgement in identifying uncertainties over income tax treatments for the year and the Group has determined that there were no uncertainties in tax treatments that has an impact on the income tax expense or warrants any disclosure.

13.5 Tax losses carried forward

As per section 19 of the Inland Revenue Act No. 24 of 2017 and amendments thereto, any unclaimed tax losses incurred during the year from business or investment could be carried forward for further six years. Companies in the Group have evaluated the recoverability of unclaimed losses through taxable profit forecasts and deferred tax assets have been recognised accordingly. Deferred tax assets recognised on tax losses would be reviewed at each reporting date based on the taxable profit forecasts and would be reduced to the extent of recoverable amount.

13.6 In determining the arm's length price, the Group has complied with the transfer pricing regulations prescribed in the Inland Revenue Act and the Gazette notifications issued on transfer pricing.

NOTES TO THE FINANCIAL STATEMENTS

13.7 Tax recognised in income statement

		Group		Company	
For the year ended 31st March		2024	2023	2024	2023
	Notes	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Current tax expense					
Tax on current year profits	13.9	756,994	444,192	-	-
Changes in estimates related to prior years		5,652	7,592	4,687	(68)
		762,646	451,784	4,687	(68)
Deferred tax expense/(reversal)	13.10				
Impact of changes in tax rates	13.7.1	-	993,959	-	(8,445)
Origination/(reversal) of temporary differences		378,818	152,398	(78,057)	5,930
		378,818	1,146,357	(78,057)	(2,515)
Total		1,141,464	1,598,141	(73,370)	(2,583)
Effective tax rate (including deferred tax)		38.0%	97.2%	23.7%	1.0%
Effective tax rate (excluding deferred tax)		25.4%	27.5%	0.0%	0.0%

Income tax expense excludes, the Group's share of tax expense of the equity-accounted investees recognised in profit/(loss) of Rs. 3.0 Mn (2022/2023 - Rs. 123.7 Mn) which is included in 'share of profit of equity-accounted investees (net of tax)'.

13.7.1 Impact of changes in tax rates

		Group		Company	
For the year ended 31st March		2024	2023	2024	2023
		Rs. '000	Rs. '000	Rs. '000	Rs. '000
Related to deferred tax assets/liabilities at the beginning of the year		-	976,741	-	(15,220)
Related origination of temporary differences during the year		-	17,218	-	6,775
		-	993,959	-	(8,445)

13.8 Tax recognised in other comprehensive income

13.8.1 Group

For the year ended 31st March	2024			2023		
	Before Tax	Tax reversal	Net of Tax	Before Tax	Tax (expense)/ reversal	Net of Tax
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Items that will never be reclassified to profit or loss						
Revaluation of property, plant and equipment	-	-	-	818,850	(710,167)	108,683
Share of other comprehensive income of equity accounted investees (net of tax)	6,459	-	6,459	29,889	-	29,889
Actuarial losses arising from retirement benefit obligations	(19,927)	6,405	(13,522)	(8,597)	2,236	(6,361)
	(13,468)	6,405	(7,063)	840,142	(707,931)	132,211
Items that are or may be reclassified to profit or loss						
Foreign currency translation differences of foreign operations	(2,626,011)	-	(2,626,011)	2,636,086	-	2,636,086
Net movement in cash flow hedge	1,501,550	-	1,501,550	(417,788)	-	(417,788)
	(1,124,461)	-	(1,124,461)	2,218,298	-	2,218,298
Total	(1,137,929)	6,405	(1,131,524)	3,058,440	(707,931)	2,350,509

Tax recognised in other comprehensive income excludes, the Group's share of tax expense of the equity-accounted investees recognised in the other comprehensive income of Rs. 2.0 Mn (2022/2023 - Rs. 5.6 Mn) which has been included in 'share of other comprehensive income of equity-accounted investees (net of tax)'.

13.8.2 Company

For the year ended 31st March	2024			2023		
	Before Tax	Tax reversal	Net of Tax	Before Tax	Tax (expense)/ reversal	Net of Tax
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Items that will never be reclassified to profit or loss						
Revaluation of property, plant and equipment	-	-	-	133,200	(149,984)	(16,784)
Actuarial losses arising from retirement benefit obligations	(6,752)	2,026	(4,726)	(4,177)	1,253	(2,924)
Total	(6,752)	2,026	(4,726)	129,023	(148,731)	(19,708)

NOTES TO THE FINANCIAL STATEMENTS

13.9 Reconciliation of accounting profit and current year tax

	Group		Company	
For the year ended 31st March	2024	2023	2024	2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Profit/ (loss) before tax	3,006,151	1,644,950	(377,192)	(253,485)
Consolidated adjustments	36,314	397,559	-	-
Profit/(loss) after adjustments	3,042,465	2,042,509	(377,192)	(253,485)
Income not liable for income tax	(184,064)	39,098	(22,762)	(22,965)
Effect of revenue subject to tax at source	1,710,446	1,840,448	-	-
Adjusted profit/(loss)	4,568,847	3,922,055	(399,954)	(276,450)
Non - taxable receipts / gains	-	-	(254,226)	-
Aggregate disallowed expenses	4,338,907	6,191,801	218,003	426,471
Capital allowances	(4,541,156)	(4,985,340)	(64,284)	(60,745)
Aggregate allowable deductions	(1,168,298)	(1,243,146)	(15,044)	(94,101)
Utilisation of tax losses	(3,197,113)	(4,199,005)	(112,145)	(485,784)
Current year tax losses not utilised	4,416,029	3,810,884	627,650	490,609
Taxable income	4,417,216	3,497,249	-	-
Income tax charged at:				
- Standard rate 30%	358,677	27,068	-	-
- Standard rate 24%	-	2,700	-	-
- Concessionary rates	-	50,057	-	-
- Varying rates on off - shore profits	398,317	364,367	-	-
Tax on current year profits	756,994	444,192	-	-
Changes in estimates related to prior years	5,652	7,592	4,687	(68)
	762,646	451,784	4,687	(68)

13.10 Deferred tax expense / (reversal)

	Group		Company	
For the year ended 31st March	2024	2023	2024	2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Origination / (reversal) of temporary differences arising from:				
Property, plant and equipment	262,472	1,543,325	(302)	113,393
Defined benefit obligations	(7,155)	(27,255)	(2,024)	(7,588)
Expected credit losses	5,275	4,485	(150)	514
Tax losses carried forward	163,446	(360,221)	(33,105)	(90,369)
Right-of-use assets	(1,131)	5,052	-	-
Unrealised exchange gain/(loss)	(50,808)	(38,209)	(42,476)	(18,465)
Lease liabilities	445	(4,378)	-	-
Undistributed profits of consolidated entities	6,274	23,558	-	-
Total	378,818	1,146,357	(78,057)	(2,515)

13.11 Tax losses carried forward

	Group		Company	
For the year ended 31st March	2024	2023	2024	2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Tax losses brought forward	15,305,036	14,532,847	1,494,251	1,487,014
Adjustments to prior year tax losses brought forward	(727,347)	1,357,337	75,425	2,412
Tax losses arising during the year	4,416,029	3,810,884	627,650	490,609
Utilisation of tax losses	(3,197,113)	(4,199,005)	(112,145)	(485,784)
Write off of unclaimable tax losses	(413,456)	(197,027)	-	-
Total	15,383,149	15,305,036	2,085,181	1,494,251

Group tax expense is based on the taxable profit of individual companies within the Group.

As specified above, some companies in the Group have carried forward tax losses which are available to be set off against the future tax profits of those companies. Deferred tax assets not accounted in respect of these losses amounted to Rs. 2,093,749,822 (2022/2023 - Rs. 1,562,835,914) since utilisation against future taxable profits are not probable. For Aitken Spence Hotel Holdings PLC, deferred tax assets unaccounted on losses as at 31.03.2024 amounted to Rs. 353,079,564 (2022/2023 - Rs. 208,906,556).

14 EARNINGS/(LOSS) PER ORDINARY SHARE

Basic earnings/(loss) per share is calculated by dividing the net profit/(loss) for the year attributable to the ordinary shareholders by the weighted average number of ordinary shares outstanding during the year.

The following reflects the net profit/(loss) and share data used in the basic earnings/(loss) per share computation.

	Group		Company	
For the year ended 31st March	2024	2023	2024	2023
Amounts used as numerator				
Profit /(loss) for the year attributable to equity holders of the Company (Rs.)	1,140,112,345	(287,893,355)	(303,821,973)	(250,902,003)
Dividends on preference shares (Rs.)	(14,850,000)	(29,700,000)	(14,850,000)	(29,700,000)
Net profit/(loss) for the year attributable to ordinary shareholders of the Company (Rs.)	1,125,262,345	(317,593,355)	(318,671,973)	(280,602,003)
Number of ordinary shares used as the denominator				
Weighted Average number of ordinary shares in issue	336,290,010	336,290,010	336,290,010	336,290,010
Earnings/(loss) per ordinary share - (Rs.)	3.35	(0.94)	(0.95)	(0.83)

There were no potentially dilutive ordinary shares outstanding at any time during the year, hence the dilutive earnings/(loss) per share is equal to the basic earnings/(loss) per share.

15 DIVIDENDS

	Company	
For the year ended 31st March	2024	2023
	Rs. '000	Rs. '000
Preference dividend paid for 2022/2023 (2023 - paid for 2020/2021 and 2021/2022)	14,850	29,700
Final ordinary dividend paid	-	-
Final ordinary dividends proposed	-	-
Preference dividends proposed	14,850	14,850
Ordinary Dividend per Share - (Rs.)	-	-

NOTES TO THE FINANCIAL STATEMENTS

16 PROPERTY, PLANT AND EQUIPMENT

16.1 Group

	Land (Freehold)	Buildings (Freehold)	Plant Machinery and Equipment	Motor Vehicles	Furniture and Fittings	Soft furnishing, Cutlery, Crocery and Glassware	Capital work-in progress	Total 2023/2024	Total 2022/2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Cost or revaluation									
Balance as at 01st April	12,195,395	70,965,131	14,778,647	1,062,924	5,714,427	3,007,497	290,607	108,014,628	96,803,729
Surplus on revaluation	-	-	-	-	-	-	-	-	818,850
Additions during the year	-	406,938	470,039	65,808	106,298	203,117	586,036	1,838,236	2,019,885
Transfers during the year	-	480,055	130,013	-	5,285	1,581	(616,934)	-	-
Disposal during the year	-	(3,936)	(128,593)	(126,615)	(10,988)	(79,246)	-	(349,378)	(269,034)
Reclassified to intangible assets	-	-	(10,650)	-	-	-	-	(10,650)	-
Effect of movement in exchange rates	(660,345)	(4,691,605)	(895,272)	(75,067)	(331,428)	(194,515)	(26,882)	(6,875,114)	8,641,198
Balance as at 31st March	11,535,050	67,156,583	14,344,184	927,050	5,483,594	2,938,434	232,827	102,617,722	108,014,628
Accumulated depreciation/ impairment									
Balance as at 01st April	-	18,776,121	10,150,876	829,761	3,450,158	2,162,844	-	35,369,760	29,439,940
Charge for the year	-	1,928,310	1,045,769	93,941	450,142	279,085	-	3,797,247	3,890,512
Disposal during the year	-	(1,638)	(126,481)	(125,930)	(9,857)	(66,564)	-	(330,470)	(245,260)
Reclassified to intangible assets	-	-	(10,650)	-	-	-	-	(10,650)	-
Effect of movement in exchange rates	-	(1,327,523)	(638,716)	(61,466)	(206,191)	(157,697)	-	(2,391,593)	2,284,568
Balance as at 31st March	-	19,375,270	10,420,798	736,306	3,684,252	2,217,668	-	36,434,294	35,369,760
Carrying value									
As at 31.03.2024	11,535,050	47,781,313	3,923,386	190,744	1,799,342	720,766	232,827	66,183,428	
As at 31.03.2023	12,195,395	52,189,010	4,627,771	233,163	2,264,269	844,653	290,607		72,644,868

16.1.1 The gross carrying amount of fully depreciated property, plant and equipment that are still in use for the Group as at 31st March 2024 was Rs. 10,790,774,347/- (as at 31.03.2023 - Rs.10,228,814,007/-).

16.1.2 The exchange difference has arisen as a result of the translation of property, plant and equipment of foreign entities which are accounted for in United States Dollars, Oman Riyal, Indian Rupees and translated to the reporting currency at the closing rate.

16.1.3 The value of the property, plant and equipment pledged as security against borrowings are disclosed in Note 31.

16.1.4 Capital work in progress represents the amount of expenditure recognised under property, plant and equipment during the construction of capital assets.

16.1.5 In compliance with the accounting policy, land owned by Group companies are revalued by independent professional valuers at least once in every five years unless there is an indication of a significant change in the market rates. During the last financial year, lands of the Group have been revalued and details of the revalued lands are given in the Note 16.3.2 to the financial statements. Tax impact on revaluation of land is given in note 13 to the financial statements.

16.1.6 On re-assessment of the fair value of the Group's assets, it has been identified that there is no impairment of property plant and equipment which requires provision in the financial statements

16.1.7 There were no borrowing costs capitalised on interest-bearing liabilities - loans and interest - bearing liabilities - leases by the Group on qualifying assets during the financial years 2023/2024 and 2022/2023.

16.2 Company

	Land (Freehold)	Buildings (Freehold)	Plant Machinery and Equipment	Motor Vehicles	Furniture and Fittings	Soft furnishing, Cutlery, Crockery and Glassware	Capital work-in progress	Total 2023/2024	Total 2022/2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Cost or revaluation									
Balance as at 01st April	843,500	1,103,491	689,171	47	269,411	116,700	-	3,022,320	2,788,554
Surplus on revaluation	-	-	-	-	-	-	-	-	133,200
Additions during the year	-	59,935	31,711	-	2,451	19,424	154,900	268,421	101,579
Disposal during the year	-	(3,936)	(34)	-	-	(1,377)	-	(5,347)	(1,013)
Balance as at 31st March	843,500	1,159,490	720,848	47	271,862	134,747	154,900	3,285,394	3,022,320
Accumulated depreciation/impairment									
Balance as at 01st April	-	453,731	504,615	47	244,282	111,516	-	1,314,191	1,253,676
Charge for the year	-	20,747	32,389	-	5,696	4,206	-	63,038	61,496
Disposal during the year	-	(1,638)	(34)	-	-	(1,377)	-	(3,049)	(981)
Balance as at 31st March	-	472,840	536,970	47	249,978	114,345	-	1,374,180	1,314,191
Carrying value									
As at 31.03.2024	843,500	686,650	183,878	-	21,884	20,402	154,900	1,911,214	
As at 31.03.2023	843,500	649,760	184,556	-	25,129	5,184	-		1,708,129

16.2.1 The gross carrying amount of fully depreciated property plant and equipment that is still in use for the Company as at 31st March 2024 was Rs. 820,622,704/- (as at 31.03.2023 - Rs. 778,985,478/-)

16.2.2 The value of the property, plant and equipment pledged as security against borrowings are disclosed in Note 31.

16.3 Freehold land

16.3.1 Total carrying amount of land

	Notes	31.03.2024 Rs. '000	Group 31.03.2023 Rs. '000
As at			
Land carried at revalued amount	16.3.2	11,486,928	12,147,273
Land carried at cost (fair value)	16.3.3	48,122	48,122
		11,535,050	12,195,395

NOTES TO THE FINANCIAL STATEMENTS

16.3.2 Land carried at revalued amounts

Company name	Location	Last revaluation date	Estimated price per perch (Significant unobservable inputs)	Land extent	Carrying amount as at 31.03.2024	Revaluation surplus	Carrying amount at cost
			Rs.		Rs. '000	Rs. '000	Rs. '000
Aitken Spence Hotel Holdings PLC (i) *	"Heritance Ahungalla"						
	Galle Road, Ahungalla	24.12.2022	475,000	11 A 3 R 34.02 P	825,000	806,798	18,202
	Galle Road, Ahungalla	24.12.2022	475,000	0 A 0 R 39.26 P	18,500	13,293	5,207
Heritance (Pvt) Ltd (i) *	Moragalla, Beruwala	13.12.2022	375,000	5 A 3 R 6.80 P	347,500	336,420	11,080
Meeraladuwa (Pvt) Ltd (i) *	Meeraladuwa Island	27.12.2022	43,500 - 86,500	29 A 2 R 9.00 P	226,350	126,088	100,262
	Balapitiya						
Kandalama Hotels (Pvt) Ltd (i) *	Kandalama , Dambulla	18.10.2022	370	169 A 2 R 22.00 P	10,000	2,616	7,384
Neptune Ayurvedic Village (Pvt) Ltd (i) *	Ayurvedic Village, Moragalla, Beruwala	13.12.2022	252,000	0 A 0 R 19.30 P	4,860	797	4,063
Tunyaa (Pvt) Ltd (i) *	418, Parallel Road	13.12.2022	550,000	5 A 1R 37.90 P	440,000	420,235	19,765
	Kudawaskaduwa, Kalutara						
	49, Sea Beach Road, Kalutara	13.12.2022	700,000	0 A 1R 30.32 P	39,775	38,287	1,488
	Kudawaskaduwa, Kalutara	13.12.2022	550,000	1 A 3 R 33.20 P	172,000	115,221	56,779
	Kudawaskaduwa, Kalutara	13.12.2022	550,000	0 A 1 R 34.30 P	40,000	30,826	9,174
Ahungalla Resorts Ltd (i) *	Galle Road, Ahungalla	24.12.2022	523,500	10 A 2 R 39.29 P	900,000	170,000	730,000
	Galle Road Ahungalla	24.12.2022	600,000	2 A 0 R 35.92 P	213,500	43,623	169,877
Aitken Spence Hotel Managements (South India) Pvt Ltd (iii) *	144/7, Rajiv Gandhi Salai, , Perungudi, Chennai, India	11.11.2022	13,000,000	0 A 3 R 15.14 P	1,707,891	839,700	868,191
P.R. Holiday Homes (Pvt) Ltd (ii)	Cochin - Kerala, India	22.01.2022	172,000	14 A 0 R 7.52 P	387,378	188,668	198,710
Perumbalam Resorts Pvt Ltd (ii)	Cochin - Kerala	23.01.2022	171,000	4 A 0 R 9.00 P	111,065	96,852	14,213
Aitken Spence Resorts (Middle East) LLC (iv)	Al Hamriya, Sultanate of Oman	15.02.2022	7,500,000	5 A 0 R 8.00 P	6,043,109	785,966	5,257,143
Total					11,486,928	4,015,390	7,471,538

The above lands have been revalued on the basis of current market value by independent, qualified valuers who have recent experience in the location and category of property being valued.

- (i) Valuation of the land was carried out by Mr.K. C. B. Condegama. A.I.V. [Sri Lanka]
- (ii) Valuation of the land carried out by Mr. T.T. Kripananda Singh B.S.C. (Eng.) MICA, F.I.E., F.I.V of Messers N. Raj Kumar and Associates [India]
- (iii) Valuation of the land carried out by Messers CBRE South Asia Private Limited [India]
- (iv) Valuation of the land carried out by Mr. Ishan Tulsian, F.C.A, A.C.S. LL.B. Registered Valuer SFA (IBBI), Msc. In Applied Finance (Singapore), DIIT (ICAI), B.Com (H)/for R. Tulsian Global [Oman]

* All the lands except P.R. Holiday Homes (Pvt) Ltd, Perumbalam Resorts Pvt Ltd and Aitken Spence Resorts (Middle East) LLC were revalued during the last financial year ended 31st March 2023. The lands belonging to those three companies were revalued during the financial year ended 31st March 2022.

16.3.3 Land carried at cost (fair value)

Company	Location	Acquisition date	Land extent	Carrying amount as at 31.03.2024	Carrying amount as at 31.03.2023
				Rs. '000	Rs. '000
Kandalama Hotels (Pvt) Ltd	Kandalama ,Dambulla	17.11.2022	13A 3R 38.00P	48,122	48,122
				48,122	48,122

17 RIGHT - OF - USE ASSETS

17.1 Movement during the year

	Group			
	Right-of-use Land	Right-of-use buildings	Total 2023/2024	Total 2022/2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Cost or valuation				
Balance as at 01st April	28,566,333	11,975	28,578,308	25,683,092
Impact on exchange rate fluctuation	(2,324,179)	-	(2,324,179)	2,895,216
Balance as at 31st March	26,242,154	11,975	26,254,129	28,578,308
Accumulated amortisation/impairment				
Balance as at 01st April	11,679,662	9,934	11,689,596	9,303,764
Charge for the year	1,300,008	2,041	1,302,049	1,465,928
Impact on exchange rate fluctuation	(1,020,198)	-	(1,020,198)	919,904
Balance as at 31st March	11,959,472	11,975	11,971,447	11,689,596
Carrying value				
As at 31 March 2024	14,282,682	-	14,282,682	
As at 31 March 2023	16,886,671	2,041		16,888,712

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18 INTANGIBLE ASSETS

18.1 Group

	Goodwill	Computer Software	Total 2023/2024	Total 2022/2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Cost or Valuation				
Balance as at 01st April	850,050	317,936	1,167,986	1,053,481
Additions during the year	-	11,565	11,565	1,330
Reclassified from property, plant and equipment	-	10,650	10,650	-
Effect of movement in exchange rates	(67,750)	(16,032)	(83,782)	113,175
Balance as at 31st March	782,300	324,119	1,106,419	1,167,986
Accumulated amortisation / impairment				
Balance as at 01st April	-	278,937	278,937	232,070
Effect of movement in exchange rates	-	(14,332)	(14,332)	17,508
Reclassified from property, plant and equipment	-	10,650	10,650	-
Charge for the year	-	26,576	26,576	29,359
Balance as at 31st March	-	301,831	301,831	278,937
Carrying value				
As at 31.03.2024	782,300	22,288	804,588	
As at 31.03.2023	850,050	38,999		889,049

The gross carrying amount of fully amortised intangible assets that are still in use for the Group as at 31st March 2024 was Rs. 192,543,704/- (as at 31.03.2023 - Rs. 188,133,953/-).

There were no intangible assets pledged by the Group as security for facilities obtained from banks as at 31.03.2024. (2022/2023- nil)

Net carrying value of goodwill

This represents the goodwill arisen on business combination on acquisition of Alfalaj hotel by Aitken Spence Resorts (Middle East) LLC during 2015/16.

The recoverable amount of goodwill is determined based on value-in-use calculations. The value in use calculation is based on a discounted cash flow model. The cash flows are derived from the budget and do not include restructuring activities that the Group is not yet committed to or significant future investments that will enhance the asset's performance of the cash generating unit being tested. There is a considerable degree of judgement involved in preparing forecasts and assumptions including discount rates.

The key assumptions used are given below.

Business growth	-	Based on the long term average growth rate for each business unit. The volume growth has been budgeted on a reasonable and realistic basis for a period of five years. The weighted average growth rate used is consistent with the forecast included in industry reports. (2023/2024 - 15%, 2022/2023 - 17.21%)
Inflation	-	Based on current inflation rate.
Discount rate	-	Risk free rate adjusted for the specific risk relating to the industry. [Pre-tax rate] (2023/2024 - 9.13%, 2022/2023 - 9.24%)
Margin	-	Based on past performance and budgeted expectations

The recoverable amount is most sensitive to the discount rate used for the discounted cash flow model as well as the expected future cash inflows and the growth rate used for extrapolation purposes. Therefore, Management has identified that a reasonable possible change in the two key assumptions namely, business growth rate and discount rate could cause the carrying amount to exceed the recoverable amount. Given below is the change required individually for each key assumptions, for the carrying amount to equate the recoverable amount.

- Business growth rate : decreased by 4.5%
- Discount rate : increased by 4.4%

18.2 Company

	Computer Software	Total 2023/2024	Total 2022/2023
	Rs. '000	Rs. '000	Rs. '000
Cost or Valuation			
Balance as at 01st April	13,101	13,101	13,101
Additions during the year	-	-	-
Balance as at 31st March	13,101	13,101	13,101
Accumulated amortisation / impairment			
Balance as at 01st April	13,101	13,101	12,922
Charge for the year	-	-	179
Balance as at 31st March	13,101	13,101	13,101
Carrying value			
As at 31.03.2024	-	-	-
As at 31.03.2023	-	-	-

The gross carrying amount of fully amortised intangible assets that are still in use for the Company as at 31st March 2024 was Rs. 13,100,576/- (as at 31.03.2023 - Rs. 13,100,576/-).

There were no intangible assets pledged by the Company as security for facilities obtained from banks as at 31.03.2024. (2022/2023- nil)

NOTES TO THE FINANCIAL STATEMENTS

19 INVESTMENT IN SUBSIDIARIES

19.1 Investments in subsidiaries – unquoted

	Country of incorporation	Number of Shares	Company Holding	Group Holding	31.03.2024 Rs. '000	31.03.2023 Rs. '000
a) Equity shares						
Aitken Spence Hotels Ltd	Sri Lanka	14,701,904	98.01%	98.01%	149,750	149,750
Crest Star (BVI) Ltd (Ordinary Shares of US\$ 1 each)	British Virgin Island	3,415,000	100.00%	100.00%	185,628	185,628
Cowrie Investment Pvt Ltd (Ordinary Shares of Mrf 1000 each)	Maldives	52,740	60.00%	60.00%	321,733	321,733
Aitken Spence Resorts (Middle East) LLC (Ordinary Shares of OMR 1 each)	Oman	01	0.00%	51.00%	-	-
Hethersett Hotels Ltd	Sri Lanka	24,542,000	94.44%	94.44%	161,421	161,421
Neptune Ayurvedic Village (Pvt) Ltd	Sri Lanka	500,000	100.00%	100.00%	5,000	5,000
Aitken Spence Hotels International (Pvt) Ltd	Sri Lanka	10,744,582	41.00%	51.00%	181,024	181,024
Aitken Spence Hotel Managements Asia (Pvt) Ltd	Sri Lanka	5,125,500	51.00%	51.00%	51,255	51,255
Aitken Spence Hotel Managements (South India) Ltd	India	29,869,000	16.60%	59.13%	744,325	744,325
Turyaa (Pvt) Ltd	Sri Lanka	219,812,321	100.00%	100.00%	2,802,879	1,583,679
Turyaa Resorts (Pvt) Ltd (Note 19.3)	Sri Lanka	-	100.00%	100.00%	-	1,219,200
Ahungalla Resorts Ltd	Sri Lanka	78,369,024	60.00%	60.00%	2,926,326	2,926,326
Meeraladuwa (Pvt) Ltd	Sri Lanka	20,227,801	100.00%	100.00%	202,278	202,278
ADS Resorts Pvt Ltd	Maldives	01	0.00%	51.00%	-	-
Unique Resorts Pvt Ltd	Maldives	01	0.00%	51.00%	-	-
Nilaveli Resorts (Pvt) Ltd	Sri Lanka	01	100.00%	100.00%	-	-
Nilaveli Holidays (Pvt) Ltd	Sri Lanka	01	100.00%	100.00%	-	-
The Galle Heritage (Pvt) Ltd	Sri Lanka	01	100.00%	100.00%	-	-
					7,731,619	7,731,619
Provision for impairment of investment in Turyaa (Pvt) Ltd*					(313,158)	(260,840)
Net carrying amount of investments in subsidiaries – unquoted as at 31st March					7,418,461	7,470,779

* Impairment to the carrying value of investment in Turyaa (Pvt) Ltd was recognised based on the discounted future cash flows to the extent of the non recoverability amount of the investment.

The effects of changes in current economic conditions referring to macro environmental factors have been taken into effect in the cashflow forecasts and the discount rate used for the calculation. There is a considerable degree of judgement involved in preparing forecasts and assumptions including discount rates.

The key assumptions used for the investment impairment of the Company are given below.

- Discount factor : 11.8% to 17.3%
- Inflation : Based on the current inflation Rate
- Forecasted terminal growth rate for future period : 2%
- Margin : Based on past performance and budgeted expectations

b) Preference shares

Aitken Spence Hotels Ltd has redeemed the preference shares invested by Aitken Spence Hotel Holdings PLC during the last financial year ended 31st March 2023. (40,000,000 shares were redeemed at Rs. 10/- per share)

19.2 Investments in sub subsidiaries / inter company shareholding- unquoted

	Country of incorporation	Number of Shares	Company Holding	Group Holding	31.03.2024 Rs. '000	31.03.2023 Rs. '000
Aitken Spence Hotels Ltd						
- Kandalama Hotels (Pvt) Ltd	Sri Lanka	10,216,216	63.00%	61.75%	234,406	234,406
- Heritance (Pvt) Ltd	Sri Lanka	2,125,627	100.00%	98.01%	35,751	35,751
					270,157	270,157
Crest Star (BVI) Ltd						
- Jetan Travel Services Company Pvt Ltd	Maldives	47,500	95.00%	95.00%	545,476	545,476
					545,476	545,476
Aitken Spence Hotels International (Pvt) Ltd						
- ADS Resorts Pvt Ltd	Maldives	1,274,999	100.00%	51.00%	103,970	103,970
- Unique Resorts Pvt Ltd	Maldives	6,374,999	100.00%	51.00%	562,663	562,663
- Aitken Spence Hotel Services Pvt Ltd	India	9,999	99.99%	51.00%	271	271
- Aitken Spence Hotel Managements (South India) Pvt Ltd	India	150,048,995	83.40%	42.53%	3,390,956	3,390,956
- Ace Resorts Pvt Ltd	Maldives	462,599	100.00%	51.00%	37,008	37,008
- Aitken Spence Resorts (Middle East) LLC	Oman	11,748,275	100.00%	51.00%	4,817,994	4,817,994
					8,912,862	8,912,862
Aitken Spence Hotel Managements Asia (Pvt) Ltd						
- PR Holiday Homes (Pvt) Ltd	India	621,310	84.57%	43.13%	178,144	178,144
- Aitken Spence Hotels International (Pvt) Ltd	Sri Lanka	5,196,916	20.00%	10.00%	1,931,128	1,931,128
					2,109,272	2,109,272
PR Holiday Homes (Pvt) Ltd						
- Perumbalam Resorts Pvt Ltd	India	9,999	99.99%	43.12%	218	218
					218	218
Aitken Spence Hotel Services Pvt Ltd						
- Aitken Spence Hotel Managements (South India) Pvt Ltd	India	01	0.00%	0.00%	-	-
					-	-
Aitken Spence Hotel Managements (South India) Pvt Ltd						
- Perumbalam Resorts Pvt Ltd	India	01	0.01%	0.01%	-	-
					-	-
Unique Resorts Pvt Ltd						
- Ace Resorts Pvt Ltd	Maldives	01	0.00%	0.00%	-	-
					-	-

Kandalama Hotels (Pvt) Ltd and Heritance (Pvt) Ltd are subsidiaries of Aitken Spence Hotels Ltd.

Jetan Travel Services Company Pvt Ltd is a subsidiary of Crest Star (BVI) Ltd.

ADS Resorts Pvt Ltd, Unique Resorts Pvt Ltd, Aitken Spence Hotel Services Pvt Ltd, Aitken Spence Hotel Managements (South India) Pvt Ltd, Ace Resorts Pvt Ltd, Aitken Spence Resorts (Middle East) LLC are subsidiaries of Aitken Spence Hotels International (Pvt) Ltd.

P.R Holiday Homes Pvt Ltd is a subsidiary of Aitken Spence Hotel Managements Asia (Pvt) Ltd.

Perumbalam Resorts Pvt Ltd is a subsidiary of P.R Holiday Homes Pvt Ltd.

NOTES TO THE FINANCIAL STATEMENTS

19.3 Merger Accounting for common control combinations

During 2022/2023 the Group commenced adopting the Statement of Recommended Practice (SORP) for Merger Accounting for Common Control Combinations approved by the Council of the Institute of Chartered Accountants of Sri Lanka on 19 December, 2012, for business combinations in which all of the combining entities are ultimately controlled by the same party both before and after the business combination.

With effect from 01st April 2023, Turyaa Resorts (Pvt) Ltd was amalgamated with Turyaa (Pvt) Ltd, both being wholly own subsidiaries of Aitken Spence Hotel Holdings PLC and was accounted as a common control combination in accordance with the above SORP. There was no impact to the Consolidated financial statements of the Group due to this amalgamation as both combining entities were accounted for as subsidiaries prior to the amalgamation.

19.4 Non - controlling interests

The following subsidiaries have material non - controlling interests.

For the year	Principle place of business/Country of incorporation	Operating Segment	Ownership interest held by non- controlling interests	
			As at 31.03.2024	As at 31.03.2023
Aitken Spence Hotels International (Pvt) Ltd	Sri Lanka	Sri Lankan Sector - Others	49%	49%
Aitken Spence Hotels Managements Asia (Pvt) Ltd	Sri Lanka	Sri Lankan Sector - Others	49%	49%
Ahungalla Resorts Ltd	Sri Lanka	Sri Lankan Sector- Hotels	40%	40%
Cowrie Investment Pvt Ltd	Republic of Maldives	South Asia and Middle East Sector	40%	40%
ADS Resorts Pvt Ltd	Republic of Maldives	South Asia and Middle East Sector	49%	49%
Unique Resorts Pvt Ltd	Republic of Maldives	South Asia and Middle East Sector	49%	49%
Aitken Spence Hotel Managements (South India) Pvt Ltd	India	South Asia and Middle East Sector	40.87%	40.87%

Except for Ahungalla Resorts Ltd and Cowrie Investment Pvt Ltd, the non-controlling interest of other subsidiaries are held with the holding Company, Aitken Spence PLC.

The following table summarises the financial information relating to the Group's subsidiaries that has material non-controlling interests, before any intra-group eliminations.

	Cowrie Investment Pvt Ltd		Ahungalla Resorts Ltd	
	2023/2024	2022/2023	2023/2024	2022/2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Revenue	18,572,473	19,909,769	4,343,712	2,459,385
Profit/(loss) after tax	970,889	431,317	(375,069)	(1,371,293)
Profit/(loss) attributable to NCI	388,356	172,527	(150,028)	(548,517)
Other comprehensive income/(loss)	(831,253)	875,144	(1,819)	(413,826)
Total comprehensive income/(loss)	139,636	1,306,461	(376,888)	(1,785,119)
Total comprehensive income/(loss) attributable to NCI	55,854	522,584	(150,755)	(714,048)
Current assets	2,396,473	2,497,162	1,144,875	1,665,155
Non- current assets	35,732,667	40,256,816	8,838,259	9,247,681
Current liabilities	(6,683,355)	(7,529,165)	-	(2,934,029)
Non- current liabilities	(21,949,094)	(26,293,523)	(9,851,532)	(12,005,208)
Net assets	9,496,691	8,931,290	131,602	(4,026,401)
Net assets attributable to NCI	3,798,676	3,572,516	52,641	(1,610,560)
Cash flow from operating activities	3,891,677	2,338,977	1,040,764	517,818
Cash flow from investing activities	(681,864)	(834,145)	(21,818)	(43,661)
Cash flow from financing activities	(2,433,059)	(4,528,896)	(1,720,380)	(387,546)
Effect of exchange rate changes on cash and cash equivalents	99,613	237,818	-	-
Net increase/(decrease) in cash and cash equivalents	876,367	(2,786,246)	(701,434)	86,611

NOTES TO THE FINANCIAL STATEMENTS

20 INVESTMENT IN EQUITY ACCOUNTED INVESTEEES

	Group		Company	
As at	31.03.2024	31.03.2023	31.03.2024	31.03.2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Recognised in the statement of financial position				
- Interest in associates	63,185	93,040	992,673	1,008,176
Carrying amount as at 31st March	63,185	93,040	992,673	1,008,176
Recognised in the statement of changes in equity				
- Interest in associates	-	(364)	-	-
Share of adjustment on equity accounted investees	-	(364)	-	-
Recognised in the income statement				
- Interest in associates	(36,314)	(397,559)	-	-
Share of loss of equity accounted investees (net of tax)	(36,314)	(397,559)	-	-
Recognised in the statement of profit or loss and other comprehensive income				
- Interest in associates	6,459	29,889	-	-
Share of other comprehensive income of equity accounted investees (net of tax)	6,459	29,889	-	-

20.1 Investment in associates

		Group		Company	
As at		31.03.2024	31.03.2023	31.03.2024	31.03.2023
	Notes	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Investment in associates - quoted	20.1.1	-	-	736,513	736,513
Investment in associates - unquoted	20.1.2	63,185	93,040	256,160	271,663
Total equity value of investment in associates as at 31st March		63,185	93,040	992,673	1,008,176

20.1.1 Investment in associates - quoted

As at	Group				Company			
	No. of Shares	Group Holding	31.03.2024 Rs. '000	31.03.2023 Rs. '000	No. of Shares	Company Holding	31.03.2024 Rs. '000	31.03.2023 Rs. '000
Browns Beach Hotels PLC (Consolidated with Negombo Beach Resorts (Pvt) Ltd)								
Net book value as at 01st April	48,627,103	37.42%	925,110	925,110	47,455,750	36.62%	906,602	906,602
Share of net assets of equity accounted investees directly recognised in equity due to surcharge tax			-	(364)				
Share of movement in equity value *			(925,110)	(924,746)			-	-
Equity value of investment as at 31st March			-	-			906,602	906,602
Provision for impairment of investment **			-	-			(170,089)	(170,089)
Equity value of investment as at 31st March - net of impairment			-	-			736,513	736,513
Market value of quoted investment as at 31st March			632,152	588,388			616,925	574,215

* As the Group's share of losses arising from Browns Beach Hotels PLC has exceeded its interest in equity accounted investee, the carrying amount has been reduced to nil and the recognition of further losses was discontinued since 2022/23. The unrecognised losses as at 31.03.2024 is amounting to Rs. 254,624,655.

** Impairment to the carrying value of investment in Browns Beach Hotels PLC was recognised based on the discounted future cash flows to the extent of the non recoverability amount of the investment.

The effects of changes in current economic conditions referring to macro environmental factors have been taken into effect in the cash flow forecasts and the discount rate used for the calculation. There is a considerable degree of judgement involved in preparing forecasts and assumptions including discount rates.

The key assumptions used for the investment impairment of the Company are given below.

Discount factor	- 15.8% to 18.9%
Inflation	- Based on current inflation rate.
Forecasted terminal growth rate for future period-	2%
Margin	- Based on past performance and budgeted expectations

NOTES TO THE FINANCIAL STATEMENTS

20.1.2 Investment in associates - unquoted

As at	Group				Company			
	No. of Shares	Group Holding	31.03.2024 Rs. '000	31.03.2023 Rs. '000	No. of Shares	Company Holding	31.03.2024 Rs. '000	31.03.2023 Rs. '000
Amethyst Leisure Ltd (Consolidated with Paradise Resorts Passikudah (Pvt) Ltd)								
Net book value as at 01 st April	218,345,163	27.89%	334,808	334,808	218,345,163	27.89%	332,848	332,848
Share of movement in equity value			(334,808)	(314,398)			-	-
Equity value of investment as at 31st March			-	20,410			332,848	332,848
Provision for impairment of investment *			-	-			(304,567)	(289,064)
Equity value of investment as at 31st March - net of impairment			-	20,410			28,281	43,784
Aitken Spence Hotel Managements (Pvt) Ltd (Consolidated with Aitken Spence Resources (Pvt) Ltd)								
Net book value as at 1st April	3,862,353	49.00%	227,879	227,879	3,862,353	49.00%	227,879	227,879
Share of movement in equity value			(164,694)	(155,249)			-	-
Equity value of investment as at 31st March			63,185	72,630			227,879	227,879
Total equity value of investment of investments in associates - unquoted as at 31st March			63,185	93,040			256,160	271,663

* Impairment to the carrying value of investment in Amethyst Leisure Ltd was recognised based on discounted future cash flows to the extent of the non recoverability amount of the investment.

The effects of changes in economic conditions referring to macro economic factors have been taken into effect in the cash flow forecasts and the discount rate used for the calculation. There is a considerable degree of judgement involved in preparing forecasts and assumptions including discount rates.

The key assumptions used for the investment impairment of the Company are given below.

Discount factor	- 13.1% to 14.7%
Inflation	- Based on current inflation rate.
Forecasted terminal growth rate for future period	- 2%
Margin	- Based on past performance and budgeted expectations

20.2 Principle place of business and the group holding percentage of investment in associates

Name	Principle place of Business /Country of incorporation	Nature of relationship with the Group	Ownership interest % voting rights as at 31st March 2024	Fair Value of ownership interest (if listed) Rs.'000
Browns Beach Hotels PLC	Sri Lanka	Owens Negombo Beach Resorts (Pvt) Ltd	37.42%	632,152
Negombo Beach Resorts (Pvt) Ltd (100% subsidiary of Browns Beach Hotels PLC)	Sri Lanka	Owens and Operates "Sentido Heritage Negombo"	37.42%	-
Amethyst Leisure Ltd	Sri Lanka	Owens Paradise Resorts Passikudah (Pvt) Ltd	27.89%	-
Paradise Resorts Passikudah (Pvt) Ltd (100% subsidiary of Amethyst Leisure Ltd)	Sri Lanka	Owens and Operates "Amethyst Resorts"	27.89%	-
Aitken Spence Hotel Managements (Pvt) Ltd	Sri Lanka	Provides Management Services to all Hotels in Sri Lanka	49.00%	-
Aitken Spence Resources (Pvt) Ltd (100% subsidiary of Aitken Spence Hotel Managements (Pvt) Ltd)	Sri Lanka	Provides Human Resources to overseas hotels	49.00%	-

20.3 Summarised financial information of investment in associates with material NCI

	Browns Beach Hotels PLC		Aitken Spence Hotel Managements (Pvt) Ltd	
For the year	(Consolidated with Negombo Beach Resorts (Pvt) Ltd)		(Consolidated with Aitken Spence Resources (Pvt) Ltd)	
	2023/2024	2022/2023	2023/2024	2022/2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Revenue	1,295,243	660,084	1,016,040	947,271
Loss after tax	(466,967)	(1,013,059)	(32,457)	(49,787)
Other comprehensive income/(loss)	(780)	(21,447)	13,182	77,235
Total comprehensive income	(467,747)	(1,034,506)	(19,275)	27,448
Attributable to NCI	(292,730)	(647,425)	(9,830)	13,999
Attributable to Investees Shareholders	(175,017)	(387,081)	(9,445)	13,449
Share of net assets of equity accounted investees directly recognised in equity	-	(364)	-	-
Unrecognised losses due to negative net assets	175,017	64,433	-	-
Share of movement in equity value attributable to the Group	-	(323,012)	(9,445)	13,449
Current assets	715,040	486,726	363,033	1,159,153
Non - current assets	4,587,037	4,791,863	412,653	325,048
Current liabilities	(1,744,656)	(1,095,881)	(688,113)	(1,456,244)
Non- current liabilities	(4,213,865)	(4,354,913)	(92,865)	(76,321)
Net assets	(656,444)	(172,205)	(5,292)	(48,364)
Attributable to NCI	-	(172,205)	(68,477)	(120,994)
Attributable to investees shareholders	-	-	63,185	72,630
Groups interest in net assets of investee at the beginning of the year	-	323,012	72,630	59,181
Share of movement in equity value attributable to the Group	-	(323,012)	(9,445)	13,449
Group's interest in net assets of investee at the end of the year	-	-	63,185	72,630

NOTES TO THE FINANCIAL STATEMENTS

21 OTHER FINANCIAL ASSETS - NON CURRENT

21.1 Unquoted equity securities, debt securities and unsecured loans

		Group		Company	
As at		31.03.2024	31.03.2023	31.03.2024	31.03.2023
	Notes	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial assets at fair value through OCI					
- Unquoted equity securities	21.1.1	250,254	272,494	-	-
Financial assets at amortised cost					
- Unquoted debt securities and unsecured loans	21.1.2	725,524	799,459	725,524	799,459
Carrying amount as at 31st March		975,778	1,071,953	725,524	799,459
Current unquoted equity and debt securities	27	-	(73,935)	-	(73,935)
Non-current unquoted debt and equity securities		975,778	998,018	725,524	725,524

21.1.1 Unquoted equity securities

		Group		Company	
As at	No of shares as at	31.03.2024	31.03.2023	31.03.2024	31.03.2023
	31.03.2024	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Investment in Floatels India (Pvt) Ltd					
Balance as at 01st April		272,494	244,790	-	-
Effect of movement in exchange rates		(22,240)	27,704	-	-
Balance as at 31st March	716,037	250,254	272,494	-	-

The balance reflects the recent sale price of remaining equity shares.

Valuation technique and significant unobservable inputs used for valuation are disclosed in Note No. 40.3.2.

The Group designated the investments in equity securities at FVOCI because these equity securities represent investments that the Group intended to hold for the long term for strategic purpose.

No Strategic investments were disposed of during 2023/2024, and there were no transfer of any cumulative gain or loss within equity relating to these investments.

21.1.2 Unquoted debt securities and unsecured loans

	Group		Company	
As at	31.03.2024	31.03.2023	31.03.2024	31.03.2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Secured redeemable debentures				
Earl's Court Hotel Management (Pvt) Ltd	73,935	70,571	73,935	70,571
Reversal of impairment	-	3,364	-	3,364
	73,935	73,935	73,935	73,935
Settlements during the year	(73,935)	-	(73,935)	-
	-	73,935	-	73,935
Unsecured loans				
Negombo Beach Resorts (Pvt) Ltd	725,524	725,524	725,524	725,524
Carrying amount as at 31st March	725,524	799,459	725,524	799,459
Current unquoted debt securities	-	(73,935)	-	(73,935)
Non-current unquoted debt securities and unsecured loans	725,524	725,524	725,524	725,524

i Redeemable debentures are receivable in 60 equal instalments. Interest linked to AWPLR.

ii Unsecured loan is receivable in 7 years with a grace period of 2 years. Interest linked to AWPLR.

22 DEFERRED TAX ASSETS

22.1 Movement in deferred tax assets

	Group		Company	
For the year	2023/2024	2022/2023	2023/2024	2022/2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Balance as at 01st April	486,592	648,820	-	-
Effect of movement in exchange rates	(41,463)	47,634	-	-
Reversal of temporary differences				
-Recognised in income statement	(85,163)	(90,316)	-	-
-Recognised in other comprehensive income	-	(119,546)	-	-
Balance as at 31st March	359,966	486,592	-	-

22.2 Composition of deferred tax assets

	Group		Company	
As at	31.03.2024	31.03.2023	31.03.2024	31.03.2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Deferred tax assets attributable to;				
Defined benefit obligations	3,036	3,384	-	-
Tax losses carried forward	704,758	856,086	-	-
Expected credit loss	7,403	10,163	-	-
Property, plant and equipment	(247,071)	(263,495)	-	-
Revaluation surplus on freehold land	(108,160)	(119,546)	-	-
Net deferred tax assets	359,966	486,592	-	-

NOTES TO THE FINANCIAL STATEMENTS



22.3 Movement in tax effect of temporary differences - Group - 2023/2024

	2023/2024				
	Balance as at 01.04.2023	Recognised in profit and (loss)	Recognised in other comprehensive income	Exchange differences	Balance as at 31.03.2024
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Deferred tax assets					
Defined benefit obligations	3,384	(26)	-	(322)	3,036
Tax losses carried forward	856,086	(71,755)	-	(79,573)	704,758
Expected credit losses	10,163	(2,099)	-	(661)	7,403
	869,633	(73,880)	-	(80,556)	715,197
Deferred tax liabilities					
Property, plant and equipment	(263,495)	(11,283)	-	27,707	(247,071)
Revaluation surplus on freehold land	(119,546)	-	-	11,386	(108,160)
	(383,041)	(11,283)	-	39,093	(355,231)
Net deferred tax assets	486,592	(85,163)	-	(41,463)	359,966

22.4 Movement in tax effect of temporary differences - Group - 2022/2023

	2022/2023				
	Balance as at 01.04.2022	Recognised in profit and (loss)	Recognised in other comprehensive income	Exchange differences	Balance as at 31.03.2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Deferred tax assets					
Defined benefit obligations	3,432	(644)	-	596	3,384
Tax losses carried forward	1,075,646	(314,219)	-	94,659	856,086
Expected credit losses	21,118	(15,236)	-	4,281	10,163
	1,100,196	(330,099)	-	99,536	869,633
Deferred tax liabilities					
Property, plant and equipment	(451,376)	239,783	-	(51,902)	(263,495)
Revaluation surplus on freehold land	-	-	(119,546)	-	(119,546)
	(451,376)	239,783	(119,546)	(51,902)	(383,041)
Net deferred tax assets	648,820	(90,316)	(119,546)	47,634	486,592

23 INVENTORIES

	Group		Company	
As at	31.03.2024	31.03.2023	31.03.2024	31.03.2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Food	344,435	422,014	15,898	19,186
Beverage	268,908	342,901	6,496	4,449
Maintenance	375,086	406,994	8,324	5,284
Stationery	34,855	27,931	1,071	979
House keeping	75,892	181,806	2,356	2,016
Ayurveda stocks	3,867	5,421	-	-
Fuel and others	323,067	303,925	6,263	12,110
	1,426,110	1,690,992	40,408	44,024

There were no inventories pledged as security for overdraft facilities as at 31st March 2024 (as at 31st March 2023- nil).

None of the inventories are pledged as security for loan facilities obtained by the Group or Company from banks as at 31st March 2024. (Group and Company 2022/2023 - nil).

24 TRADE AND OTHER RECEIVABLES

	Group		Company	
As at	31.03.2024	31.03.2023	31.03.2024	31.03.2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Trade receivables	3,156,294	2,434,181	132,907	83,407
Provision for impairment	(138,774)	(144,930)	(838)	(330)
Net trade receivables	3,017,520	2,289,251	132,069	83,077
Non trade receivables	130,905	130,354	3,058	3,231
Total recognised under financial instruments (Note No. 39.1)	3,148,425	2,419,605	135,127	86,308
Other Taxes receivable	38,998	46,987	-	-
Other receivable	128,388	68,341	5,027	2,770
Total	3,315,811	2,534,933	140,154	89,078

No loans have been given to directors of the Company.

24.1 Credit and market risks, and impairment losses

Information about the Group's exposure to credit risk of trade receivables which discusses how the Group manages and measures credit quality of trade receivables , market risk and the impairment losses of trade receivables are disclosed in Note No.41.

NOTES TO THE FINANCIAL STATEMENTS

25 AMOUNTS DUE FROM HOLDING COMPANY

	Group		Company	
As at	31.03.2024	31.03.2023	31.03.2024	31.03.2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Short term investments	1,068,116	146,435	-	-
Total	1,068,116	146,435	-	-

The above short term investments were made on normal market interest rates.

26 AMOUNTS DUE FROM PARENT'S GROUP ENTITIES

	Group		Company	
As at	31.03.2024	31.03.2023	31.03.2024	31.03.2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Aitken Spence Travels (Pvt) Ltd	610,180	551,683	109,862	74,066
Aitken Spence Hotel Managements (Pvt) Ltd	164,900	315,415	5,649	-
Aitken Spence Hotels International (Pvt) Ltd	-	-	207,016	524,197
Aitken Spence Exports (Pvt) Ltd	628	534	-	-
Aitken Spence Hotels Ltd	-	-	6	-
Negombo Beach Resorts (Pvt) Ltd	609,864	2,698	609,864	-
Turyaa (Pvt) Ltd	-	-	310,841	4,754
Meeraladuwa (Pvt) Ltd	-	-	518	382
Ahungalla Resorts Ltd	-	-	122,952	-
Aitken Spence Shipping Ltd	108	-	-	-
Hapag Lloyd Lanka (Pvt) Ltd	33	70	-	-
Ace Aviation Services Maldives (Pvt) Ltd	-	65,983	-	-
Aitken Spence Garments Ltd	268	-	132	-
Aitken Spence International Consulting (Pvt) Ltd	132	234	-	-
Paradise Resorts Passikudah (Pvt) Ltd	595	3,278	26	8
Total	1,386,708	939,895	1,366,866	603,407

27 OTHER FINANCIAL ASSETS

	Group		Company	
As at	31.03.2024	31.03.2023	31.03.2024	31.03.2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Other financial assets - current (Note 21.1.2)	-	73,935	-	73,935
Bank deposits	4,029,660	4,478,774	260,371	357,733
Total	4,029,660	4,552,709	260,371	431,668

28 CASH AND CASH EQUIVALENTS

	Group		Company	
As at	31.03.2024	31.03.2023	31.03.2024	31.03.2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Short term deposits less than 90 days	449,224	3,387,815	-	44,970
Cash at bank and in hand	1,848,009	1,874,496	147,562	141,740
Cash and cash equivalents in the statement of financial position	2,297,233	5,262,311	147,562	186,710
Bank overdrafts and other short term borrowings	(5,618,695)	(7,946,332)	(337,053)	(168,939)
Cash and cash equivalents in the statement of cash flows	(3,321,462)	(2,684,021)	(189,491)	17,771

NOTES TO THE FINANCIAL STATEMENTS

29 STATED CAPITAL

As at	Company		
	No of shares as at 31.03.2024	31.03.2024 Rs. '000	31.03.2023 Rs. '000
Issued and fully paid ordinary share capital	336,290,010	3,389,587	3,389,587
Preference share capital - redeemable cumulative	16,500,000	165,000	165,000
Total		3,554,587	3,554,587

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per individual present at the meeting of shareholders or one vote per share in case of a poll.

Preference shares do not carry the right to vote. All shares rank equally with regard to residual assets, except that preference shareholder participate only to the extent of the face value of shares adjusted for dividends in arrears.

Preference Share capital is classified as equity as redeemable only at the company's option. Dividends thereon are recognised as distributions within equity upon approval by the company's shareholders.

Preference shareholder is entitled to dividends at 9% annually.(Cents 90 per share)

30 RESERVES

	Notes	Group		Company	
		31.03.2024	31.03.2023	31.03.2024	31.03.2023
As at		Rs. '000	Rs. '000	Rs. '000	Rs. '000
Revaluation reserve	30.1	3,148,179	3,148,179	666,248	666,248
General reserve	30.2	22,929	22,929	22,929	22,929
Cashflow hedge reserve	30.3	(2,208,231)	(3,109,161)	-	-
Fair value reserve	30.4	73,525	62,626	-	-
Foreign currency translation reserve	30.5	8,479,077	10,181,031	-	-
Total		9,515,479	10,305,604	689,177	689,177
Transaction movement					
Balance brought forward		10,305,604	8,791,779	689,177	705,961
Transfers to / (from) foreign currency translation reserve during the year		(1,701,954)	1,647,312	-	-
Transfer to / (from) cashflow hedge reserve		900,930	(250,673)	-	-
Movement in fair value reserve		10,899	42,212	-	-
Movement in revaluation reserve		-	74,974	-	(16,784)
Balance carried forward		9,515,479	10,305,604	689,177	689,177

30.1 Revaluation reserves

The revaluation reserve relates to property plant and equipment which has been revalued by the Group.

30.2 General reserves

The general reserve relates to retained earnings set aside by the Group.

30.3 Cashflow hedge reserve

This represents the reserve created to eliminate the exposure that arises from changes in cash flows of a financial liability due to exchange rate fluctuations.

30.4 Fair value reserve

This represents the cumulative net change in the fair value of equity securities designated at FVOCI until the investments are derecognised.

30.5 Foreign currency translation reserve

The foreign currency translation reserve comprise of all foreign exchange difference arising from the translation of the financial statements of foreign operations.

NOTES TO THE FINANCIAL STATEMENTS

31 INTEREST BEARING LIABILITIES - BANKS

31.1 Movement in Interest bearing liabilities - banks

	Group		Company	
For the year	2023/2024	2022/2023	2023/2024	2022/2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Loan Capital				
Balance as at 01st April	42,542,435	43,819,989	712,486	815,369
Effect of movement in exchange rates	(3,098,828)	4,921,755	-	-
Loans received during the year	504,424	321,921	-	-
Interest capitalised during the year	-	361,034	-	52,622
Transaction cost	5,395	7,690	-	-
Loan repayments during the year	(5,811,807)	(6,889,954)	(177,155)	(155,505)
	34,141,619	42,542,435	535,331	712,486
Loan Interest				
Balance as at 01st April	160,521	132,395	-	-
Effect of movement in exchange rates	(4,960)	18,820	-	-
Interest accrued during the period	3,787,762	3,731,805	115,480	156,255
Interest capitalised during the period	-	(361,034)	-	(52,622)
Interest paid during the period	(3,829,495)	(3,361,465)	(115,480)	(103,633)
	113,828	160,521	-	-
Total balance as at 31st March	34,255,447	42,702,956	535,331	712,486
Current portion of interest bearing liabilities - banks	(5,693,006)	(6,114,421)	(217,205)	(177,154)
Non current portion of interest bearing liabilities - banks	28,562,441	36,588,535	318,126	535,332

31.2 Analysed by currency equivalent in Rupees

	Group		Company	
As at	31.03.2024	31.03.2023	31.03.2024	31.03.2023
	Equivalent	Equivalent	Equivalent	Equivalent
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Sri Lanka Rupees	1,497,813	1,731,199	535,331	712,486
United States Dollars	21,824,074	27,123,100	-	-
Euro	9,302,585	11,994,118	-	-
Oman Riyal	1,636,009	1,865,541	-	-
Transaction cost to be amortised	(5,034)	(11,002)	-	-
Total	34,255,447	42,702,956	535,331	712,486

31.3 Analysed by repayment period

	Group		Company	
As at	31.03.2024	31.03.2023	31.03.2024	31.03.2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Payable within one year	5,693,006	6,114,421	217,205	177,154
Payable between one and two years	13,507,432	5,916,576	318,126	217,206
Payable between two and five years	7,863,949	20,667,444	-	318,126
Payable after five years	7,191,060	10,004,515	-	-
Total	34,255,447	42,702,956	535,331	712,486

31.4 Analysed by interest rate

	Group		Company	
As at	31.03.2024	31.03.2023	31.03.2024	31.03.2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Fixed rate term loans	900,135	855,626	-	47,410
Term loans linked to LIBOR	-	24,753,447	-	-
Term loans linked to AWPLR	1,497,813	1,674,333	535,331	665,076
Term loans linked to EURIBOR	9,302,585	11,994,119	-	-
Term loans linked to SOFR	20,922,939	1,570,892	-	-
Term loans linked to T-bill rate (Oman)	1,636,009	1,865,541	-	-
Transaction cost to be amortised	(5,034)	(11,002)	-	-
	34,254,447	42,702,956	535,331	712,486

NOTES TO THE FINANCIAL STATEMENTS

31.5 Analysed by lending institutions, credit terms and security details

31.5.1 Analysed by lending institutions, credit terms and security details - Group

Bank / financial institution	Loan No	Currency	Linked interest basis	Assets pledged and collaterals
Hatton National Bank	Loan No. 1	USD	SOFR	Mortgage agreement over the head lease of the hotel property
	Loan No. 2	USD	SOFR	Corporate Guarantee from Aitken Spence Hotels International (Pvt) Ltd and mortgage agreement over the head lease of the hotel property
	Loan No. 3	USD	SOFR	Corporate Guarantee from Aitken Spence Hotels International (Pvt) Ltd
	Loan No. 4	USD	SOFR	Corporate Guarantee from Aitken Spence Hotels International (Pvt) Ltd
	Loan No. 5	USD	Fixed rate	Third party letter of set-off and lien over deposits owned by another Group's subsidiary
	Loan No. 6	USD	Fixed rate	Mortgage agreement over the head lease of the hotel property
	Loan No. 7	LKR	Fixed rate	None (Loan obtained under Enterprise Sri Lanka Loan Scheme)
	Loan No. 8	LKR	Fixed rate	None (Loan obtained under Credit Guarantee and Interest Subsidy Loan Scheme)
	Loan No. 9	LKR	Fixed rate	None (Loan obtained under Credit Guarantee and Interest Subsidy Loan Scheme)
	Loan No. 10	LKR	Fixed rate	None (Loan obtained under Saubhagya Loan Scheme)
	Loan No. 11	LKR	Fixed rate	None (Loan obtained under Saubhagya Loan Scheme)
DFCC Bank	Loan No. 1	USD	SOFR	Corporate Guarantee from Aitken Spence Hotels International (Pvt) Ltd and mortgage agreement over the head lease of the hotel property
	Loan No. 2	LKR	AWPLR	Corporate Guarantee from Aitken Spence Hotel Holdings PLC
Hongkong and Shanghai Banking Corporation	Loan No. 1	EUR	EURIBOR	Corporate Guarantee from Aitken Spence PLC and primary mortgage over the hotel property
	Loan No. 2	EUR	EURIBOR	Corporate Guarantee from Aitken Spence PLC
	Loan No. 3	USD	SOFR	Corporate Guarantee from Aitken Spence PLC and primary mortgage over the hotel property
	Loan No. 4	OMR	Central Bank of Oman T-Bill rate	Corporate Guarantee from Aitken Spence PLC and primary mortgage over the hotel property
People's Bank	Loan No. 1	USD	SOFR	Corporate Guarantee from Aitken Spence Hotel Holdings PLC and negative pledge over the shares of Aitken Spence Hotels International (Pvt) Ltd
	Loan No. 2	USD	SOFR	Corporate Guarantee from Aitken Spence Hotel Holdings PLC and negative pledge over the shares of Aitken Spence Hotels International (Pvt) Ltd
	Loan No. 3	USD	Fixed rate	None

Repayment Terms	Maturity	31.03.2024	31.03.2023
		Rs' 000	Rs' 000
Repayment commenced. Monthly instalments.	Mar - 2030	9,014,014	10,757,938
Repayment commenced. Monthly instalments.	Mar - 2026	1,037,795	1,615,826
Fully settled during the financial year.	Apr - 2023	-	40,893
Fully settled during the financial year.	Oct - 2023	-	33,628
60 Monthly instalments starting Aug-2024.	Jul - 2031	753,411	290,646
Fully settled during the financial year.	Sep - 2023	-	155,354
Fully settled during the financial year.	Sep - 2023	-	36,540
Fully settled during the financial year.	Sep - 2023	-	10,870
Fully settled during the financial year.	Sep - 2023	-	5,425
Fully settled during the financial year.	Oct - 2023	-	2,060
Fully settled during the financial year.	Oct - 2023	-	1,091
		10,805,220	12,950,271
Repayment commenced. Monthly instalments.	Mar - 2030	6,628,974	7,910,935
Repayment commenced. Monthly instalments.	Oct - 2029	962,481	1,009,257
		7,591,455	8,920,192
Repayment commenced. Monthly instalments and 75% final baloon payment.	Apr - 2025	4,631,180	5,704,697
Repayment commenced. Monthly instalments.	Jul - 2024	247,731	639,767
Bullet repayment at maturity.	Jul - 2025	1,445,690	1,570,892
Restructured during the financial year. 20 quarterly instalments starting from Aug-2023.	May - 2028	1,636,009	1,865,541
		7,960,610	9,780,897
Repayment commenced. Quarterly instalments.	Jul - 2026	2,541,758	3,780,839
Repayment commenced. Monthly instalments.	Nov - 2024	255,708	613,388
Repayment commenced. Monthly instalments.	Nov - 2024	146,724	352,759
		2,944,190	4,746,986

NOTES TO THE FINANCIAL STATEMENTS

Bank / financial institution	Loan No	Currency	Linked interest basis	Assets pledged and collaterals	
ABANCA Corporación Bancaria	Loan No. 1	EUR	EURIBOR	Corporate Guarantee from Ruisa II SA	
Habib Bank	Loan No. 1	LKR	AWPLR	Corporate Guarantee from Aitken Spence PLC	
Sampath Bank	Loan No. 1	LKR	Fixed rate	Corporate Guarantee from Aitken Spence Hotel Holdings PLC	
Total					
Transaction cost to be amortised					

31.5.2 Analysed by lending institutions, credit terms and security details - Company

Bank / financial institution	Loan No	Currency	Linked interest basis	Assets pledged and collaterals	
Hatton National Bank	Loan No. 1	LKR	Fixed rate	None (Loan obtained under Enterprise Sri Lanka Loan Scheme)	
	Loan No. 2	LKR	Fixed rate	None (Loan obtained under Credit Guarantee and Interest Subsidy Loan Scheme)	
Habib Bank	Loan No. 1	LKR	AWPLR	Corporate Guarantee from Aitken Spence PLC	
Total					

Repayment Terms	Maturity	31.03.2024	31.03.2023
		Rs' 000	Rs' 000
Repayment commenced. Quarterly instalments and 72% final bullet repayment at maturity.	Apr - 2026	4,423,674	5,649,655
		4,423,674	5,649,655
Repayment commenced. Quarterly instalments.	Mar - 2026	535,332	665,076
		535,332	665,076
Fully settled during the financial year.	Nov - 2023	-	881
		-	881
		34,260,481	42,713,958
		(5,034)	(11,002)
		34,255,447	42,702,956

Repayment Terms	Maturity	31.03.2024	31.03.2023
		Rs' 000	Rs' 000
Fully settled during the financial year.	Sep - 2023	-	36,540
Fully settled during the financial year.	Sep - 2023	-	10,870
		-	47,410
Repayment commenced. Quarterly instalments.	Mar - 2026	535,331	665,076
		535,331	665,076
		535,331	712,486

NOTES TO THE FINANCIAL STATEMENTS

32 INTEREST BEARING LIABILITIES - LEASES

32.1 Movement of lease liabilities

	Group		Company	
For the year	2023/2024	2022/2023	2023/2024	2022/2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Balance as at 01st April	15,010,510	14,689,882	-	-
Payment of lease liabilities	(2,162,060)	(2,422,018)	-	-
Impact on exchange rate fluctuation	(1,156,419)	1,767,582	-	-
Interest expense charged to income statement	791,478	975,064	-	-
Balance as at 31st March	12,483,509	15,010,510	-	-
Current portion of interest bearing liabilities - leases	(1,379,271)	(1,422,456)	-	-
Non current portion of interest bearing liabilities - leases	11,104,238	13,588,054	-	-

32.2 Analysed by capital repayment

	Group		Company	
As at	31.03.2024	31.03.2023	31.03.2024	31.03.2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Payable within one year	1,379,271	1,422,456	-	-
Payable between one and two years	1,130,149	1,494,614	-	-
Payable between two and five years	593,111	1,642,668	-	-
Payable after five years	9,380,978	10,450,772	-	-
Total	12,483,509	15,010,510	-	-

32.3 Details of lease liabilities recognised due to ROU assets

Company name	Nature of the leasing activities	Remaining lease period as at 31.03.2024 (No of years)
Aitken Spence Hotels Ltd	Lease Land	19
	Lease building for Neptune Ayurvedic centre	-
Hethersett Hotels Ltd	Lease Land	71
Kandalama Hotels (Pvt) Ltd	Lease Land	19
Unique Resorts Pvt Ltd	Lease Land	21
Jetan Travel Services Company Pvt Ltd	Lease Land	17
ADS Resorts Pvt Ltd	Lease Land	2
Cowrie Investment Pvt Ltd	Meedhupparu island - Lease Land	24
	Heritance Aarah island - Lease Land	41

All above lease contracts entered on lands and buildings are for the business purpose only.

The Group has not earned any income from sub leasing of right of use assets for the year ended 31st March 2024.

Further, Group has not entered in to any sale and lease back transaction as at 31st March 2024.

There were no any restrictions imposed by lease arrangements, any variable lease payments, extension options or any leases not yet commenced to which the lessee was committed as at 31st March 2024.

32.4 Amounts recognised in profit or loss

	Group	
For the year ended 31st March	2024	2023
	Rs. '000	Rs. '000
Amortisation charge of right-of-use assets (Note 17.1)	1,302,049	1,465,928
Interest on lease liabilities	791,478	975,064
Expenses relating to short term leases and low value assets	437,684	470,828

32.5 Amounts recognised in the Statement of cash flows

	Group	
For the year ended 31st March	2024	2023
	Rs. '000	Rs. '000
Total cash out flow for leases	(2,162,060)	(2,422,018)

33 DEFERRED TAX LIABILITIES

33.1 Movement in deferred tax liabilities

	Group		Company	
For the year	2023/2024	2022/2023	2023/2024	2022/2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Balance as at 01st April	3,014,059	1,364,422	229,170	82,954
Effect of movement of exchange rates	(11,009)	5,211	-	-
Origination of temporary differences				
- recognised in income statement	293,654	1,056,041	(78,057)	(2,515)
- recognised in other comprehensive income	(6,405)	588,385	(2,026)	148,731
Balance as at 31st March	3,290,299	3,014,059	149,087	229,170

33.2 Composition of deferred tax liabilities

	Group		Company	
As at	31.03.2024	31.03.2023	31.03.2024	31.03.2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Deferred tax liabilities attributable to;				
Property, plant and equipment	3,395,860	3,218,092	212,367	212,669
Revaluation surplus on freehold land	843,902	856,291	246,255	246,255
Unrealised exchange gain	(34,137)	16,672	(18,589)	23,887
Undistributed profits of consolidated entities	29,832	23,558	-	-
Right-of-use assets	9,331	10,462	-	-
Defined benefit obligations	(63,429)	(49,843)	(18,220)	(14,170)
Carried forward tax losses	(870,015)	(1,035,750)	(272,474)	(239,369)
Expected credit loss	(12,939)	(16,872)	(252)	(102)
Lease liability	(8,106)	(8,551)	-	-
Net deferred tax liabilities	3,290,299	3,014,059	149,087	229,170

NOTES TO THE FINANCIAL STATEMENTS

33.3 Movement in tax effect of temporary differences - Group - 2023/2024

	2023/2024				
	Balance as at 01st April 2023	Recognised in profit & (loss)	Recognised in Other Comprehensive Income	Exchange gain/(losses)	Balance as at 31 st March 2024
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Deferred tax liabilities					
Property, plant and equipment	3,218,092	251,189	-	(73,421)	3,395,860
Revaluation surplus on freehold land	856,291	-	-	(12,389)	843,902
Unrealised exchange gain	16,672	(50,809)	-	-	(34,137)
Undistributed profits of consolidated entities	23,558	6,274	-	-	29,832
Right-of-use assets	10,462	(1,131)	-	-	9,331
	4,125,075	205,523	-	(85,810)	4,244,788
Deferred tax - assets					
Defined benefit obligations	(49,843)	(7,181)	(6,405)	-	(63,429)
Tax losses carried forward	(1,035,750)	91,691	-	74,044	(870,015)
Expected credit loss	(16,872)	3,176	-	757	(12,939)
Lease liability	(8,551)	445	-	-	(8,106)
	(1,111,016)	88,131	(6,405)	74,801	(954,489)
Net deferred tax liabilities	3,014,059	293,654	(6,405)	(11,009)	3,290,299

33.4 Movement in tax effect of temporary differences - Group - 2022/2023

	2022/2023				
	Balance as at 01st April 2022	Recognised in profit & (loss)	Recognised in Other Comprehensive Income	Exchange gain/(losses)	Balance as at 31 st March 2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Deferred tax liabilities					
Property, plant and equipment	1,335,924	1,783,108	-	99,060	3,218,092
Revaluation surplus on freehold land	265,669	-	590,622	-	856,291
Unrealised exchange gain	54,881	(38,209)	-	-	16,672
Undistributed profits of consolidated entities	-	23,558	-	-	23,558
Right-of-use assets	5,410	5,052	-	-	10,462
	1,661,884	1,773,509	590,622	99,060	4,125,075
Deferred tax - assets					
Defined benefit obligations	(19,707)	(27,899)	(2,237)	-	(49,843)
Tax losses carried forward	(266,727)	(674,440)	-	(94,583)	(1,035,750)
Expected credit loss	(6,855)	(10,751)	-	734	(16,872)
Lease liability	(4,173)	(4,378)	-	-	(8,551)
	(297,462)	(717,468)	(2,237)	(93,849)	(1,111,016)
Net deferred tax liabilities	1,364,422	1,056,041	588,385	5,211	3,014,059

33.5 Movement in tax effect of temporary differences - Company

	2023/2024				2022/2023		
	Balance as at 31st March 2024	Recognised in profit & (loss)	Recognised in Other Comprehensive Income	Balance as at 31st March 2023	Recognised in profit & (loss)	Recognised in Other Comprehensive Income	Balance as at 01st April 2022
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Deferred tax liabilities							
Property, plant and equipment	212,367	(302)	-	212,669	113,393	-	99,276
Revaluation surplus on freehold land	246,255	-	-	246,255	-	149,984	96,271
	458,622	(302)	-	458,924	113,393	149,984	195,547
Deferred tax assets							
Defined benefit obligations	(18,220)	(2,024)	(2,026)	(14,170)	(7,588)	(1,253)	(5,329)
Tax losses carried forward	(272,474)	(33,105)	-	(239,369)	(90,369)	-	(149,000)
Expected credit loss	(252)	(150)	-	(102)	514	-	(616)
Unrealised exchange gain	(18,589)	(42,476)	-	23,887	(18,465)	-	42,352
	(309,535)	(77,755)	(2,026)	(229,754)	(115,908)	(1,253)	(112,593)
Net deferred tax liabilities	149,087	(78,057)	(2,026)	229,170	(2,515)	148,731	82,954

34 EMPLOYEE BENEFITS

34.1 Retirement benefit obligations

	Group		Company	
As at	31.03.2024	31.03.2023	31.03.2024	31.03.2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Retirement benefit obligations				
Present value of unfunded obligations	366,966	315,641	60,733	47,235
Recognised liability for defined benefit obligations	366,966	315,641	60,733	47,235

34.2 Movement in present value of the defined benefit obligations

	Group		Company	
As at	31.03.2024	31.03.2023	31.03.2024	31.03.2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Defined benefit obligations as at 01st April	315,641	265,214	47,235	38,065
Charge for the year (Note 34.3)	83,970	49,353	12,275	7,776
Actuarial losses (Note 34.4)	19,927	8,597	6,752	4,177
Benefits paid	(39,140)	(21,082)	(5,529)	(2,783)
Effect of movement in exchange rates	(13,432)	13,559	-	-
Defined benefit obligations as at 31st March	366,966	315,641	60,733	47,235

NOTES TO THE FINANCIAL STATEMENTS

34.3 Expenses recognised in income statement

	Group		Company	
For the year ended 31st March,	2024	2023	2024	2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
- Current service cost	48,669	20,001	9,210	2,637
- Interest cost	35,301	29,352	3,065	5,139
	83,970	49,353	12,275	7,776

34.4 Losses/(gains) recognised in other comprehensive income

	Group		Company	
For the year ended 31st March,	2024	2023	2024	2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Actuarial losses /(gains) on retirement benefit obligations;				
- Due to change in financial assumptions	32,461	7,158	(1,523)	2,464
- Due to experience adjustment	(12,534)	1,439	8,275	1,713
	19,927	8,597	6,752	4,177

34.5 The provision for retirement benefits obligations as at 31st March 2024 is based on the actuarial valuation carried out by professionally qualified actuaries, Messrs. Actuarial & Management Consultants (Pvt) Ltd, using "Projected Unit Credit" (PUC) method, the method recommended by the Sri Lanka Accounting Standard – LKAS 19 on "Employee Benefits".

The actuarial present value of the promised retirement benefits as at 31st March 2024 amounted to Rs. 366,966,531/-. (Company- Rs. 60,732,967/-)

The liability is not externally funded.

34.6 The principal actuarial assumptions

The principal actuarial assumptions used in determining the cost are given below;

	2023/2024	2022/2023
Financial assumptions		
Discount rate *	12%	19.5%
Salary increment rate **		
- Executive staff	15% in July 2024 with 11% p.a from 2025	20% in July 2023 with 15% p.a from 2024
- Non - executive staff and other staff		

* In the absence of a deep market in long-term bonds in Sri Lanka, a long-term interest rate of 12% p.a. (2022/2023 – 19.5% p.a.) has been used to discount future liabilities considering yield available on government bonds with a tenure equivalent to the average future working life of the employees.

** Based on the actual salary increment rates of the Group over the past few years and the future economic outlook of the country, an increase in the long term salary increment rate is factored into the valuation for the current year.

Due to the prevailing economic conditions, the management has considered different scenarios for the possible changes in the assumptions used in valuing the retirement benefit obligation and concluded that the impact to the Group's liability on retirement benefit obligation from those possible changes is not material.

It is also assumed that the company will continue in business as a going concern.

		2023/2024	2022/2023
Demographic assumptions			
- Mortality	A 1967/1970 mortality table,issued by the Institute of Actuaries, London		
- Disability	10% of mortality rates		
- Retirement age	60 years		
- Staff turnover rate			
	Executive staff	Non- Executive staff	Other Staff
* 18 - 24 years	21%	27%	80%
* 25 - 29 years	23%	28%	57%
* 30 - 34 years	16%	25%	44%
* 35 - 39 years	11%	15%	34%
* 40 - 44 years	11%	13%	32%
* 45 - 49 years	7%	16%	27%
* 50 - 54 years	9%	9%	27%
* 55 - 59 years	0%	0%	0%

NOTES TO THE FINANCIAL STATEMENTS

34.7 Sensitivity analysis

The following table demonstrate the sensitivity to a reasonable possible change in the key assumptions employed with all other variables held constant in the employment benefit liability measurement, in respect of the year 2023/2024.

The sensitivity of the comprehensive income and statement of financial position is the effect of the assumed changes in discount rate and salary increment rate on the profit or loss for the year and employment benefit obligations as at 31st March 2024 is as follows.

	Group		Company	
	Effect on comprehensive income (reduction)/increase	Effect on employment benefit liability (reduction)/increase	Effect on comprehensive income (reduction)/increase	Effect on employment benefit liability (reduction)/increase
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Increase /(decrease) in discount rate				
-1%	(14,860)	14,860	(2,409)	2,409
+1%	13,721	(13,721)	2,245	(2,245)
Increase /(decrease) in salary escalation rate				
-1%	14,559	(14,559)	2,395	(2,395)
+1%	(15,506)	15,506	(2,530)	2,530

34.8 Maturity analysis of the payment

The following payment are expected on defined benefit obligations in future years.

	Group		Company	
	31.03.2024	31.03.2023	31.03.2024	31.03.2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
As at				
Within next 12 months	82,280	79,248	11,076	11,376
Between 1-2 years	93,079	94,025	12,718	12,002
Between 2-5 years	86,092	65,427	20,510	11,745
Beyond five years	105,515	76,941	16,429	12,112
	366,966	315,641	60,733	47,235

34.9 Weighted average duration (years) of defined benefit obligation

The following payment are expected on defined benefit obligations in future years.

	Group		Company	
	31.03.2024	31.03.2023	31.03.2024	31.03.2023
As at				
Weighted average duration of defined benefit obligation (no of years)	4.3	3.9	4.2	3.9

35 OTHER PROVISIONS AND PAYABLES

	Group		Company	
As at	31.03.2024	31.03.2023	31.03.2024	31.03.2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Accrued payables	1,481,810	1,996,179	44,739	52,185
Contract liabilities (Note 7.6.2)	2,418,761	2,143,152	19,737	33,664
Total recognised under financial instruments (Note 39.1)	3,900,571	4,139,331	64,476	85,849
Unclaimed dividends	60,818	45,988	55,756	40,927
Taxes and other miscellaneous payables and provisions	1,813,425	1,296,919	51,643	32,355
Total	5,774,814	5,482,238	171,875	159,131

36 AMOUNTS DUE TO PARENT'S GROUP ENTITIES

	Group		Company	
As at	31.03.2024	31.03.2023	31.03.2024	31.03.2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Aitken Spence Exports (Pvt) Ltd	1,014	1,676	-	-
Aitken Spence Travels (Pvt) Ltd	-	13,620	-	-
Elpitiya Plantations PLC	402	424	-	25
Aitken Spence Printing and Packaging (Pvt) Ltd	419	10	-	-
Aitken Spence Hotel Managements (Pvt) Ltd	70,683	186,871	-	19,703
Aitken Spence International Pte. Ltd	331	-	-	-
Jetan Travel Services Company Pvt Ltd	-	-	-	4
Hethersett Hotels Ltd	-	-	-	98
Aitken Spence Cargo (Pvt) Ltd	682	1,628	-	-
Negombo Beach Resorts (Pvt) Ltd	-	2	-	-
Aitken Spence Elevators (Pvt) Ltd	1,790	-	-	-
Aitken Spence Agriculture (Pvt) Ltd	34	-	-	-
Global Parcel Delivery (Pvt) Ltd	22	38	-	-
Total	75,377	204,269	-	19,830

NOTES TO THE FINANCIAL STATEMENTS

37 FOREIGN CURRENCY TRANSLATION

The principle exchange rates used for translation of assets and liabilities as at the reporting date are as follows:

As at	31.03.2024	31.03.2023
US Dollar	300.44	327.14
Indian Rupee	3.61	3.99
UK Pound	380.52	405.97
Oman Riyal	782.30	850.05
Euro	326.03	357.10

38 CONTINGENT LIABILITIES

The contingent liability as at 31st March 2024 on guarantees given by Aitken Spence Hotel Holdings PLC to banks on facilities obtained by subsidiaries amounted to Rs. 11,351,669,533 /- (as at 31.03.2023 - Rs. 13,373,529,709/-). Liability as at 31st March 2024 on guarantees given by subsidiaries to banks on facilities obtained by fellow subsidiaries amounted to Rs. 13,829,253,200 /- (as at 31.03.2023 - Rs. 16,418,824,200/-).

39 FINANCIAL INSTRUMENTS - ACCOUNTING CLASSIFICATIONS AND FAIR VALUES

The following tables shows the carrying amounts and fair values of financial assets and financial liabilities of the Group and the Company.

39.1 Accounting classifications of financial instruments

39.1.1 Accounting classifications of financial instruments - Group

As at 31st March 2024		Financial Assets at Fair value through OCI	Financial Assets at Amortised cost	Financial Liabilities at Amortised cost	Total Carrying amount
	Notes	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial assets					
Other financial assets					
- Unquoted equity securities	21.1.1	250,254	-	-	250,254
- Unquoted debt securities and unsecured loans	21.1.2	-	725,524	-	725,524
- Bank deposits	27	-	4,029,660	-	4,029,660
Trade and other receivables	24	-	3,148,425	-	3,148,425
Amount due from holding company	25	-	1,068,116	-	1,068,116
Amount due from parent's group entities	26	-	1,386,708	-	1,386,708
Cash and cash equivalents	28	-	2,297,233	-	2,297,233
Total financial assets		250,254	12,655,666	-	12,905,920
Financial liabilities					
Interest bearing liabilities - banks	31	-	-	34,255,447	34,255,447
Interest bearing liabilities - leases	32	-	-	12,483,509	12,483,509
Trade payables		-	-	1,503,995	1,503,995
Other provisions and payables	35	-	-	3,900,571	3,900,571
Amount due to holding company		-	-	2,531,875	2,531,875
Amount due to parent's group entities	36	-	-	75,377	75,377
Bank overdrafts and other short term borrowings	28	-	-	5,618,695	5,618,695
Total financial liabilities		-	-	60,369,469	60,369,469

As at 31st March 2023		Financial Assets at Fair value through OCI	Financial Assets at Amortised cost	Financial Liabilities at Amortised cost	Total Carrying amount
	Notes	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial assets					
Other financial assets					
- Unquoted equity securities	21.1.1	272,494	-	-	272,494
- Unquoted debt securities and unsecured loans	21.1.2	-	799,459	-	799,459
- Bank deposits	27	-	4,478,774	-	4,478,774
Trade and other receivables	24	-	2,419,605	-	2,419,605
Amount due from holding company	25	-	146,435	-	146,435
Amount due from parent's group entities	26	-	939,895	-	939,895
Cash and cash equivalents	28	-	5,262,311	-	5,262,311
Total financial assets		272,494	14,046,479	-	14,318,973
Financial liabilities					
Interest bearing liabilities - banks	31	-	-	42,702,956	42,702,956
Interest bearing liabilities - leases	32	-	-	15,010,510	15,010,510
Trade payables		-	-	1,559,571	1,559,571
Other provisions and payables	35	-	-	4,139,331	4,139,331
Amount due to holding company		-	-	1,313,017	1,313,017
Amount due to parent's group entities	36	-	-	204,269	204,269
Bank overdrafts and other short term borrowings	28	-	-	7,946,332	7,946,332
Total financial liabilities		-	-	72,875,986	72,875,986

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39.1.2 Accounting classifications of financial instruments - Company

As at 31st March 2024,		Financial Assets at Fair value through OCI	Financial Assets at Amortised cost	Financial Liabilities at Amortised cost	Total Carrying amount
	Notes	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial assets					
Other financial assets					
- Unquoted debt securities and unsecured loans	21.1.2	-	725,524	-	725,524
- Bank deposits	27		260,371		260,371
Trade and other receivables	24	-	135,127	-	135,127
Amount due from parent's group entities	26	-	1,366,866	-	1,366,866
Cash and cash equivalents	28	-	147,562	-	147,562
Total financial assets		-	2,635,450	-	2,635,450
Financial liabilities					
Interest bearing liabilities - banks	31	-	-	535,331	535,331
Trade payables		-	-	42,572	42,572
Other provisions and payables	35	-	-	64,476	64,476
Amount due to holding company		-	-	1,609,944	1,609,944
Bank overdrafts and other short term borrowings	28	-	-	337,053	337,053
Total financial liabilities		-	-	2,589,376	2,589,376

As at 31st March 2023		Financial Assets at Fair value through OCI	Financial Assets at Amortised cost	Financial Liabilities at Amortised cost	Total Carrying amount
	Notes	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial assets					
Other financial assets					
- Unquoted debt securities and unsecured loans	21.1.2	-	799,459	-	799,459
- Bank deposits	27	-	357,733	-	357,733
Trade and other receivables	24	-	86,308	-	86,308
Amount due from parent's group entities	26	-	603,407	-	603,407
Cash and cash equivalents	28	-	186,710	-	186,710
Total financial assets		-	2,033,617	-	2,033,617
Financial liabilities					
Interest bearing liabilities - banks	31	-	-	712,486	712,486
Trade payables		-	-	26,772	26,772
Other provisions and payables	35	-	-	85,849	85,849
Amount due to holding company		-	-	502,434	502,434
Amount due to parent's group entities	36	-	-	19,830	19,830
Bank overdrafts and other short term borrowings	28	-	-	168,939	168,939
Total financial liabilities		-	-	1,516,310	1,516,310

39.2 Fair value of financial instruments

The fair value of financial assets and financial liabilities, together with the carrying amounts shown in the statement of financial position as at the reporting dates are as follows:

As at 31st March 2024	Group		Company	
	Carrying amount	Fair value	Carrying amount	Fair value
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial assets				
Other financial assets				
- Unquoted equity securities	250,254	250,254	-	-
- Unquoted debt securities and unsecured loans	725,524	725,524	725,524	725,524
- Bank deposits	4,029,660	4,029,660	260,371	260,371
Trade and other receivables	3,148,425	3,148,425	135,127	135,127
Amount due from holding company	1,068,116	1,068,116	-	-
Amount due from parent's group entities	1,386,708	1,386,708	1,366,866	1,366,866
Cash and cash equivalents	2,297,233	2,297,233	147,562	147,562
Total financial assets	12,905,920	12,905,920	2,635,450	2,635,450
Financial liabilities				
Interest bearing liabilities - banks	34,255,447	34,255,447	535,331	535,331
Interest bearing liabilities - leases	12,483,509	12,483,509	-	-
Trade payables	1,503,995	1,503,995	42,572	42,572
Other provisions and payables	3,900,571	3,900,571	64,476	64,476
Amount due to holding company	2,531,875	2,531,875	1,609,944	1,609,944
Amount due to parent's group entities	75,377	75,377	-	-
Bank overdrafts and other short term borrowings	5,618,695	5,618,695	337,053	337,053
Total financial liabilities	60,369,469	60,369,469	2,589,376	2,589,376

As at 31st March 2023	Group		Company	
	Carrying amount	Fair value	Carrying amount	Fair value
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial assets				
Other financial assets				
- Unquoted equity securities	272,494	272,494	-	-
- Unquoted debt securities and unsecured loans	799,459	799,459	799,459	799,459
- Bank deposits	4,478,774	4,478,774	357,733	357,733
Trade and other receivables	2,419,605	2,419,605	86,308	86,308
Amount due from holding company	146,435	146,435	-	-
Amount due from parent's group entities	939,895	939,895	603,407	603,407
Cash and cash equivalents	5,262,311	5,262,311	186,710	186,710
Total financial assets	14,318,973	14,318,973	2,033,617	2,033,617
Financial liabilities				
Interest bearing liabilities - banks	42,702,956	42,702,956	712,486	712,486
Interest bearing liabilities - leases	15,010,510	15,010,510	-	-
Trade payables	1,559,571	1,559,571	26,772	26,772
Other provisions and payables	4,139,331	4,139,331	85,849	85,849
Amount due to holding company	1,313,017	1,313,017	502,434	502,434
Amount due to parent's group entities	204,269	204,269	19,830	19,830
Bank overdrafts and other short term borrowings	7,946,332	7,946,332	168,939	168,939
Total financial liabilities	72,875,986	72,875,986	1,516,310	1,516,310

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39.3 Methods and assumptions used to estimate the fair values

A number of Group's accounting policies and disclosures require the determination of fair value, for both financial and non financial assets and liabilities. Fair values have been determined for measurement and disclosure purposes based on the following valuation techniques.

Property plant and equipment

The fair value of freehold land is determined based on market values.

The market value of land is the estimated amount for which a property could be exchanged on the date of valuation between a willing buyer and a willing seller in an arm's length transaction after proper marketing wherein the parties had each acted knowledgeably and willingly. This involves evaluation of recent active market prices of similar assets, making appropriate adjustments for difference in size, nature and location of the property.

Financial Assets measured at fair value through other comprehensive income

Investments in equity instruments - quoted and unquoted

The fair value of investments in quoted equity shares for which there is an active share market is determined using the closing market prices. Investments in non quoted shares are determined based on present value of future cash flows discounted at the market interest rates at the reporting date.

Investments in debt instruments - unquoted

Investments in debt instrument- unquoted which consist of debentures is considered as a loan and impaired using Z score method. A template has been formulated for this purpose taking into consideration of probability of default based on last year audited accounts. However if a primary mortgage bond is being provided against the debentures, the loss given default (probability of default) would be considered as zero and impairment is made. For other forms of guarantees such as personal guarantees etc. the loss given default would vary between 45%-100%.

Trade and other receivables

Fair value of trade receivables is determined at amount estimated to be realised after making provision for impairment based on expected credit loss model.

For impairment purposes a loss rate has been established taking into consideration forward looking factors that affect customer default rates. Forward looking macro economic data such as GDP is incorporated in calculating the probability of default. The credit loss derived using the provision matrix is adjusted based on the future adjusted PD factors.

The Group uses an allowance matrix to measure ECLs of trade receivables, which comprise a very large number of small balances.

Fair value of other receivables are determined based on the amount estimated to be reasonably realised. If there are any receivables for more than one year, the balance over one year disclosed based on present value.

Bank Deposits

Fair value of bank deposits is determined at amount estimated to be realised after making provision for impairment based on the duration of the deposit and credit rating of the financial institution in which the deposit is held and the corresponding probability of default. Twelve months expected credit loss (ECL) basis is considered for impairment on bank deposits. External credit ratings of the counterparties and probability of default (PD) rates corresponding rating scale published by rating agencies are used in ECL calculation. PD rates are recalibrated using asset correlation formula and forward-looking adjustments are incorporated in arriving at final loss rates. Loss given default (LGD) of 45% is assumed for bank deposits. Credit ratings of counterparties are carefully monitored and subsequent deterioration of the credit quality would trigger remeasurement of loss allowances using Lifetime ECL method.

Financial liabilities at amortised cost

Fair value of interest bearing borrowings, trade and other payable and short term bank borrowings are determined based on the amount estimated to be reasonably incurred in the foreseeable future less impairment.

40 FAIR VALUE MEASUREMENT

40.1 Determination of fair value hierarchy

The Group and the Company use the following hierarchy for determining and disclosing the fair value of assets and liabilities by valuation techniques: The different levels have been defined as follows:

- (i) Quoted prices (unadjusted) in active markets for identical assets or liabilities (Level 1)
- (ii) Inputs other than quoted prices included within level 1 that are observable for the assets or liabilities, either directly or indirectly (Level 2)
- (iii) Techniques which use inputs that have a significant effect on the recorded fair value that are not based on observable market data [Inputs that are unobservable that reflect management own assumptions] (Level 3)

The following table provides the fair value measurement hierarchy of the Group's and Company's assets and liabilities.

40.1.1 Fair value measurement hierarchy -2023/2024

		Group				Company			
	Notes	Level 1 Rs. '000	Level 2 Rs. '000	Level 3 Rs. '000	Total Rs. '000	Level 1 Rs. '000	Level 2 Rs. '000	Level 3 Rs. '000	Total Rs. '000
Recurring fair value measurements									
Assets measured at fair value:									
Property, plant and equipment									
- Freehold land	16.3.2	-	-	11,486,928	11,486,928	-	-	843,500	843,500
Other financial assets									
- Unquoted equity securities	21.1.1	-	-	250,254	250,254	-	-	-	-
		-	-	11,737,182	11,737,182	-	-	843,500	843,500
Assets for which fair values are disclosed									
Other financial assets									
- Unquoted debt securities and unsecured loans	21.1.2	-	725,524	-	725,524	-	725,524	-	725,524
- Bank deposits	27	-	4,029,660	-	4,029,660	-	260,371	-	260,371
Investment in equity accounted investees - quoted	20.1.1	632,152	-	-	632,152	616,925	-	-	616,925
		632,152	4,755,184	-	5,387,336	616,925	985,895	-	1,602,820
Liabilities for which fair values are disclosed									
- Interest bearing liabilities - banks	31	-	34,255,447	-	34,255,447	-	535,331	-	535,331
- Interest bearing liabilities - leases	32		12,483,509		12,483,509	-	-	-	-
		-	46,738,956	-	46,738,956	-	535,331	-	535,331

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40.1.2 Fair value measurement hierarchy -2022/2023

		Group				Company			
		Level 1	Level 2	Level 3	Total	Level 1	Level 2	Level 3	Total
	Notes	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Assets measured at fair value									
Property, plant and equipment									
- Freehold land	16.3.2	-	-	12,147,273	12,147,273	-	-	843,500	843,500
Other financial assets									
- Unquoted equity securities	21.1.1	-	-	272,494	272,494	-	-	-	-
		-	-	12,419,767	12,419,767	-	-	843,500	843,500
Assets for which fair values are disclosed									
Other financial assets									
- Unquoted debt securities and unsecured loans	21.1.2	-	799,459	-	799,459	-	799,459	-	799,459
- Bank deposits	27	-	4,478,774	-	4,478,774	-	357,733	-	357,733
Investment in equity accounted investees - quoted	20.1.1	588,388	-	-	588,388	574,215	-	-	574,215
		588,388	5,278,233	-	5,866,621	574,215	1,157,192	-	1,731,407
Liabilities for which fair values are disclosed									
- Interest bearing liabilities - banks	31	-	42,702,956	-	42,702,956	-	712,486	-	712,486
- Interest bearing liabilities - leases	32	-	15,010,510	-	15,010,510	-	-	-	-
		-	57,713,466	-	57,713,466	-	712,486	-	712,486

40.2 Reconciliation of fair value measurement of "Level 3" Financial Instruments

Freehold land

The reconciliation of property, plant and equipment (land) is given in Note 16.1 and 16.2 to the financial statements.

Unquoted equity securities

	Group		Company	
	2023/2024 Rs. '000	2022/2023 Rs. '000	2023/2024 Rs. '000	2022/2023 Rs. '000
Balance as at 01st April	272,494	244,790	-	-
Effect of movement in exchange rates	(22,240)	27,704	-	-
Balance as at 31st March	250,254	272,494	-	-

40.2.1 Transfers between levels of fair value hierarchy

There were no transfers between Level 1, Level 2 and Level 3 during the year.

40.3 Valuation techniques and significant unobservable inputs

40.3.1 Assets and liabilities measured at fair value - Recurring

Assets	Valuation Technique	Significant unobservable inputs	Sensitivity of the input to the fair value
Property plant and equipment			
- Freehold land	Market comparable method - This method considers the selling price of a similar property within a reasonably recent period of time in determining the fair value of property being revalued. This involves evaluation of recent active market price of similar assets making appropriate adjustments for difference in size, nature and location of the property.	Price per perch of land (Note 16.3.2)	Estimated fair value would increase (decrease) if price per perch increases / (decreases)
Other financial assets			
- Unquoted equity securities	Market return on a comparable investment	Valuation based on the recent and agreed sale price of shares (of INR 55/- per share)	Not applicable

40.3.2 Assets and liabilities for which fair values are disclosed - Recurring

Assets/Liabilities	Valuation Technique	Significant unobservable inputs
Other financial assets		
- Unquoted debt securities and unsecured loans	Valuation determined based on present value of future cash flows discounted at the market interest rates.	cashflow projections/ discounted rate (current market interest rates linked to AWPLR)
- Bank deposits		
Interest-bearing liabilities - banks	Discounted cash flows	current market interest rate (Note 31 and Note 32)
Interest-bearing liabilities - leases		

41 FINANCIAL RISK MANAGEMENT

41.1 Overview

The Group has exposure to the following risks from its use of financial instruments.

- Credit risk
- Liquidity risk
- Market risk

Financial instruments used by the Group in its business activities contain multiple variables that are affected by various market and environmental conditions. Such variations are generally not within the control of the users, and therefore cause fluctuations in the values of financial instruments. Fluctuations in value could result in a situation undesirable to the Group and expose it to risk. These risks need to be managed, as unmanaged risks can lead to unplanned outcomes where the Group could fall short of its financial and budgetary objectives. The Group has adopted a financial risk management strategy aimed at minimising the risks associated with the use of financial instruments by establishing several policies and guidelines that are followed by the companies in the Group. These policies and guidelines are reviewed from time to time and updated to reflect current requirements in accordance with the developments in the operating environment.

This part of the report covers the financial impact that could arise from market risk, credit risk and liquidity risk, the most important elements of the financial risk that the Group is subject to.

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41.2 Risk management framework

The Board of Directors have overall responsibility for the establishment and oversight of the Group's risk management framework. The Board is supported by the Board of management and the Audit committee in managing all risks affecting the Group. The Group audit committee is assisted in its oversight role by Group's internal audit. Internal audit undertakes both regular and ad hoc reviews of risk management controls and procedures the results of which is reported to the audit committee. Central Treasury Department of the Holding Company also implement and carries out specific risk management policies laid down and approved by the management. Central Treasury in close co-corporation with the Group's operating units identifies, evaluates and formulates principle for risk management covering specific areas such as foreign exchange risk and interest rate risk.

41.3 Credit risk

Credit risk is the risk that a counter party will not meet its obligations under a financial instrument or customer contract, leading to a financial loss. The Group is exposed to credit risk from its operating activities (primarily trade receivables) and from its financing activities, including deposits with banks, foreign exchange transactions and through the use of other financial instruments.

Credit risk exposure

The Group's maximum exposure to credit risk as at the year end based on the carrying value of financial assets in the statement of financial position is given below. The maximum credit risk of the Group and the Company is limited to the carrying value of these financial assets as at the reporting date.

	Group				Company			
As at	31.03.2024		31.03.2023		31.03.2024		31.03.2023	
	Rs. '000	Allocation %	Rs. '000	Allocation %	Rs. '000	Allocation %	Rs. '000	Allocation %
Financial assets								
Financial assets at fair value through OCI								
Other financial assets - unquoted equity shares	250,254	2%	272,494	2%	-	-	-	-
Financial assets at amortised cost								
Other financial assets - unquoted debt securities and unsecured loans	725,524	6%	799,459	6%	725,524	28%	799,459	39%
Bank deposits	4,029,660	31%	4,478,774	31%	260,371	9%	357,733	18%
Trade and other receivables	3,148,425	24%	2,419,605	17%	135,127	5%	86,308	4%
Amount due from holding company	1,068,116	8%	146,435	1%	-	0%	-	0%
Amount due from parent's group entities	1,386,708	11%	939,895	7%	1,366,866	52%	603,407	30%
Cash and cash equivalents	2,297,233	18%	5,262,311	36%	147,562	6%	186,710	9%
Total credit exposure	12,905,920	100%	14,318,973	100%	2,635,450	100%	2,033,617	100%

The Board of Directors has provided the policy direction for the Central Treasury Department of the Holding Company to manage the risk arising from investments made in financial institutions. The Group's transactions are carried out only with a limited number of institutions all of which have stable credit ratings from internationally recognised rating providers. The Group's exposures and credit ratings of counterparties are continuously monitored and the investment portfolio is diversified amongst several institutions to minimise the unsystematic risk.

Credit Exposure on receivables

Trade receivables

The Group's maximum exposure to credit risk on trade receivables as at the year end based on the carrying value in the statement of financial position is given below:

		Group		Company	
As at		31.03.2024	31.03.2023	31.03.2024	31.03.2023
	Note	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Trade receivables	24	3,156,294	2,434,181	132,907	83,407
Provision of impairment		(138,774)	(144,930)	(838)	(330)
Total		3,017,520	2,289,251	132,069	83,077

The Group's exposure to credit risk is influenced mainly by the individual characteristics of each customer. However, management also considers various statistics of the Group's customer base, including the default risk, business relationships with due attention given to past performances, stability in the industry and creditworthiness, as these factors may have an influence on credit risk.

In monitoring customer credit risk customers are grouped according to their business volumes and consider separately for granting credit limits. Some customers are graded as "high risk" based on the credit worthiness established through past experience. Such customers are monitored carefully and future sales are made on a prepayment basis.

The Group has established a credit policy under which each new customer is analysed individually for creditworthiness. The Group's review includes obtaining bank guarantees (collaterals) and references. As at the reporting date value of collaterals obtained from customers amounted to Rs. 1 Mn. Credit limits are established for each customer and these limits are reviewed frequently. Customers that fail to meet the Group's benchmark creditworthiness may transact with the Group only on a prepayment basis.

Impairment losses

Impairment for trade receivables is established based on expected credit loss method. The main component of this allowance is a specific loss component that relates to individually significant exposures based on aging of the outstanding's. The loss rate calculated based on the historical provision matrix is adjusted based on the future calibrated probability of default and the loss given default. Forward looking factors that affect customer default rates and macro economic data such as GDP are considered in calculating the probability of default.

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The aging of trade receivables - out side the Group as at the reporting date was:

As at	Group		Company	
	31.03.2024 Rs.'000	31.03.2023 Rs.'000	31.03.2024 Rs.'000	31.03.2023 Rs.'000
Less than 30 days	2,428,090	1,986,657	87,449	62,125
30-60 days	477,916	236,235	30,660	17,622
60-90 days	76,044	59,812	11,654	1,625
90-180 days	73,884	55,781	9,301	2,500
180-365 days	12,021	3,619	971	475
more than 365 days	124,466	122,024	895	285
Advances received	(36,127)	(29,947)	(8,023)	(1,225)
Total gross trade receivables	3,156,294	2,434,181	132,907	83,407
Impairment provision on trade receivables				
- Life time ECL - credit impaired	(124,466)	(122,024)	(895)	(285)
- Life time ECL - not credit impaired	(14,308)	(22,906)	57	(45)
Carrying value of net trade receivables	3,017,520	2,289,251	132,069	83,077

The movement in the allowance for impairment in respect of trade receivables during the year was:

	Group		Company	
	2023/2024 Rs.'000	2022/2023 Rs.'000	2023/2024 Rs.'000	2022/2023 Rs.'000
Balance as at 01st April	144,930	207,498	330	1,038
Impairment provision - recognised for the year	6,709	(90,680)	508	(708)
Effect of movement in exchange rate	(12,865)	28,112	-	-
Balance as at 31st March	138,774	144,930	838	330

- Short term bank deposits

The Group has a number of bank deposits in Sri Lankan rupees and other currencies. These deposits have been placed in several banks in order to minimise the credit risk in accordance with the policy directions provided by the Board. In order to further minimise the credit risk, the Group's exposure and credit ratings of banks are regularly monitored and a diversified investment portfolio is maintained. In the event of any weakening of credit metrics of a bank the Group may decide to liquidate its investments and move to an institution with a higher credit rating.

The Group's maximum exposure to credit risk on term deposits as at the year end based on the carrying value in the statement of financial position is given below.

As at	Group				Company			
	31.03.2024		31.03.2023		31.03.2024		31.03.2023	
	Rs. '000	Allocation %	Rs. '000	Allocation %	Rs. '000	Allocation %	Rs. '000	Allocation %
Government owned banking institutions	1,637,722	41%	505,507	11%	-	0%	-	0%
Commercial banks *	2,391,938	59%	3,973,267	89%	260,371	100%	357,733	100%
Total	4,029,660	100%	4,478,774	100%	260,371	100%	357,733	100%

* Commercial banks - Investments made with other commercial banks consist of fixed deposits and term deposits held with private commercial banks.

Short term bank deposits and credit ratings of the banks

As at	Group				Company			
	31.03.2024		31.03.2023		31.03.2024		31.03.2023	
	Rs. '000	Allocation %	Rs. '000	Allocation %	Rs. '000	Allocation %	Rs. '000	Allocation %
Fitch ratings								
AAA	879,683	22%	1,502,288	34%	-	0%	69,476	19%
A	3,149,977	78%	2,976,486	66%	260,371	100%	288,257	81%
	4,029,660	100%	4,478,774	100%	260,371	100%	357,733	100%

- Cash and cash equivalents

The Group limits its exposure to credit risk by investing only in liquid instruments with reputed banking Institutions. The Group also use broad investment portfolio and limit investments with a single counterparty.

41.4 Liquidity risk

Liquidity risk is the risk that the Group will encounter difficulty in meeting the obligations associated with its financial liabilities that are settled by delivering cash or another financial asset. The Group's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group's reputation.

A shortage of liquidity would have a negative impact on stakeholder confidence in a business entity and hampers its operations. The Group has ensured that it maintains sufficient liquidity reserves to meet all its operational and investment requirements by closely monitoring and forecasting future funding needs and securing funding sources for both regular and emergency requirements. Shortening the working capital cycle is one of the main practices preferred in ensuring that there is sufficient liquidity at a given time. Adequate short-term working capital facilities provided by banks are available to all the Group companies which are utilised in the event of a requirement. These facilities are available at favourable rates and have been mostly provided without collateral. The Group maintains a constant dialogue with the banking sector institutions to ensure that there are sufficient working capital facilities available whenever required and closely monitors their utilisation.

The Group continuously prepares and monitors rolling cash flow forecasts and access the liquidity requirements of each operating unit to ensure it has sufficient cash to meet operational needs. Regular reviews are also carried out to check actual performance against budgeted targets.

Surplus cash held by the operating units over and above balance required for working capital management are invested in interest bearing term deposits or with treasury department of the parent company. At the reporting date, the Group held term deposits that are expected to readily generate cash inflows for managing liquidity risk of liabilities as at the reporting date.

The Group considered that Cash flow scrutiny is paramount in the days and months ahead and has adopted a disciplined approach across the Group for preserving and increasing liquidity, particularly on account of the impact of prevailing macro economic conditions.

Maturity analysis - Group

The table below summarises the maturity profile of the Group's financial liabilities at 31st March 2024 based on contractual undiscounted payments.

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As at 31st March 2024		Contractual undiscounted cash flows						
	Carrying Amount	On demand	Less than 3 months	3 to 12 months	1 to 2 years	2 to 5 years	More than 5 years	Total
	Rs.'000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial liabilities								
Interest bearing liabilities- banks	34,255,447	-	2,154,342	6,554,200	12,479,639	14,839,658	7,589,051	43,616,890
Interest bearing liabilities- leases	12,483,509	-	514,272	1,537,485	1,722,956	2,229,204	17,983,026	23,986,943
Trade payables	1,503,995	1,503,995	-	-	-	-	-	1,503,995
Other provisions and payables	3,900,571	3,900,571	-	-	-	-	-	3,900,571
Amount due to holding company	2,531,875	2,531,875	-	-	-	-	-	2,531,875
Amount due to parent's group entities	75,377	75,377	-	-	-	-	-	75,377
Short term bank borrowings	5,618,695	5,618,695	-	-	-	-	-	5,618,695
	60,369,469	13,630,513	2,668,614	8,091,685	14,202,595	17,068,862	25,572,077	81,234,346

The table below summarises the maturity profile of the Group's financial liabilities at 31st March 2023 based on contractual undiscounted payments.

As at 31st March 2023		Contractual undiscounted cash flows						
	Carrying Amount	On demand	Less than 3 months	3 to 12 months	1 to 2 years	2 to 5 years	More than 5 years	Total
	Rs.'000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial liabilities								
Interest bearing liabilities- banks	42,702,956	-	2,459,992	7,175,043	8,900,284	26,043,738	10,675,139	55,254,196
Interest bearing liabilities- leases	15,010,510	-	557,187	1,672,715	2,230,017	3,488,980	20,365,103	28,314,002
Trade payables	1,559,571	1,559,571	-	-	-	-	-	1,559,571
Other provisions and payables	4,139,331	4,139,331	-	-	-	-	-	4,139,331
Amount due to holding company	1,313,017	1,313,017	-	-	-	-	-	1,313,017
Amount due to parent's group entities	204,269	204,269	-	-	-	-	-	204,269
Short term bank borrowings	7,946,332	7,946,332	-	-	-	-	-	7,946,332
	72,875,986	15,162,520	3,017,179	8,847,758	11,130,301	29,532,718	31,040,242	98,730,718

Maturity analysis - Company

The table below summarises the maturity profile of the Company's financial liabilities at 31st March 2024 based on contractual undiscounted payments.

As at 31st March 2024		Contractual undiscounted cash flows						
	Carrying Amount	On demand	Less than 3 months	3 to 12 months	1 to 2 years	2 to 5 years	More than 5 years	Total
	Rs.'000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial liabilities								
Interest bearing liabilities- banks	535,331	-	62,609	213,750	342,225	-	-	618,584
Trade payables	42,572	42,572	-	-	-	-	-	42,572
Other provisions and payables	64,476	64,476	-	-	-	-	-	64,476
Amount due to holding company	1,609,944	1,609,944	-	-	-	-	-	1,609,944
Short term bank borrowings	337,053	337,053	-	-	-	-	-	337,053
	2,589,376	2,054,045	62,609	213,750	342,225	-	-	2,672,629

The table below summarises the maturity profile of the Company's financial liabilities at 31st March 2023 based on contractual undiscounted payments.

As at 31st March 2023	Contractual undiscounted cash flows							
	Carrying Amount	On demand	Less than 3 months	3 to 12 months	1 to 2 years	2 to 5 years	More than 5 years	Total
	Rs.'000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial Liabilities								
Interest bearing liabilities- banks	712,486	-	57,446	167,218	249,392	353,878	-	827,934
Trade payables	26,772	26,772	-	-	-	-	-	26,772
Other provisions and payables	85,849	85,849	-	-	-	-	-	85,849
Amount due to holding company	502,434	502,434	-	-	-	-	-	502,434
Amount due to parent's group entities	19,830	19,830	-	-	-	-	-	19,830
Short term bank borrowings	168,939	168,939	-	-	-	-	-	168,939
	1,516,310	803,824	57,446	167,218	249,392	353,878	-	1,631,758

41.5 Market risk

Fluctuations of those market driven variables that affect cashflows arising from financial instruments can result in the actual outcome being different to expected cashflows thereby creating the market risk. Variables such as interest rates and exchange rates can move in directions different to those originally expected and the consequent cashflows could be different to the originally anticipated cashflows.

Market risk could result in the revenues and expenses of the Group being adversely affected and impacting the profit attributable to shareholders. In order to identify, manage and minimise the market risk, the Group has put into practice a number of policies and procedures.

Market prices comprise of the following risks:

- Currency risk (foreign exchange risk)
- Interest rate risk
- Equity price risk

41.5.1 Currency risk

The currency risk arises when a financial transaction is denominated in a currency other than that of the reporting currency of an entity. The Group has exposure to foreign currency risk where it has cash flows in overseas operations and foreign currency transactions which are affected by foreign exchange movements.

Transaction exposure arises where there are contracted cashflows (receivables and payables) of which the values are subject to unanticipated changes in exchange rates due to contracts being denominated in a foreign currency. Translation exposure occurs due to the fluctuations in foreign exchange rates and arises to the extent to which financial reporting is affected by exchange rate movements when the reporting currency is different to those currencies in which revenues, expenses, assets and liabilities are denominated.

Foreign currency sensitivity

As the Group transacts in many foreign currencies other than the Sri Lankan rupee which is the reporting currency, it is exposed to currency risk on revenue generation, expenses, investments and borrowings. The Group has significant investments in the Maldives, India, Oman where the net assets are exposed to foreign currency translation risk. Revenue generations and expenses incurred in foreign currency are exposed to foreign currency transaction risk.

The Group has investment in foreign operations, whose net assets are exposed to foreign currency translation risk. Currency exposure arising from the net assets of the Group's foreign operations is managed, primarily through borrowings denominated in the relevant foreign currencies. The total interest bearing borrowings of the Group denominated in USD amounted to Rs. 21,824 Mn. (31-03-2023 - Rs. 27,123.1 Mn) The total interest bearing borrowings of the Group denominated in EURO amounted to Rs. 9,302.5 Mn.(31-03-2023 - Rs. 11,994.1 Mn)

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All overseas investments is mostly financed through USD denominated borrowings. The translation exposure resulting from USD borrowings has been minimised to a high degree through these investments. However for purposes of disclosure the exposure for currency risk is only provided on Group's foreign currency denominated financial instruments.

The Group actively evaluates the possibility of employing hedge accounting to mitigate the exposure to currency risk by designating an effective relationship between foreign currency denominated transaction with assets or liabilities. Hedge accounting enables to minimise the timing differences in recognising foreign currency translation impact to the income statement or other comprehensive income statement and to effectively capture the economic substance of the transaction. Group's significant portion of the foreign currency borrowings (EURO denominated borrowings) have been made by the Group companies with incomes in foreign currencies.

The Sri Lankan Rupee (LKR) experienced significant volatility against the US Dollar (USD) during the first half of the financial year. However during the 3rd quarter, there were signs of stabilisation in the exchange rate. As the 3rd quarter progressed, LKR appreciated steadily against the US Dollar. Overall, the LKR strengthened by 8.16% against the USD during the financial year. To account for this fluctuating exchange rate, a 10% threshold is used in sensitivity analysis for this year. In comparison, last year's more volatile exchange rate necessitated a higher fluctuation rate of 15% for sensitivity analysis.

Significant movement in exchange rates during the year ended 31st March 2024

	Lowest Level		Highest Level		Spread	Year end rate
	Rate	Date	Rate	Date		
USD/LKR	290.55	01.06.2023	330.44	26.07.2023	39.88	300.44
EUR/LKR	310.8	01.06.2023	365.64	27.07.2023	54.84	326.03

41.5.1.1 Effect on profit before tax

	Group			Company		
	USD denominated net financial assets/(liabilities)	EURO denominated net financial assets/(liabilities)	GBP denominated net financial assets/(liabilities)	USD denominated net financial assets/(liabilities)	EURO denominated net financial assets/(liabilities)	GBP denominated net financial assets/(liabilities)
	in USD '000	in EURO '000	in GBP '000	in USD '000	in EURO '000	in GBP '000
As at 31st March 2024						
Foreign currency exposure	71,010	(27,440)	121	1,194	112	61
LKR depreciated by 10% (Rs.'000)	2,133,411	(894,612)	4,614	35,867	3,643	2,319
LKR appreciated by 10% (Rs.'000)	(2,133,411)	894,612	(4,614)	(35,867)	(3,643)	(2,319)
As at 31st March 2023						
Foreign currency exposure	4,922	(32,913)	5	1,560	6	0
LKR depreciated by 15% (Rs.'000)	241,552	(1,763,005)	303	76,565	310	14
LKR appreciated by 15% (Rs.'000)	(241,552)	1,763,005	(303)	(76,565)	(310)	(14)

41.5.1.2 Effect on equity

	Group	Company
	in USD '000	in USD '000
As at 31st March 2024		
Foreign currency exposure	136,576	-
LKR depreciated by 10% (Rs.'000)	4,103,293	-
LKR appreciated by 10% (Rs.'000)	(4,103,293)	-
As at 31st March 2023		
Foreign currency exposure	127,001	-
LKR depreciated by 15% (Rs.'000)	6,232,089	-
LKR appreciated by 15% (Rs.'000)	(6,232,089)	-

41.5.1.3 Cash flow hedge

A subsidiary company in the Group designated a hedge relationship between its highly probable EURO denominated sales and its foreign currency denominated borrowings.

The risk management objective of the cash flow hedge is to hedge the risk of variation in the foreign currency exchange rates associated with EURO currency denominated forecast sales. The risk management strategy is to use the foreign currency variability (gains /losses) arising from revaluation of the foreign currency borrowing attributable to change in the spot foreign exchange rates to off-set the variability, due to foreign exchange rate movements, on LKR conversion of EURO denominated forecast sales.

The effective portion of the gain or loss on the hedging instrument is recognised in the Other Comprehensive Income Statement (OCI) and any ineffective portion is recognised immediately in the Income Statement.

The amount recognised in Other Comprehensive Income is transferred to the Income Statement when the hedge transaction occurs (when the forecasted revenue is realised). If the forecast transaction is no longer expected to occur, the cumulative gain or loss previously recognised in Other Comprehensive Income is transferred to the Income Statement.

Cash flow hedge reserve reflects the effective portion of the gain or loss on the hedging instrument. The cash flow hedging reserve as at 31 March 2024 represents the foreign currency variability arising from revaluation of the foreign currency borrowings attributable to change in the spot LKR/EUR rate that is expected to be set off from the variability of exchange rates from highly probable EURO denominated sales (Named "All Inclusive" apartment revenue) expected to occur from 1st quarter of 2017/18 upto the tenor of refinanced borrowings.

Hedging instrument - Foreign currency borrowing of EURO 40 Mn in January 2017 out of which EURO 34.1 Mn has been designated for the hedge from April 2017.

Further, outstanding balance of EURO 32.6 Mn as at 31 March 2018 has been refinanced effective from the 1st quarter of 2018/19 for an extended tenor .

Hedged item – Highly probable EURO denominated sales (Named "All Inclusive" apartment revenue) expected to occur from April 2017 to March 2029.

During the year, the effective portion of the hedging instrument being a gain of Rs. 1,501.5 Mn (2022/2023 - loss of Rs. 418 Mn) was recognised in the other comprehensive income statement (OCI) and the ineffective portion being a loss of Rs. 15.2 Mn (2022/2023 - loss of Rs. 84.3 Mn) relating to current financial year and future periods were recognised in the income statement under net foreign exchange gain/ (loss) in other operating income of the subsidiary financial statement for the year ended 31st March 2024.

In respect of the cash flow hedge instrument, Group recognised Rs. 2,208.2 Mn (2022/2023- Rs. 3,109.1 Mn) under cash flow hedge reserve being the Group's portion of the fair value loss recognised by the subsidiary.

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Cash flow hedge reserve

	Group		Company	
	2023/2024	2022/2023	2023/2024	2022/2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Balance as at 01st April	(3,109,161)	(2,858,488)	-	-
Net movement in cash flow hedge reserve	900,930	(250,673)	-	-
Balance as at 31st March	(2,208,231)	(3,109,161)	-	-

41.5.2 Interest rate risks

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Group's exposure to the risk of changes in market interest rates relates primarily to the Group's long-term debt obligations with floating interest rates.

The Central Bank of Sri Lanka (CBSL) continued the tightening of monetary policy stance during current financial year, resulting in a sharp upward trend in the first half of the financial year, particularly with the uncertainty of a domestic debt restructuring being factored in to secondary market yields on Government Securities. The shortage of liquidity in the first half of the financial year further put pressure on market interest rates. There was a decrease in interest rates in the last three months of the financial year on account of the reduced Government debt financing requirements and improved liquidity position in the country.

The Group's investment portfolio consists of a range of financial instruments with both fixed and variable interest rates such as treasury bills and treasury bonds which are subject to interest rate risk. Liabilities with variable interest rates such as AWPLR, LIBOR, SOFR and EURIBOR linked borrowings would expose the Group to cashflow risk as the amount of interest paid would change depending on the changes in market interest rates. Investments with fixed interest rates would expose the Group to variations in fair values during the marking to market of portfolios. Suitable strategies are used by the Central Treasury Department of the Holding Company to manage the interest rate risks in portfolio investments. The use of long-term interest rate forecasts to determine the most suitable duration of investments with the objective of overcoming the re-investment risk as well as to minimise any adverse impact in marking to market of the portfolio is one of the often used strategies. Interest rate swaps could be used when there is a need to hedge the risks on debt instruments with variable rates. Close monitoring of market trends is carried out to improve the accuracy of such decisions.

The Group treasury department of the parent company monitors the interest rate environment on a continuous basis to advise the sector finance managers on the most suitable strategy with regard to borrowings. The Group usually negotiates long term borrowings during the periods in which interest rates are low in order to extend the favourable impact to future reporting periods.

Interest rate sensitivity

At the reporting date the interest rate sensitivity analysis of interest-bearing financial instruments of the Group and Company are given below. This analysis depicts the impact of the probable movement in interest rate on profit before tax with all other variables held constant. Due to the significant volatility in interest rates observed during the financial year and thereafter, a fluctuation of 1,000 basis points is considered for the sensitivity analysis for LKR financial liabilities as at reporting date, similar to the last year. In line with observed trend in the market, sensitivity threshold for USD financial liabilities is decreased to 25 basis points from last year's 250 basis points.

Significant movement in interest rates during the year ended 31st March 2024

	Lowest Level		Highest Level		Spread	Year end rate
	Rate	Date	Rate	Date		
LKR Interest rate - AWPLR (Weekly)	10.69	24-Mar	22.63	23-Apr	1,194	10.69
USD Interest rate - Term SOFR (3 Month)	4.895	23-Apr	5.426	23-Oct	53	5.298

Financial year 2023/2024	Group			Company		
	Exposure (Rs.'000)	Increase/ decrease in basis points	Effect on Profit before Tax	Exposure (Rs.'000)	Increase/ decrease in basis points	Effect on Profit before Tax
Sri Lanka rupee borrowings (Interest linked to AWPLR)	1,497,813	+1000	149,781	535,332	+1000	53,533
USD loans (SOFR)	20,922,939	+25	5,231	-	+25	-
Sri Lanka rupee borrowings	1,497,813	-1000	(149,781)	535,332	-1000	(53,533)
USD loans (SOFR)	20,922,939	-25	(5,231)	-	-25	-

Financial year 2022/2023	Group			Company		
	Exposure (Rs.'000)	Increase/ decrease in basis points	Effect on Profit before Tax	Exposure (Rs.'000)	Increase/ decrease in basis points	Effect on Profit before Tax
Sri Lanka rupee borrowings (Interest linked to AWPLR)	1,674,333	-1000	167,433	665,076	-1000	66,508
USD loans (LIBOR and SOFR)	26,324,339	-250	658,108	-	-250	-
Sri Lanka rupee borrowings	1,674,333	+1000	(167,433)	665,076	+1000	(66,508)
USD loans (LIBOR and SOFR)	26,324,339	+250	(658,108)	-	+250	-

Constant monitoring of market interest rates is carried out to ensure appropriate steps are taken to maximise the return on financial management and to minimise the cost of borrowings. Group very strongly negotiates with banks and obtains best possible interest rates for the Group's borrowings. Listed below are steps adopted by the Group to minimise the effect of interest rate risks:

- 1 Entering into loans with interest rate caps and fixed rates.
- 2 Re - negotiating with banks on interest rates when ever there are favourable fluctuations in the market rates.

41.5.3 Equity prices

The Group has adopted the policy that its investment in subsidiaries, joint ventures and associate companies are recorded at cost as per LKAS 27 and 28 standards and therefore are scoped out from the Sri Lanka Accounting Standards, SLFRS 9 - Financial Instruments. Equity investments non quoted are carried in the Consolidated Statement of Financial Position as financial assets at fair value through OCI. Both quoted and non quoted investments are fair valued as at each reporting date.

A sensitivity analysis of the above has not been carried out as the Group's exposure to such is not material.

42 FINANCIAL CAPITAL MANAGEMENT

The Group's objectives when managing capital are to safeguard the Group's ability to continue as a going concern in order to provide returns for shareholders and benefits for other stakeholders and to maintain an optimal capital structure to reduce the cost of the capital.

The capital of the company consist of the following:

Equity Capital

- Ordinary share capital
- Preference share capital

Debt

- Long term borrowings

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	Group		Company	
As at,	31.03.2024	31.03.2023	31.03.2024	31.03.2023
Debt to Equity ratio (times)	0.94	1.22	0.05	0.07

The Group monitors capital on the basis of the debt to equity ratio. This ratio is calculated based on the long term interest bearing debt and preference shares divided by total equity capital. Total debt consist of total non current borrowings and preference share capital excluding lease liabilities and total equity consist of total equity including minority interest excluding preference shares capital. The following factors are also objectively taken into consideration in managing capital of the Group.

1. Maintain sufficient capital to meet minimum regulatory requirements. (Companies Act)
2. Maintain strong equity base as opposed to debt capital
3. Group's future developments, investments and business strategies
4. Group cash flow projections and ability to pay higher returns to shareholders

When capital is not available in adequate quantities or at a reasonable cost, it can have an adverse impact on the performance of the Group. The management being conscious of these factors, has implemented the capital management policy to ensure the long-term sustainability and competitiveness of the Group. Ensuring that there is no idle capital which will act as a drag on the returns generated is another factor that is considered. Excessive capital invested in a business will have a dampening impact on the performance while insufficient level of capital will prevent an organisation from achieving its long-term objectives.

Sourcing of debt is carried out after careful and detailed analysis of lender proposals. Important factors such as the tenure of the loans, interest rates, capital repayment terms including grace periods and repayment amounts and other terms and conditions including covenants are taken into consideration when deciding. Minimising the weighted average cost of capital is one of the key considerations in determining sourcing options. The Group's debt is denominated in Sri Lankan rupees as well as foreign currencies such as US dollar, Euro, and Oman Riyal. Foreign currency denominated loans have been taken mainly by the companies with foreign exchange earnings in order to take advantage of the relatively low interest rates.

43 DIRECTOR'S FEES

The Director's fees of the Group for the year ended 31st March 2024 is nil. (2022/2023 - Rs. nil)

44 RELATED PARTY TRANSACTIONS

Aitken Spence Hotels Holdings Group carries out transactions in the ordinary course of business with parties who are defined as related parties as per Sri Lanka Accounting Standard LKAS 24 - Related Party Disclosures, which are transacted at normal business terms. The pricing policy applicable to such transactions are comparable with those that would have been charged from unrelated companies.

Deshamanya D.H.S. Jayawardena, the Chairman of the Company, is also the Chairman of the parent company; Aitken Spence PLC and Aitken Spence Hotel Managements Asia (Pvt) Ltd. He is also the Chairman of Browns Beach Hotels PLC and Negombo Beach Resorts (Pvt) Ltd which are equity accounted investees of the Group and the Chairman of Distilleries Company of Sri Lanka PLC, DCSL Breweries Lanka Limited, Stassen Exports (Pvt) Ltd, Stasson Foods (Pvt) Ltd, Lanka Milk Foods (CWE) PLC, Lanka Bell (Pvt) Ltd, Bell Solutions (Pvt) Ltd, Periceyl (Pvt) Ltd, Lanka Diaries (Pvt) Ltd, Pattipola Live Stock Company Ltd, Ambewela Products (Pvt) Ltd, Melstacorp PLC, Melsta Laboratories Pvt) Ltd, Continental Insurance Lanka Ltd and Formula World (Pvt) Ltd. He is also a Director of Ace Power Embilipitiya (Pvt) Ltd. Transactions carried out by the Group with these companies in the ordinary course of business are disclosed in Note. No. 44.1.1, 44.1.2, 44.1.3 , 44.1.4 and 44.1.5.

Dr. M.P Dissanayake who is the Deputy Chairman and Managing Director of the Company, is also the Deputy Chairman and Managing Director of the parent company; Aitken Spence PLC. He is also a Director for Browns Beach Hotels PLC and Aitken Spence Hotel Managements (Pvt) Ltd which are equity accounted investees of the Group. He is also a Director of Aitken Spence Hotels International (Pvt) Ltd, Aitken Spence Hotels Ltd, Kandalama Hotels (Pvt) Ltd, Ahungalla Resorts Ltd, Hethersett Hotels Ltd, Turyaa (Pvt) Ltd and Meeraladuwa (Pvt) Ltd which are subsidiaries of the Group. He is also a Director of Aitken Spence Travels (Pvt) Ltd, Ace Containers (Pvt) Ltd, Aitken Spence Cargo (Pvt) Ltd, Ace Cargo (Pvt) Ltd, Aitken Spence Garments Ltd, Aitken Spence Ports International (Pvt) Ltd, Aitken Spence Agriculture (Pvt) Ltd, Aitken Spence Shipping (Pvt) Ltd, Aitken Spence Maritime (Pvt) Ltd, Ace Distriparks (Pvt) Ltd, Aitken Spence Industrial Solutions

(Pvt) Ltd, Aitken Spence Printing and Packaging (Pvt) Ltd, Aitken Spence International Pte. Ltd, Global Parcel Delivery (Pvt) Ltd, Aitken Spence Aviation (Pvt) Ltd, Aitken Spence Elevators (Pvt) Ltd, Aitken Spence Industrial Solutions (Pvt) Ltd, Spence Shipping and Cargo Logistics (Pvt) Ltd, Aitken Spence Property Developments (Pvt) Ltd, Hapag Lloyd Lanka (Pvt) Ltd, Spence Maldives (Pvt) Ltd, Ace Aviation Services Maldives (Pvt) Ltd, Ace Power Embilipitiya (Pvt) Ltd and Elpitiya Plantations PLC. Transactions carried out by the Group with these companies in the ordinary course of business are disclosed in Note No. 44.1.1, 44.1.2, 44.1.3 and 44.1.4.

Ms. D.S.T Jayawardena who is the Joint Deputy Chairperson/Joint Managing Director of the Company, is also the Joint Deputy Chairperson/Joint Managing Director of the parent company; Aitken Spence PLC. She is also the Chairperson of Aitken Spence Hotel Managements (Pvt) Ltd which is an equity accounted investee of the Group. She is also the Chairperson of Aitken Spence Hotels Ltd, Turyaa (Pvt) Ltd, Kandalama Hotels (Pvt) Ltd, Hethersett Hotels Ltd, Meeraladuwa (Pvt) Ltd and also a Director of Ahungalla Resorts Ltd and Aitken Spence Hotel Managements Asia (Pvt) Ltd, which are subsidiaries of the Group. She is also a Director of Paradise Resorts Passikudah (Pvt) Ltd, Browns Beach Hotels PLC, and Negombo Beach Resorts (Pvt) Ltd, which are equity accounted investees of the Group. She is also a Director of Aitken Spence Exports (Pvt) Ltd, Aitken Spence Travels (Pvt) Ltd, which is a subsidiary of Aitken Spence PLC. Further, she is also a Director of Distilleries Company of Sri Lanka PLC, DCSL Breweries Lanka Limited, Stassons Foods (Pvt) Ltd, Stassons Exports (Pvt) Ltd, Lanka Milk Foods (CWE) PLC, Lanka Dairies (Pvt) Ltd, Pattipola Livestock Company Ltd, Ambewela Products (Pvt) Ltd, and Ambewela Livestock Company Ltd. Transactions carried out by the Group with these companies in the ordinary course of business are disclosed in Note No 44.1.1, 44.1.2, 44.1.3, 44.1.4 and 44.1.5.

Mr. C.M.S Jayawickrama a Director of the Company is also the Managing Director of Aitken Spence Hotel Managements (Pvt) Ltd; which is an equity accounted investee of the Group, and a Director of Aitken Spence Hotels Ltd, Turyaa (Pvt) Ltd, Kandalama Hotels (Pvt) Ltd, Hethersett Hotels Ltd, Meeraladuwa (Pvt) Ltd, Ahungalla Resorts Ltd and Aitken Spence Hotels International (Pvt) Ltd and, which are subsidiaries of the Group. Mr. C.M.S Jayawickrama is also a Director of Negombo Beach Resorts (Pvt) Ltd and Paradise Resorts Passikudah (Pvt) Ltd, which are equity accounted investees of the Group. He is also a Director of Aitken Spence Exports (Pvt) Ltd and Interlifts International (Pvt) Ltd which are subsidiaries of Aitken Spence PLC. Transactions carried out by the Group with these companies in the ordinary course of business are disclosed in Note No. 44.1.2 and 44.1.3 and 44.1.4.

Mr. J.M.S. Brito, who is non Executive Director of the Company, is also a Director of the parent company; Aitken Spence PLC. Transactions carried out by the Group with these companies in the ordinary course of business are disclosed in Note No. 44.1.1.

Mr. R. N. Asirwatham who is a Non Executive Director of the Company, is also a Director of the parent company; Aitken Spence PLC. He is also a Director of Browns Beach Hotels PLC, Royal Ceramics Lanka PLC and Ceylon Grain Elevators PLC. Transactions carried out by the Group with these companies in the ordinary course of business are disclosed in Note No. 44.1.1, 44.1.3 and 44.1.5.

R. N.J. De S Deva Adithya who is a Non Executive Director of the Company, is also a Director of the parent company; Aitken Spence PLC. He is also a Director of Distilleries Company of Sri Lanka PLC and Melstacorp PLC. Transactions carried out by the Group with these companies in the ordinary course of business are disclosed in Note No. 44.1.1 and 44.1.5.

Mr. C.H. Gomez who is a Non Executive Director of the Company, is also a Director of the parent company; Aitken Spence PLC. Transactions carried out by the Group with these companies in the ordinary course of business are disclosed in Note No. 44.1.1.

Mr. M.A.N.S. Perera who is a Non Executive Director of the Company, is a Director of Aitken Spence PLC, Browns Beach Hotels PLC, Paradise Resorts Passikudah (Pvt) Ltd, Distilleries Company of Sri Lanka PLC, DCSL Breweries Lanka Limited, Lanka Bell (Pvt) Ltd, Bell Solutions (Pvt) Ltd, Periceyl (Pvt) Ltd and Formula World (Pvt) Ltd. Transactions carried out by the Group with these companies in the ordinary course of business are disclosed in Note No. 44.1.1, 44.1.3 and 44.1.5.

Dr. R.A. Fernando was appointed as a Non Executive Director of the Company with effect from 10th January 2024. He is also a Director of Melstacorp PLC, Distilleries Company of Sri Lanka PLC and DCSL Breweries Lanka Limited. Transactions carried out by the Group with these companies in the ordinary course of business are disclosed in Note No. 44.1.5.

Mr. G.P.J Goonewardena who was a Non Executive Director of the Company until his demise on 18th November 2023.

Details of transactions carried out by the Group with related parties and outstanding balances with the related parties are given in Note No. 44.1.1 to 44.1.5.

NOTES TO THE FINANCIAL STATEMENTS

44.1 Details of transactions carried out with related companies

Name of the Related Party	Relationship	Nature of transaction	Group		Company	
			Terms of the transaction	Transaction Value	Outstanding As at 31.03.2024	Outstanding As at 31.03.2024
				Rs. '000	Rs. '000	Rs. '000
44.1.1 Transactions with parent company						
Aitken Spence PLC	Parent Company	Interest income earned	Market terms	38,948	-	-
		Interest expense paid	Market terms	326,391	-	203,481
		Lease rent paid	Contractual payment	3,562	-	-
		Corporate guarantee fees paid	Market terms	81,127	-	81,127
		Fees paid for services	Market terms	346,573	(2,531,875)	34,803 (46,216)
		Payment made on allocation of expenses	Market terms	2,897	-	435
		Sale of goods and services	Market terms	5,037	-	1,590
		Net borrowings/withdrawals of short term funds	Market terms	148,415	1,068,116	1,087,154 (1,563,728)
44.1.2 Transactions with subsidiaries						
Aitken Spence Hotels International (Pvt) Ltd	Subsidiary	Settlements of short term advances	Market terms	-	-	304,958 207,016
Aitken Spence Hotel Managements Asia (Pvt) Ltd	Subsidiary	Interest on advances	Market terms	-	-	14,381
		Allocation of expenses	Market terms	-	-	533
Turyaa (Pvt) Ltd	Subsidiary	Purchase of goods and services and reimbursement of expenses	Market terms	-	-	150
		Sale of goods and services	Market terms	-	-	36
		Net investments of short term funds	Market terms	-	-	(282,000) 310,805
		Interest received	Market terms	-	-	28,805
Ahungalla Resorts Ltd	Subsidiary	Net investments of short term funds	Market terms	-	-	(118,800) 122,952
		Interest received	Market terms	-	-	4,152
Kandalama Hotels (Pvt) Ltd	Subsidiary	Purchase of goods and services	Market terms	-	-	1,622
		Sale of goods and services and reimbursement of expenses	Market terms	-	-	285
Hethersett Hotels Ltd	Subsidiary	Purchase of goods and services	Market terms	-	-	483
Aitken Spence Hotels Ltd	Subsidiary	Sale of goods and services	Market terms	-	-	6
		Purchase of goods and services	Market terms	-	-	35
Meeraladuwa (Pvt) Ltd	Subsidiary	Short term advances	Short term	-	-	136 518

Name of the Related Party			Group		Company	
Name of the Related Party	Relationship	Nature of transaction	Terms of the transaction	Transaction Value	Outstanding As at 31.03.2024	Outstanding As at 31.03.2024
				Rs. '000	Rs. '000	Rs. '000
44.1.3 Transactions with equity accounted investees						
Paradise Resorts Passikudah (Pvt) Ltd	Associate	Sale of goods and services and reimbursement of expenses	Market terms	4,260	595	26
		Reimbursement of expenses	Market terms	482	-	-
Negombo Beach Resorts (Pvt) Ltd	Associate	Interest income	Market terms	58,319	58,319	-
		Net borrowings/(investments) of short term funds	Market terms	(556,000)	609,864	609,864
		Net borrowings/(investments) of shareholder loan	Market terms	-	725,524	725,524
		Sale of goods and services	Market terms	1,158	-	-
		Purchase of goods and services	Market terms	94	-	-
Browns Beach Hotels PLC	Associate	Sale of goods and services and reimbursement of expenses	Market terms	130	-	130
Aitken Spence Hotel Managements (Pvt) Ltd	Associate	Management fees paid for managing Sri Lankan hotels	Percentage of revenue and profits	339,872	-	45,395
		Central purchasing and merchandising unit handling charges	Market terms	66,667	-	14,848
		Online reservations handling charges	Market terms	53,827	-	3,207
		Allocation of expenses	Market terms	87,731	(70,683)	21,783
		Rent income	Market terms	1,781	-	-
		Provision of restaurant services	Market terms	150	-	-
		Purchase of hotel supplies to maldivian hotels	Market terms	458,568	164,900	-
		Sale of goods and services	Market terms	14,537	-	1,238
44.1.4 Transactions with parent's group entities						
Aitken Spence Travels (Pvt) Ltd	Subsidiary of the Parent Company	Sale of Hotel rooms in the ordinary course of business	Market terms	1,709,488	610,180	451,064
		Purchase of air tickets for overseas travel	Market terms	7,057	-	3,440
Aitken Spence Exports (Pvt) Ltd	Subsidiary of the Parent Company	Purchase of mineral water	Market terms	28,661	(1,014)	8,307
		Reimbursement of expenses received	Market terms	6,408	628	-

NOTES TO THE FINANCIAL STATEMENTS

Name of the Related Party	Relationship	Nature of transaction	Terms of the transaction	Group		Company	
				Transaction Value	Outstanding As at 31.03.2024	Transaction Value	Outstanding As at 31.03.2024
				Rs. '000	Rs. '000	Rs. '000	Rs. '000
Aitken Spence Printing and Packaging (Pvt) Ltd	Subsidiary of the Parent Company	Printing and typesetting hotel promotional literature and annual reports	Market terms	3,258	(419)	1,580	-
Aitken Spence Elevators (Pvt) Ltd	Subsidiary of the Parent Company	Sale of goods and services	Market terms	29	-	-	-
		Repairs and maintenance of hotel elevators	Market terms	17,750	(1,790)	2,560	-
Aitken Spence Industrial Solutions (Pvt) Ltd	Subsidiary of the Parent Company	Repairs and maintenance of hotel elevators	Market terms	199	-	-	-
Ace Aviation Services Maldives (Pvt) Ltd	Subsidiary of the Parent Company	Interest income earned	Market terms	393	-	-	-
Global Parcel Delivery (Pvt) Ltd	Subsidiary of the Parent Company	Courier services	Market terms	1,193	(22)	310	-
Hapag Lloyd Lanka (Pvt) Ltd	Subsidiary of the Parent Company	Sale of goods and services	Market terms	401	33	-	-
Aitken Spence International Consulting (Pvt) Ltd	Subsidiary of the Parent Company	Provision of insurance services	Market terms	22,836	-	-	-
		Sale of goods and services	Market terms	354	132	-	-
Aitken Spence International Pte. Ltd	Subsidiary of the Parent Company	Purchase of goods and services	Market terms	15,534	(331)	-	-
Aitken Spence Garments Ltd	Subsidiary of the Parent Company	Sale of goods and services	Market terms	513	268	132	132

Name of the Related Party	Relationship	Nature of transaction	Terms of the transaction	Group		Company	
				Transaction Value	Outstanding As at 31.03.2024	Transaction Value	Outstanding As at 31.03.2024
				Rs. '000	Rs. '000	Rs. '000	Rs. '000
Ace Cargo (Pvt) Ltd	Subsidiary of the Parent Company	Sale of goods and services	Market terms	164	-	-	-
Ace Containers (Pvt) Ltd	Subsidiary of the Parent Company	Sale of goods and services	Market terms	209	-	-	-
Ace Power Embliipitiya (Pvt) Ltd	Subsidiary of the Parent Company	Sale of goods and services	Market terms	185	-	-	-
Aitken Spence Property Developments (Pvt) Ltd	Subsidiary of the Parent Company	Purchase of services	Market terms	4,142	-	-	-
		Reimbursement of expenses	Market terms	626	-	-	-
Aitken Spence Maritime Ltd	Subsidiary of the Parent Company	Sale of goods and services	Market terms	315	-	-	-
Aitken Spence Shipping Ltd	Subsidiary of the Parent Company	Sale of goods and services	Market terms	690	108	-	-
Spence Maldives (Pvt) Ltd	Subsidiary of the Parent Company	Purchase of goods and services	Market terms	9,419	-	-	-
Shipping and Cargo Logistics (Pvt) Ltd	Subsidiary of the Parent Company	Sale of goods and services	Market terms	67	-	67	-
Interlifts International (Pvt) Ltd	Subsidiary of the Parent Company	Purchase of goods and services	Market terms	4,769	-	-	-

NOTES TO THE FINANCIAL STATEMENTS

Name of the Related Party	Relationship	Nature of transaction	Terms of the transaction	Group		Company	
				Transaction Value	Outstanding As at 31.03.2024	Transaction Value	Outstanding As at 31.03.2024
				Rs. '000	Rs. '000	Rs. '000	Rs. '000
Aitken Spence Cargo (Pvt) Ltd	Subsidiary of the Parent Company	Clearing of imported items	Market terms	35,608	(682)	28,429	-
		Sale of goods and services	Market terms	202	-	-	-
Aitken Spence Ports International (Pvt) Ltd	Subsidiary of the Parent Company	Clearing of imported items	Market terms	429	-	304	-
Aitken Spence Agriculture (Pvt) Ltd	Subsidiary of the Parent Company	Purchase of vegetables	Market terms	177	(34)	-	-
Elpitiya Plantations PLC	Associate of the Parent Company	Purchase of tea leaves	Market terms	11,838	(402)	1,756	-
		Sale of goods and services	Market terms	195	-	-	-
Aitken Spence Engineering Solutions (Pvt) Ltd	Joint venture of the Parent Company	Purchase of goods and services	Market terms	3,929	-	-	-
44.1.5 Transactions with other related companies							
Distilleries Company of Sri Lanka PLC	Other related company	Purchase of beverages	Market terms	28,431	(1,511)	10,223	(527)
		Sale of goods and services	Market terms	119	-	-	-
DCSL Breweries Lanka Limited	Other related company	Purchase of beverages	Market terms	4,916	-	1,258	-
Stassen Exports (Pvt) Limited	Other related company	Purchase of food items	Market terms	14,369	(55)	-	-
		Sale of goods and services	Market terms	4,463	-	-	-
Lanka Milk Foods (CWE) PLC	Other related company	Purchase of milk powder	Market terms	24,040	(185)	-	-

Name of the Related Party	Relationship	Nature of transaction	Terms of the transaction	Group		Company	
				Transaction Value	Outstanding As at 31.03.2024	Transaction Value	Outstanding As at 31.03.2024
				Rs. '000	Rs. '000	Rs. '000	Rs. '000
Lanka Diaries (Pvt) Ltd	Other related company	Purchase of food items	Market terms	1,089	-	-	-
Lanka Bell (Pvt) Ltd	Other related company	Provision of telecommunication services	Market terms	1,872	(35)	-	-
Bell Solutions (Pvt) Ltd	Other related company	Provision of telecommunication services	Market terms	1,561	(185)	-	-
Perceyl (Pvt) Ltd	Other related company	Purchase of beverages	Market terms	48,029	(1,545)	19,325	(1,518)
Pattipola Livestock Company Ltd	Other related company	Purchase of food items	Market terms	4,875	(555)	-	-
Royal Ceramics Lanka PLC	Other related company	Purchase of goods	Market terms	3,289	-	1,059	-
Continental Insurance Lanka Limited	Other related company	Provision of insurance services	Market terms	730,071	-	20,179	-
Stassen Foods (Pvt) Limited	Other related company	Purchase of food items	Market terms	984,877	(25,173)	54,140	(3,283)
Ambewela Products (Pvt) Ltd	Other related company	Purchase of milk products	Market terms	2,885	-	-	-
Formula World (Pvt) Ltd	Other related company	Provision of vehicle maintenance services	Market terms	4,517	-	-	-
Melsta Laboratories (Pvt) Ltd	Other related company	Purchase of services	Market terms	665	-	-	-
Ceylon Grain Elevators PLC	Other related company	Purchase of food items	Market terms	33,853	(468)	-	-

NOTES TO THE FINANCIAL STATEMENTS

44.1.6 The Company and the subsidiaries in the ordinary course of business have for the sale of hotel rooms, contracted with certain tour operators, for whom Aitken Spence Travels (Pvt) Ltd, has contracted with for provision of hotel services. The total revenue generated by such company and the balance outstanding as at 31st March 2024 is disclosed above.

44.1.7 The Company and the Subsidiaries in the ordinary course of business have generated revenues amounting to Rs. 22,465,751(Company- Rs. 7,776,300) from sale of hotel packages to Aitken Spence PLC and its Subsidiaries (excluding Hotel Companies). Balances outstanding from these companies as at 31st March 2024 is reflected in Note No. 26 - Amounts due from parent's group entities.

44.2 Non recurrent transactions with related Parties

There were no non recurrent transactions carried out with related parties during the year where the aggregate value of transaction exceeds 10% of equity or 5% of total assets which ever is lower.

44.3 Recurrent transactions with related parties

Name of the Related Party	Relationship	The rationale for entering into the transaction	Value of the related party transactions entered into during the financial year ending 31st March 2024	Value of the related party transactions as a % of revenue	Terms and conditions of the related party transaction
Rs. '000					
Aitken Spence Travels (Pvt) Ltd	Subsidiary of Parent Company	Sale of hotel rooms in the ordinary course of business	1,709,488	3.62%	Market Terms
Continental Insurance Lanka Ltd	Other related Company	Provision of insurance services	730,071	1.54%	Market Terms
Stassen Foods (Pvt) Ltd	Other related Company	Purchase of goods in the ordinary course of business	984,877	2.08%	Market Terms

There were no recurrent transactions carried out with related parties during the year where the aggregate value of transaction exceeds 10% of consolidated gross revenue of the Group.

44.4 Transactions with Key Management Personnel (KMP)

Aitken Spence Hotel Holdings PLC, considers its Board of Directors as the key management personnel of the Company. The Board of Directors, Vice Presidents and Assistant Vice Presidents of subsidiary companies are considered as key management personnel of Group Companies.

There were no transactions other than employment benefits disclosed below carried out during the year with Key management personnel and their close family members which require disclosure per LKAS - 24 - Related Party Disclosures.

	Group		Company	
For the year ended 31 st March	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
Short term employment benefits	42,989	12,665	-	12,665
Post employment benefits	-	-	-	-
Total	42,989	12,665	-	12,665

NOTES TO THE FINANCIAL STATEMENTS

45 ACQUISITION OF NON CONTROLLING SHARES

Aitken Spence Hotel Holdings PLC made an offer to the minority shareholders of Aitken Spence Hotels Ltd on 8th June 1999, to purchase their shares at Rs. 31/-per share.(subsequently revised to Rs. 20/- per share). The Company as at 31 st March 2024 held 98.01% of the equity share capital of Aitken Spence Hotels Ltd.

46 EVENTS AFTER REPORTING DATE

The board declared a preference dividend of cents 90 per share on the cumulative preference shares for the financial year ended 31st March 2024. There has been no other material events occurring after the reporting date that requires adjustment to or disclosure in the financial statements.

47 CAPITAL EXPENDITURE COMMITMENTS

The following commitments for capital expenditure approved by the Directors as at 31st March have not been provided for in the financial statements.

	Group		Company	
As at	31.03.2024	31.03.2023	31.03.2024	31.03.2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Approximate amount approved but not contracted for	4,192,798	-	397,689	-
Approximate amount contracted for but not accounted	373,893	775,363	266,666	-
Total	4,566,691	775,363	664,355	-

The above includes Rs. 4,398 Mn (2022/2023- Rs. 774 Mn) for the acquisition of property, plant and equipment, Rs. 168 Mn (2022/2023 - Rs. 882,308/-) for the acquisition of intangible assets for the Group and Rs. 650 Mn (2022/2023- Nil) for the acquisition of property, plant and equipment, Rs. 14 Mn (2022/2023 - Nil) for the acquisition of intangible assets for the Company.

48 AVERAGE NUMBER OF EMPLOYEES

The average number of employees of the Group (excluding equity-accounted investees) at as at 31st March 2024 was 2,823 (as at 31.03.2023 - 2,989).

The number of employees of the Company as at 31st March 2024 was 252 (as at 31.03.2023 - 234).

49 DIRECTORS RESPONSIBILITY

The Board of Directors of the Company are responsible for the preparation of financial statements.

QUARTERLY STATISTICS

Consolidated Statement of Profit or Loss and Other Comprehensive Income

For the three months ended	30th June	30th September	31st December	31st March
	2023	2023	2023	2024
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Net revenue	7,894,932	8,919,486	13,446,685	15,941,807
Other income	(10,900)	17,743	(79,014)	91,281
Staff costs	(1,800,257)	(1,821,129)	(1,936,077)	(1,910,448)
Depreciation	(916,182)	(965,035)	(971,753)	(944,277)
Amortisation	(324,572)	(335,424)	(341,344)	(327,285)
Other operating expenses - direct	(2,330,478)	(2,703,067)	(3,372,810)	(3,424,731)
Other operating expenses - indirect	(3,101,960)	(3,118,782)	(3,603,330)	(3,662,818)
Profit/ (loss) from operations	(589,417)	(6,208)	3,142,357	5,763,529
Finance income	115,161	102,547	89,604	91,560
Finance expenses	(1,454,055)	(1,445,867)	(1,460,966)	(1,305,780)
Share of profit/(loss) of equity accounted investees net of tax	(42,939)	27,233	(23,945)	3,337
Income tax expense	(203,013)	(323,332)	(231,119)	(384,000)
Net Profit /(loss) for the period	(2,174,263)	(1,645,627)	1,515,931	4,168,646
Profit attributable equity holders of the parent company	(1,407,995)	(1,021,657)	830,276	2,739,488
Non - controlling interests	(766,268)	(623,970)	685,655	1,429,158
Net Profit /(loss) for the period	(2,174,263)	(1,645,627)	1,515,931	4,168,646

Consolidated Statement of Financial Position

As at	30th June	30th September	31st December	31st March
	2023	2023	2023	2024
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Assets				
Non current assets	86,808,316	89,473,967	88,590,184	82,669,627
Current assets	11,869,710	12,062,178	15,721,901	14,419,950
Total assets	98,678,026	101,536,145	104,312,085	97,089,577
Equity and liabilities				
Equity	18,924,175	18,721,242	19,366,117	21,360,082
Non - controlling interest	8,008,537	7,838,918	8,396,211	9,504,610
Total equity	26,932,712	26,560,160	27,762,328	30,864,692
Non current liabilities	49,136,505	49,235,899	47,357,480	43,323,944
Current liabilities	22,608,809	25,740,086	29,192,277	22,900,941
Total liabilities	71,745,314	74,975,985	76,549,757	66,224,885
Total equity and liabilities	98,678,026	101,536,145	104,312,085	97,089,577

Share Information - Group

As at		30th June	30th September	31st December	31st March
		2023	2023	2023	2024
Earnings / (loss) per ordinary share	(Rs)	(4.19)	(3.04)	2.47	8.04
Net asset value per share	(Rs)	55.78	55.18	57.10	63.52
Market price per share					
- Highest	(Rs)	62.00	90.00	80.00	70.00
- Lowest	(Rs)	55.00	56.00	60.10	55.80
- Last traded price	(Rs)	56.00	79.10	63.00	66.20
- Closing price	(Rs)	56.00	79.10	63.00	66.20
Percentage of shares held by public		25.41%	25.44%	25.44%	25.44%
Number of public shareholders		3,695	3,592	3,632	3,722
Float adjusted market capitalisation	(Rs)	4,784,436,944	6,766,448,927	5,389,551,090	5,663,306,066

INDICATIVE US DOLLAR FINANCIAL STATEMENTS

CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME IN USD

For the year ended 31 st March	2024	2023
	USD '000	USD '000
Revenue	157,298	140,796
Revenue tax	(3,514)	(3,059)
Net revenue	153,784	137,737
Other income	64	586
Staff costs	(24,857)	(24,324)
Depreciation	(12,639)	(11,892)
Amortisation	(4,422)	(4,571)
Other operating expenses - direct	(39,379)	(34,760)
Other operating expenses - indirect	(44,890)	(40,427)
Profit from operations	27,661	22,349
Finance income	1,328	1,656
Finance expenses	(18,861)	(17,760)
Net finance expense	(17,533)	(16,104)
Share of loss of equity accounted investees (net of tax)	(121)	(1,215)
Profit before income tax	10,007	5,030
Income tax expense	(3,799)	(4,885)
Profit for the year	6,208	145
Attributable to:		
Equity holders of the parent	3,795	(879)
Non - controlling interest	2,413	1,024
Profit for the year	6,208	145
Earnings/(loss) per ordinary share - Basic/Diluted (USD)	0.01	(0.00)
Exchange rate used for translation	300.44	327.14

For the year ended 31st March	2024	2023
	USD '000	USD '000
Profit for the year	6,208	145
Other comprehensive income/(loss)		
Items that will never be reclassified to profit or loss		
Revaluation of freehold land	-	2,503
Share of other comprehensive income of equity accounted investees	21	91
Actuarial losses on defined benefit obligations	(66)	(26)
Income tax on other comprehensive income	21	(2,164)
	(24)	404
Items that are or may be reclassified to profit or loss		
Foreign currency translation differences of foreign operations	(8,741)	8,058
Net movement in cash flow hedge	4,998	(1,277)
	(3,743)	6,781
Other comprehensive income/(loss) for the year net of tax	(3,767)	7,185
Total comprehensive income for the year net of tax	2,441	7,330
Attributable to:		
Equity holders of the parent company	1,110	3,711
Non - controlling interests	1,331	3,619
Total comprehensive income for the year net of tax	2,441	7,330
Exchange rate used for translation	300.44	327.14

INDICATIVE US DOLLAR FINANCIAL STATEMENTS

CONSOLIDATED STATEMENT OF FINANCIAL POSITION IN USD

As at	31.03.2024	31.03.2023
	USD '000	USD '000
ASSETS		
Non-current assets		
Property, plant and equipment	220,288	222,060
Right -of-use assets	47,539	51,625
Intangible assets	2,678	2,718
Investment in equity accounted investees	210	284
Other financial assets	3,248	3,051
Deferred tax assets	1,198	1,487
	275,161	281,225
Current assets		
Inventories	4,747	5,169
Trade and other receivables	11,037	7,749
Amounts due from holding company	3,555	448
Amount due from parent's group entities	4,616	2,873
Deposits and prepayments	2,934	2,431
Current tax receivable	50	88
Other financial assets	13,412	13,917
Cash and cash equivalents	7,646	16,086
	47,997	48,761
Total assets	323,158	329,986
EQUITY AND LIABILITIES		
Equity attributable to equity holders of the company		
Stated capital	11,831	10,866
Reserves	31,672	31,502
Retained earnings	27,593	21,951
	71,096	64,319
Non -controlling interests	31,636	27,936
Total Equity	102,732	92,255

As at	31.03.2024	31.03.2023
	USD '000	USD '000
Non-current liabilities		
Interest - bearing liabilities - banks	95,069	111,844
Interest - bearing liabilities - leases	36,960	41,536
Deferred tax liabilities	10,952	9,213
Employee benefits	1,221	965
	144,202	163,558
Current liabilities		
Trade payables	5,006	4,767
Other provisions and payables	19,220	16,758
Amounts due to holding company	8,427	4,014
Amounts due to parent's group entities	251	624
Interest - bearing liabilities - banks	18,949	18,691
Interest - bearing liabilities - leases	4,591	4,348
Current tax payable	1,078	681
Bank overdrafts and other short term borrowings	18,702	24,290
	76,224	74,173
Total liabilities	220,426	237,731
Total equity and liabilities	323,158	329,986
Exchange rate used for translation	300.44	327.14

SUPPLEMENTARY INFORMATION

AN ENDURING STORY

As we gaze towards the horizon at the endless expanse of possibilities
that lie before us, we pledge to nurture unforgettable memories
for the generations to come – both today, and beyond.



INVESTOR INFORMATION

1. STOCK EXCHANGE LISTING

Aitken Spence Hotel Holdings PLC is a public quoted company, the issued ordinary shares of which have been listed with the Colombo Stock Exchange.

The Stock Exchange Code for Aitken Spence Hotel Holdings PLC shares is "AHUN.N0000".

2. SHAREHOLDERS

There were 3,732 registered ordinary shareholders as at 31st March 2024 distributed as follows:

Range	31.03.2024			31.03.2023		
	No. of Shareholders	No. of Shareholding	%	No. of Shareholders	No. of Shareholding	%
1 to 1,000 shares	2,349	667,343	0.20	2,303	683,159	0.20
1,001 to 10,000 shares	987	3,361,207	1.00	1,042	3,588,218	1.07
10,001 to 100,000 shares	303	8,922,666	2.65	306	9,192,203	2.73
100,001 to 1,000,000 shares	78	20,225,067	6.01	70	18,777,762	5.59
1,000,001 and above	15	303,113,727	90.14	14	304,048,668	90.41
	3,732	336,290,010	100.00	3,735	336,290,010	100.00

3. ANALYSIS OF SHAREHOLDERS

Category	31.03.2024		31.03.2023	
	Shareholding	%	Shareholding	%
Nationals	335,325,852	99.71	333,955,246	99.31
Non - Nationals	964,158	0.29	2,334,764	0.69
	336,290,010	100.00	336,290,010	100.00

Category	31.03.2024		31.03.2023	
	Shareholding	%	Shareholding	%
Aitken Spence PLC & Subsidiaries	250,507,418	74.49	250,507,418	74.49
Other Institutions	58,137,030	17.29	60,902,668	18.11
Individuals	27,645,562	8.22	24,879,924	7.40
	336,290,010	100.00	336,290,010	100.00

* Percentage of shares held by the public as at 31st March 2024 was 25.44% and number of public shareholders as at 31st March 2024 were 3,722.

4. SHARE TRADING

	2023/24	2022/23	2021/22	2020/21	2019/20
Number of Shares Traded During the Year	22,081,827	16,557,254	14,095,777	14,455,930	6,998,161
Value of Shares Traded During the Year (Rs.)	1,448,046,908	891,882,424	557,995,507	381,490,589	171,349,406
Number of Transactions	8,028	9,022	9,983	8,216	4,440

INVESTOR INFORMATION

5. MARKET VALUE

Financial Year	Highest Rs.	Lowest Rs.	Year End Rs.
2019/20	31.80	15.00	15.00
2020/21	37.00	12.00	31.20
2021/22	49.40	27.00	35.00
2022/23	68.00	28.00	60.50
2023/24	90.00	55.00	66.20

* Closing price of the share as at 31st March 2024 was Rs. 66.20.

6. RATIOS

	2023/24	2022/23	2021/22	2020/21	2019/20
Earnings / (Loss) Per Share (Rs.)	3.35	(0.94)	1.85	(13.93)	(1.90)
Price Earnings Ratio (Times)	19.76	(63.72)	19.00	(2.17)	(7.94)
Net Asset Value per Share as at 31st March (Rs.)	63.03	62.08	58.60	(46.96)	60.66

7. DIVIDENDS

There was no dividend paid to ordinary shareholders of the Company for the year 2023/24. (The last dividend was paid in financial year 2018/19)

8. MARKET CAPITALISATION (AS AT 31ST MARCH)

Year	Stated Capital & Reserves Rs.'000	Market Capitalisation Rs.'000
2019/20	20,562,900	5,077,979
2020/21	15,956,456	10,155,958
2021/22	19,871,251	11,938,295
2022/23	21,041,256	20,143,772
2023/24	21,360,082	22,262,399

The float adjusted market capitalisation as at 31st March 2024 was Rs. 5,663,306,066 with reference to the rule no.7.6 (iv) of the listing rules of the Colombo Stock Exchange.

As the float adjusted market capitalisation was more than Rs. 5 Bn, Aitken Spence Hotel Holdings PLC complies under option 3 with the minimum public holding requirement.

9. GROUP EFFECTIVE HOLDING IN SUBSIDIARIES, JOINT VENTURES AND ASSOCIATE COMPANIES

Company	As at 31.03.2024	As at 31.03.2023
Aitken Spence Hotel Managements Asia Private Limited	51.00%	51.00%
Aitken Spence Hotels Limited	98.01%	98.01%
Aitken Spence Hotel Managements (Private) Limited	49.00%	49.00%
Crest Star (B.V.I) Limited (British Virgin Islands)	100.00%	100.00%
Cowrie Investment Private Limited (Maldives)	60.00%	60.00%
Aitken Spence Hotels International Private Limited	51.00%	51.00%
PR Holiday Homes Private Limited (India)	43.13%	43.13%
Heritance (Private) Limited	98.01%	98.01%
Kandalama Hotels (Private) Limited	61.75%	61.75%
Jetan Travel Services Company Private Limited (Maldives)	95.00%	95.00%
Ace Resorts Private Limited (Maldives)	51.00%	51.00%
A.D.S Resorts Private Limited (Maldives)	51.00%	51.00%
Unique Resorts Private Limited (Maldives)	51.00%	51.00%
Aitken Spence Hotel Services Private Limited (India)	51.00%	51.00%
Aitken Spence Hotel Managements (South India) Private Limited (India)	59.13%	59.13%
Aitken Spence Resorts (Middle East) LLC (Oman)	51.00%	51.00%
Perumbalam Resorts Private Limited (India)	43.12%	43.12%
Amethyst Leisure Limited	27.89%	27.89%
Turyaa Resorts (Private) Limited *	-	100.00%
Turyaa (Private) Limited	100.00%	100.00%
Browns Beach Hotels PLC	37.42%	37.42%
Hethersett Hotels Limited	94.44%	94.44%
Ahungalla Resorts Limited	60.00%	60.00%
Neptune Ayurvedic Village (Private) Limited	100.00%	100.00%
Nilaveli Holidays (Private) Limited	100.00%	100.00%
Nilaveli Resorts (Private) Limited	100.00%	100.00%
The Galle Heritage (Private) Limited	100.00%	100.00%
Meeraladuwa (Private) Limited	100.00%	100.00%
Paradise Resorts Passikudah (Private) Limited	27.89%	27.89%
Negombo Beach Resorts (Private) Limited	37.42%	37.42%
Aitken Spence Resources (Private) Limited	49.00%	49.00%

* With effect from 01st April 2023, Turyaa Resorts (Pvt) Ltd was amalgamated with Turyaa (Pvt) Ltd.

10. SHAREHOLDING OF DIRECTORS TOGETHER WITH THEIR SPOUSES IN AITKEN SPENCE HOTEL HOLDINGS PLC

Name of the Director	As at 31.03.2024	As at 31.03.2023
Deshamanya D.H.S. Jayawardena	-	-
Ms. D.S.T. Jayawardena	16,000	16,000
Dr. M.P. Dissanayake	-	-
Mr. C.M.S. Jayawickrama	-	-
Mr. J.M.S. Brito	194,062	300,658
Mr. R.N. Asirwatham	1,000	1,000
Mr. N.J. de Silva Deva Aditya	-	-
Mr. C.H. Gomez	-	-
Mr. M. A. N. S. Perera	-	-
Dr. R.A. Fernando *	-	-
Mr. G.P.J. Goonewardena**	-	5,460
Total	211,062	323,118

* Dr. R.A. Fernando appointed with effect from 10th January 2024.

** Mr. G.P.J. Goonewardena demised on 18th November 2023.

11. TWENTY LARGEST SHAREHOLDERS

Shareholder	As at 31.03.2024	
	No. of Shares	%
1 Aitken Spence PLC - A/C No. 01	239,472,667	71.21
2 Employees Provident Fund	31,501,601	9.37
3 Ace Cargo (Private) Limited	4,423,601	1.32
4 Hatton National Bank PLC - Capital Alliance Quantitative Equity Fund	4,325,715	1.29
5 Aitken Spence Hotel Managements (Private) Limited	3,530,639	1.05
6 Mr. K. Balendra	2,764,946	0.82
7 Aitken Spence Aviation (Private) Limited	2,604,140	0.77
8 Bank of Ceylon - No. 01 Account	2,527,424	0.75
9 Employees Trust Fund Board	2,370,705	0.70
10 Mr. G.C. Wickremasinghe (Deceased)	2,082,241	0.62
11 Ceylon Investment PLC A/C No. 02	2,035,255	0.61
12 Ceylon Guardian Investments Trust PLC A/C No. 02	1,964,745	0.58
13 Miss. A.T. Wickremasinghe	1,245,004	0.37
14 Invenco Capital (Private) Limited	1,239,698	0.37
15 Hatton National Bank PLC A/C No. 04 (HNB Retirement Pension Fund)	1,025,346	0.30
16 Mr. S.R. Perera	1,000,000	0.30
17 Mr. M. J. Fernando (Deceased)	1,000,000	0.30
18 Mrs. K. Fernando	991,149	0.29
19 Miss N.T.M.S. Cooray	775,080	0.23
20 Cargo Boat Development Company PLC	733,193	0.22
Total	307,613,149	91.47

12. HISTORY OF MOVEMENT IN ORDINARY SHARE CAPITAL

Year	Issue	Number of Shares
	Shares in issue at the time of listing	1,281,612
1979/80	Initial Public Offer	500,000
1980/81	Private Placement	300,000
1980/81	Rights Issue	368,743
1981/82	Rights Issue	1,839,063
1982/83	Rights Issue	1,429,806
1983/84	Rights Issue	791,792
1984/85	Rights Issue	822,790
1994/95	Bonus Issue	2,444,602
1994/95	Share swap to acquire Aitken Spence Hotels Ltd	9,699,199
1994/95	Share swap to acquire Brown's Beach Hotels Ltd	638,020
1994/95	Share swap to acquire M. P. S. Hotels Ltd	473,557
1999/00	Bonus Issue	3,431,531
1999/00	Rights Issue	14,412,429
2010/11	Rights Issue (1 for 4)	9,608,286
	Share Split (7 for 1)	288,248,580
Total as at 31st March 2024		336,290,010

13. HISTORY OF MOVEMENT IN PREFERENCE SHARE CAPITAL

Year	Issue	Number of Shares
1981/82	12% Cum. Redeemable Preference Shares	200,000
1982/83	Redemption	(40,000)
1983/84	Redemption	(40,000)
1984/85	Redemption	(40,000)
1985/86	Redemption	(40,000)
1990/91	Redemption	(40,000)
1996/97	9% Cum Redeemable Preference Shares	16,500,000
Total as at 31st March 2024		16,500,000

DECADE AT A GLANCE

Year ended 31st March	2024	2023	2022	2021	2020	2019	2018	2017	2016	2015
OPERATING RESULTS										
Revenue	47,258,528	46,059,884	24,570,780	5,728,379	19,019,241	19,570,589	18,250,581	16,055,386	13,378,071	13,270,918
Profit/(loss) from operations	8,310,261	7,310,886	4,280,099	(5,188,495)	1,563,667	2,734,959	3,013,834	2,298,164	2,883,023	3,858,199
Profit/(loss) before taxation	3,006,151	1,644,950	1,946,659	(7,606,620)	(433,023)	1,904,325	2,189,891	1,549,562	2,520,651	3,920,116
Taxation	(1,141,464)	(1,598,141)	(912,354)	353,405	(462,701)	(707,161)	(606,496)	(535,823)	(432,889)	(484,494)
Profit/(loss) after taxation	1,864,687	46,809	1,034,305	(7,253,215)	(895,724)	1,197,164	1,583,395	1,013,739	2,087,762	3,435,622
Profit/(loss) attributable to equity holders of the parent	1,140,112	(287,893)	623,542	(4,669,045)	(624,953)	810,581	1,169,314	675,873	1,403,766	2,234,804
SHAREHOLDERS' FUNDS										
Stated capital	3,554,587	3,554,587	3,554,587	3,554,587	3,554,587	3,554,587	3,554,587	3,554,587	3,554,587	3,554,587
Reserves and retained earnings	17,805,495	17,486,669	16,316,664	12,401,869	17,008,313	17,784,234	16,216,628	15,607,239	14,851,205	13,676,628
Shareholders' funds	21,360,082	21,041,256	19,871,251	15,956,456	20,562,900	21,338,821	19,771,215	19,161,826	18,405,792	17,231,215
LIABILITIES										
Non-current interest bearing liabilities	39,666,679	50,176,589	52,079,329	38,138,710	33,500,094	23,405,292	18,154,051	14,450,707	8,186,477	5,363,625
Amount due to ultimate holding company	2,531,875	1,313,017	1,201,857	168,765	134,293	110,020	834,985	348,329	155,804	37,518
Current liabilities	20,369,066	22,951,987	18,587,850	12,630,068	10,364,198	8,329,080	9,987,503	8,801,945	5,859,232	5,173,696
Other non current liabilities	3,657,265	3,329,700	1,629,636	1,267,974	1,201,019	2,462,557	1,722,855	1,144,318	411,798	344,196
Total Liabilities	66,224,885	77,771,293	73,498,672	52,205,517	45,199,604	34,306,949	30,699,394	24,745,299	14,613,311	10,919,035
NON-CONTROLLING INTEREST	9,504,610	9,139,015	8,269,807	6,006,264	8,587,530	9,256,614	8,122,788	8,270,862	5,429,111	4,638,017
TOTAL EQUITY AND LIABILITIES	97,089,577	107,951,564	101,639,730	74,168,237	74,350,034	64,902,384	58,593,397	52,177,987	38,448,214	32,788,267
ASSETS										
Property, plant and equipment	66,183,428	72,644,868	67,363,789	52,766,644	52,554,379	49,918,218	41,404,788	37,687,160	23,101,360	16,402,491
Right-of-use assets	14,282,682	16,888,712	16,379,328	11,964,320	11,172,389	-	-	-	-	-
Leasehold property	-	-	-	-	-	2,214,518	2,023,903	2,042,460	2,006,728	1,906,526
Prepaid operating leases	-	-	-	-	-	1,924,329	1,772,172	1,791,169	1,811,071	1,067,063
Intangible assets	804,588	889,049	821,411	581,137	580,627	472,879	416,053	404,612	380,166	2,842
Investments	63,185	93,040	461,073	631,527	910,478	1,249,902	1,158,581	1,294,427	4,982,212	3,098,474
Other financial assets	975,778	998,018	283,123	772,508	764,245	778,986	763,780	126,650	202,395	180,191
Deferred tax assets	359,966	486,592	648,820	717,802	295,849	160,942	143,906	157,760	147,969	119,017
Current assets	14,419,950	15,951,285	14,095,217	5,655,205	7,046,542	8,182,610	10,910,214	8,673,749	5,816,313	10,011,662
Assets classified as held for sale	-	-	1,586,969	1,079,094	1,025,525	-	-	-	-	-
Total Assets	97,089,577	107,951,564	101,639,730	74,168,237	74,350,034	64,902,384	58,593,397	52,177,987	38,448,214	32,788,267
CASH FLOW										
From operating activities	7,772,452	8,494,454	6,793,956	(807,340)	3,303,771	2,858,941	2,801,992	2,587,485	3,479,769	3,986,229
From investing activities	(960,863)	(435,840)	(3,736,595)	(1,287,929)	(3,214,760)	(6,272,236)	(3,050,809)	(2,279,588)	(6,507,608)	(6,137,472)
From financing activities	(7,518,264)	(9,333,868)	(2,516,246)	(414,643)	(1,437,348)	767,316	3,266,138	120,782	1,409,694	2,412,926
Net cash inflow/(outflow)	(706,596)	(1,275,254)	541,115	(2,509,912)	(1,348,337)	(2,645,979)	3,017,321	428,679	(1,618,145)	261,682
KEY INDICATORS										
Earnings/(loss) per ordinary share (Rs.)	3.35	(0.94)	1.85	(13.93)	(1.90)	2.37	3.43	1.97	4.13	6.60
Net Assets value per ordinary share (Rs.)	63.03	62.08	58.60	46.96	60.66	62.96	58.30	56.49	54.24	50.75
Closing price per share (Rs.)	66.20	59.90	35.50	30.20	15.10	23.70	33.50	35.20	53.00	67.00
Dividend per share (Rs.)	-	-	-	-	-	1.00	1.25	0.75	1.25	1.50
Dividend cover (Times)	-	-	-	-	-	2.37	2.75	2.62	3.30	4.40
Price to earnings ratio (Times)	19.76	(63.72)	19.19	(2.17)	(7.94)	10.02	9.76	17.91	12.83	10.15
Gearing (debt/(debt+equity)) %	56.47	62.65	65.13	63.73	53.73	43.65	39.78	34.90	26.08	20.30
Interest cover (Times)	1.54	1.35	1.95	(2.32)	0.94	3.18	3.45	3.31	8.73	22.21
Return on average shareholders' funds (%)	5.42	1.81	3.51	(25.89)	(3.08)	3.90	5.98	3.55	7.87	13.75

REAL ESTATE HOLDINGS OF THE GROUP

Description of the Property	No of Rooms	Location	Building in Sq.Ft	No of Buildings	Land Extent Acres		Net Book Value as at 31.03.2024 (Rs.'000)	
					Freehold	Leasehold	Land	Buildings
Aitken Spence Hotel Holdings PLC Heritance Ahungalla	152	Ahungalla	253,590	3	12.21	-	843,500	686,649
Meeraladuwa (Pvt) Ltd Meeraladuwa Island	-	Balapitiya	-	-	29.56	-	226,350	-
Kandalama Hotels (Pvt) Ltd Heritance Kandalama	152	Dambulla	470,438	3	183.61	50.00	58,122	452,569
Hethersett Hotels Ltd Heritance Tea Factory	50	Nuwara Eliya	66,120	4	-	25.00	-	125,532
Aitken Spence Hotels Ltd Heritance Ayurveda	64	Beruwala	135,372	3	-	6.44	-	329,952
Heritance (Pvt) Ltd	-	Beruwala	-	-	5.79	-	347,500	-
Neptune Ayurvedic Village (Pvt) Ltd	-	Beruwala	12,500	-	0.12	-	4,425	41,911
Turyaa (Pvt) Ltd Turyaa Kalutara	199	Kalutara	305,746	23	8.35	-	691,775	1,531,122
Ahungalla Resorts Ltd Hotel RIU Sri Lanka	501	Ahungalla	601,751	11	12.97	-	1,113,500	7,331,419
Jetan Travel Services Company Pvt Ltd Adaaran Club Rannalhi	122	Maldives	98,043	43	-	11.69	-	1,367,423
Cowrie Investment Pvt Ltd Adaaran Select Meedhuparu	221	Maldives	296,683	122	-	44.45	-	4,197,937
Heritance Aarah	150	Maldives	257,642	244	-	26.90	-	23,180,328
ADS Resorts Pvt Ltd Adaaran Select Hudhuranfushi	202	Maldives	309,863	210	-	78.00	-	558,812
Unique Resorts Pvt Ltd Adaaran Prestige Vadoo	50	Maldives	56,643	53	-	4.48	-	2,699,303
Aitken Spence Hotel Managements (South India) Pvt Ltd Turyaa Chennai	140	Chennai/India	126,825	1	0.84	-	1,887,670	4,198,081
Perumbalam Resorts Pvt Ltd	-	Chennai/India	-	-	4.06	-	114,265	-
P.R Holiday Homes Pvt Ltd	-	Chennai/India	-	-	14.05	-	409,457	836
Aitken Spence Resorts (Middle East) LLC Al Falaj Hotel	150	Oman	176,550	3	5.05	-	6,498,396	5,514,119

GROUP COMPANIES AND DIRECTORATE

SUBSIDIARIES

TOURISM SECTOR

HOTELS

Ace Resorts Private Limited *

The Company will be wound up in the future.

Directors:

Dr. M.P. Dissanayake,
C.M.S. Jayawickrama (Managing Director),
Ms. D.S.T. Jayawardena,
M. Mahdy.

A.D.S Resorts Private Limited *

Owns the Adaaran Select Hudhuran Fushi resort in the Republic of Maldives.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
C.M.S. Jayawickrama (Managing Director),
M. Mahdy.

Aitken Spence Hotel Managements (South India) Private Limited

Owns the 140 roomed hotel property "Turyaa" in Chennai in the Republic of India.

Directors:

Dr. M.P. Dissanayake,
C.M.S. Jayawickrama,
Ashis Miglani (Appointed w.e.f. 29.01.2024),
K A Kodippilige (Appointed w.e.f. 03.04.2024),
T.K. Dewanarayana (Resigned w.e.f. 10.12.2023).

Aitken Spence Hotel Managements Asia (Private) Limited *

Manages resorts in the Sultanate of Oman and in the Republic of Maldives.

Directors:

Deshamanya D.H.S. Jayawardena,
Dr. R.M. Fernando,
Ms. D.S.T. Jayawardena,
Ms. N. Sivapragasam.

Aitken Spence Hotels International (Private) Limited *

Overseas investment company of the Hotels sector and provides international marketing services to the resorts in the Sultanate of Oman and in the Republic of Maldives.

Directors:

Dr. M.P. Dissanayake,
Ms. D.S.T. Jayawardena,
C.M.S. Jayawickrama.

Aitken Spence Hotel Services Private Limited

Incorporated to operate as a local marketing company of hotels in the Republic of India. The Company did not carry out any operations during the year.

Directors:

C.M.S. Jayawickrama.
K.A. Kodippilige (Appointed w.e.f. 03.04.2024),
T.K. Dewanarayana (Resigned w.e.f. 03.04.2024).

Aitken Spence Hotels Limited *

Holding company of Kandalama Hotels (Private) Limited and Heritance (Private) Limited. Owns the Heritance Ayurveda resort in Beruwela.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
Dr. M.P. Dissanayake,
C.M.S. Jayawickrama.
Ms. D.R. Alexander (Appointed w.e.f. 11.10.2023),
B.G.D.L.P. Wijerathne (Appointed w.e.f. 11.10.2023).

Aitken Spence Resorts (Middle East) LLC

Owning Company of the Al Falaj hotel in Muscat, Sultanate of Oman.

Authorised Managers:

Dr. M.P. Dissanayake,
Ms. D.S.T. Jayawardena,
Dr. R.M. Fernando,
C.M.S. Jayawickrama,
A. Perera,
S.N. de Silva.
Ms. N. Sivapragasam.

Ahungalla Resorts Limited *

A joint venture company between Aitken Spence Hotel Holdings PLC and RIUSA NED BV and owns the RIU Hotel in Sri Lanka in Ahungalla.

Directors:

Dr. M.P. Dissanayake,
J.T. Riu (Managing Director),
L. Riu Guell,
Ms. D.S.T. Jayawardena,
C.M.S. Jayawickrama.

Cowrie Investment Private Limited *

Owns the Heritance Aarah and Adaaran Select Meedhupparu Resorts in the Republic of Maldives.

Directors:

Dr. M.P. Dissanayake (Chairman and Managing Director),
Ms. D.S.T. Jayawardena,
C.M.S. Jayawickrama,
I.M. Didi,
M. Salih.

Crest Star (B.V.I.) Limited

The holding company of Jetan Travel Services Company Private Limited.

Directors:

Dr. M.P. Dissanayake,
C.M.S. Jayawickrama,
Ms. D.S.T. Jayawardena.

Heritage (Private) Limited *

Owns a land in Beruwela for a proposed hotel project.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
Dr. M.P. Dissanayake,
C.M.S. Jayawickrama.

Hethersett Hotels Limited *

Owns the Heritage Tea Factory hotel in Kandapola.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
Dr. M.P. Dissanayake,
C.M.S. Jayawickrama,
Ms. D.R. Alexandar (Appointed w.e.f. 11.10.2023),
B.G.D.L.P. Wijeratne (Appointed w.e.f.11.10.2023).

Jetan Travel Services Company Private

Limited *

Owns the Adaaran Club Rannalhi resort in the Republic of Maldives.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
C.M.S. Jayawickrama (Managing Director),
H. Mohamed,
M. Mahdy.

Kandalama Hotels (Private) Limited *

Owns the Heritage Kandalama hotel.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
Dr. M. P. Dissanayake,
C.M.S. Jayawickrama.

Meeraladuwa (Private) Limited *

Owns the island of Meeraladuwa in Balapitiya

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
Dr. M.P. Dissanayake,
C.M.S. Jayawickrama.

Neptune Ayurvedic Village (Private) Limited *

Leases the company owned land and building to Aitken Spence Hotels Limited.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
Dr. M.P. Dissanayake,
C.M.S. Jayawickrama.

Nilaveli Holidays (Private) Limited *

To operate a future hotel project.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
Dr. M.P. Dissanayake,
C.M.S. Jayawickrama.

Nilaveli Resorts (Private) Limited *

To operate a future hotel project.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
Dr. M.P. Dissanayake,
C.M.S. Jayawickrama.

Perumbalam Resorts Private Limited

A fully owned subsidiary of PR Holiday Homes Private Limited in the Republic of India.

Directors:

Dr. M.P. Dissanayake,
C.M.S. Jayawickrama,
K.K.M. Rawther,
K.K. Kabeer,
T.K. Dewanarayana (Resigned w.e.f. 10.12.2023).

PR Holiday Homes Private Limited

Owns a land in Cochin, in the Republic of India for a future hotel project.

Directors:

Dr. M.P. Dissanayake,
C.M.S. Jayawickrama,
K.K.M. Rawther,
K.K. Kabeer,
K A Kodippilige (Appointed w.e.f. 03.04.2024),
T.K. Dewanarayana (Resigned w.e.f. 10.12.2023).

The Galle Heritage (Private) Limited *

The Company is in the process of being struck off.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
Dr. M.P. Dissanayake,
C.M.S. Jayawickrama.

Turyaa (Private) Limited *

Owns the 199 roomed hotel property Turyaa in Kalutara.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
Dr. M.P. Dissanayake,
C.M.S. Jayawickrama.

Unique Resorts Private Limited *

Owns the Adaaran Prestige Vadoo resort in the Republic of Maldives.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
C.M.S. Jayawickrama (Managing Director),
M.D.B.J. Gunatilake.

GROUP COMPANIES AND DIRECTORATE

JOINT VENTURES & ASSOCIATES

TOURISM SECTOR

HOTELS

Aitken Spence Hotel Managements (Private) Limited *

Manages resorts in Sri Lanka.

Directors:

Ms. D.S.T. Jayawardena (Chairperson and Joint Managing Director),
Dr. M.P. Dissanayake,
C.M.S. Jayawickrama (Joint Managing Director).

Aitken Spence Resources (Private) Limited *

The Company did not carry out any operations during the year.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
C.M.S. Jayawickrama,
G.P.J. Goonewardena (Demised w.e.f 18.11.2023).

Amethyst Leisure Limited *

The holding Company of Paradise Resort Pasikudah (Private) Limited.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
Ms. V.J. Senaratne,
C.M.S. Jayawickrama,
B.G.D.L.P. Wijerathne,
M.A.N.S. Perera (Appointed w.e.f. 17.05.2023).

Browns Beach Hotels PLC *

Owns the property leased out to Negombo Beach Resorts (Private) Limited.

Directors:

Deshamanya D.H.S. Jayawardena (Chairman),
Dr. M.P. Dissanayake,
Ms. D.S.T. Jayawardena,
C.R. Stanislaus,
R.N. Asirwatham,
N.J. de Silva Deva Aditya,
M A N S Perera.

Negombo Beach Resorts (Private) Limited *

Owns the Sentido Heritance Negombo Hotel.

Directors:

Deshamanya D.H.S. Jayawardena (Chairman),
Ms. D.S.T. Jayawardena,
C.M.S. Jayawickrama,
C.R. Stanislaus.

Paradise Resort Pasikudah (Private) Limited *

Owning Company of Amethyst resort, Pasikudah.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
Ms. V.J. Senaratne,
C.M.S. Jayawickrama,
B.G.D.L.P. Wijerathne,
M.A.N.S. Perera (Appointed w.e.f. 17.05.2023).

* The companies' financial statements are audited by KPMG

CORPORATE INFORMATION



NAME

Aitken Spence Hotel Holdings PLC

LEGAL FORM

A Public Quoted Company with limited liability, incorporated in Sri Lanka on March 14, 1978

COMPANY REGISTRATION NUMBER

PQ 97

REGISTERED OFFICE

No. 315, Vauxhall Street Colombo 2, Sri Lanka

DIRECTORS

Deshamanya D.H.S. Jayawardena - Chairman

Ms. D.S.T. Jayawardena - Joint Deputy Chairperson and Joint Managing Director (Appointed to the Office of Joint Deputy Chairperson Joint Managing Director w.e.f. 14th September 2023)

Dr. M.P. Dissanayake - Managing Director

Mr. C.M.S. Jayawickrama

Mr. J.M.S. Brito

Mr. R.N. Asirwatham

Mr. N.J. de Silva Deva Aditya

Mr. C.H. Gomez

Mr. M.A.N.S. Perera

Dr. R.A. Fernando (Appointed w.e.f. 10.01.2024)

Mr. G.P.J. Goonewardena (Demised on 18.11.2023)

GROUP AUDIT COMMITTEE

Mr. R.N. Asirwatham - Chairman

Mr. J.M.S. Brito

Mr. C.H. Gomez

Mr. N.J. de Silva Deva Aditya/Mr. M.A.N.S. Perera (Mr. M.A.N.S. Perera served as an Alternate Director to Mr. N.J. de Silva Deva Aditya in the parent company Aitken Spence PLC and he ceased to be an Alternate Director to Mr. N.J. de Silva Deva Aditya w.e.f. 01.01.2024)

GROUP REMUNERATION COMMITTEE

Mr. R.N. Asirwatham - Chairman

Mr. J.M.S. Brito

Mr. C.H. Gomez

Mr. C. R. Jansz (Director of the parent Company Aitken Spence PLC and appointed as a member of the Remuneration Committee w.e.f. 08.09.2023)

GROUP NOMINATION AND GOVERNANCE COMMITTEE

Mr. R.N. Asirwatham - Chairman

Deshamanya D.H.S. Jayawardena

Mr. J.M.S. Brito

GROUP RELATED PARTY TRANSACTIONS REVIEW COMMITTEE

Mr. R.N. Asirwatham - Chairman

Mr. J.M.S. Brito

Mr. C.H. Gomez

Mr. N.J. de Silva Deva Aditya/Mr. M.A.N.S. Perera (Mr. M.A.N.S. Perera served as an Alternate Director to Mr. N.J. de Silva Deva Aditya in the parent company Aitken Spence PLC and he ceased to be an Alternate Director to Mr. N.J. de Silva Deva Aditya w.e.f. 01.01.2024)

SECRETARIES

Aitken Spence Corporate Services (Private) Limited

No. 315, Vauxhall Street, Colombo 02, Sri Lanka.

T: (+94 11) 2308308

F: (+94 11) 2445406

E: benji@aitkenspence.lk,

comsec@aitkenspence.lk

REGISTRARS

Central Depository Systems (Private) Limited

Ground Floor, M&M Center, No. 341/5, Kotte Road, Rajagiriya.

T: (+94 11) 2356456

F: (+94 11) 2440396

E: registrars@cse.lk

Web: www.cds.lk

AUDITORS

KPMG

Chartered Accountants

32A, Sir Mohamed Macan Markar Mawatha,

P.O Box 186,

Colombo 03,

Sri Lanka

BANKERS

Hatton National Bank PLC

People's Bank

Bank of Ceylon

Hongkong and Shanghai Banking Corporation Ltd

Union Bank of Colombo PLC

Nations Trust Bank PLC

DFCC Bank PLC

Deutsche Bank AG

Commercial Bank of Ceylon PLC

Sampath Bank PLC

Seylan Bank PLC

Habib Bank Limited

ABANCA Corporación Bancaria, S.A.

Bank of Maldives

Sohar International Bank SAOG

HOLDING COMPANY

Aitken Spence PLC

CONTACT DETAILS

No. 315, Vauxhall Street,

Colombo 02,

Sri Lanka.

T: (+94 11) 2308308

F: (+94 11) 2445406

Web: www.aitkenspencehotels.com

INDEPENDENT ASSURANCE REPORT



Ernst & Young
Chartered Accountants
Rotunda Towers
No. 109, Galle Road
P.O. Box 101
Colombo 03, Sri Lanka

Tel : +94 11 246 3500
Fax : +94 11 768 7869
Email: eysl@lk.ey.com
ey.com

Independent practitioner's assurance report to the Board of Directors of Aitken Spence Hotel Holdings PLC on the Sustainability reporting criteria presented in the Integrated Annual Report FY 2023/24

SCOPE

We have been engaged by Aitken Spence Hotel Holdings PLC to perform a 'limited assurance engagement,' as defined by Sri Lanka Standard on Assurance Engagements, here after referred to as the engagement, to report on Aitken Spence Hotel Holdings PLC's Economic, Environment, Social and Governance (EESG) indicators (the "Subject Matter") contained in Aitken Spence Hotel Holding PLC's (the "Entity's") Integrated Annual Report for the year ended 31st March 2024 (the "Report").

Other than as described in the preceding paragraph, which sets out the scope of our engagement, we did not perform assurance procedures on the remaining information included in the Report, and accordingly, we do not express a conclusion on this information.

CRITERIA APPLIED BY AITKEN SPENCE HOTEL HOLDINGS PLC

In preparing the Subject Matter, Aitken Spence Hotel Holdings PLC applied the following criteria ("Criteria"):

- The Global Reporting Initiative's (GRI) Sustainability Reporting Guidelines, publicly available at <https://www.globalreporting.org>
- The Sustainability Accounting Standards Board (SASB) Sustainability Reporting Guidelines, publicly available at <https://sasb.ifrs.org/standards> (Hotels and Lodging)

Such Criteria were specifically designed for the purpose of assisting you in determining whether Entity's Economic, Environment, Social and Governance (EESG) indicators contained in the Entity's Report is presented in accordance with the relevant criteria; As a result, the subject matter information may not be suitable for another purpose.

AITKEN SPENCE HOTEL HOLDINGS PLC'S RESPONSIBILITIES

Aitken Spence Hotel Holdings PLC's management is responsible for selecting the Criteria, and for presenting the Subject Matter in accordance with that Criteria, in all material respects. This responsibility includes establishing and maintaining internal controls, maintaining adequate records, and making estimates that are relevant to the preparation of the subject matter, such that it is free from material misstatement, whether due to fraud or error.

ERNST & YOUNG'S RESPONSIBILITIES

Our responsibility is to express a conclusion on the presentation of the Subject Matter based on the evidence we have obtained.

We conducted our engagement in accordance with the Sri Lanka Standard for Assurance Engagements Other Than Audits or Reviews of Historical Financial Information (SLSAE 3000 (Revised), and the terms of reference for this engagement as agreed with the Aitken Spence Hotel Holdings PLC on 6th May 2024 standards require that we plan and perform our engagement to express a conclusion on whether we are aware of any material modifications that need to be made to the Subject Matter in order for it to be in accordance with the Criteria, and to issue a report. The nature, timing, and extent of the procedures selected depend on our judgment, including an assessment of the risk of material misstatement, whether due to fraud or error.

We believe that the evidence obtained is sufficient and appropriate to provide a basis for our limited assurance conclusions.

OUR INDEPENDENCE AND QUALITY MANAGEMENT

We have maintained our independence and confirm that we have met the requirements of the Code of Ethics for

Partners: D K Hulangamuwa FCA FCMA LLB (London), A P A Gunasekera FCA FCMA, Ms. Y A De Silva FCA, Ms. G G S Manatunga FCA, W K B S P Fernando FCA FCMA, B E Wijesuriya FCA FCMA, R N de Saram ACA FCMA, Ms. N A De Silva FCA, N M Sulaiman FCA FCMA, Ms. L K H L Fonseka FCA, Ms. P V K N Sajeewani FCA, A A J R Perera FCA ACMA, N Y R L Fernando ACA, D N Gamage ACA ACMA, C A Yalagala ACA ACMA, B Vasanthan ACA ACMA

Principals: T P M Ruberu FCMA FCCA MBA (USJ-SL), G B Goudian ACA, Ms. P S Paranavitane ACA ACMA LLB (Colombo), D L B Karunathilaka ACA, W S J De Silva Bsc (Hons) - MIS Msc - IT, V Shakthivel B.Com (Sp), W D P L Perera ACA

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Professional Accountants issued by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) and have the required competencies and experience to conduct this assurance engagement.

EY also applies International Standard on Quality Management 1, Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance or Related Services engagements, which requires that we design, implement, and operate a system of quality management including policies or procedures regarding compliance with ethical requirements, professional standards, and applicable legal and regulatory requirements.

DESCRIPTION OF PROCEDURES PERFORMED

Procedures performed in a limited assurance engagement vary in nature and timing from and are less in extent than for a reasonable assurance engagement. Consequently, the level of assurance obtained in a limited assurance engagement is substantially lower than the assurance that would have been obtained had a reasonable assurance engagement been performed. Our procedures were designed to obtain a limited level of assurance on which to base our conclusion and do not provide all the evidence that would be required to provide a reasonable level of assurance.

Although we considered the effectiveness of management's internal controls when determining the nature and extent of our procedures, our assurance engagement

was not designed to provide assurance on internal controls. Our procedures did not include testing controls or performing procedures relating to checking aggregation or calculation of data within IT systems.

A limited assurance engagement consists of making enquiries, primarily of persons responsible for preparing the subject matter and related information and applying analytical and other appropriate procedures.

Our procedures included:

- Validated the information presented and checked the calculations performed by the organization through recalculation.
- Performed a comparison of the content given in the Report against the criteria given in the selected sustainability standards/frameworks.
- Conducted interviews with relevant organization's personnel to understand the process for collection, analysis, aggregation, and presentation of data. Interviews included selected key management personnel and relevant staff.
- Read the content presented in the Report for consistency with our overall knowledge obtained during the course of our assurance engagement and requested changes wherever required.
- Provided guidance, recommendations, and feedback on the improvement of the sustainability reporting indicators to improve the presentation standard.

We also performed such other procedures as we considered necessary in the circumstances.

EMPHASIS OF MATTER

Economic, Environment, Social management data/information are subject to inherent limitations given their nature and the methods used for determining, calculating, and estimating such data. Such inherent limitations are common in Sri Lanka.

We also do not provide any assurance on the assumptions and achievability of prospective information presented in the Entity's Report.

CONCLUSION

Based on our procedures and the evidence obtained, we are not aware of any material modifications that should be made to the information on the Economic, Environment, Social and Governance (EESG) contained in the Integrated Annual Report of Aitken Spence Hotel Holdings PLC for the year ended 31st March 2024, in order for it to be in accordance with the Criteria.

15th July 2024
Colombo

INDEPENDENT ASSURANCE REPORT



Ernst & Young
Chartered Accountants
Rotunda Towers
No. 109, Galle Road
P.O. Box 101
Colombo 03, Sri Lanka

Tel : +94 11 246 3500
Fax : +94 11 768 7869
Email: eysl@lk.ey.com
ey.com

Independent practitioner's assurance report to the Board of Directors of Aitken Spence Hotel Holdings PLC on the Integrated Annual Report 2023/24

SCOPE

We have been engaged by Aitken Spence Hotel Holdings PLC to perform a 'limited assurance engagement,' as defined by Sri Lanka Standard on Assurance Engagements, here after referred to as the engagement, to report on Aitken Spence Hotel Holdings PLC's Information on how it's strategy, governance, performance and prospects, in the context of its external environment, lead to the creation, preservation or erosion of value over the short, medium and long term (the "Subject Matter") contained in Aitken Spence Hotel Holdings PLC's (the "Entity's") Integrated Annual Report for the year ended 31st March 2024 (the "Report").

Other than as described in the preceding paragraph, which sets out the scope of our engagement, we did not perform assurance procedures on the remaining information included in the Report, and accordingly, we do not express a conclusion on this information.

CRITERIA APPLIED BY AITKEN SPENCE HOTEL HOLDINGS PLC

In preparing the Subject Matter, Aitken Spence Hotel Holdings PLC applied the Integrated Reporting Framework (<IR> Framework) issued by the International Integrated Reporting Council (IIRC) ("Criteria"):

Such Criteria were specifically designed for the purpose of assisting in determining whether the capital management, stakeholder engagement, business model, strategy, organizational overview & external environment outlook presented in the Integrated Annual Report is presented in accordance with the relevant criteria; As a result, the subject matter information may not be suitable for another purpose.

AITKEN SPENCE HOTEL HOLDINGS PLC'S RESPONSIBILITIES

Aitken Spence Hotel Holdings PLC's management is responsible for selecting the Criteria, and for presenting the Subject Matter in accordance with that Criteria, in all material respects. This responsibility includes establishing and maintaining internal controls, maintaining adequate records, and making estimates that are relevant to the preparation of the subject matter, such that it is free from material misstatement, whether due to fraud or error.

ERNST & YOUNG'S RESPONSIBILITIES

Our responsibility is to express a conclusion on the presentation of the Subject Matter based on the evidence we have obtained.

We conducted our engagement in accordance with the Sri Lanka Standard for Assurance Engagements Other Than Audits or Reviews of Historical Financial

Information (SLSAE 3000 (Revised), and the terms of reference for this engagement as agreed with the Aitken Spence Hotel Holdings PLC on 6th May 2024. Those standards require that we plan and perform our engagement to express a conclusion on whether we are aware of any material modifications that need to be made to the Subject Matter in order for it to be in accordance with the Criteria, and to issue a report. The nature, timing, and extent of the procedures selected depend on our judgment, including an assessment of the risk of material misstatement, whether due to fraud or error.

We believe that the evidence obtained is sufficient and appropriate to provide a basis for our limited assurance conclusions.

OUR INDEPENDENCE AND QUALITY MANAGEMENT

We have maintained our independence and confirm that we have met the requirements of the Code of Ethics for Professional Accountants issued by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) and have the required competencies and experience to conduct this assurance engagement.

EY also applies International Standard on Quality Management 1, Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other

Partners: D K Hulangamuwa FCA FCMA LLB (London), A P A Gunasekera FCA FCMA, Ms. Y A De Silva FCA, Ms. G G S Manatunga FCA, W K B S P Fernando FCA FCMA, B E Wijesuriya FCA FCMA, R N de Saram ACA FCMA, Ms. N A De Silva FCA, N M Sulaiman FCA FCMA, Ms. L K H L Fonseka FCA, Ms. P V K N Sajeewani FCA, A A J R Perera FCA ACMA, N Y R L Fernando ACA, D N Gamage ACA ACMA, C A Yalagala ACA ACMA, B Vasanthan ACA ACMA

Principals: T P M Ruberu FCMA FCCA MBA (USJ-SL), G B Goudian ACMA, Ms. P S Paranavitane ACA ACMA LLB (Colombo), D L B Karunathilaka ACMA, W S J De Silva Bsc (Hons) - MIS Msc - IT, V Shakthivel B.Com (Sp), W D P L Perera ACA

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Assurance or Related Services engagements, which requires that we design, implement, and operate a system of quality management including policies or procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

DESCRIPTION OF PROCEDURES PERFORMED

Procedures performed in a limited assurance engagement vary in nature and timing from and are less in extent than for a reasonable assurance engagement. Consequently, the level of assurance obtained in a limited assurance engagement is substantially lower than the assurance that would have been obtained had a reasonable assurance engagement been performed. Our procedures were designed to obtain a limited level of assurance on which to base our conclusion and do not provide all the evidence that would be required to provide a reasonable level of assurance.

Although we considered the effectiveness of management's internal controls when determining the nature and extent of our procedures, our assurance engagement was not designed to provide assurance on internal controls. Our procedures did not include testing controls or performing procedures relating to checking aggregation or calculation of data within IT systems.

A limited assurance engagement consists of making enquiries, primarily of persons responsible for preparing the subject matter and related information and applying analytical and other appropriate procedures.

Our procedures included:

- Performed a comparison of the content of the Integrated Annual Report against the Guiding Principles and Content Elements given in the Integrated Reporting Framework (<IR> Framework).
- Checked whether the information contained in the Integrated Annual Report – Financial Capital element information has been properly derived from the audited financial statements.
- Conducted interviews with the selected key management personnel and relevant staff and obtained an understanding of the internal controls, governance structure and reporting process relevant to the Integrated Report.
- Obtained an understanding of the relevant internal policies and procedures developed, including those relevant to determining what matters most to the stakeholders, how the organization creates value, the external environment, strategy, approaches to putting members first, governance and reporting.
- Obtained an understanding of the description of the organization's strategy and how the organization creates value, what matters most to the stakeholders and enquiring the management as to whether the description in the Integrated Report accurately reflects their understanding.
- Checked the Board of Directors meeting minutes during the financial year to ensure consistency with the content of the Integrated Report.
- Tested the relevant supporting evidence related to qualitative & quantitative disclosures within the Integrated Report against identified material aspects.

- Read the Integrated Report in its entirety for consistency with our overall knowledge obtained during the assurance engagement.

We also performed such other procedures as we considered necessary in the circumstances.

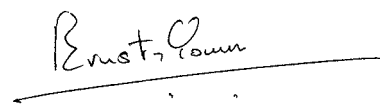
EMPHASIS OF MATTER

Economic, Environment, Social and Intellectual capital management data/information are subject to inherent limitations given their nature and the methods used for determining, calculating, and estimating such data. Such inherent limitations are common in Sri Lanka.

We also do not provide any assurance on the assumptions and achievability of prospective information presented in the Entity's Annual Report.

CONCLUSION

Based on our procedures and the evidence obtained, we are not aware of any material modifications that should be made to the information contained in the Integrated Annual Report of Aitken Spence Hotel Holdings PLC for the year ended 31st March 2024, in order for it to be in accordance with the Criteria.



15th July 2024
Colombo

GRI CONTENT INDEX

GRI Standard / Other Source	Disclosure	Location	Omission			GRI Sector Standard Ref. No.
			Requirement Omitted	Reason	Explanation	
General disclosures						
GRI 2: General Disclosures 2021	2-1 Organisational details	Page 289				
	2-2 Entities included in the organisation's sustainability reporting	Page 4				
	2-3 Reporting period, frequency and contact point	Page 4				
	2-4 Restatements of information	Page 4				
	2-5 External assurance	Page 5				
	2-6 Activities, value chain and other business relationships	Page 39	None			
	2-7 Employees	Pages 83,91	None			
	2-8 Workers who are not employees	Page 83	None			
	2-9 Governance structure and composition	Page 116	None			
	2-10 Nomination and selection of the highest governance body	Page 121	None			
	2-11 Chair of the highest governance body	Page 121	None			
	2-12 Role of the highest governance body in overseeing the management of impacts	Page 119	None			
	2-13 Delegation of responsibility for managing impacts	Page 145	None			
	2-14 Role of the highest governance body in sustainability reporting	Page 119	None			
	2-15 Conflicts of interest	Page 156	None			
	2-16 Communication of critical concerns	Page 114	None			
	2-17 Collective knowledge of the highest governance body	Page 28	None			
	2-18 Evaluation of the performance of the highest governance body	Page 156	None			
	2-19 Remuneration policies	Page 156	None			
	2-20 Process to determine remuneration	Page 156	None			
	2-21 Annual total compensation ratio		2-21	Confidentiality constraints	Compensation related information is considered confidential within the organisation	
	2-22 Statement on sustainable development strategy	Pages 45, 114	None			
	2-23 Policy commitments	Page 114	None			
	2-24 Embedding policy commitments	Page 114	None			
	2-25 Processes to remediate negative impacts	Page 114	None			
	2-26 Mechanisms for seeking advice and raising concerns	Page 114	None			
	2-27 Compliance with laws and regulations	Page 99	None			
	2-28 Membership associations	Page 97	None			
	2-29 Approach to stakeholder engagement	Page 42	None			
	2-30 Collective bargaining agreements	Page 89	None			

GRI Standard / Other Source	Disclosure	Location	Omission			GRI Sector Standard Ref. No.
			Requirement Omitted	Reason	Explanation	
Material topics						
GRI 3: Material Topics 2021	3-1 Process to determine material topics	Page 48				
	3-2 List of material topics	Page 48				
Economic performance						
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 48	None			
GRI 201: Economic Performance 2016	201-1 Direct economic value generated and distributed	Page 70	None			
	201-2 Financial implications and other risks and opportunities due to climate change		201-2	Information unavailable/incomplete	Insignificant information	
	201-3 Defined benefit plan obligations and other retirement plans	Page 224	None			
	201-4 Financial assistance received from government	Page 73	None			
Market presence						
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 48	None			
GRI 202: Market Presence 2016	202-1 Ratios of standard entry level wage by gender compared to local minimum wage	Pages 70,85,90	None			
	202-2 Proportion of senior management hired from the local community	Pages 64,83	None			
Indirect economic impacts						
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 48	None			
GRI 203: Indirect Economic Impacts 2016	203-1 Infrastructure investments and services supported	Page 74	None			
	203-2 Significant indirect economic impacts	Page 104	None			
Procurement practices						
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 48	None			
GRI 204: Procurement Practices 2016	204-1 Proportion of spending on local suppliers	Page 103	None			
Anti-corruption						
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 48	None			
GRI 205: Anti-corruption 2016	205-1 Operations assessed for risks related to corruption	Page 43	None			
	205-2 Communication and training about anti-corruption policies and procedures	Page 125	None			
	205-3 Confirmed incidents of corruption and actions taken	Page 104	None			

GRI CONTENT INDEX

GRI Standard / Other Source	Disclosure	Location	Omission			GRI Sector Standard Ref. No.
			Requirement Omitted	Reason	Explanation	
Anti-competitive behaviour						
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 48	None			
GRI 206: Anti-competitive Behaviour 2016	206-1 Legal actions for anti-competitive behaviour, anti-trust, and monopoly practices	Page 104	None			
Tax						
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 48				
GRI 207: Tax 2019	207-1 Approach to tax	Page 202	None			
	207-2 Tax governance, control, and risk management	Page 202	None			
	207-3 Stakeholder engagement and management of concerns related to tax	Page 42	None			
	207-4 Country-by-country reporting		207-4,b	Not applicable		We provide consolidated financial disclosures for locations outside Sri Lanka keeping with the accounting standards followed by the Company.
Energy						
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 48	None			
GRI 302: Energy 2016	302-1 Energy consumption within the organisation	Page 108	None			
	302-2 Energy consumption outside of the organisation		302-2	Information unavailable/incomplete		Too many variables to standardise
	302-3 Energy intensity	Page 108	None			
	302-4 Reduction of energy consumption	Page 108	None			
	302-5 Reductions in energy requirements of products and services	Page 108	None			
Water and Effluents						
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 48	None			
GRI 303: Water and Effluents 2018	303-1 Interactions with water as a shared resource	Page 109	None			
	303-2 Management of water discharge-related impacts	Page 109	None			
	303-3 Water withdrawal	Page 110	None			
	303-4 Water discharge	Page 110	None			
	303-5 Water consumption	Page 109	None			

GRI Standard / Other Source	Disclosure	Location	Omission			GRI Sector Standard Ref. No.
			Requirement Omitted	Reason	Explanation	
Biodiversity						
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 48	None			
GRI 304: Biodiversity 2016	304-1 Operational sites owned, leased, managed in, or adjacent to, protected areas and areas of high biodiversity value outside protected areas	Page 112	None			
	304-2 Significant impacts of activities, products and services on biodiversity	Page 112	None			
	304-3 Habitats protected or restored	Page 112	None			
	304-4 IUCN Red List species and national conservation list species with habitats in areas affected by operations	Page 112	None			
Emissions						
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 48	None			
GRI 305: Emissions 2016	305-1 Direct (Scope 1) GHG emissions	Page 109	None			
	305-2 Energy indirect (Scope 2) GHG emissions	Page 109	None			
	305-3 Other indirect (Scope 3) GHG emissions	Page 109	305-3	Information unavailable/incomplete	Too many variables to standardise	
	305-4 GHG emissions intensity	Page 109	None			
	305-5 Reduction of GHG emissions	Page 109	None			
	305-6 Emissions of ozone-depleting substances (ODS)		305-6	Information unavailable/incomplete	Too many variables to standardise	
	305-7 Nitrogen oxides (NOx), sulfur oxides (SOx), and other significant air emissions		305-7	Information unavailable/incomplete	Too many variables to standardise	
Waste						
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 48	None			
GRI 306: Waste 2020	306-1 Waste generation and significant waste-related impacts	Page 111	None			
	306-2 Management of significant waste-related impacts	Page 111	None			
	306-3 Waste generated	Page 111	None			
	306-4 Waste diverted from disposal	Page 111	None			
	306-5 Waste directed to disposal	Page 111	None			
Supplier environmental assessment						
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 48	None			
GRI 308: Supplier Environmental Assessment 2016	308-1 New suppliers that were screened using environmental criteria	Page 103	None			
	308-2 Negative environmental impacts in the supply chain and actions taken	Page 104	None			

GRI CONTENT INDEX

GRI Standard / Other Source	Disclosure	Location	Omission			GRI Sector Standard Ref. No.
			Requirement Omitted	Reason	Explanation	
Employment						
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 48	None			
GRI 401: Employment 2016	401-1 New employee hires and employee turnover	Page 84	a, b	Information unavailable/incomplete	Insignificant information Partial reporting	
	401-2 Benefits provided to full-time employees that are not provided to temporary or part-time employees	Page 85	None			
	401-3 Parental leave	Page 90	None			
Labour/management relations						
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 48	None			
GRI 402: Labour/ Management Relations 2016	402-1 Minimum notice periods regarding operational changes	Page 89	None			
Occupational health and safety						
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 48	None			
GRI 403: Occupational Health and Safety 2018	403-1 Occupational health and safety management system	Page 87	None			
	403-2 Hazard identification, risk assessment, and incident investigation	Page 87	None			
	403-3 Occupational health services	Page 87	None			
	403-4 Worker participation, consultation, and communication on occupational health and safety	Page 87	None			
	403-5 Worker training on occupational health and safety	Page 87	None			
	403-6 Promotion of worker health	Page 87	None			
	403-7 Prevention and mitigation of occupational health and safety impacts directly linked by business relationships	Page 87	None			
	403-8 Workers covered by an occupational health and safety management system	Page 87	None			
	403-9 Work-related injuries	Page 87	None			
	403-10 Work-related ill health	Page 87	None			
Training and education						
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 48	None			
GRI 404: Training and Education 2016	404-1 Average hours of training per year per employee	Page 86	404-1, a	Information unavailable/incomplete	granular data not recorded	
	404-2 Programs for upgrading employee skills and transition assistance programs	Page 86	None			
	404-3 Percentage of employees receiving regular performance and career development reviews	Page 86	None			

GRI Standard / Other Source	Disclosure	Location	Omission			GRI Sector Standard Ref. No.
			Requirement Omitted	Reason	Explanation	
Diversity and equal opportunity						
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 48	None			
GRI 405: Diversity and Equal Opportunity 2016	405-1 Diversity of governance bodies and employees	Page 83	b	Information unavailable/incomplete	Insignificant information Partial reporting	
	405-2 Ratio of basic salary and remuneration of women to men	Page 90	None			
Non-discrimination						
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 48	None			
GRI 406: Non-discrimination 2016	406-1 Incidents of discrimination and corrective actions taken	Page 90	None			
Freedom of association and collective bargaining						
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 48	None			
GRI 407: Freedom of Association and Collective Bargaining 2016	407-1 Operations and suppliers in which the right to freedom of association and collective bargaining may be at risk	Page 89	None			
Child labour						
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 48	None			
GRI 408: Child Labour 2016	408-1 Operations and suppliers at significant risk for incidents of child labour	Page 83	None			
Forced or compulsory labour						
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 48	None			
GRI 409: Forced or Compulsory Labour 2016	409-1 Operations and suppliers at significant risk for incidents of forced or compulsory labour	Page 83	None			
Security practices						
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 48	None			
GRI 410: Security Practices 2016	410-1 Security personnel trained in human rights policies or procedures	Pages 83,85	None			
Local communities						
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 48	None			
GRI 413: Local Communities 2016	413-1 Operations with local community engagement, impact assessments, and development programs	Page 104	None			
	413-2 Operations with significant actual and potential negative impacts on local communities	Page 104	None			

GRI CONTENT INDEX

GRI Standard / Other Source	Disclosure	Location	Omission			GRI Sector Standard Ref. No.
			Requirement Omitted	Reason	Explanation	
Supplier social assessment						
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 48	None			
GRI 414: Supplier Social Assessment 2016	414-1 New suppliers that were screened using social criteria	Page 103	None			
	414-2 Negative social impacts in the supply chain and actions taken	Page 103	None			
Public policy						
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 48	None			
GRI 415: Public Policy 2016	415-1 Political contributions	Page 153	None			
Customer health and safety						
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 48	None			
GRI 416: Customer Health and Safety 2016	416-1 Assessment of the health and safety impacts of product and service categories	Page 96	None			
	416-2 Incidents of non-compliance concerning the health and safety impacts of products and services	Page 102	None			
Customer privacy						
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 48	None			
GRI 418: Customer Privacy 2016	418-1 Substantiated complaints concerning breaches of customer privacy and losses of customer data	Page 105	None			

SASB DISCLOSURES

Topic	Accounting Metric	Unit of measure	Code	
1. Energy Management	Total energy consumed - Non-renewable sources;			
	Petrol			-
	Diesel			291,446
	Furnace Oil			-
	LPG	Gigajoules (GJ)		22,144
	Kerosene		SV-HL-130a.1	-
	Total energy consumed - Renewable sources;			
	Biomass/fuel wood			14,481
	Solar energy			1,852
	Wind energy			6,082
	Percentage grid electricity	Percentage (%)		22%
	Percentage renewable			5%
2. Water Management	Total water withdrawn	Thousand cubic metres (m³),	SV-HL-140a.1	1,455,265
	Total water consumed	Percentage (%)		Sri Lanka, Oman and India - 100% Maldives - 60% is released back into the ocean.
3. Ecological Impacts	Number of lodging facilities located in or near areas of protected conservation status or endangered species habitat	Number	SV-HL-160a.1	16 properties Please refer to the Natural Capital report for details (GRI 304-1, 304-2)
	Description of environmental management policies and practices to preserve ecosystem services	N/A	SV-HL-160a.2	Please refer to the Natural Capital report for details (GRI 3-3)
4. Labour Practices	(1) Voluntary turnover rate for lodging facility employees	Rate	SV-HL-310a.1	31
	(2) Involuntary turnover rate for lodging facility employees			0
	Total amount of monetary losses as a result of legal proceedings associated with labour law violations	Presentation currency	SV-HL-310a.2	None
	(1) Average hourly wage	Presentation currency	SV-HL-310a.3	Not reported due to reasons of confidentiality
	(2) Percentage of lodging facility employees earning minimum wage, by region	Percentage (%)		100% of employees earned above the local stipulated minimum wage in regions of operation
	Description of policies and programmes to prevent worker harassment	N/A	SV-HL-310a.4	Please refer to the Human Capital report for details
5. Climate Change Adaptation	Number of lodging facilities located in 100-year flood zones	Number	SV-HL-450a.1	2
ACTIVITY METRICS				
	Number of available room-nights	Number	SV-HL-000.A	847,656
	Average occupancy rate	Rate	SV-HL-000.B	67%
	Total area of lodging facilities	Square metres (m²)	SV-HL-000.C	316,423
	Number of lodging facilities and the percentage that are: Managed			18, of which 94% are managed
	Number of lodging facilities and the percentage that are: Owned and leased	Number, Percentage (%)	SV-HL-000.D	0
	Number of lodging facilities and the percentage that are: Franchised			0

GLOSSARY OF FINANCIAL TERMS

A

Accounting Policies - The specific principles, bases, conventions, rules and practices adopted by an enterprise in preparing and presenting Financial Statements.

Accrual Basis - Recording Revenues and Expenses in the period in which they are earned or incurred regardless of whether cash is received or disbursed in that period.

Actuarial Gains and Losses - Gain or loss arising from the difference between estimates and actual experience in a company's pension plan.

Amortisation - The systematic allocation of the depreciable amount of an intangible asset over its useful life.

Asset Held for Sale - The carrying amount of the asset value which will be recovered through a sale transaction rather than through continuing use.

Average Weighted Prime Lending Rate (AWPLR) - Reflects rates applicable on loans and advances granted by commercial banks to their most creditworthy customers.

B

Basis Point - One hundredth of a percentage point. i.e. 1/100

C

Capital Employed - Total shareholders' funds plus debt.

Capital Reserves - Reserves identified for specific purposes and considered not of the entity, directly or indirectly, including any director (whether executive or otherwise) of the entity available for distribution.

Cash Equivalents - High liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of change in value.

Collateral - Monetary or non-monetary asset pledged or received as security in lieu of a loan or credit terms obtained or provided.

Contingent Liabilities - A possible obligation that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the entity

Contract Liability - An entity's obligation to transfer goods or services to a customer for which the entity has received consideration (or the amounts due) from the customer.

Credit Risk - Risk that the counterparty to a transaction fails to meet its contractual obligations in accordance to the agreed terms and conditions.

Current Ratio - Current assets divided by current liabilities.

Current Service Cost - Is the increase in the present value of the defined benefit obligation resulting from employee service in the current period.

D

Debt/Equity Ratio - Ratio between long-term interest-bearing liabilities and total equity. It shows the extent to which the firm is financed by debt.

Deferred Income Tax - The net tax effect on items which have been included in the Income Statement, which would only qualify for inclusion on a tax return at a future date.

Derivatives - Financial contracts whose values are derived from the values of underlying assets.

Dividend Cover - Net profit attributable to the ordinary shareholders divided by the total dividend.

Dividend Pay Out Ratio - The percentage of earnings paid to shareholders in dividends.

Dividend Yield Ratio - Dividend per share as a percentage of the market price. A measure of return on investment.

Dividends per Share (DPS) - Dividends paid and proposed, divided by the number of issued shares, which ranked for those dividends.

E

Earnings Per Share (EPS) - Net profit for the period attributable to ordinary shareholders divided by the weighted average number of ordinary shares in issue during the period.

EBIT - Earnings before interest and tax.

EBITDA - Earnings before interest, taxes, depreciation and amortisation.

Effective Rate of Taxation - Income tax over profit before tax.

Enterprise Value (EV) - Market capitalisation plus net debt/(net cash).

EPS Growth - Percentage of increase in the EPS over the previous year.

Equity - The value of an asset after all the liabilities or debts have been paid.

EURIBOR - The Euro Interbank Offered Rate (EURIBOR) is a daily reference rate. It is the average interest rates at which Eurozone banks borrow unsecured funds from counterparties in the Euro interbank market.

F

Fair Value - The price that would be received to sell an asset or transfer a liability in an orderly transaction between market participants at the measurement date.

Fair Value Through OCI (FVOCI) - Financial instruments that are held for trading and measured at fair value through other comprehensive income.

Fair Value Through Profit and Loss - A financial asset/liability acquired/incurred principally for the purpose selling or repurchasing it in the near term.

Financial Assets - Any asset that is cash, an equity instrument of another entity or a contractual right to receive cash or another financial asset from another entity.

Financial Instruments- Any contract that gives rise to financial assets of one entity and financial liability or equity instrument of another entity.

Financial Liability - Any liability that is a contractual obligation to deliver cash or another financial asset to another entity.

G

Gearing - Proportion of total interest-bearing liabilities to capital employed. Refer Debt to equity.

I

Impairment - This occurs when recoverable amount of an asset is less than it is carrying amount.

Intangible Assets - An identifiable non-monetary asset without physical substance held for use in the production or supply of goods or services for rental to others or for administrative purposes.

Interest Cover- This indicates the ability of an entity to cover long term and short-term interest expenses with EBIT. (Profit before Interest & Taxation + Share of Equity Accounted investees divided by total Interest charged for the year).

K

Key Management Personnel (KMP) - KMP are those persons having authority and responsibility for planning directing and controlling the activities of the entity, directly or indirectly, including any Director (whether executive or otherwise) of that entity.

L

LIBOR - The London Inter Bank Offer Rate is an interest rate at which banks can borrow funds, in marketable size, from other banks in the London interbank market.

Liquidity Risk - The risk of an entity having constraints to settle its financial liabilities.

Market Capitalisation- The number of ordinary shares in issue multiplied by the market price per share.

M

Materiality - The relative significance of a transaction or an event, the omission or misstatement of which could influence the decisions of users of Financial Statements.

N

Net Assets Per Share - Shareholders' funds divided by the number of ordinary shares in issue as at the Reporting date.

Non-Controlling Interest - Part of the net results of operations and of net assets of a subsidiary attributable to interests which are not owned, directly or indirectly, through Subsidiaries, by the Parent company.

O

Other Comprehensive Income - An entry that is generally found in the shareholders' equity section of the Statement of Financial Position.

P

Price Earnings Ratio (PER) - Market price per share divided by the earnings per share.

Price to Book Value Ratio (PBV) - Market price per share divided by net assets per share.

Probability of Default (PD) - Estimate of likelihood that a borrower will be unable to meet debt obligations.

R

Related Parties - A person or entity that is related to the entity that is preparing its Financial Statements.

Return on Capital Employed (ROCE) -

Profit before finance expense and tax as a percentage of average capital employed.

Return on Equity - Profit attributable to shareholders as a percentage of average shareholders' funds.

Revenue Reserves - Reserves considered as being available for distributions and investments.

Right-of-use Asset (ROU) - ROU asset is an asset that represents a lessee's right to use an underlying asset over the lease term.

S

Segmental Analysis - Analysis of financial information by segments of an entity specifically, the different geographical areas in which it operates.

Shareholder's Funds - The sum of Share capital, Capital Reserves and Revenue Reserves.

SOFR - The Secured Overnight Financing Rate (SOFR) is a reference rate that has been established as the preferred alternative rate for the USD London Interbank Offered Rate (LIBOR). SOFR is commonly used for US dollar denominated derivatives, loans, and other financial transactions in place of LIBOR. SOFR is calculated by the New York Federal Reserve based on transaction data from the overnight repurchase (repo) market.

T

Total Equity - Total of share capital, reserves, retained earnings and non-controlling interest.

V

Value Added - The wealth created by the operation of the company. The value is distributed among the stakeholders and the balance retained within the business.

W

Working Capital - Capital required to finance day-to-day operations, computed as the excess of current assets cover current liabilities.

NOTICE OF MEETING

Notice is hereby given that the Forty Seventh (47th) Annual General Meeting of Aitken Spence Hotel Holdings PLC will be held at No. 315, Vauxhall Street, Colombo 02 on Tuesday, 06th August 2024 at 10.45 a.m., as a virtual meeting using a digital platform for the following purposes:-

1. ORDINARY BUSINESS

1.1 To receive and consider the Annual Report of the Board of Directors together with the Audited Financial Statements for the year ended 31st March 2024 and the Report of the Auditors thereon.

1.2 To re-appoint Deshamanya D.H.S. Jayawardena who is over the age of 70 years, as a Director by passing the following Resolution as an Ordinary Resolution:

"IT IS HEREBY RESOLVED that the age limit stipulated in Section 210 of the Companies Act No. 7 of 2007 shall not apply to Deshamanya D.H.S. Jayawardena who is 81 years of age and that he be re-appointed a Director of the Company."

1.3 To re-appoint Mr. R.N. Asirwatham who is over the age of 70 years, as a Director by passing the following Resolution as an Ordinary Resolution:

"IT IS HEREBY RESOLVED that the age limit stipulated in Section 210 of the Companies Act No. 7 of 2007 shall not apply to Mr. R.N. Asirwatham who is 81 years of age and that he be re-appointed a Director of the Company."

1.4 To re-appoint Mr. J.M.S. Brito who is over the age of 70 years, as a Director by passing the following Resolution as an Ordinary Resolution:

"IT IS HEREBY RESOLVED that the age limit stipulated in Section 210 of the Companies Act No. 7 of 2007 shall not apply to Mr. J.M.S. Brito who

is 77 years of age and that he be re-appointed a Director of the Company."

1.5 To re-appoint Mr. N.J. de Silva Deva Aditya who is over the age of 70 years, as a Director by passing the following Resolution as an Ordinary Resolution:

"IT IS HEREBY RESOLVED that the age limit stipulated in Section 210 of the Companies Act No. 7 of 2007 shall not apply to Mr. N.J. de Silva Deva Aditya who is 76 years of age and that he be re-appointed a Director of the Company."

1.6 To re-elect Mr. C.M.S. Jayawickrama who retires in terms of Article 83 and 84 of the Articles of Association, as a Director.

1.7 To elect Dr. R.A. Fernando who retires in terms of Article 90 of the Articles of Association, as a Director.

1.8 To authorise the Directors to determine contributions to charities.

1.9 To re-appoint the retiring External Auditors, Messrs. KPMG, Chartered Accountants and authorise the Directors to determine their remuneration.

2. SPECIAL BUSINESS

2.1 To consider and pass if thought fit the following resolution as a Special Resolution to amend the Articles of Association as set out below:

"IT IS HEREBY RESOLVED THAT the existing Article 73 be deleted in entirety and the following New Article Numbered 73 be substituted therefor:

73. The Directors of the Company shall not be less than five (05) nor more than ten (10) in number."

2.2 To consider and pass if thought fit the following resolution as a Special Resolution to amend the Articles of Association as set out below:

"IT IS HEREBY RESOLVED THAT the existing Article 103 be deleted in entirety and the following New Article Numbered 103 be substituted therefor:

103(a). Subject to paragraph 103(d) of this Article, a Director may by notice in writing under his/her hand and subject to the approval of the Board of Directors, appoint any person to be his/her Alternate Director to act for him/her under exceptional circumstances acceptable to the Board of Directors, for a maximum period of one (01) year from the date of appointment. The said notice of appointment may specify a date or an event upon the happening of which such person shall cease to be his/her Alternate Director, and the tenure of office of the Alternate Director so appointed shall nevertheless not exceed a period of one (01) year from the date of appointment.

103(b). A Director may by notice in writing under his/her hand at any time before the expiration of one year from the date of appointment, revoke the Alternate Director so appointed by him/her and appoint another person as his/her Alternate Director, subject to paragraph (a) above.

103(c). Notwithstanding anything to the contrary contained in paragraph (b) above, the office of an Alternate Director may be determined by the Board of Directors before the expiration of one year from the date of his/her appointment.

103(d). A person nominated to be appointed as an Alternate Director shall be of the same nature of his appointor if appointed, i.e. an Alternate Director of a

Non-Executive Director shall be of a Non-Executive nature. Similarly, an Alternate Director to an Independent Non-Executive Director shall be a person who will satisfy the criteria of Independence as set out by the Listing Rules of the Colombo Stock Exchange. The Nominations and Governance Committee shall review and determine that a person nominated to the office of Alternate Director to an Independent Non-Executive Director satisfies the criteria for Independence prior to his appointment.

- 103(e). A person appointed to be an Alternate Director shall not in respect of such appointment be entitled to receive any remuneration from the Company nor be required to hold any share qualification.
- 103(f). Alternate Director so appointed shall be entitled to receive notice of meetings and to attend such meetings on behalf of his/her appointor and shall have the right to sign circular resolutions of the Directors for and on behalf of his/her appointor in the event his/her appointor is unable to sign such resolutions."

3. ANY OTHER BUSINESS

To consider any other business of which due notice has been given.

By Order of the Board

Aitken Spence Hotel Holdings PLC



Aitken Spence Corporate Services
(Private) Limited
Secretaries

15th July 2024
Colombo

Note:

1. The Board of Directors has decided that this year too the Annual General Meeting of Aitken Spence Hotel Holdings PLC will be held as a virtual meeting by participants joining in person or by proxy, through audio or audio visual means in the manner specified below:
 - i. **Shareholder participation**
 - a) The shareholders are encouraged to appoint a Director of the Company as their proxy to represent them at the meeting.
 - b) The shareholders may also appoint any other persons other than a Director of the Company as their proxy and the proxy so appointed shall participate at the meeting through audio or audio visual means only.
 - c) The shareholders who wish to participate at the meeting will be able to join the meeting through audio or audio visual means only. To facilitate this process, the shareholders are required to furnish their details by perfecting Annexure II to the circular to shareholders and forward same to reach the Company Secretaries via e-mail to dilshani.yapa@aitkenspence.lk or facsimile on +94 11 2445406 or by post to the registered address of the Company No. 315, Vauxhall Street, Colombo 02 not less than five (05) days before the date of the meeting so that the meeting login information could be forwarded to the e-mail addresses so provided. The circular to the shareholders will be posted to all the shareholders along with the Notice of Meeting and the Form of Proxy.

- d) To facilitate the appointment of proxies, the Form of Proxy is attached hereto and the duly filled Forms of Proxy should be sent to reach the Company Secretaries via e-mail to dilshani.yapa@aitkenspence.lk or facsimile on +94 11 2445406 or by post to the registered address of the Company No. 315, Vauxhall Street, Colombo 02, not less than forty eight (48) hours before the time fixed for the meeting.
- ii. **Shareholders' queries**
The shareholders are hereby advised that if they wish to raise any queries, such queries should be sent to reach the Company Secretaries, via e-mail to dilshani.yapa@aitkenspence.lk or facsimile on +94 11 2445406 or by post to the registered address of the Company No. 315, Vauxhall Street, Colombo 2, not less than five (5) days before the date of the meeting. This is in order to enable the Company Secretaries to compile the queries and forward same to the attention of the Board of Directors so that such queries could be addressed at the meeting.
2. The Annual Report of the Company for the year 2023/2024 will be available for perusal on the website on www.aitkenspencehotels.com and on the Colombo Stock Exchange website on www.cse.lk.

NOTES

[illegible]

FORM OF PROXY

We of
.....being a member/members of Aitken Spence Hotel Holdings PLC hereby appoint of
.....(whom failing),

Deshamanya Don Harold Stassen Jayawardena	(whom failing),
Ms. Don Stasshani Therese Jayawardena	(whom failing),
Dr. Mahinda Parakrama Dissanayake	(whom failing),
Mr. Chrisanthus Mohan Susith Jayawickrama	(whom failing),
Mr. Joseph Michael Suresh Brito	(whom failing),
Mr. Rajanayagam Nalliah Asirwatham	(whom failing),
Mr. Charles Humbert Gomez	(whom failing),
Mr. Niranjana Joseph de Silva Deva Aditya	(whom failing),
Mr. Mellawatantrige Anton Niroshan Sampath Perera	(whom failing),
Dr. Ravindra Ajith Fernando,	

as my/our proxy to represent me/us, to speak and to vote on my/our behalf at the Annual General Meeting of the Company to be held on 06th August 2024 at 10.45 a.m., and at any adjournment thereof and at every poll which may be taken in consequence thereof.

I/We the undersigned hereby authorise my/our proxy to vote on my/our behalf in accordance with the preference indicated below:

1. ORDINARY BUSINESS

No.	Resolution	For	Against
1.1	To re-appoint Deshamanya D.H.S. Jayawardena who is over the age of 70 years		
1.2	To re-appoint Mr. R.N. Asirwatham who is over the age of 70 years		
1.3	To re-appoint Mr. J.M.S. Brito who is over the age of 70 years		
1.4	To re-appoint Mr. N.J. de S. Deva Aditya who is over the age of 70 years		
1.5	To re-elect Mr. C.M.S Jayawickrama who retires in terms of Article 83 and 84 of the Articles of Association		
1.6	To elect Dr. R.A. Fernando who retires in terms of Article 90 of the Articles of Association		
1.7	To authorise the Directors to determine contributions to charities		
1.8	To re-appoint the retiring External Auditors, Messrs. KPMG, Chartered Accountants and authorise the Directors to determine their remuneration		

2. SPECIAL BUSINESS

No.	Resolution	For	Against
2.1	To pass the Special Resolution for the amendment to the Articles of Association as detailed in item 2.1 of the Notice of Meeting		
2.2	To pass the Special Resolution for the amendment to the Articles of Association as detailed in item 2.2 of the Notice of Meeting		

Signed this day of Two Thousand and Twenty Four.

.....
Shareholder's Signature/(s)

.....
Shareholder's NIC / Folio No. Proxyholder's NIC No.

Note: Instructions as to completion are noted on the reverse hereof.

FORM OF PROXY

INSTRUCTIONS AS TO COMPLETION

1. Kindly perfect the Form of Proxy by filling in the mandatory details required above, signing in the space provided and filling in the date of signature.
2. If the Form of Proxy is signed by an Attorney, the relative power of attorney should also accompany the proxy form for registration, if such power of attorney has not already been registered with the Company.
3. In the case of a Company/Corporation, the Form of Proxy shall be executed in the manner specified in the Articles of Association/Constitutional documents (as applicable).
4. In the absence of any specific instructions as to voting, the proxy may use his/her discretion in exercising the vote on behalf of his/her appointor.
5. Duly filled Forms of Proxy should be sent to reach the Company Secretaries via e-mail to dilshani.yapa@aitkenspence.lk or facsimile on +94 11 2445406 or by post to the registered address of the Company No. 315, Vauxhall Street, Colombo 2, not less than forty eight (48) hours before the time fixed for the meeting.

Please provide the following details (mandatory):

NIC/PP/Company Registration No. of the Shareholder/s :

Folio No. :

E-mail address of the Shareholder/(s) or
proxy holder (other than a Director appointed as proxy) :

Mobile No. :

Fixed Line :

INVESTOR FEEDBACK FORM

Name (Optional) :

Address (Optional) :

Number of shares held (Optional) :

Please rate the following areas (where applicable) on a scale of 1 to 5 where 1 is the lowest to 5 being the highest

	Lowest			Highest	
	1	2	3	4	5
1. Business Development					
a) Quality and presentation of the Annual Report	☐	☐	☐	☐	☐
b) Usefulness of the information in the interim Financial Statements	☐	☐	☐	☐	☐
c) Likelihood of the financial information in the Annual Report to influence investment decisions	☐	☐	☐	☐	☐
d) Likelihood of the environmental information in the Annual Report to influence investment decisions	☐	☐	☐	☐	☐
e) Likelihood of the social information in the Annual Report to influence investment decisions	☐	☐	☐	☐	☐
f) Satisfaction with the risk management strategies of the Company	☐	☐	☐	☐	☐
2. Corporate Communication					
a) Quality of Group communications appearing in traditional media (newspapers, radio, television)	☐	☐	☐	☐	☐
b) Quality of Group communications appearing in emerging and new media (social media, web)	☐	☐	☐	☐	☐
c) Satisfaction with the frequency and volume of Group communications appearing in mass media channels (newspapers, radio, television)	☐	☐	☐	☐	☐
d) Accessibility and availability of information related to the Group in mass media channels	☐	☐	☐	☐	☐
e) Quality of service and information provided at stakeholder contact channels (web, general line, front office/ reception)	☐	☐	☐	☐	☐
f) Satisfaction with the contact channels available for queries and feedback	☐	☐	☐	☐	☐
3. Human Resources					
a) Satisfaction with the conduct of employees	☐	☐	☐	☐	☐
b) Competency of employees based on your recent interactions	☐	☐	☐	☐	☐
c) Access to HR related information	☐	☐	☐	☐	☐
4. Sustainability					
a) Satisfaction with the strategies developed for economic sustainability	☐	☐	☐	☐	☐
b) Satisfaction with the commitment of the Group towards environmental conservation	☐	☐	☐	☐	☐
c) Satisfaction with the commitment of the Group towards social empowerment and community development	☐	☐	☐	☐	☐
d) Ethical conduct of the Group in business activities	☐	☐	☐	☐	☐

INVESTOR FEEDBACK FORM

Please tick more than one where applicable:

5. What areas of the following business activities are you interested in receiving more information regarding via Group communications?

- | | |
|-------------------------------|-----------------------|
| a) Sustainability initiatives | ☐ |
| b) Reporting processes | ☐ |
| c) Internal operations | ☐ |
| d) New business initiatives | ☐ |

6. What channels of communication are preferred when receiving Group related information?

- | | |
|---------------------|-----------------------|
| a) Web | ☐ |
| b) Newspapers | ☐ |
| c) Electronic media | ☐ |
| d) Social media | ☐ |
| e) Mobile | ☐ |

7. Out of the following, what areas of sustainability do you feel Aitken Spence Hotels should focus more on?

- | | |
|-------------------------------|-----------------------|
| a) Energy | ☐ |
| b) Water | ☐ |
| c) Biodiversity | ☐ |
| d) Waste management | ☐ |
| e) Resource efficiency | ☐ |
| f) GHG emission reduction | ☐ |
| g) Social empowerment | ☐ |
| h) Infrastructure development | ☐ |
| i) Education | ☐ |

The completed Feedback Form could be e-mailed to info@aitkenspence.lk or posted to the registered address of the Company at No. 315, Vauxhall Street, Colombo 02, Sri Lanka.

